Saregama India (SAREGAMA)

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"Saregama India Limited
Q1 FY2023 Earnings Conference Call "

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LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Saregama India Q1 FY20 23 Earnings Conference Call hosted by ICICI Securitie s. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Bhupendra Tiwary. Thank you and over to you Sir.

Bhupendra Tiwary : Thank you Seema. On behalf of ICICI Secu rities, we welcome you all to Q1 FY20 23 results conference call of Saregama India . From the management , we have Mr. Vikram Mehra, who is Managing Director , Mr. Pankaj Chaturvedi , who is the CFO and Mr. Pankaj Kedia, who is Vice President, Investor Relations , so without much ado , I will hand over to Vikram. Over to you Vikram .

Vikram Mehra : Thank you Bhupendra . Good evening , everyone. Q1 of FY2023 saw operating revenues of around Rs.169 Crores and a PAT of Rs.41 Crores which results in a 61% year -on-year increas e in our operating income and a 52% increase in our PAT income something that we are very proud of. This is in continuation with our last year 's numbers, which had seen a 31% increase in operating revenue and a 35% i ncrease in PAT. At the risk of sounding repetitive I will say that this is not an aberration. Quarter after quarter you are seeing Saregama's positive results. This is just another small step in Saregama's resurgence story that started a few years ago . We started rebuilding the foundation of th e company b etween 2015 to 2 018 and what you see now is the building rising in its full glory . This is a company which not only thrives on the richest IP catalogue th at it owns but is als o a company, which is building the IP for tomorrow . This is being done so that 30 -40 yea rs down the line Saregama will continue being the number one IP company of India. Our operating income before content charge interest and depreciation was at Rs. 64.7 Crores which means a 54% growth compared to last year. As you know our busines s is broadly divided into three verticals. The most important vertical, which is the music business, grew by 38% on a year -on-year basis in this qu arter. Now this is significant , may be even better than what most other music labels in India or globall y have reported. This growth comprise s of both the licensing as w ell as the Carvaan business.

Let me start w ith licensing . We have been growing at over 20% on an annual basis for over three years now. This is the fourth year, and I am very happy that the growth story continues. During this quarter, we relea sed all the songs of the super hit movie of Mahe sh Babu called Sarkaru Vaari Paata . I am happy to share that th e cumulative audio and video

views and streams on the Saregama 's official channel for this movie have crossed 550 million and this m ovie was re leased in the month of April only. It shows multiple things. One, we are picking the right content a nd then we are putting the right marketing muscle to go out and make this content really bi g. And it is not just large movies that we are picking up. We in fact released another small film called Ittu Si B aat and the great thing about that film was

tha t it had songs f rom Arijit Singh, Jubin Nautiyal , and Vishal Mishra - the who’s who of the music industry were part of th is film . Our film buying or music buying is not just based on pic king high pro file properties . A lot of thinking goes r ight now on the back of data modeling to tell us that which of the large, medium and small size d films music we should pick up and the success is ther e in front of everyone. We also continued our investments in Bhojpuri, Gujarati, Telugu, Malay alam, Tamil, Bengali and devotional music. I think a song that absolut ely stands out during this quarter, which I would like to mention is a Bh ojpuri song called Nathuniya by Khesari Lal Yadav . That song in this sho rt duration of three months ha s already crossed 150 million YouTube views. Now this is a massive benchmark for a language, which is not the primary lang uage of this country. Bhojpuri is spoken by a large belt in North and Eastern India and a song in that lan guage getting 150 million is a big achievement, which also revalidates the fact that we are the number one guys now in Bhojpuri and Gujarati.
The st rategy of investing in new content i s clearly paying off. All the financial numbers I am sharing with you are a testament to tha t. It is not only allowing us to grow our share in the new content category space but in fact it is also helping the g rowth of the catalog. Remember people who start following Saregama social media accounts, YouTube accoun ts, and Facebook accounts on account of the new content - are also sampling a lot of hits of Lata Didi or Kishore Da on our chan nel. We had raised Rs. 750 Crores wit h an explicit mandate to invest in new music content and we are completely on track. As mentioned, we are using data mining a nd predicti ve modelling to decide on what content to invest in. Man y of the films whose music we have acquired over the last six months will hopefully start getting released from the Q4 of this year an d a larg e number may be in FY2023 -24. Some of them are Karan Johar’s next directorial film Rock y Aur Rani Ki Prem Kahani and another Dharma film called Rola . Also, we have picke d up music of Maddock film starrin g Vicky Kaushal & Sara Ali Khan t., Chiranjeevi ’s Telugu film Godfather which also h as Salman Khan ’s song in it, Malaya lam superstar Prithviraj Su kumar an’s next movie Kaapa, and Punjabi superstar Ammy Virk ’s nex t film Oye Makhna . There is a lot of content that we have picked up and these are just some of them . The list is very l ong across film music in Hindi, Tamil, Telugu, Malayalam and now also Kannada a nd Punjabi. While the company starte d investing in new content from 2017 , we initially experi mented at a small er scal. The real growth that we are l ooking at becomes serious from this ye ar onwards. It is
 now that we believe , with the fund s raise d, that our music acquisition is going to see a significant step jump. With that in mind, over the last many months , we have reassessed our capabil ity on multiple fronts. On the content acquisition side, we have reinforced the team s in each of the languages so that people sitting in Mumbai are not taking decisions of what content to acquire in the Benga li or other regional language s. It is strong teams with profi ciencies in regional languages that are taking the calls on what content to pick up . The head office gets i nvolved only from the data analytics perspective giv ing them enough ammun ition about the past track record of the artist whose music we are picking up . So, a lot of work happ ening there on building that team, data analytics capability and our marketing rela tionships across . This includes p artners hips with radio chan nels, TV channels , digital platforms , social media influe ncers etc. If we need to have the largest share of new content , we should

equally be e quipped at marketing and monetizing that content in a very effective fashion. As part of this initiative another thing we did was to re-asses s the useful life of the new music content that we were acquiring. We have been sharing with you now for many quarters o n how the revenue from m usic that we acquired in 1960 s, 1970 s and 1980 s is still growing at a significant pace. It is not that th e revenues have started to settle at all and hence we started questioning our current definition of the useful life of music whi ch until now was six years as per management assessment . The question that was asked, “is this the right assessment of the useful life of that asset ”? We asked E&Y to do a bench marking of how all the global music labels are defining t heir useful life of their music assets. The report has come to us which defines that alm ost every major label of the world has useful life definition between 10 to 25 years of the music that they have acquired . Based on our own data and global benchmarking , the management team is now recommending that we should change the useful life of our music assets from 6 years to 1 0 years but unlike the global labels who follow a straight -line method , we are recommending a more conservative approach whereby there is a higher amortization happening in the first two years and then it goes on a straight -line method . As an explanation, typically when we

acquir e content , Rs.80 go towards content and Rs.20 go towards marketing . Even with the new useful life of 10 years the marketing cost is going to be charged off immediately , so no change there. Of the Rs.80, 20% of t hat will be charged off in year one, 15% in year two and balance on a straight -line basis from year three to year 10 . The total impact of t he change of the useful life of a music asset in this quarter has been Rs.1.7 Crore positive on PAT . We have made these reassessment s of the useful life , more to prepare the company keeping in min d the large investments we will be maki ng in future and whatever we do has to be in sync with practical reality , where an asset ends up getting monetized for a much longer life then older assessment of six years.
 Coming to Carvaan, it saw an upswing in this quarte r. We touched sale of 98,000 units compared to the 45,000 units in Q1 last year and this came entirely out of customer pull. There is no change or shift in our market ing strategy on Carvaan. We are still playing a passive role and allowing the market to create and generate its own demand. It is the opening of the retail network which is hel ping this growth . In this quarter, we also initiated test market ing of two new variants of Carvaan in the last 10 da ys of June . Music bar , which is the sound bar with a karaoke system , and a mobile phone. It is still very early days. We will keep on assess ing the feedback from the markets. We are in the mi ddle of th at and may make modifications in the product basis customer feedback and then look at a proper formal launch of these produ cts may be in Q3. We will keep you updated as we go forw ard. The good part is that these product s are bei ng manufactured in India so that we are not over ly dependent on supply chains emanating out of China. I want to reiterate there is no marketing push backing any of these products.
This was a slow quarter for Yoodle e. It typically happens as, films and series come out in blocks. Last year also everything came out in Q4. This year also y ou will find most of th e Yoodle e releases happening in Q3 and Q4. Th e TV serial business continued its steady performance in terms of TRPs. The only dow nside we saw this time was a slo wdown in the advertising revenue. A significant amount of our revenues that come from the TV businesses come

on account of advertising both on Sun TV channel and in YouTu be. We expect this to be a short -term trend and everything to come back on track t he moment festival season starts. This quarter we finally saw the launch of the new business line of live music. We launched it in partne rship w ith the biggest live musi c star of this country , Diljit Dosanjh . He is the one music -based artist right n ow who draws the maximum number of paid tickets in India and abroad. In fact , we in this quarter completed six successful events , two in India (Gurgaon and Ja landhar) and four in Canada . Four of the six shows went completely houseful , so we are ve ry, very happy with the way this business has started. With time this business will not only contribute more to the topline and b ottom line but also add power to our music acquisition vertical .
So overall ladies and gentlemen, it was a very good quarter for us which saw significant growth both on t he topline and the bottom line along with growth of newer verticals. Music business was the biggest contributor to this growth in this quarter. Happy to take questions from you people.
Moder ator: Thank you Sir. We will now begin with the questio n-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Thank you. We
 take the first question from the line of Ravi Jain from 2Point2 Capital A dvisors LLP . Please go ahead.
Ravi Jain: I have jus t got a couple of questions. One was on the royalty expense t hat seems to have fallen both Q -o-Q and Y -o-Y, why is that?
Vikram Mehra : Sir, royalty expense is more on account of the past catalogue of ours and it typically depends on the mix . There is some content where there is a royalty expense and there is lot of content that we people acquire only have one-time payment . So, the mix changes a bit here and th ere and royalty expense will keep on changing.
Ravi Jain: It has go t nothing to do with the accounting change, right?
Vikram Mehra : No, nothing.
Ravi Jain: Sir on the newer content if you can just again summarize maybe I missed it? What was it earlier? What did you charge in the first and second year earlier and what is it now?
Vikram Mehra : There is no change in charging of marketing expense, Earlier , also 100% straight away was charged off in the month one itself , the same is followed now as well, so there is no change to that 20%. On the remaining 80% it was 35% in year one and then 13% for the next five years. Now w hat we are changing it to 20% in year one, 15 % in year two and then it goes to

8.125% for the next eight years. It is a very small change right now. The net impact of that on our PAT is only Rs.1.7 Crores.

Ravi Jain: But I think a lot of t he contents will be back ended so the benefit will come from the n ext few quarters? Is that true?

Vikram Mehra : Yes. See what we are doing here is to come in sync with the global practice because our policies were not so earlier .

Ravi Jain: Got it and on this live concert business can you give a sense of what is the revenue contri bution this quarter?

Vikram Mehr a: I said in my last quarter call that it is a n early stage. The first yea r is going to be more testing the waters, but in general events business is a 5 % to 10% margin business for the next coup le of years. We are running the events business for profitability but more importantly to reinforce our position on the music creation and acquisition side because it is

 the same bunch of top singer s who are also c ontributing to the biggest songs as well a s are active on the live circuit .

Ravi Jain: I understand that , but eight events will that like contribute to a few double digit s in Cror es in terms of revenues ?

Vikram Mehra : Let the year get over f

irst. Maybe I will be able to give you a better idea then. All I can tell you that it will not be a loss-making thing. That is all the comfort I can give you. Obviously, we believe it should contribut e significant ly to the topline. It is the first qua rter's first event. Give us four quarters and we will be able to go back and share more specific details with you.

Ravi Jain: Okay and the last question as on date YouTube views there is a significant increa se every quarter? Is this to do with user genera ted content being a larger part of the growth or is it Saregama channel alone contributing the growth ?

Vikram Mehra : As regards the growth rate, the bigge st contributor s are the Saregama 's official channel s. But in reality, it doesn't matter where th e view is coming from, as we make similar monies from a view f rom ou r own channel and user generated content. The growth rate it is coming more from our own channels because of the amount of new content that is being put up.

Ravi Jain: Lastly if I may just squ eeze in on this Ins tagram deal it was a fixed deal ? It did not depend on the number of streams that we.. ?

Vikram Mehra : I cannot t alk about specific deals.

Ravi Jain: No, you had mentioned that it was a fixed deal?

Vikram Mehra : In general, short format a pp deals are fixed fee deals .

Ravi Jain: It has not come up for renewal yet?

Vikram Mehra : I cannot get into specifics de tails.

Ravi Jain: I just wanted to get into basically I think these deals has taken significantly ever since we signed th e deal and b ecause it was fixed deal do we e xpect like a significant increase when it comes up for renewal that is all what I wanted to get at but I appreciate if you don't want to disclose.

 Vikram Mehra : I cannot get in to specific deals but please underst and if we ar e growing our music licens ing business at over 20% and last year, we grew over 26%. This quarter the growth is even more. Clearly it is coming out of both . variable deals with minimum guarantee s as well as fixed fee deals. All of them get renegotiated in a v ery big fashion and the numbers are becoming significant because we are investing in new content aggressively.

Ravi Jain: This G aana thing is that going to be a nega tive because if it gets acquired by someone , there is news about it getting acquired so there is consolidation on your customer side , so that will be a slight negative for you ?

Vikram Mehra : Let me answ er this way. I will not answer to the specific brand n ame that you took but in general consolidation doe s not affect us because the customer is going to listen to a song. It does not matter to us whether the customer is listening to the song on platform A or platform B. We get paid on an average Rs.0.10 paisa. It doe s not matter which platform are you going t o.

Ravi Jain: If you have minimum guarantee on both the platforms ?

Vikram Mehra : You ha ve asked the right question. The days of we people not hitting a minimum guarantee were six years back. Now the actua l revenue frequently touches the MGs, and in many of the cases there are overflows coming in.

Ravi Jain: Thank you and congratulations for a good set of numbers.

Vikram Mehra : Let me add further, if you ask me , if any of the platform's folds , it is also a signal to the other platform s that they should move towards paid services . It is high time and I have been saying this it is time that the streaming platforms , start makin g a significant push towards paid su bscripti on. That is going to be great news for their financial vi ability and also means lot o f money to be made by music IP owners. It will be a positive news if this transition happens.

Moderator : Thank you Mr. Ja in. We take the next question from t he line of Saket Mehrotra from Tusk Investment . Please go-ahead Sir.

Sake

t Mehrotra: The first question I have Vikram , you mentioned this 550 million plus impressions of Sarkaru Vaari P aata from April to August , so this is across YouTube and other apps or was it just YouTube?

Vikram Mehra : This was from Saregama ’s own YouTube Channels and audio streaming apps. We do not include user generated content or any of the other short format video apps. . .

Saket Mehrotra : Okay, t he second question I had Vikram recent ly we saw this development where Meta announced that they are starting monetization of music on thei r videos , so would you like to comment anyth ing on that? Has that gone live for India or is it just a global anno uncement that they are going with ?

Vikram M ehra : I will not comment on a specific company , but in general I will reiterate what I said earlier. If we ta lk about short format apps in I ndia from Instagram to YT shorts to Josh, Moj, Chingari the nature of t he deals is a fixed fee deal with a clear u nderstanding that as their business model evolves and they get into an advertising driven business then the fixed fee nature will change and will become a variable with a minimum guarantee. We saw ho w big that became on a platform like YouTube . We believe the other guy s will also go in that direction which means the platforms will make money as well as the IP o wner.

Saket Mehrotra : Alright so as of now it is still in an evolutionary phase is what I un derstand?

Vikram Mehra : That is why we all are protect ed ourselves with a fixed fee. But our deals are structured in a fashion that if they move to an advertising driven model stuff and they offer a share of advertising to any label globally , we al so end up getting it immediately.

Saket Mehr otra: Got it and any timelines on clarity on the demerger? Can we expect it anytime this financial year?

Vikr am Mehra : Pankaj will answer that.

Pankaj Chaturvedi : So, we have been resolving all the queries that c ome from either the stock exchanges or SEBI . Most of them have been done and during this quarter as well there were some questions that c ame in relation to this, and we have respond ed to that. We now await the final clearance from SEBI post which we will then obviously file our application with th e NCLT . We cannot put a very specific date , but yes normally these things do take six to eight months from the time of f iling with NCLT. We are pursuing th is matter and seeing to it that any kind of questions or any kind of steps that are required to expedite are being followed upon .

Saket Mehrotra: Got it thanks a lot. That is , it from my side.

Moderator : Thank you Sir. We take the next question from the line of Shubham Ajmera from SOIC Investment s. Please go-ahead Sir.

Shubham Ajmera: Sir my first question is regarding the advertisement revenue , so as you mentioned in your opening remarks that we are seeing some trend in the downward stages for the YouTube revenue and advertisement so are we seein g same trend in the streaming company Sir?

Vikram Mehra : We are not seeing that impact hurting us on our music business at all. What is hurting right now is the fall in the advertising revenue on TV channels because South TV serial business runs on advertising running on Sun TV itself.

Shubham Ajmera: Got it so do you have any idea reg arding the slowdown in the revenue score in the streaming company as much?

Vikram Mehra : Our streaming business is not dependent on advertising at all. Streaming business on the free side -we have a protection through a per stream rate and on the pay side we get a share of the subscription amount. So, in fact the audio streaming business for us the way our deals are structured is not dependent on advertising at all.

Shub ham Ajmera: Got it and my last question is r egardi

ng your plans for the Carvaan for like the next three to four yea rs like if you can give me some broad idea regarding on the margin side which you are targeting in the next three to four years?

Vikram Mehra : Sir as I have stated earlier, whenever we decide to start investing in Carvaan , we will share it with you . First there was a demand issue, with retail network shut. Then, there were massive supply chain issues because chips were not availa ble. Things are still getting sorted out because even if we go and manufacture the rest of the parts in India chips are still coming from one of these Asian count ries only . So, we want to first come on top of it. Once we believe that this product is now ready for exp ansion then we are going to talk to you about our investment plans and h ow the financials are going to work out.

Shubham Ajmera: Okay sure thank you s o much.

Vikram Mehra : And currently you are not going to find any investment going from our side on Carvaan . It is just moving at this juncture on its own demand.

Shubham Ajmera: Understood thanks.

 Moderator : Thank you Sir. We take the next question from the line of Vimal Gohil from Alchemy Capital Management Private Limited . Please go-ahead Sir.

Vimal Gohil: Thank you for the opportunity, Sir. I am not sure if you have answered this so sorry if I have made you repeat it , if you can just highlight what is the kind o f investments that we are seeing in content over the next one year or may be if you have any long -term guid ance if at all?

Vikram Mehra : Our stated aim is that out of all the content that comes out in the market on a Pan India level , we want to pick up anythi ng between 30% to 35% of it. The cost of the entire content that is expect ed to come out th is year should be in the range of around Rs.800 Crores . So that is aspiration we people have. We do not know whether we will be able to acquire the entire share in a single go. Even if we acquire , it may so happen that the movies may not get released until the end of the financial year . Though the deal may happen now, the movie may get released in the next fi nancial year but broadly this is t he aim.

Vimal Gohil: Okay , so this year possibly you are looking at somewhere near Rs.400 Crores of content investment pool that will be a fair assessment if at all assuming that the entire you are able to take whatever entire pie that you are looking at?

Vikram Mehra : See, 30% of 800 is 240 so it is that space right now. Now thi s is the first year for a company which has had a single digit share of new content and it wants to move to a 30% to 35% share. In Bollywood movies the music of the film gets sold 12 to 18 months before the movie ge ts released . So, it will take us that much amount of lag right now to go back and build it up . But the space that I said would be in the range of 200 - 220.

Vimal Gohil: Understood. Thank you very mu ch Sir. All the best.

Moderator : Thank you Sir. We take the next question from the line of Bhupendra Tiwary from ICICI Securities . Please go-ahead Sir.

Bhupendra Tiwa ry: So, my question is basically on the web series and movies part, if you could talk abou t what is our overall pipeline of things that we are looking to do over the next 12 to 18 months number of web series lined up, the movies because I think that piece is getting bigger and second followup to this is what is our kind of margin profile that w e are looking to get there in this segment? T hank you.

 Vikram Mehra : This is a business right now which will generate 15% to 2 0% margin after writing of f the entire cost of film or series in year on e itself .

Bhupendra Tiwary: Ok.

Vikram Mehra : And we believe that is the range that we will be in. I am not attributin g any profit s from the second r

ound of licensing that happens typically in this business because your license on the first round may be of three, five, seven or 11 year s and t hen comes the second round of licensing . The cost is fully written off in year one itself. All that I am keeping separate . I am saying year -on-year as we people go out for the next three to five years , the Film TV and web series business will be contributing 15% to 20% margin . In terms of the si ze of the business we crossed Rs.100 Crores last year and we believ e in couple of years we should be hitting the range of Rs.150 Crores to Rs.200 Crores.

Bhup endra Tiwary: If you could talk about the web series o r the films which are lined up for the next?

Vikram Mehra : I can on ly tell you right now what has been announced. There is a Sunil Shetty web serie s that is already licensed out. We will recognize the revenue post making tha t delivery . The series should g et released sometim es this year. There is a Malayalam film with a big star called Nivin Pau ly expected to release in September. There is a Punjab i film with the big star in Punjab i, Ammy Virk , called Oye Makhna which is expected to be released in the month of November. We have also started to shoot with the Malayalam industry 's biggest star called Prithviraj Sukumar an which may get released this year or next year. These are things in public domain . But we are working on many mor e – series concept s and films but all that information is s till not in public domain.

Bhupendra Tiwary: Sure, thank s a lot.
Moderator : Thank you Sir. We take the next question from the line of Gaurav Chopra from Union Asset Management Company Privat e Limited . Please go ahead with your question Sir .
Gaurav Chopra: Congratulations on a good set of numbers. I just had a s mall question. I was going through your annual repor t, I could see the revenue from India last grew by just 4% in the music licensing business , while revenue from exports grew 71%. So, could you highlight like why would that happen? Like why woul d India business revenue growth would be just 4%?
 Vikram Mehra : Sir, typically my understanding is many of the deals that we are doing , are with global guys - I will not take specific names - but if you think of all the major licensing companies, they are all global companies.
Pankaj Chaturvedi : We do have partners who are based out of India , so just from a classification point of view , the re venue from these partners is class ified under “International Revenue ”
Vikram Mehra : As a normal Indian, living in Bareilly and Jodhpur they will say that YouTube is an Indian company , but the reality is a bit different.
Gaurav Ch opra: Got it. Thanks for the clari fication.
Moderator : Thank you Sir. We take the next question f rom the line of CA Garvit Goyal from Nvest Research . Please go-ahead Sir.
CA Garvit Goyal: Good evening, Sir. Sir my first question is as NFTs are coming in to trend so how is to going to be an opportun ity for us and how it can shape our topline going for ward any views on that?
Vikram Mehra : So, we are very seriously exploring it. We believe NFT is a great way to unlock the value of what we people own. We just want to get our product proposit ion right b ecause we believe , if we are launching an NFT it sho uld not be for gimmick value. The re should be a genuine value we offer to the customer then only the business is going to become significant . You will see very soon an ann ouncement coming from our side in this sp ace. For us it is a serious business opport unity and not a gimmick.
CA Garvit Goyal: Understood Sir and my second question is Q1 financial year FY2023 music segment seems to be muted if we are comparing it to the previous quarter , so what are the reasons for the same? Is it due to any down side in the platform revenues like OTT,

broadcasting, video screening or social media and how you are seeing it to be in upcoming quarters?
Vikram Mehra : So, let us answer the par t one first. Please look at our numbers f or the four quarters for the last five year s. You will always see Q1 as the lowest quarter. In general, Q4 becomes very high because a lot of our international publishing revenue s hit us only in Q4. A lot of society revenues hits us in Q4 and our pol icy with these revenues is that we will recognize them only when the cash hits our account , so Q4 is always on the higher side. Q3 becomes higher typically because of the Carvaan sales as it is a festival season . We are very, very
 delighted with the numbers that we are seeing in Q1 because Q1 has never matched our Q4 revenue ever before.
CA Garvit Goyal: Understood. It m eans it is b etter to look year -on-year?
Vikram Mehra : You h ave to look on year -on-year basis because there is seasonality in our business.
CA Garvit Goyal: Understood and what are the developments on the Carvaan platform side basically you were mentioning your annual report vis -à-vis getting advertisement type o f revenue also from Carvaan platform once it gets commissioned , so what are developments on that side?
Vikram Mehra : As the new generation Carvaan is going to come in, that is where adv ertisi ng and subscription business will be built in. We are still some times away. Like I mentioned to somebody else earlier , whenever we are ready for the product , which may need investment from our si de, we will talk to you, but it is still sometime away. Till that time there is no marketing or manpower investment going on in Carvaan .
CA Garvit Goyal: Understood and Sir basically we are looking for the new acquisitions from the music side and what is our specific target when we are acquiring the new music? Are we looking towards targeting a particular A group or what is basic approach I am 23 , so your focus will be on our side or on our parents’ side so that is basically my question?
Vikram Mehra: New music will be all talking to your age group. I am the age of your dad and have no wish to get into music acquisition. There are younger people under the age of 30 who decide what to buy and what not to buy. We are very particular about it. Nobody senior is listening to music and taking a decision. In fact, we sometimes joke that if I like a song at my age , that means that song will not work. It is better that a 20 plus youngster choose and decid e the songs to acquire .
C A Garvit Goyal : Right and thank you ver y much Sir.

Moderator : Thank you Sir. Ladies and gentlemen that was the last question for the day . I now hand the conference over to Mr. Vikram Mehra for closing comments. Thank you , Sir.

Vikram Me hra: Thank you. We maintain a bullish stance o n music licens ing. We are projecting a 22% to 23% growth year -on-year for the next three to five years. This will happen irrespective of consolidation on the platform side. In fact, as I said e arlier , if ther e is a consolidation happening it is good new s because that means with less platforms more and more people

will be looking very seriously at the subscription -based business , which is great news for both parties - the platform s as well as the IP owner. The advertising downturn may not impact us significantly because of the way our deals are structured . I think if at all , it will be a marginal impact. We hold on to a 22% to 23% growth rate in music licensing business over t he next three to five years. We will cont inue with the investments on content across the multiple languag es, both on the film and the non -film side with the target being people under the age of 30. We continue with our cautious approach on Carvaan, and the focus is going to be on the margins and not on revenue. The film series and TV business should keep on growing at a 25% growth rate year-on-year with a margi n which is around 15%. Even ts verticals will slowly build up in terms of revenue , but in the initial year s we expect it to contribute only 5% to 10% margin. As a management team, we are very bullish on the business. We have built the right foundation and year afte r year after year and quarter after quarter , we are proving it to yo u that the foundation that is being built is strong enough to keep on sustaining the growth rate that we have seen over the last three years. Thank s a lot , gentlem en, good evening.

Moderator: Thank you. On behalf of ICICI Securities that concludes t his confe rence. Thank you for joining us. Ladies and gentl emen, you may now disconnect your lines.

Call: Nov 2022

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Date : 8th November , 202 2

The Manager,
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National Stock Exchange of India Limited
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Bandra (East),
Mumbai – 400 051

Symbol: SAREGAMA
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163

Sub: Q2FY23 Earnings Conference Call - Transcript

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q 2FY23 Results Conference Call held on Tuesday, 1st November , 2022 at 16:00 hrs (IST) for the quarter and half year ended 30th September, 2022 .

The above information is also available on the website of the Company.

Kindly take the same on record.

Thanking You,

Yours Faithfully,

For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer
Membership No: A58041

"Saregama India Limited
Q2 FY2023 Earnings Conference Call "

November 01, 2022

ANALYST : MR. BHUPENDRA TIWARY – ICICI SECURITIES

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR –
SAREGAMA INDIA LIMITED
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL
OFFICER – SAREGAMA INDIA LIMITED
MR. B L CHANDAK – EXECUTIVE DIRECTOR –
SAREGAMA INDIA LIMITED
MR. SAKET SAH - HEAD INVESTOR RELATIONS –
SAREGAMA INDIA LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS – SAREGAMA INDIA LIMITED
 Moderator : Ladie s and gentlemen, good day and welcome to the Saregama India Limited Q2 FY20 23 Earnings Conference Call hosted by ICICI Securities. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask question s after the presentation concludes. Should you need assistance during the conference call please signal the operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Bhupendra Tiwary from ICICI Securities . Thank you and over to you Sir.

Bhupendra Tiwary : Thank you Sema . On behalf of ICICI Secu rities, we welcome you to Q 2 FY20 23 results conference call of Saregama India Limited . From the management , we have Mr. Vikra m Mehra who is the MD, Mr. Panka j Chaturvedi who is the CFO and Mr. B L Chandak , Executive Director , Mr Saket Sah, Head , Investor Relations , and Mr. Pankaj Kedia, Vice President, Investor Relations . We will start with the opening comments by Vikram post which we will take the Q&A so o ver to you Vikram .

Vikram Mehra : Thank you and g ood evening, everyone. Q2 of the financial year saw an operating revenue of Rs.189 Crores and a PAT of Rs.46 Crores which basically means a 30% year-on-year increase in income and a 36% year -on-year increase in PAT . If I look at the data on a half-yearly basis, then both revenue and PAT have grown by 43% on a year -on-year basis . Remember this is in continuation with last year's growth number of 31% in operating revenue and 35% in PAT . This is something I have been saying quarter after quarter and year after year that the growth story that we are on is there to stay. And there are reasons for it. In our country the growth in digital consumption, is happening both on a ccount of new customers coming in and consuming audi o & video for the 1st time, and then the existing customers post COVID consuming that much more of content on da ily basis . These days it is almost i mpossible to find a p

erson, irrespective of socio -economic st rata, who is free even for 15 minutes, not picking up his phone an d watching or hearing something. That is the reason why the d igital consumption is go ing up in a substantial manner . With that in mind , I think Saregama 's growth story is going to remain pretty stable in the medium to long-term. Growth i n short to medium term is a given. The nex t 15 to 20 years are going to be India's growth story and digital is what is going to be driving it . And we sit at the centre of it, being a core IP company. Technologies may come , technologies ma y go. Platforms may come, platforms may go, but the company that holds large chunk of valuable IP will always be pretty profitable both from the topline and the bottom -line perspective.

The other advantage that we as a company have now is that we are not overdepen dent on any one revenue stream. There was a time about eight to nine yea rs ago where our entire
 revenue used to be dependent on just music and that also from telecom. We have come a long way from there . Now we are making good amount of mon ey not only from music streaming apps , but also video streaming apps , short format apps, tel evision channels, films, TV series, digital series and live events . So even if there is a downturn happening in any one area , the other pillars still hold us pretty steady. That is why we are very bullish on the stable growth of both our revenue and bottom line.

Our operating income before content charge interest and deprec iation was Rs.69.9 Crores this quarter whi ch grew by 31% compared to the last year. The biggest highlight for the quarter was our music business, whi ch show ed its highest quarterly revenue ever at Rs.150.9 Crores and this is courtesy growth both on the music licensing side as well as our retail bu siness which is primarily Carvaan .

Let me start with music licensing , our core business , which again in th is quar ter has grown at a rate over 20%. It was the beginning of a big quarter for us because some of the regional language films that we had acquire d have started coming out in Q2 . This included Chiranjeevi and Salma n Khan starrer Telugu film Godfather , Punjabi superstar Diljit

Dosanjh 's film Babe Bhangra Paunde Ne , the Hindi film Chup by Balki, Dhanush's Tamil film Naane Varuvean , Kalyan Ram's Telugu film Bimbisara , Malayalam supersta r Manju Warrier 's film Ayish , Anur ag Kas hyap 's Hindi film Do,Baaraa and many more. In our presentation , we have shared a list of some of our high-profile films that w e released in this quarter . Our strategy remains t hat we will not only concentrate on Hindi but will also take leadership position across all the major Ind ian languages. We also released many originals and recreations in Hi ndi and other languages includ ing a new song from Adnan Sami . This was a very big quarter for our Bhojpuri music where the Bhojpuri superstar Pawan Singh release d a very big song for us called Lal Gha agra. This is in fact the fastest Bhojpuri song to reach 50 million number on YouTube. We had an equally big hit coming from the other superstar of Bhojpuri , Khesari L al Yadav , called Bondhu Tin Din and this also featu red in the top trending songs of the country. Punjabi saw successful songs from an artist called Satinder Sartaj while Bengali had songs from Anupam Roy and the Usha Uthup . I am taking only a select few names of the high-profile and successful songs. We also recently announced a strategic long term tie up with Arijit Singh both for creating original songs as well as recre ation s across mult iple langu ages. Our strategy of i nvesting in new content is clearly paying off . It is giving us greater leverage with all our partners because we are no longer just the biggest catalogue company , but also enjoy leadership posi

tion in n ew musi c
and we define new music as anything which is less than 18 months old. Anything beyond that starts moving towards catalogue .

 The song selection conti nues to be done basis data analytics allow ing us to get t he higher quality songs at ho pefully better prices . This is helping us get market leadership position across la nguages while sticking to our ROI guidelines .

Many of you people have asked us about our Rs.750 Crores that we have raised through QIP last year. Apart from the issue expenses , that money was used only for acquisition of Mango Music's catalogue . That money is kept s ecured primarily looking at inorganic purchase s. Right now, our internal accruals are more than enough to take care of all the organic music purchases that we people are doing. Th e QIP money is invested in high quality debt funds and fix ed deposits , so it is safe and secur ed. And as committed to yo u this money will be used only and only for music business of ours.

Our reliance on data mining and us e of predictive models is reducing our dependence on a centralized music selection proces s and / or ind ividual based gut call . Many of the films whose music we have acquired will start getting released from the Q4 of this year and may go to Q1 and Q2 o f the n ext financial year. Some of the big films may be Karan Johar' next directorial film Rocky Aur Rani Ki Prem Kahani , another Dharma Production film called Rola . There is also a Vicky Kaus hal Sara Ali movie called Zara Hatke Zara Bachke . The re is Vijay De verakonda and Samantha's Telugu film calle d Kushi . There is Prithviraj Sukumaran the Malayalam superstar 's next film Kaapa ; the big star from Punjabi Ammy Virk film Oye Makhna .

This quarter saw an u pswing in the Carvaan numbers. We touched 156,000 sales com pared to 103,000 sales in the same quarter last year . All the sale is coming courtesy the customer pull - that is the power of the b rand Carvaan that is still there in the market. Th e latest variant o f Carvaan is Carvaan mobile. This product was launched to get a lower price point for Carvaan . It replaced one of our existing similar variants called Carvaan Go which is now being phased out . In the smaller towns it is allowing us to get a Carvaan variant at Rs.2000 and Rs.2500 point s, which is lower than the price point of Carvaan Mini also. Please keep in mind that while the number of units sold have increased by 50% odd compared to las t year , the revenue increase is lower than that because we must sell two a nd a half Carvaan Mobiles to become equivalent to one Carvaan . The aver age realization per unit sold has come down but the overall Carvaan revenue still has grown ou t handso mely though not as high as 50%. We have not been prom oting or spending any above -the-line marketing mon ies right now and the strategy will cont inue even in Q3. As sta ted earlier also, the interesting part about Carvaan is that it acts as a ve ry effect ive marketing tool for expos ing retro catalogue of ours to the younger age segment. When parents listen to their favorite retro music at home on Carvaan , the children by default get exposed to it. This

 behavior is ge tting validated both by consumer research and c onsumption patterns. We recently carried out an exercise to find the consu mption growth of the retro songs - which have been put on Carvaan versus those which have n ot been put -in terms of numbers on streaming platfo rms and YouTube. We are seeing that the songs which have been put in the

Carvaan devices , are growing at a faster pace than the songs that have not been put inside any Carvaan variant. Actual data is coming out and telling us that Carvaan is working out as a great marketing tool to help our mu sic licensing busines

s also.

This was a slow quarter for Yoodlee with no significan t releases happening here which is expected. Most of our releases as s tated in my last call also will be in Q3 and Q4. Our TV serials on Sun TV continue doing well in terms of TRPs. We launched a new Tamil TV serial called Ilakkiya. This serial replaces one of our existing serial s called Chandralekha , which had completed 2300 episodes on Sun TV - a program that we are extremely proud of and our partnership with Sun TV that w e are very proud of. We hope that the new serial will follow the same successful path th at Chandralekha had. It has opened to very decent TRPs and we hope they will continue.

We launched our new business vertical called Live music and events during the Q 1 where in we had done concerts of Diljit Dosanjh in Canada and India. We continued wit h that in Q2 with six concerts of Diljit Dosanjh in US. Both in Canada and US , the concerts sold more tickets than any of the other contemporary artists have ever d one i n the recent times. So we are very happy and proud of the way we have be en able to kick-start the live events business. It is a low-margin business, and we are aware of it. We still believe it is an essential business for us , to protect our musi c licensing b usiness . The Live business gives us great opportunities to b uild relationships with our artists and promote the song that we may be working on with our artists .

Overall , a successful Q2 for us . When we look at it , we see it as just ano ther step in th e growt h journey th at we people started a few years back . Quarter after quarter after quarter we are solidifying our position both on revenue and profitability fronts across all our verticals . That will be all from my side. Happy to take quest ions please.

Moderat or: Thank you very much Sir. We will now begin with the question s and answer session. We take the first question from the line of Savi Jain from 2Point2 Capital . Please go ahead.

Savi Jain: I just wanted to ask you about how YouTube is trending becau se they came out with the results , and they saw a decline in ad revenues in the long time so is that visible for us also? Is there some degrowth there or some?

 Vikram Mehra : Where did you see degrowth in Saregama numb ers sorry you have lost m e here.

Savi Ja in: Not in Saregama numbers but specif ically YouTube?

Vikram Mehra : No so again remember the numbers for YouTube globally and in India are very, very different. Nowhere else in the world, the corporate results are as good as we people are showing in In dia and w hich is resulting in YouTub e numbers still being very steady as we people go forward in our country . We have shared our overall YouTube views numbers also. There is no degrowth that we are seeing here in our country , so I do not know where you have got this impression.

Savi Jain: No, I am not saying degrowth may be a slowdown in growth? Is that visible?

Vikram Mehra : Still going out showing you the revenue number s. They are coming from s omewhere and the biggest revenue contributors for all labels are audio and video streaming which primarily means the music OTT apps, YouTube s and the Meta s of the world . So, we are seeing healthy numbers. Yes, July saw little bit of a pressure overall, but I think there have been very smart recoveries that have been made.

Savi Jain: And on the views I see that there is a significant increase year -on-year? Is this more user generated content or is that what is driving lot of this growth?

Vikram Mehra : Remember for us it does not matter whether it is user generated content or ou r own channel content because we get paid almost equal amount of money . We are independent of that . When you say user gener ated content remember there are a lot of people who will t ake Original Alia Bhatt songs from Gangu

bai and upload it on their channel . So that is user generated content only because it is not uploaded on our channel . For us it really does not matter whether it is coming from our channel s, or somebody else’s channel so first let me get that clarity out. Specific to your question , for Saregama we are seeing over the last four quarters , the views from our own channel are growing at a much faster pace than the user generated content. If you study our You Tube views acro ss all our channels – we have channels in multiple lang uages - our views on our official channels are growing f aster than any othe r label. And the reason is simple: we are investing much more in new content than anybo dy else.

Savi Jain: Yes, got that. Did we see a negative impact, there was a period when there was no deal with Meta for some time? Did that have a nega tive impact in the quarter?

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Page 7 of 24 Vikram Mehra : Sir I cannot go back and comment on individual deals. Final number s for the quarter are there in front of you and I am very sure you will be proud of the numbers tha t we people have written both on the top line and bottom line.
Savi Jain: Of course . I just wanted to know if the numbers would have been even better if that deal was there for the full quarter ? Also , the YouTube shorts deals that is not there in this quarter right?
Vikram Mehra : No Sir YouTube shorts deal was considered as part of this quarter.
Savi Jain: Great. The numbers are good and hope we will continue in the future.
Vikram Mehra : Sir we have b een doing this for the last many quarters with your blessing hopeful ly we will.
Savi Jain: Thank you.
Moderator : Thank you Sir. We take the next question from the line of Aditya Nahar from Alpana Enterprises . Please go-ahead Sir.
Aditya Nahar: There are ma ny people to remember today on the call so first of all Vikram congr ats on a great s et of numbers. Vikram just on this Reels and Meta and YouTube sort of deal I do not want to know the specifics but was they were at better terms than we had earlier?
Vikram Mehra : Sir you have to read in between the lines. I cannot commen t on specific deals , but yes if we are showing substantial growth , it's happening on the back of better deals . And the deals are not becoming better because we are some special people. It 's only courtesy, the quality of the content we are bringing to th e table - especially the newer content – it is the strength of that content.
Aditya Nahar: Alright so you are saying is because of the s trength of the content you are in a better position to negotiate with larger players now ?
Vikram Mehra : Yes. It is the leadership position. We always were the kings of catalogue right. We have the largest catalogue in this country, but we had a weak positi on in newer content, and I have always accepted and acknowledged that . We build our position o n catalogue and now we are building our position in a very aggressive fashion in new content . And as we achi eve leadership po sition across multiple languages , it is helping our negotiati on position.
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Page 8 of 24 Aditya Nahar: Sure perfect. My second question is on open stage how is the response if you c an just talk about that or is it too soon?
Vikram M ehra : It is too soon , and it is one of the multiple specific initiatives ' we people carry out , so all this is a way to go back and make more money from catalogue. Open stage is nothing but people coming out there and contributin g their derivatives, remixes, l o-fis, trap mixes, recreations, and cover version s of our catalogue music . Whether it is Carvaan which is helping us promote it, whether it is play listing which is helping us promote it, whether it is going to outside people and saying why do not they send their own versions. All that is working towar

ds promoting catalogue . So, you will see the fina l impact of that on the revenue growth numbers.
Aditya Nahar: Perfect. Just want to say congratulation s on getting the Arijit deal. I am sur e it is a great deal for the future as well and my la st question is for actually Pankaj, if possible, any updat e Pankaj Sir on the timeline of the demerger, etc., if you could give us an indicative timeline ?
Pankaj Chaturve di: Yeah sure, in this quarter we got the approvals from the stock exchanges . Post that we have filed our applicat ion with NCLT Kolkata. It normally takes four to five months for this whole process. It moves through various stages. We are hopeful and w e are pushing for getting the final order and the demerger complete d by March 2023 so that is going to be our endeavour .
Aditya Nahar: Thank y ou Vikram. Thank you, Pankaj . Thank you so much and best of luck.
Moderat or: Thank you very much . We take the next question from the line of Swapnil Potdukhe from JM Financial . Please go-ahead Sir.
Swapnil Potdukhe: Congrats on a good set of numbers first o f all. I just there are two or three questions. The first one is a clari fication actually so you mentioned that s ome of the big budget content will be released in Q4 or early next year so will that by any chance mean that we are revising down our capex gui dance for FY2023?
Vikram Mehra : No, we are not.
Swap nil Potdukhe: With respect to the investment's guidance, we told 220 to 230 cr broadly ? Will that be lower inves tment s for this fiscal year?
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Page 9 of 24 Vikram Mehra : At this juncture we are not changing any of our gu idance . We will try plugging in the gap

created by the delay of some of our Hindi movie album releases by inves ting in other langua ges.
Swapnil Potdukhe: Okay thanks for that clarification. Secondly when I look a t your P&L some of the cost items such as employee expenses , royalty expenses and other expen ses they seemed to have grown at 20% quarter -on-quarter? Now my earlier sense was that your top line if it gro ws around 20% to 25% the cost may not grow at the sam e rate and there would be some operation leverage play there which would support our margin i mprovement which for some reason has not happened so any reasons you would want to call out?
Vikram Mehra : Sir which cost lines are you are talking abou t?
Swapnil Potdukhe: Employee expenses, royalty expenses and other expenses?
Vikram Mehra : Sir the employee expenses you are talking about Q2 right ?
Swapnil Potdukhe : Yes Q2?
Vikram Mehra : Our appraisal systems happen in Q2, and all bonuses of the employees are given in Q2 . So Q2 always for many years , has the highest employee expenses because bonus expenses get booked at that time. If I look at it on an annual basis at the employee expenses, we have been able to bring it down over time .
Pankaj Chaturvedi : Swapnil just to add our emplo yee expenses as a percentage to revenue have come down to about 11% as c ompared more than 13% in the same quarter last year so absolute expense yes they will grow as the business gro ws but we are watching our margins very closely and we have been able to improve cost as a percentage to revenue on this line.
Swapnil Potdukhe: Okay and any reason for royalty and other expenses?
Vikram Mehra : Sir royalty expenses are directly linked to revenue because royalty expenses is the money that you end up paying for th e older content that we have taken, which is 1960s and 1970s and 1980s content . The more revenue we m ake - as a percentage that number does not change that much - but they are in the range typically between 10% to 15%.
Swapnil Potdukhe: And what about other expenses?
 Vikram Mehra : It is a purely variable expense Sir. If we make revenue, we pay royalties ot herwise there is no royalty.
Swap nil Potdukhe: No I am asking about other expenses which have grown to Rs.23.5 Crores versus R s.19.7 Crores in Q1 quarter and last year same time i t was Rs.14.5 Crores?
Vikram Mehra : As a percentage to revenue this has not grown. We will still clarify the s ame to you. Just give us a moment. You are talking about the last line other expenses ?
Swapnil Potdukhe: Yes?
Pankaj Chaturvedi: The increase in other expense , if you look at it on a Q -o-Q basis it i s around 12% to 13% which is in line with our top line gr owth.
Vikram Mehra : Swapnil let m e put it. Philosophically for a couple of years you will see expenses moving at a similar pace as revenue. Once we pass th e hump , you will see that the growth in expenses will slow down compared to the growth on the revenu e side. But initially to get the new content engine moving from stationary to the first and second gear , it will require some amount of fuel consumption. Over time you will end up getting adv antage on the margin side and I am not saying long run. I am talk ing about short to medium run.
Swapnil Potdukhe : Right. Very clear there Vikram and just a last question from my side. I would li ke to understand your events business how big is it right now? What are your plans for the business over the next one or two ye ars and are we burning any cash right now in th e near term where w e will end up spending amount?
Vikram Mehra : Individual events is combined with the films and television so I canno t give you events ' individual numbers . But event as a concept is a low marg in business. I have stated in the past also that once the business gets stable it will be a 5% to 10% margin business. It is an essential business to manage my music licensing business. If we are in the new er content game right now to differentiate myself vi s-à-vis the other guys and to build relationships with the artist , being in th e Live business is the very advan tageous part . But we will not be burning cash here.
Swapnil Potdukhe: Right. Those are my question, Vikram . Thanks a lot for answering.
Moderator : Thank you Sir. We take the next question from the l ine of Nikhil Moryani from Valiant Investmen ts. Please go -ahead Sir.
 Nikhil Moryani: Good afternoon, everyone. Vikram I just want ed a confirmation from what you told the earlier speaker the event revenue is not part of the music licensing revenue right?
Vikram Mehra : No Sir. At this juncture we are c ombining with the Films and TV business.
Nikhil Moryani: Alright thank you and one more thing. Would it be possible for you to give us a breakup

between reven ue from catalogue and new music?
Vikram Mehra : No Sir. It is very confidential information.
Nikhi l Moryani: No Sir may be not for this quarter or for the current financial year? May be for the last financial year or previous financial year s?
Vikram Mehra : Sir I think the closest we can get to you or give an a nswer to you if you look at my last corpora te presentation it very clearly shows how much revenue do we make from which decade of music . Two years ago , a majority of our revenue was coming from our 20th century music. Last year 40% of our revenue came from 21st century music , and in the 21st century , majority of the content investment has been done in the last thre e to four years only. Hopefully, t his will give you perceptive .
Nikhil Moryani: No because as investors we would want to track how are we doing on getting a payback so this number will be very helpful?
Vikram Mehra : So that is extremely confidential and c ompetitive sensitive information which we will not be able to share
Nikhil Moryani: I unde rstand. Alright Sir thank you very much for your time.
Moderator : Thank you very much . We take the next question from the l ine of Priyankar Sarkar from Famycare Capital . Pl

ease go-ahead Sir.
Priyankar Sarkar : Thanks. Vikram I just wanted to understand the YouTube shorts business? Obviously because we ar e growing at a predominant phase but what I wanted to understand is that is there a minimum number of seconds that it has to play for us to get a revenue share?
Vikram Mehra : Sir on YouTube Shorts ?
Priyankar Sarkar: Yes?

 Vikram Mehra : Sir, All s hort-form at video Apps like Sharechat , Moj, Insta, YouTube Shorts globally pay us a fixed fee. It is not a variable model yet. None of these guys h ave been able to crack a variable model yet. I expect that to happen in the next couple of years. At this junct ure they work on a fixed payment module which we renegotiate every year. On YouTube its a variable mod el which is a more evolved model now. On Y ouTube every time an ad gets presented on a Saregama ow ned IP, we get 55% of the ad revenue
Priyanka r Sarkar: Okay got it and Vikram the second question I wante d to ask is about this cash balance so what I saw from a Rs.930 odd Crores of cash and it has been a year since we raised the capital so it is like to like no deals as s uch are availa ble over the last 12 months as we could acquire ne w catalogues or how is that because it has been a year right so wondering on that front?
Vikram Mehra : We are constantly debating between optimal cash utilization and buying catalogue s at fair valuations. We had to say no to a few deals because of unviabl e valuation s or poor paperwork . We are in conversations but the reality at this moment we only have one de al. I will be honest with you. Just because we have collected money we do not want to g o out and blow the ca sh by buying catalog ues at unreasonable valuation s. We want it to come at a multiple that make logical sense.
Priyankar Sarkar: Okay fair e nough. Thank you.
Moderator : Thank you Sir. We take the next question from the line of Nitin Sha rma from MC Pro Research . Please go ahead.
Nitin Sharma: Thanks a lot. Congrats on a good set of numbers. A couple of questions if I may. First, can you h elp us understand what caused the surge in the other current liabilities this quarter? I think it is u p Rs.100 Crores or so?
Pankaj Chaturv edi: Yes, basis our negotiations for all the licensing deals , we do get revenue in advance on the licensing deals . However, our accounting happens on an accrual basis spread over the de al period . It is pur ely of that na ture. It is not a liability in the sense wherein it needs to be repaid. These are all income receiv ed in advances.
Nitin Sharma: Understood. Secondly is it a right assessment that if I let us say your Carvaan sales ar e on an average 4K for th is quarter it seems that prices have gone up recently? It is contributing around 30% to 35% of the revenue correct me if I am wrong here?

 Vikram Mehra : We give breakup of the music licensing and Carvaan business on an annual b asis. At the end of Q4 we will share the num bers once ag ain.
Nitin Sharma: So, I am arriving at a pu re music license, but it has seen some bit o f slowdown sequentially?
Vikram Mehra : Sir I am going on record saying it has not.
Nitin Shar ma: Understood and la stly one question just to under stand you m entioned on previous question that there was some Carvaan logistic related cost so has it also affected the segment margins

for the music business? Will that come down slightly?
Vikram Mehr a: When you are saying it has come down you are talking on a percen tage basis ?
Nitin Sharma: Around 3%-point segment margin.
Vikram Mehra : Carvaan business currently is a breakeven to a low margin business Hence, at an aggregate level , the Music business margin percentage will always look down if the Carvaan revenues start going up.
Nitin Sharma: Understood

super helpful. Thank you.
Vikram Mehra : Again , I am telling that the music growth numbers are not slowing down. In fact, they are stead y. That is why we are maintain ing the projection of 22% to 25% growth on annu al basis. We are also not making any change in our projections on our margin side.
Nitin Sharma: Understood. Thanks a lot. All the best.
Moderator : Thank you very much . We take the next question fr om t he line of Ankush Agra wal from Surge Cap ital. Please go-ahead Sir.
Ankush Agrawal: Thanks for taking my questions. Vikram firstly I want to understand like in terms of say if we are spending Rs.100 on new content what would be the broad range of amount that would be going towar ds royalty -based deals versus the fi xed deal a broad range would suffice?
Vikram Mehra : That breakup I cannot give you at this moment. What I can tell you is that if there is a Rs.100 deal on an overage Rs.80 goes towards content and Rs.20 goes to marketing .

 Ankush Agrawal: That is understa ndabl e. What am I trying to say is if you spending Rs.100 say probably half of the deals or half of the new deals that we are making are fixed and half of the new deals that you are maki ng are royalty -based deals ?
Vikram Mehra : I cannot give that breakup Sir because its competitor sensitive information. T he only segment where you are looking at royalty-based deals is Hindi films.
Ankush Agrawal: The rest everything you are saying is fixed dea l?
Vikram Mehra : Yes.
Ankush Agrawal: Right and again on this royalty a lso like you have mentioned that earlier like the older content is 10% to 15% kind of roy alty so would it be possib le to share what will be the higher range of the new deals because you have already mentioned that the new deals have a higher royalty versus the 10% to 15% so on the upper side may be it is like 40% and 50% more some kind of le vel that you can high light?
Vikram Mehra : Sir we can’t share this information . If we give you the highest possible number for royalty , then every partner will ask for th e same percentage but what we can share is tha t an aggreg ate basis when we look at catalogue and ne wer music , this number should not change substantially because lot of our new music is going to be on a fixed fee basis. So at the overall business level , betwee n the catalog ue, Hindi film new music, non-Hindi film new music – the royalty % will remain between 10% to 15% of the overall revenue
Ankush Agrawal: But this 10% to 15% is including the revenue from the f ixed fee deal, denominator is the full year bas is?
Vikram Mehra : I understand. It does not answer your question directly, but it is market sensitive informat ion
Ankush Agrawal: No, I can understand that the reason that to a great extent. Anoth er thing is Vikram over here so if I look at your presentati on on the content charge you mentioned that we do not include the royalty which is paid after the minimum upfront amount so I was wondering why do not we include the subsequent royalty into that because it is the content cost so if you are breaking this up that the content charge that you are showing only includes the royalty up front amount and not the royalty that you are paying after the recoup ment of advance? It does not give a good understand ing of what is the actual content charge because now it is fine, we do not have a lot of royalty, but I think given the kind of content that you

 are acquiring couple of years down the line the royalty component that would be in the other expenses and the con tent charge would be substantial .
Vikram Mehra : For Hindi f ilms the deal may be that we will pay them X Crores up front plus Y Crore s of marketing and the music becomes ours. We then start recouping this X+Y. On top of that typically t he

re is a hurdle rate which is put. Once we recovered X+Y+ the hurdle rate then we start paying royalties to them . So, royalty payout will start hittin g our books only for those Hindi movies where we have fully recouped the initial money we had paid , the marketing costs and the hurdle rate.

Ankush Agrawal: Yes, that is understandable? What I was suggesting is that in the end it is a cost attached to a content right so if we includ e that in the content charge it would give a better understanding that was just a suggestion but either way lastly Vikram one thing I w anted to understand so if I look at the quarterly royalty number it is about Rs.15 odd Crores right and if I calculate ba sed on what you have mentioned that the royalty expense is somewhere around 15% odd so that come s around Rs.100 Crores of revenue right with is just broadly the entire cost we have on the entire revenue that we have on the license side broadly so the thing is not adding up because if you see the older content is 10% to 15% kind of royalty and if I as sume that is the major pa rt of royalty expense and the reverse calculation that would be indicating that the entire revenue or the license is coming through tha t kind of music right which is royalty attached so not sure like I put it on the right sense but it is not adding up the number?

Pankaj Chaturvedi : Probably the way you are calculating has too much of approximation. The music licensing revenue that probably you are calculating has a mix of many par ameters . As Vikram explain ed the royalty expenses that we account for under the head royalty start kickin g in after we have recouped th e initial amount paid plus the hurdle rate ; and there are royalty - based deals in Hindi, but the other langu ages may not h ave these kinds of deals ; so there are too many variables in it.

Vikram Mehra: Please keep one thing in m ind, Carvaan also has a royalty expense. Your current assumption that royalty expe nses pertain only to M usic Lic ensing business is not true. We pay royal ties for the preloaded music on Carvaan also.

Ankush Agra wal: That was clear. Thanks .

Moderator : Thank you Sir. We take the next question from the line of Varun Arora from Safe Enterprise . Please go -ahead Sir.

 Varun Arora: Thanks for the opportunity. Vikram my question is regarding OIBC ID margins? At the beginning of the year, you have indicated 33% margins ? If I lo ok at last two quarters, we have be en do ing 38% to 37% so just wanted to check are we sticking to that and what is the reason for that lower guidance? What will be the moving parts which will kind of drive this margin?

Vikram Mehra : Sir right now I will sti ll stick to 32% to 33% OIBC ID margi n number. I know the last two quarters we have done better than that but for this year I continue with that number. Let us have the chat at the end of Q4.

Varun Arora: Correct and what will be the moving parts V ikram the reason you want to stick to this guidance because of?

Vikram Mehra : We have a much better control on the music licensing part . But the moment you are looking at events bu siness which at this juncture - being in the fi rst six months - is going to be a very, very low margi n business . If we suddenly end up having a large event generat ing 20 - 40cr revenue at a margin of 2 -4%, it cha nges the en tire mix. . . Second ly, the films busi ness is growing in an aggressive fashion. The film business is 15% to 20% margin business. We do not know exactly what releases will finally happen in Q3 and Q4 . If we were only in the stable music licensing business , we could have given higher projections . But with the uncertainty of Films and Events business , we will continue maintaining a 3 2% to 33% projection of OIBICD . It is just a mix game and nothing els e.

Varun Arora: Sure. The second que

stion is Vikram regarding the content acquisition cost? Now I understand like during the pandemic there was no content which was coming out, but the last few quarters would y ou say that we can kind of look at last three q uarters the number a s the base on which our content acquisition cost should kind of come going forward since the last few quarters are more normalized quarters in terms o f content coming out?

Vikram Mehra : Sorry Sir I am not clear about your question. Are you saying content c osts w ill go up?

Varun Arora: So during the pandemic there were no movies which were coming out so naturally we were not acquiring new content right b ut the last few quarters we have seen like mo vies are coming out, you are a cquiring content so I am s aying the base that we are seeing in the last two quarters the content acquisition cost that we have seen in the last two quarters? Now would you say that it has reached like the normalized levels? Obviously, they we re at much higher compared to the l ast ye ar levels but the numbers that we are seeing in Q2 and Q1 touched a more normalized content acquisition cost that we should see going forward?

 Vikram Mehr a: No Sir , it will go up because our bigger fil ms, primarily the Hindi ones, have not started coming out yet. We started acquiring bigger Hindi films early this year, immediately after the QIP. And in Hindi films typically there is a lag of 12 -18 mo nths between music partner

finalization and release of the film. So, you will be f inding our bigger Hindi movies coming
from Q4 or Q1 , FY2 4 onwards . Hence, the numbers will be a little higher .
We had given a n earlier guidance that our a im is to pick 30% of all content coming ou t in
the year . Our estimate is that roughly 800cr worth of new content will come out at industry
level . We have also shared our content charging policy . The combinatio n of the above tw o
will give a good idea of where the year will end.
Varun Arora: That is helpful. Thank you so much.
Moderator : Thank you very muc h Sir . We take the next question from the line of Devanshu Sampat
from Yes Securities . Please go-ahead Sir.
Devanshu Sam pat: Good evening. I had a few questions so your artist manageme nt business can this take up a
sizeable chunk of your inv estment go ing forward?
Vikram Mehra : No Sir artist management business requires low investment . Because when we sign an
artist , what we primarily spend on is his /her songs , which we anyway have to invest as part
of our m usic business , we see see artist management busines s as a byproduct of our core
music licensing business . It will neither take large investment s nor become a game changer
in terms of revenue or profitability. It is one of those very es sential things that we need to
protect your core business of licensing.
Devanshu Sampat: So just to understand what all is involved here so if you are signing a new artist right the
marketing cost and the video shoot and every thing that happens is somethin g that will
essentially be done by a label right?
Vikram Mehra : We constantly need artiste s to create new songs an d musi c videos . Typically, we go to 3rd
party artist es, and spend large sums in creating songs with them. Now instead we w ill
discover and sig n new ta lent and invest in creating musi c with him/ her. If the artiste
become big, there is potential u pside in terms of a share of his live performances and brand
endorsement deal s.
Devanshu Sa mpat: Got it. Sir an other question to do with something you m entioned in your open ing comments
right so you spoke about our data analytics capability is i t possible you can help with
 understanding the share of new users and their streaming c ontribution and how they are
growin g versus existing users who have

been aro und say like for a year or so and what is
their contribution and what is that growth coming f rom them?
Vikram Mehra : Please understand the consumption data that we have is at the song level and not at the user
level . Remember the users are owned by Spotify, Sa avn, Wy nk etc and not by us. What we
get on a daily basis is consumption data of our song s across all streaming platform s. On
YouTube we have invest ed in t echnology to t rack daily viewing numbers of all song s
belonging to us and competition. What we don’t know is the end u ser behind the stream or
the view.
Devanshu Sampat: But you will get the mix between the paid subscriber versus …
Vikram Mehra : We get separate data on nu mber of streams coming from free vs paid customers
Devanshu Sampat: Can you give you sense on what is it right now?
Vikram Mehra : So, it is still a free world . Paid subscribers are st ill low but as stated in the past also , we
expect music subscr iption economy to start gr owing in the next 18 to 24 months in India.
The video OTT plat forms ha ve gone through a similar transition in India. Music
subscription has tak en off everywhere e lse in the world. In fact, they are close to 525 to 540
millio n paid subscribers globally. We see the same thing happening in India. It is just a
matter of time now .
Devanshu Sampat: Okay sure Sir. Just another question just to understand how th is works is sup pose a person
who is very famous on YouTube for example for a dance channel, but they use your own
music so how will the split work over here?
Vikram Mehra : Sir if anybody uses any part of our song whether it is the original song or the lyrics of the
song or the music com position in their video, then Saregama has a right to either strike it
down or claim the advertising mo ney flowing to this video
Devanshu Sampa t: Okay so the incentive for the person own ing the c hannel would be some other way out?
Vikram Mehra : A lot of arti sts release cover or remix versions of our popular songs on video sharing a pps
in order to get instant recognition on social media. Their pop ularity then he lps them make
money on the live performance circuit. Eg a new sin ger may create cover version of
Badshah ’s Paani Paani or Kishore Kumar ’s Mere Sapno Ki Rani Kab Aayegi Tu to cut
 through much faster because people already know the song. He th en puts it on YouTube.
Sarega ma makes all advertising money, but the artist may become popular with that song
and get invited to perform at a restaurant or a wedding.

Devanshu Sampat: Then at which point do you start making money from their live performan ces?
Vikram Mehra : That is what we were lacking till now . With Artiste Management verti cal, we will plug in this revenue strea m also
Devanshu Sampat: Sure, Sir and Sir just last any update on t he land bank that is sitting on our books in terms o f value unlocking amortization?
Vikram Mehra : The land bank doesn't take any new investments from our side . Whenever th ere is any update on monetizing the same, we will inform you people.
Devanshu Sampat: I understand but in terms of market value it seems like a sizeable chunk for this, so I was just wondering from tha t angle?
Vikram Mehr a: Its value will be unlocked someday Sir. It will only be good news whenever it comes.
Devanshu Sampat: Okay that is i t from my side. Wishing you all the very best. Thank you.
Mode rator : Thank you very much Si r. We take t he next question f rom the line of Kish an Amarchand Tosniwal from Polar Ventures LLP . Please go-ahead Sir.
Kishan Amarchand T: Congratulations on a good s et of numbers. I have two questions basically? I just wanted t o know the demerger company t hat will hap pen, the segmental revenue shows telev ision and even ad publication so what all will go into that demergered company out of t

hese?
Pankaj Cha turvedi : So it is going to be all the noncore business es of Saregama that gets moved down s o which mean s the non-exclusive distribution of our retail , the publication side as well as some of the investments which were noncore to Saregama so they get to the new resultant company they m ove out.
Kishan Amarchand T: Does that mean n oncore will mean the real est ate part as well w ill go into that?
Pankaj Chaturvedi : No, non-core means the publication side that I just mentioned to you and some of the investments that we were holding , but not the rea l estate.
 Kishan Amarchand T: Okay the second question is when what do you say Carvaan that you have launched the newer version of the Carvaan mobile version is that going to be more margin accretive than the earlier Carvaan version which was the radio kin d of a Carvaan ?
Vikram Mehra : Sir the margi n percentage is similar across a ll the Carvaan varia nts; from the radio Carvaan to mini Carvaan to Carvaan mobile or a Musicbar . This is something we are very particular about . While Carvaan is pri ced at Rs.6000 , the Carvaan mobile is between Rs.2000 and Rs.2500 . So, the absol ute margins on Carvaan Mobile are lowe r. The upside is th at Carvaan Mobile is allowing us to penetrate smaller towns of the country. And as I mentioned earlier , all Carvaan variant s help increase the popularity of o ur music catal ogue. Those older songs again become top of min d and then often other members of the family end up consuming this content on YouTube and OTT also.
Kishan Amarchand T: So, this Carvaa n that you are makin g will also go to th e demerged company?
Vikram Mehra : No Sir the Carvaan remains as part of Saregama . The demerged company will have a non - exclusive right to sell that Carvaan on digital platforms .
Kishan Amarchand T: Is Carvaan profitable bu siness or is it still we are burning cash into it?
Vikram Mehra : Carvaan was profitable in FY18 and FY19. In FY2020 we lost money on Carvaan due to Covid ind uced supply and demand iss ues in Q4. Since then, Carvaan has been a breakeven business . And it will continue to be a breakeven to a low margin business in the immedia te future. The marg ins will impr ove as the sales numbers start going up. But the real upside of Carvaan is the free marketing it offers for our music licensing business .
Kishan Amarchand T: Thank you.
Moderator : Thank you very much Sir . We take the next qu estion from the l ine of Anika Mittal from Invest Research . Please go -ahead Sir.
Anika Mittal: Good evening , Sir. Sir what are the risks do we see in the near term or midterm for our business like any kind of cyber risk to our I P properties and all this?
Vikram Mehra : Actual ly, the great thing a bout IP is even if you steal my song the ow nership still sits with us. So, in that sense it is not a physical product they are still stealing.
Anika Mittal: I was asking from your acting and all this stuff like hackin g of YouTube channels and all these stuff s Sir? What are the int ernal measures we ar e taking in that?
 Vikram Mehra : Its ownership cannot be stolen. What can be stolen is Saregama 's revenue by not taking a license for the song . Now the good part is that pos t 2015, the content consumption has moved primarily to the app world and away from the browser world. What do I mean by that? Up till 2015 to 2016 also many of us used to consume content on our laptops and desktops but we are seeing 2014 -15 as the watershe d moment . Ther e are far greater popul ation of the world w hich now c onsumes content only on their phones and not by typing www.something .com . Now the good part about app world is that it is controlled

primarily by two companies Google and Apple. So, if ther e is any app sitti

ng on a Google
store or an Apple store which is infringing our content , we take the help of Google and
Apple to throw that app out of that store . This allows us to control piracy to a great extent.
We may still ha ve piracy ha ppening in th e smaller towns whereby consumer s go to the
panwala shops and ask side -loading of some of the songs onto their mobile phones. We
believe this problem will eventually go away like it has vanis hed from Mumbai, Delhi,
Benga luru etc
Anika Mittal: Understood Si r and Sir one more thing you were talking about some big movies getting
delayed from Q4 to Q1 next year and you were also saying the other content will fill up the
same so that content will be big enough to set off the same Sir?
Vikram Mehra : Sir it may no t be exact replacement . There are very few albums of the stature of a K aran
Johar film . We will still try maintaining our market share by investing in non -film songs eg.
the recent ti e up with Arijit Singh will help release one very big song in Q4.
Anika Mittal: Understood Sir. That is, it from my side Sir. Congratulations to you and your team Sir.
Moderator : Thank you Sir. We t ake the next question f rom the line of Hima ni Shah from Alchemy .
Please go -ahead Sir.
Himani Shah: Congratulations on a great set of numbers and most of my questions are answered . Just one
question is on the artist management side can we say that since we are signing an agreement
with Arij it Singh for new content that they also guys that we would be managing on the
artist management side?
Vikram Mehra : No. In both the cases , Diljit and Arijit , we are doing specific projects with them which are
long term projects, but we are not managing those a rtists. Our endeavor at this juncture on
artist management is to work with newer artist s.
Himani Shah: Any names which on that you can likely say?

 Vikram Mehra : Himani at the right time we will share .
Himani Shah: Got it. Thank you and congratulations again.
Moderator : Thank you. We take the next question from the line of Ravi Naredi from Naredi
Investments. Please go -ahead Sir.
Ravi Naredi : Vikram I am patiently listening to you and listen to the answers up to mark. Sir how much
money we have debited towards the content charges in Q 2 and H1 ?
Vikram Mehra : Sir I can tell you the total content cha rge in Q2 i s Rs.17 Crores. On t he H1 basis is Rs.34
Crores.
Ravi Naredi: Thank you. As we are bigger in music and main revenue earnings, we may say our bread
and butter comes from music can you tell in longer run say three to five years film will be
also substantial part of earn ing?
Vikram Mehra : Yes Sir. We believe some business es will continue growing now at a 25% year -on-year. But
music business has a huge head start. Last year films and TV business was sitting at Rs.100
Crores while music business was sitting close r to Rs.370 Crores . So, music is far bigger, but
we see films and series also becoming substantial in the days to come.
Ravi Naredi: Right and Sir how 5G will help our business?
Vikram Mehra : How ?
Ravi Naredi: 5G?
Vikram Mehra : Anything t hat a llows consumpti on to go up is beneficial to o ur business . 5G will all ow
better quality audio and vide o to be deli vered to people 's phones and TV sets. Till a couple
of years ago, w e used to watch only DTH and cable TV channels on our TV set . Now many
of us have started watching our Netflix and Amazon and Hotstar on those TVs. Even for
YouTu be, the fastest growing segment now is the smart television . This create s a great
opportunity for large content library owners li ke us to deliver our content on large TV sets,
making them more accessible to 70 year s old n ana nanis also. Already people are glued on
to their devices all th e time. With the speeds offered by 5G, this con sumption may go up
substantially . Which is

great news for the the largest IP owner in India, Saregama.
Ravi Nared i: So, we may assume there will be tailwinds will be for longer time in our business?

 Vikram Mehra : We are very clear about this the good time s have just started . The music industry is very
small in ou r country and has got a very, very lo ng way to go. It 's piracy that had killed the
industry earlier . With companies like us investing heavy in technology , piracy may become
a problem of the past ver y soo n. I think we have serious t ailwinds behind us . The primary
catalyst will be the India n economy one thing we all are agreeing is in the next 10 to 20

years belong to our country . So, there will be money coming in, better device s, and better IP laws protecting right s. Indian judiciary has started taking IP infringement very serio usly, thus prote cting the IP inv estment s, Entrainment IP is also the soft power with which India can go back and influence things at a g lobal level. If America could do it with Hollywood movies , we can do an equally good job with Bollywood movies and music . So, we think everything at this juncture is falling in the right pala ce. The companies who are investing in data s cience, technology and new cont ent are going to do well.

Ravi Naredi: Can we say in the next 10 to 20 years if not for India eve n our company will grow t oo much right?

Vikram Mehra : Sir we have no doubt about that an d have put our bet on it. Technology and Data Science are the pillars on which we will bui ld this growth story. In today's time and age , you cannot decide on a song basis one person 's gut call or on a movie basis the lead actor. Entertainment companies have to invest in data science in a big fashion. Now we are reaching a phase where we can track customer interest on scene -by-scene basis and take corrective actions if possib le. The same thing we ar e doing with mu sic. We track th e drop rates of a song on a per frame basis , giving us valuabl e insights on what increases or reduces engagement . This is used for making the next set of songs better , I think this is a good story waiting to unfold.

Ravi Nare di: Really you had given a very elaborate answer and everything. All the best to y ou and your team and company because it is ou r company too. Thank you very much Sir.

Moderator : Thank you. Ladies and gentlemen, that was the last question for the day. I wou ld now like to hand the conference over to the management for closing comments.

Vikram Mehra : Thank yo u everyone. Thank you for this pat ient listen ing. I am often asked whether the best part of our journey is already over, and we keep statin g that the grow th story has just started. Indian Music industry which was literally a barren land has just started showi ng some off shoots of growth. There is a full tree that needs to get planted - both on the music and video side. In the days to come , more people will watch conten t on smart phones , and

 they will watch more content per day than what they a re doing now . So as a company we will continue investing in IP to get a lion 's share of this growth .

We maintain, as we go forward , our bullish stance on music lice nsing 2 2% to 25% grow th year-on-year on a shor t to medium term basis. We continue with our content investments on film side on Hindi, Tamil, Telugu, Malayalam , Punjabi, some bit of Bengali and on the non - film side on Hindi, Bhojpuri , Gujarati and some othe r languages inclu ding devotional in a big fashion. We continue with a cautious approach on Carvaan . Carvaan is a great marketing tool for our music licensing business. We understand the power of it but we will also ensure that Carvaan remains withing break even to a low margin range . We b elieve in the days to com e even the margin pe

rcentages can go back to FY19 levels . Our fi lms, series and television business are expected to grow at 20% to 25% on a year -on-year basis with a 15% margin . Even t business will b uild up slowly, but it will al ways remain a low margin business, but it is a crucial busines s to have as part of our armory . It not only he lps our music licensing business but also hedges our dependence on advertising revenues. So overall we are happy with Q2 and maintain our bullish stand on the entertainment industry and Saregama 's future both from the topline an d the bottom -line perspec tive in the days to come. Thank you and look forward to talking to you at the e nd of Q3.

Moderator: Thank you. On behalf of ICICI Securities that concludes this confe rence call. Thank you for joining us and you may now disconn ect your lines.

Call: Feb 2023

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Date: 1st February, 2023

The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra – Kurla Complex,
Bandra (East),
Mumbai – 400 051

Symbol: SAREGAMA The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163
Sub: Q3FY23 Earnings Conference Call – Transcript

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q3FY23 Results Conference Call held on Tuesday, 24th January, 2023 at 16:00 hours (IST) for the quarter and nine months ended 31st December, 2022.

The above information is also available on the website of the Company.

Kindly take the above mentioned information on your record.

Thanking you.

Yours faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer

"Saregama India L imited
Q3 FY '23 Earnings Conference Call"
January 24, 202 3

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR – SAREGAMA INDIA LIMITED
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER – SAREGAMA INDIA LIMITED
MR. BL CHANDAK – EXECUTIVE DIRECTOR – SAREGAMA INDIA LIMITED

MR. SAKET SHAH – HEAD OF INVESTOR RELATIONS –
SAREGAMA INDIA LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS – SAREGAMA INDIA LIMITED

MODERATOR : MR. BHUPENDRA TIWARY – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Saregama India Q3 FY '23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that t his conference is b eing recorded. I now hand the conference over to Mr. Bhupendra Tiwary from ICICI Securities. Thank you and over to you, sir.
Bhupendra Tiwary: Good afternoon, everybody. On behalf of ICICI Securities, we welcome you to Q3 FY '23 Results Conference Call of Saregama India Limited. So from the management, we have Mr. Vikram Mehra:, who is Managing Director; Mr. Pankaj Chaturvedi, who's the CFO; Mr. BL Chandak, who's Executive Director; Mr. Saket Shah, Head, Investor Relations; and Mr. Pankaj Kedia, who's Vice President, Investor Relations. So without much ado, I'll just hand over the mic to Vikram. Over to you, Vikram.
Vikram Mehra: Hi. Good evening, everyone. Quarter 3 saw operating revenues of INR 185 crores and PAT of INR 2 crores. That is a year -on-year gro wth of 23% in our revenue and 20% in PAT. So it's been a pretty good quarter. We would once again reiterate and request you to please look at our business always on an annual basis and never evaluate it on a quarterly basis. People often wonder why there should be a seasonality in music - actually, there is. The part of the music business, which is dependent on advertising revenue like YouTube - that fluctuates. Carvaan sales, which are dependent on the festival season too fluctuate over the year.
Also , our policy of recognizing overflows from agreements which have a minimum guaranteed base is such that the overflows are recognized only in the quarter when the money is received by us. So, there i s fluctuation that keeps on happening from quarter -to-quarter. Hence, please look at the number always on an annual basis and not on a quarter -to-quarter basis.
If I look at our numbers on a 9 -month basis and both our revenue and PAT has grown by 36% and34% respectively . This is in continuation to the last year's growth numbers of 31% in operating revenues and 35% in PAT. There's a reason I'm stating and quoting the last year numbers . This is to give you the confidence that the growth that you are seeing is not something which has been happening for only a couple of quarters.
We now have been showing growth on revenue and bottom line for over 16 quarters now on a consistent fashion quarter after quarter. Whether it was during the time of COVID, post COVID, our growth story is continuing. And remember, we have just touched the tip of the iceberg.
750 million people have a smartphone, while only 200 million people are actually using any of the streaming services yet. There are a lot of new customer s who will be coming in and consumption per customer is also expected to go up. On an average, people listen to 67 songs in a month. We believe in all developed countries; this number is closer to 120 songs per month. You will see that kind of growth happening in India, too ., This means the Saregama growth story in the medium to long term is going to remain stable. Also , ours is a diversified business model, which ensures that there's not too much dependence on any one source of revenue, be it

subscription or advertising or license fee or physical . We are quite diversified in that sense and will ensure that we'll be able to maintain our profitability as well .
The music business, which is a combination of both licensing and Carvaan saw its highest quarterly revenue at INR 154 crores. On a 9 -mont

h basis, Music segment grew by 25% year -on-
year to achieve a INR 433 crores revenue. As mentioned, both licensing and Carvaan contributed to this growth.
Let me first start with licensing, which continues its growth number of over 20% year -on-year. This will be the fourth or the fifth year that we have been growing at this rate. We release d multiple film songs across Telugu, Tamil, Malayalam, Bengali, Punjabi and Hindi Languages.

We also released Sanjay Leela Bhansali's first non -film music album Sukoon. Punjabi saw 2 successful non -film songs from Satinder Sartaaj. Bhojpuri language saw 4 massive hits on the non-film side from its number one artist Khesari Lal Yadav . Collectively , they crossed 15 crore s view on Saregama's official Bhojpuri YouTube channel in one quarter.
If we see over the last 9 months, we have taken a new content ch arge, which is inclusive of marketing of INR 50 crores. Just for reference, the same number was INR 30 crores a year back . The strategy of investing in new content is clearly paying off. It's not only allowing us to grow our new content market share but is also giving us huge impetus to our catalog.
Last financial year, we raised INR 750 crores with an explicit mandate to invest this money in new music content, and we are on track. I want to again assure you this money that was raised will be used only and only for music. All the other investments that we are doing – are from our internal accruals. Often asked question is how do we go about picking up new content? I think our biggest edge is the investment that we have done on data mining and building predictive models to decide what content to invest i n.
And also, our longer -term deals, which have happened on the marketing side, is giving enough confidence to our partners that we can market content like nobody else -which is pushing them to work more and more with us. Movie music acquisition deals have been locked across Hindi, Telugu, Tamil and Malayalam languages. You will see some of the movies have been delayed. You will see a lot of them coming hopefully between Mar ch to June timeframe this year.
This includes the highly anticipated next directorial movie of Karan Johar called Rocky Aur Rani Ki Prem Kahani. There is an other Dharma Production called Rola , starring Vicky Kaushal and Ammy Virk. There's one more Vicky Kaushal and Sara Ali movie called Zara Hatke Zara Bachke. There is a Vijay Deverakonda and Samantha film called Kushi. There are 2 Suriya films in Tamil. There's also a Mammootty and a Prithviraj Sukumaran film in Malayalam . These are some of the big titles that I can think of. The ir music has already been acquired by Saregama.
We will continue investing across all Indian languages, both on the film and non -film side. We have already achieved leadership position across a few of the langua ges, and we are at number two in some of the other languages. We expect to be at number one position in the next 12 -18 months across all major languages in India.

Carvaan numbers maintained the growth trajectory. They touched 168 K compared to 141 K last year. Remember, this year, the festival sale was divided between quarter 2 and quarter 3 b ecause of the timing of Diwali. This is unlike last year where the entire festival sales boost c ame in quarter 3. That's why you see the growth numbers between quarter 2 and quarter 3 are different this year compared to last year . This is because a lot of festival sale had been booked in quarter 2 already . If I combine both the quarters, that is quarter 2 and quarter 3, we have sold 324,000 units of Carvaan. And all these numbers are coming only out of customer p ull. There is no advertising backing C arvaan now for over three years.
The latest variant of Carvaan, Carvaan Mobile has

given us a lower price point, which is helping
us penetrate smaller markets. The con of this is that the average realization of our sold Carvaan unit has come down Although, the upside of penetrating smaller markets far outweighs the cons. This means that though the unit sales have gone up substantially compared to last year, the revenue numbers would not have grown ., But it is still a healthy growth compared to last year. There is no marketing push, which is planned for Carvaan even in Q4.
Film, Series and Events vertical touched around INR 100 crores in the first 9 months. It is a matter of great pride for us . It literally means that the revenue has doubled compared to the INR 50 crore s revenue that we wrote in the first 9 months of the last financial year. And most of it is coming on the back of the new vertical that we have created called Live Events. Overal l, Film, Series and Events now constitute 15% of the company revenues.
One of the big advantages of this vertical is giving us a huge edge in music acquisition .This is because of the fact that we can now give breaks to people on live events also means that artists are more forthcoming and more open to selling their stand -alone songs also to us .They see a much deeper relationship possible with Saregama compared to any of our competitors.
But again , remember that Live Events business is a relatively low -margin business. So as the mix keeps changing, it will have its impact on the PBT percentage, though the music PBT percentage remains unaffected .
Yoodlee saw action this quarter, 2 Malayalam and one Punjabi movie got released during this quarter. Prithviraj Sukumaran's movie Kaapa got released in Ma layalam. It opened to great reviews and a good theatrical collection. The movie also got released on Netflix recently and opened at number one trending position and is currently trending in number two across India on Netflix.

Our TV serials that we make and are put up on Sun TV, they continue to do very well in terms of TRPs. We launched a new Tamil serial called Iniya, replacing our existing serial called Roja after 1,300 episodes. Remember, we had launched another serial called Illakkiya in quarter 2, which ha d replaced Chandrslekha , a serial thathad also completed 2,000 episodes .
All the three serials that we have on Sun TV are actually slot leaders, giving us a strong position.

Live Event business saw two Diljit Dosanjh shows in this quarter, both in India. We also premiered our own IP show Disco Dancer in London. This is our first attempt to go out there and create movie -based musicals , which can attract many people in their 40s and 50s . basically people who have a greater spending power . We will use the equity of those movies and get the customers in and enjoy the songs that are part of these musicals. We also intend to record these songs and then monetize the videos of these songs on various platforms like YouTube and Facebook.
The next se ason of Disco Dancer will be happening in the financial year '24. So overall, we are comfortable right now and happy with the way this quarter has progressed. Our mainstream music has done well , and it continues to grow at over 20%. T he Films, Television Serials, Event Business, will always be seasonal in nature, depends on which event is coming in which quarter. But on an overall basis at INR 100 crores, I think it's becoming a substantial chunk of our overall revenues. That will b e all. Thank you. We'll be happy to take questions now.
Moderator: We have a first question from the line of Ankush Agrawal with Surge Capital.
Ankush Agrawal: Firstly, just a clarification. So, our music licensing business has grown at a usual 20% plus rat e for this quarter as well, right?
Vikram Mehra: Yes, it's over 20%. We will be sharing t

he growth numbers, both on Music and Carvaan separately at the end of the financial year. Yes, I'm giving the comfort right now, it is upwards of 20%.
Ankus h Agrawal: So, Vikram what explains our lower PBT growth of just 11%? Like, have we made some kind of losses in the Carvaan business or what explains that?
Vikram Mehra: Mix is changing. Remember, as we people are going further and further, the Live Events, Films and Series is a much lower margin business.
Ankush Agrawal: No, I'm talking about Music segment PBT growth, the segmental -- music segment PBT has grown about 11%.
Vikram Mehra: There also, content charge for the newer content has al so been considered.
Ankush Agrawal: Yes. But on content charge growth for this quarter has been the lowest for last many quarters, like last 2 quarters, we were growing at like triple digital rate, the content charge was g rowing, but now the base is quite increase, right? So, this quarter content charge increased about 35 -odd percent. So just trying to understand the equation over here. Are there is some other costs that have increased on the music business side or something that you want to highlight ?
Vikr am Mehra: No substantial change has happened there. Content charge for Q3FY23 is INR 15.9 crores versus INR 11.5 crores last year. So, the moment I add that much amount of INR 5 crores in the current quarter Music segment number that itself changes the Music segment PBT Growth.

Ankush Agrawal: So, it's largely on the content , is your point of view.
Vikram Mehra: There is no one -off stuff, which is happening here, that is substantial enough. The Carvaan business for us for the last three years, I've been saying this, is a breakeven business. With Carvaan, the only chances of losses are marketing, and we have stopped marketing Carvaan. Rest assure d I'll never come to you saying that our numbers are getting lost because of Carvaan. If we ever want to reinvest in Carvaan, we will inform y ou first.
Moderator: We have next question from the line of Swarnashish Chatterjee with Asterisk Capital.
Swarnashish Chatterjee: My question is, if we say our breakeven is five years, so actually, we invest or acquire a music by INR 100. On average, in th e next five years, we get IN R 100, right? But it should be -- actually, it's right. On the first year, it should be very high, may be INR 40, INR 50. On the fifth year, it will be very low. So, my question is, what is my -- if I acquire a music by INR 100, w hat is my profit in the sixth year or fifth year when the music is not popular anymore?
Vikram Mehra: I just want to clarify --that there is this understanding that music has a life of 1 year and 2 years, and it does very well in the initial days. While I'm in agreement with you that the first year is the highest number, that's why we also take 38% charge -offs also in the f irst year because first year is the highest number for any song. Year 2 falls, which is reality, but after that it starts picking

up once again. So, our typical trajectory is year 1 is the highest, which comes down in year 2 . So, some of the songs in year 3 is further down and year 4 onwards the numbers start going up again . This is because the digital growth, i s higher than the rate at which natural numbers are falling . So that's the reason our catalog or even movies that we've acquired 4 and 5 years ago, their monthly numbers are higher than the previous month. 6his is a general misconception that music typically has a shorter life or today 's music has got a shorter li fe, while catalog music used to have a much longer life. We have seen this with our own content, with our competition 's content who ha d music of late '90s and 2000s.

We are now seeing with a brand -new music of our own , that music, which once get into the playlist or top of mind of any custom

er, if he or she starts singing that song, then that songs stays with them until the day they die . It remains as their favorite song. So for my father , it would be Mukesh and Mohammed R afi singing for Dilip Kumar . For me, the same thing happened with Bachchan and Kishore Kumar. And in current generation, it will be Arijit Singh signing for Ranbir Kapoor and that we think will stay .

Swarnashish Chatterjee: Okay. And sir, I have one another question. Suppose in India, 50% of streaming companies become paid subscribers. So , then our profitability goes up, but then what happens to our breakeven? Because do you think even competition wil l push the acquisition cost also because our profitability has moved up.

Vikram Mehra: So, I stated this, if the streaming platform, which is just one part of our overall revenue mix, the other parts are also equally important. But the day the streaming business turns paid , it will give a huge profit kicker to all of us ., Not just to me, but to my competition also . This means that

payback periods may become shorter. But if the payback periods become shorter, there may be an increase in the content cost.

If we are still able to maintain a discipline of not picking up content with a payback period of greater than 5 years, we are still in the same space. My revenue goes up, maybe my cost also goes up. I still maintain a payback period of 5 years. So that's our guiding principle. We do a combination of film music versus non -film music, Hindi music versus Bhojpuri or Gujarati or Bengali or Telugu or Tamil music. And we do so across languages, because it puts me in a position to balance my investments in each of these languages . This ensure s that on an overall basis, I'm still within 5 -year payback period.

Moderator: We have the next question from the line of Ravi Naredi with Naredi Investment Private Limi ted.

Ravi Naredi: I was asking that the company that we are trying to separate, we had done an EGM, what is the benefit to shareholders of Saregama? And what is the business that company is doing?

Pankaj Chaturvedi: The shareholders of the company have app roved the demerger. The result of the shareholders meeting has also been filed in our peti tion with NCLT in the month of January. We are monitoring this, and the things are on track. The final order should come to us before 31st March.

Vikram Mehra: On the benefit side, it's just about getting our company more sharply focused. Around 5, 6 years ago, we made the first round of changes in Saregama where we got out of all non -core businesses . There were some other investments that were lying out there within Saregama, and some parts of the business, which were not core to what S aregama does. So , to bring more focus withi n Saregama, we decided to hive it off as a separate business so that both businesse s can do justice to their core.

Ravi Naredi: Okay. Sir, second, when we met our QI P, when our fund will be utilized in the company, whatever purpose we raised QI P?

Vikram Mehra: We are constantly looking at opportunities, whereby we can pick up catalogs . But at a price point that is value accretive to all our investors. There's no point picking up large catalogs , if they come , -- at a price point, which ma kes no financial sense for us. The good part is we have the money to close the deal at any time. But we are following a very prudent policy so that we don't end up overpaying just because money is sitting there with us.

Ravi Naredi: Right. That is intelligent thing.

Vikram Mehra: Internally, I can give you this comfort that we are maintaining a very strong audit on the financial investments because this money has to be utilized only and only for music and nothing else. So this money is typically invested in relatively very low risk debt . That way the money is protected and the mo

ment we get opportunities of investing in other businesses, which somewhere are going to help our music business either directly or indirectly, we will move in immediately. We are any time are in dialogue with at least 4 to 5 companies, but the deals must happen at the right valuation.

Ravi Naredi: And Vikram, your new initiatives like Diljit Dosanjh and Disco Dancer, please tell few words for same how they are running revenue -wise in our company in third quarter?

Vikra m Mehra: Sir, you can see the third quarter numbers , where the Live Event is reported along with Films and Televisions. We did around INR 27 crores. I think for Live Events Q1 and Q2 were bigger because we held concerts in US and Canada in those quarte rs, quarter 3 were only India as f ar as Diljit Dosanjh is concerned. Live Events business has got 2 reasons why we're doing it.

One, yes, there is margin, but the margins are very small here. What it does is that when an artist comes to know that not on ly can he sing songs for Saregama, but he can also do Live Concerts with Saregama, then the artist wants to work with the company that much more than he wants to work with the competition.

The competition may be offering only songs and nothing else. That' s our main edge. So multiple artists are now reaching out to us and saying, listen, we want to give you our songs, maybe at a discount, but can you also do something on the live business with us. So , it's just building synergies. For us, it's just a natural extension of our music business. We are very clear on the Live Event side that we will do only and only music related events . We are not going to start holding exhibitions and conferences, that's not the business that we are in. So , if there is a live event happening, it will be mostly IP -related and always connected to music.

Ravi Naredi: And sir, last, my q uestion is revenue growth is 25% in 9 months, do you think such growth possible in future and for how much we get?

Vikram Mehra: I'm not going to run away from the fact that there will be short -term pressure coming here and there in the industry as OTT services move from advertising to subscription . But we are reasonably confident that the quality of our catalog and our new music acquisition will ensure that we will be writing this 22% to 2 5% growth even in the short run and in the medium to the long run. As far as since Events and Live business is concerned, we have been showing that our growth is far higher. In 9 months, we have literally grown 100% there. So, I don't s ee too much of a trouble right now for that business also to grow at 25%.

Moderator: We have next question from Bhupendra Tiwary: with ICICI Securities.

Bhupendra Tiwary: My first question was on the new content. So, you talked about Ranveer Singh movie, I think 2 Vicky Kaushal movie and then Vijay Deverakonda movie and then couple of regional content apart from, I think, the tie -up we have with Arijit and Sanjay Leela Bhansali, one we released on this time around. So now one, I just wanted to understand how the pipeline is of content? I think I believe that the movie pipeline itself was smaller last year in terms of the Hindi movie vis-a-vis the pre -COVID times.

So how is the overall pipeline, I mean, new content pipeline that we see apart from the big names, so I understand that. And has it changed the economics kind of I think in terms of the competitiveness, has it come down in terms of the content acquisition cost? What are you observing there? That was my first question, after which I'll ask the cou ple.

Vikram Mehra: Movie production is back in business . The problems of COVID are long forgotten . Also, increasingly you're seeing movies getting released in theater s rather than going to a digital platform di

rectly . This is good news because any movie that goes to theater s, typically the music of that movie does far better than a movie which is going to the digital platform directly. So , you will have visibility on all the 4 big languages, Tami l, Hindi, Telugu, and Malayalam.

And there are multiple releases lined up both with the bigger stars and the smaller stars, budget movies, smaller budget films. When we acquire music in any particular language, we fol low a portfolio approach, whereby there are some big more expensive but high -profile films that you end up taking and then multiple smaller to middle budget films that we end up taking. The risk factors are greater in smaller films. But if they fire, they fire big time.

Larger budget films typically do well because you pay that much amount of money only and only because there's a big star cast, composer and singers connected to it. So that's how typically this entire planning goes about on the film music side. Hindi film acquisition typically happens anything around 8 to 12, 15 months in advance of the release of the film . That's a stage at which composes are being finalized and singers are being finalized and situations are being finalized and that is the time we come in often , if it's a large budget film. If it's a smaller budget film, then we come in only when the songs are fully ready. On the Tamil and the Telugu side, we end up acquiring music typically 6 to 9 months in advance for very big guys and maybe a month earlier for smaller budgets films. Have I answered your question?

Bhupendra Tiwa ry: Yes. I think most of it. Now the second part of the question was -- I mean, second question was largely on the web series. We had a couple of web series lined up for release -- I mean, under the process. So how are they are lining up? And do we expect a couple of them releasing by FY '24, I mean, what is the timeline ?
Vikram Mehra: Always remember, there always will be a delta between us closing the deal with the platform and handing over the series to them and getting our money and recognizing the revenues, while the platform may take its own time to finally schedule the release of the series, depending on whatever suits them. Our series model is safer , because we typically start work on the series only once we have a mandate from a platform. We are trying to pitch series both on the large scale, as well as the small to medium scale. At the same time, there's a lot of emphasis going on films in regional languages, which is Malayalam, Punjabi, and Marathi, wh ich can first hit the theater and then eventually go to TV and digital platforms.
Bhupendra Tiwary: Sure. So, we had 2 or 3 series, if I'm not wrong, which we were working on, which we had announced, 2 I could remember, web series, I think. Has it been -- I mean, has the shooting and all those things completed or it's under...
Vikram Mehra: So majority of the part is completed here . Unfortunately, our contracts with our platform forbid us to any mention of anything until the time they are not ready to talk about it. So, the film business in that sense is simpler because you decide you want to do a film, within 6 to 9 months a film sh oot is completed. Series business is a longer wait time because scripting itself takes

longer, then production happens and then it's all with the platform to decide when they are ready to announce it.
Bhupendra Tiwary: Sure thing. And the thi rd question, I just wanted -- I mean, I had a doubt, I mean, I saw the presentation. In the streaming partner thing, I couldn't see Gaana. So, I was just wondering, I just wanted -- I mean, are we continuing with -- are we on Gaana or it's just that kind of a thing, just last question.
Vikram Mehra: As a policy we don't talk about individual partner deals. But I had a similar question being asked to me at

the end of quarter 1 on our deal with Meta. And that time also said this, and I'm repeat ing the same thing here. Often, we will have deals going or deals being put off as part of the negotiation process with various partners of ours. Our role as a management team is to ensure that while we are negotiating with the partner, and having -- at times having to take a tough stance of pulling off our content from those platforms, the overall revenues cannot fall. If we are pulling off content from one platform, we need to ensure that - the customer of that platform moves to some other platform and listens to my song.
So if you are fond of listening to our latest Arijit song or Badshah Ka Pani Pani, and if it's not there on platform A, you will go to platform B and listen to it, and we get compensated that way. So in fact, in spi te of the fact that we may not be there on some of the platforms in this quarter, my music revenue has still grown by over 20%.
Moderator: We have next question from the line of Dheeresh Pathak with WhiteOak Capital.
Dheeresh Pathak: A few questions. First is, what percentage of our YouTube views would have an ad load?
Vikram Mehra: See, I cannot comment as specific and particular as that. The YouTube revenue depends on 3 factors. Factor number one, how many views have our videos be en able to generate, the number of videos on which an ad is put and the rate at which ads are coming in. So, the part 2 and part 3 are more in the hands of YouTube than in our hands, they keep o n fluctuating. But overall, we are seeing a healthy growth coming out of YouTube.
Dheeresh Pathak: Because we have some sense that the views you are anyways sharing with us in aggregate on the YouTube platform, and then based on your top client disclosure, we can work out the monetization per view, it is coming out to be much lower because the only thing that can explain is that you have a very low ad load, your content on YouTube. Otherwise, the number is not making sense to me at least and I can take this offline more clarity.
Vikram Mehra: Yes, the rates keep on moving . When we people report the YouTube number data, its reporting data both for YouTube as well as YouTube Shorts , which is a YouTube property, and it's a collective part of that . YouTube Shorts is a property, which is very similar to Instagram. The simplistic way in which you're trying to arrive at the number may not be the right way to do it. I'm happy to clarify more stuff on offline.

Dheeresh Pathak: That was useful. Then in the annual report, there is a breakup of the licensing revenue between

domestic and international. So, what is the bas is on which you define those 2?
Pankaj Chaturvedi : The revenues, which is f rom our cus tomers outside India are classified as International and remaining is domestic.
Dheeresh Pathak: So, the client billing might happen outside India, but it is happening for consumption by users of that platform in India, that would still sh ow up as international, right?
Pankaj Chaturvedi : If the customer is outside India and Company is billing in foreign c urrency, the same would be classified as International Revenue.
Dheeresh Pathak: Okay. So, the international revenue is paid in foreign currency, and that saw a sharp increase as per the annual report last year. The growth when we saw in licensing, a lot of it was from the international revenue. There was not much growth in domestic. So, was there a specific reason for that?
Vikram Mehra: . Some of the biggest boys who are there in this game are international guy s. There are specific deals where there's a huge increase that people saw, and hence you saw this number.
Remember whether it's the audio or video streaming platforms some of the bigger names are international guys
Dheeresh Pathak: Yes. So that's what I'm saying. So hypothetica

lly, let's say if it is YouTube, you get YouTube
consumption is happening by YouTube users in India, but you struck a deal with them at an international level, so you'll classify that as international revenue stream, right?
Vikram Mehra : I'll be able to -- answer your question or underlying doubt because otherwise we go in circles here. I can't disclose beyond a point on the call as it is confidential information. So, if you can tell me what your concerns is, I'll try to address that.
Dheeresh Pathak: Actually, when we saw the increase, the breakup, we saw that a lot of the growth came from international revenue. So, what I'm trying to understand is -- is the bucketing of the revenue based on consumptions of streaming by users based out of India? Or is it just the billing is happening outside India, but users of that st reams are still in India?
Vikram Mehra: Billing. It is nothing to do with consumption . It depends where is the party with whom we have got the commercial deal being signed and where are they based . And whether they are asking the Indian entity or international entity to do the deal.
Dheeresh Pathak: Understood. That makes sense. There is a seasonality in Q2. Is there a reason that some renewals happen, or the overflow based on minimum guarantee gets billed in Q2 that Q2 is typically a higher quarter, a big quarter?
Vikram Mehra: Actually, Q3 is the best quarter we have because of factors . One, that is the festival season and Carvaan sales typically does the best in that quarter . And then YouTube revenues typically peak

at that time because of that m any ads being delivered and rates being higher . Q3 is the highest, then Q2, then Q4, followed by Q1.
Dheeresh Pathak: Okay. One last question. This content charge, this comes across various line items, right? Because when you acquire content on the balance sheet, at least my understanding is it is showing up in 3-line items, one is an intangible, second is in inventory and third is in current assets. So, this content charge that you mentioning is summation of all those new costs which are capitalized and then expensed throu gh the P&L in operating costs, as well as amortization, as well as royalty, right?
Pankaj Chaturvedi: That's correct. So apart from the 3 items on the balance sheet, you also have a marketing cost, which is entirely charged to P&L. That i s also part of the content charge as we have defined in our presentation as well.
Dheeresh Pathak: What you put as intangible versus, what you show in current assets, is it just the genre that regional is put into intangibles and Hindi is put into current assets?
Pankaj Chaturvedi: Money paid as an advance for our content is clubbed under current assets Once it gets released, it moves to intangibles assets . So, it's only t he stage of the content, which determines where it is going to be placed on the balance sheet.
Dheeresh Pathak: But everything will initially move to current assets and then will move into intangibles, is that the way to think about it?
Pankaj Cha turvedi : Yes. That is usually the life cycle of the content .
Dheeresh Pathak: Last annual report, you also put music rights in inventory for the first time. So, is there a specific reason for putting it in inventory, which was not there earlier?
Pankaj Chaturvedi : Yes. So, there are royalty -based deals. The nature of those content acquisition s is different, and we have been accounting those consistently under inventory, and that's the reason you find in all the 3 buckets.
Moderator: The next que stion is from the line of Nitin Sharma: with M.C. Pro Research .
Nitin Sharma: Can you please talk about the ad rev environment around the YouTube. Some sense, has it slowed down or is it at par, what it was in first quarter or so?

Vikram Mehra: So unlike the western part of the

world, we have not seen the advertising scenario as such slowing down on the digital front. I'm not going to just talk only about YouTube. If I look at various properties, we have seen that, as always, quart er 1 was a weak quarter, which is traditionally the weak quarter from an advertising perspective. Both quarter 2 and quarter 3 saw a very, very decent growth on the advertising front . This is a very different narrative from what you will h ear from the television world where the revenue seems to be falling down on

advertising, but not digital. Our experience shows right now that the revenues are still holding steady.

Nitin Sharma: Understood. And 2 for bookkeeping question. So , what led to fal l in the other expenses in this quarter?

Pankaj Chaturvedi: So, it's some of the expenses we had to regroup, reclassify with the revenue. So that's basically a P&L neutral item as it's not impacting P&L.

Nitin Sharma: Okay. So, is it from item already classified as bad debt and then it got r ecovered, something like that?

Pankaj Chaturvedi: We can’t go into specific line item, some of the expenses we had to regroup, reclassify with the revenue which had no impact on the bottom -line.

Nitin Sharma: Understood. And the last question, I see a clothing segment on your website. C an you please talk about this?

Nitin Sharma: There's a clothing segment on your website, I think some T -shirts or catalogs being sold. Can you just talk about it? Is this some promotional activity or a new segment?

Vikram Mehra: You're talking about clothing segment. There are small experiments that are being done right now all times about how to further monetize our IP. Many such experiments always run at a very, very small scale. We typically don't talk about it till the time they don't reach at least some substantial chunk. So, this is one of the multiple experiments being carried out on the merchandising side. When the segment becomes substantial e ither in terms of cost, or hopefully in terms of revenue, then I'll talk about it, it's just too early.

Moderator: We have the next question from the line of Savi with 2Point2 Capital.

Savi: I just had a question on the service business. If I look at the segmental results for 9 months, that has fallen as compared to last year, fallen by quite a bit, whereas the capital employed has increased substantially. So, while the profitability has decreased by more than 50%, the capital employed has almost doubled. So, both the profitability and the return on capital has declined for this segment. Is this -- I mean, how should I read this?

Vikram Mehra: So, for the first part, you should read it this way that fortunately or unfortunately we are combining the Live Events business also. So whatever impact you're seeing is on the Live Event. Live Event is not even a 1-year-old business. It has got its own one -off costs that has been put out here. And hence, you are seeing some profitability being on the lower side on a 9 -month basis, still it is healthy enough business. As far you are talking about the money, which is locked here, there are multiple large projects that have been kick started as we people try to scale up the entire film business, so th at's what's there. You will see many of the films coming out over quarter 4 of current financial year and quarter 1 and quarter 2 of next year.

Savi: So you are obviously monitoring the return on capital in the business because at the end of the day that is important in the long run.

Vikram Mehra: Absolutely, I'm with you right now. So there is -- hopefully next year or maybe a year after that we will start splitting maybe the Event business separately, then you can actually see the actual money loc ked out there on the film side as well as the retur

n that is giving. We have committed to a 15% to 20% margin. That's the only thing I've stated until now on the Films and Series business, and we are holding ourselves to that commitment.

Savi: Okay. And on t he content cost side, where there's obviously a Q -o-Q decline. There's a Y -o-Y increase, but I mean the amount of investments that we are making does not seem to be significant in context of the amount of cash we have. So is it that the competition has inc reased significantly, and we don't want to partake in that and that's why we are staying away from acquiring...

Vikram Mehra: I'll tell you what exactly has happened here. There were 4 big films that were supposed to be released in quarter 3. When we people go out there and plan our calendar of releases, we keep in mind that in any month , there's no point having too many big projects being released in the same language. Unfortunately, on the Hindi side , lot of films have got pushed. Seeing the debacle of some of the larger budget films on the Hindi side, many producers went back to the drawing board to further fine tune their films, which has pushed the release dates of some of our films. They wer e supposed to come out in Q3. Some have now got pushed even beyond quarter 4 to quarter 1 of next year. Just that aberration that you're seeing here . We cannot suddenly decide if 3 films are being planned for a quarter, saying, right now those films are not coming, just put some other replacement in So this is a problem that you are seeing only and only because of Hindi films getting pushed.

Savi: And on the dividend side, I don't know if you can comment on this, but dividend amount seems to be quite substantial. So...

Vikram Mehra: I have no say in this ., Yes, last year also we ended up giving 300% dividend. So the intent is very clear that we want to maintain a track record of being a good dividend paying company.

I'm not running away from all the other commitments I've made to you as a management team member that we are holding ourselves to growth rates of between 22% to 2 5%, both on t he music licensing, as well as films business .

We are holding on to our commitment that the funds raised from QIP will be used only and only for music and nothing else. So I'm agreeing to those revenue numbers also, I'm agreeing to 32% to 33 % OIBCID as well as not touching those funds

Moderator: We have next question from the line of Anika Mittal with NVest Research .

Anika Mittal: Sir, my question is from, again, from dealing with the ear lier participant, like we are seeing the layoff and cost cutting from the organization, right? And cutting on the advertisement cost due

to the rising inflation, I think OTT is spending by the players like Netflix due to lower than expected subscription gr owth, likely to impact our revenue growth. So, if that is the case, so do we have any alternative revenue streams that can compensate us because OTT in film segment and advertisement from YouTube has a major impact on our revenue stream.

Vikram Mehra: You'll be happy to know that majority of our revenue is protected through fixed fee or minimum guarantees. So, any quarterly seasonality or even an annual seasonality can be borne by us very easily. Further, we get a share of advertising revenue and subscription revenue. In lot of cases, there's a licensing fee that w e end up getting. So, we are reasonably protected.

Nobody is completely protected if the market really starts tanking . But we have been quite prudent over the last 2 years when our financial numbers were doing well , and our profitability has been going up.

If yo u see the manp ower expenses as a percentage of revenue it has fallen down. So, we did not go overboard increasing our cost structure just because there was a great time that had come in between, and we maintain that kind

of prudence even today .

Anika Mittal: That's right. And sir, one more thing. You were talking about this Live Event business. So how much revenue we did in fir st 9 months, sir?

Vikram Mehra: Overall between Films, Series and Live Events, we have done close to INR 100 crores in the first 9 months.

Anika Mittal: But the point is, this is a low -margin business. Don't you think the overall ROC will get impacted if this business shall increase its share to the overall mix?

Vikram Mehra: But it's an essential core of the business right now. One, we are in the larger business of entertainment, and not just music. Second, even to protect our music business, we ne ed to be there in these segments. Films is something that every competitor of mine is working on. And you can go and check that almost every Indian player who is into music business is also into the film business.

It gives us a ve ry secure way to secure music of the films because we start getting into the funding of it. Secondly, when we talk to these digital platforms, almost all of them are now licensing both music and films from us together. So, it improve s my negotiation position to a very great extent.

Third ly, as long as these are positive value accretive, I can't grow at a rate beyond 23% to 25% unless I'm ready to take a big hit on my margins . This is because to grow at a rate faster than that, I'll have to acquire music at a very, very high cost, which will have a dent on my bottom line. So, for us, good mix is that to manage our overall growth ambitions, we continue growing music at a 23% to 25% while maintaining our margins . Further , we push for additional growth from other areas, which have a synergy with music and still are positive margin businesses. That's how we look at it.

Anika Mittal: And one more thing sir, you were talking about advertisements are not going right for the TV world, right? So how do you see this thing on our revenue side?
Vikram Mehra: Our dependence on TV advertising is limited. All I can tell you at this juncture is that my TV serials is the only area, which is a smaller part of our business. that we ma ke for Sun TV, where we have some dependence, and we have not seen a fall in quarter 3. But in general, I know in the industry, there has been a substantial fall. The good part about the TV serial business, is that we own the IP. So if there is any fall that we see on television, we are hopefully able to make up for it by putting the same content on YouTube and Facebook.
Anika Mittal: Just a clarification on the digital side, there is not any issue at all from the YouTube advertisement, right?
Vikram Mehra: Sir, I'll say quarter 2 and quarter 3, we have seen a very decent growth in the YouTube revenue.
Anika Mittal: And going forward also, you are not seeing any kind of reduction on digital ad spend?
Vikram Mehra: It's little difficult for me to give those kinds of absolute statements .
Anika Mittal: Based on your conversations with the people associated in the industry, right? So that's why give an idea only.
Vikram Mehra: What we need to do is to protect and shield ourselves from any one single thing. -- If some external industry goes down, it should not affect us too much. If I tell you right now, that if something happens to advertising on YouTube, nothing will change at Saregama, then it wil l be a false statement. All we can do is to protect ourselves contractually, so through minimum guarantees, through fixed fees and to a diversification of the business that we people are in. Just to give you comfort, you were talking about Live Event busi ness. While we keep thinking that economy is in a state that it is in, for a Diljit Dosanjh show that happened in Bombay, we sold 10,000 tickets. For Diljit Dosanjh show that happened in Gurgaon, we've sold over 12,000 ti

ckets. And these are all tickets , which are upwards of 2,000 bucks . So, there is a market sitting here. There's a ticketing revenue also coming to us, there is fixed fee, there is advertising, there is licensing, there is physical. There are multiple things that we people are playing in, which gives us protection.
Anika Mittal: And sir, what's there on the QIP utilization side, can we expect something out of it in the near term?
Vikram Mehra: I think you will prefer that we are delayed . But we do prudent buying rather than overpaying and picking up catalogs, which will not be value accretive to us. So just give us a little more time. I know we are testing your patience but give us a little more time so that we can pick up catalog ues at the right pricing. Until that time I assure you the money is fully protected and not going to be utilized for anything else.

Anika Mittal: And so, you mentioned quarter 3 is basically your best quarter historically, right? And numbers are also showing that. What is the reason for muted growth Q -o-Q? Because it was festive season and all this thing so.
Vikram Mehra: Yes, there is the festival season. Quarter 3 for Carvaan and YouTube typically ends up doing well. Then, there is also the nature of the contracts that we have . Usually, all the overflows come out there in quarter 2 or quarter 3 of the financial year, so it happens. So, there is that kind of a movement that also happens. I think the best way for you to look at us is on a trailing 12 -month basis. That will give you far more comfort.
Anika Mittal: Okay. That's the thing. And where do you see our top line by the end of FY '23? And how big do you expect Q4, considering the significant business you did in Q4 FY '22?
Vikram Mehra: So, sir, as I said right now, traditionally, Q3 is our best quarter. Our attempt, obviously, will be to maximize the revenues in quarter 4. But the variations are not going to be wild variation s Yet traditionally, Q3 is the biggest quarter for us. Let's see which way the quarter goes. But on a long-term basis, I'm holding on to our guidance of music licensing growing between 22% to 25% and Films, Events and Series business on an annual basis, growing at 25%. I think that should give you more comfort than just a quarter part because quarters move here and there.
Moderator: We have next question from the line of Aditya Nahar with Alpna Enterprises. We move on to the next question. Our next question is from the line of Shubham Ajmera, with SOIC Ventures LLP.
Shubham Ajmera Sir, I was going through all our YouTube channels and there one of our main music channels that is Saregama music. There is a degrowth in the number of views on both Q -o-Q, as well as Y-o-Y. So, can you please highlight on it? And, on the new movies lined up for the...

Vikram Mehra: There is no degrowth on YouTube views . So, I can't comment on a specific channel. We have I think over 32 YouTube channels across all languages. Even in Hindi, we have got multiple channels, not just one channel. We have shared our quarterly numbers on YouTube. Overall YouTube numbers consists of , which is channels view s, user-generated content , and YT Shorts . In fact ,44 billion views in Q2 have grown to 53 billion views in Q3.
Shubham Ajmera Sir, I was referring to Saregama music channel.
Vikram Mehra: It's a little unfair to pick up one channel and you think that's a flagship channel, it may not be. There are multiple channels. I'm happy to get into more details here. But overall, YouTube numbers for us have given a very subst antial gro wth in this quarter.
Shubham Ajmera Okay, understood. And on the new movies lined up, so how much movies will be coming up in the next quarter and next Q1?
Vikram Mehra: At this juncture if I go by the release dates, which have been annou nced by the producers. the lin

eup on Hindi side, is Karan Johar's directorial movie Rocky Aur Rani Ki Prem Kahani which

is expected to release in April. If that does, th en the songs will start coming out from the month of March. There is a Vicky Kaushal and Sara Ali Khan movie Zara Hatke Zara Bachke. Again, the dates have been announced for Feb/March as of now. We are still awaiting clarity on if they want to change the date. It's a very common practice in our industry for producers to change dates.
Then there is a Vicky Kaushal, Ammy Virk film called Rola lined up . Then there is an Ajay Devgn film coming called Maidaan. Also , there is a Ronnie Screwwala movie called Pippa . This in fact was planned for '22, then became early '23, now we're hearing it may go to mid '23. Then there is big Telugu film Kushi starring Vijay Deverakonda and Samantha Ruth Specifically naming this because both the se artists are very well known in the Hindi space too. We have Prithviraj Sukumaran's films in Malayalam coming in the Q1 and 2 Sur ya films which will be coming hopefu lly in Q3 of the next financial year.
We also have a Mammootty and an Ajith film, which are locked. Then on the Tamil side, we have a Sivakarthikeyan film and a Dhanush s film, which is locked. So, there's a range of stuff that we people are working in Hindi, Tamil, Telugu and Malayalam, which you will keep on seeing over the next few weeks, months, hopefully in the calendar year '23. We have also learned our lessons. So, we are going to be prepared that if there are a large number of movies getting pushed, then there will be a lot more non -film songs that will keep coming out.
Shubham Ajmera Understood. And on the Mango Music, like the acquisition which we have done last year o f Mango Music, so just wanted to check like, is it started resulting in the financial terms as well?
Vikram Mehra: Yes, it has. We have jumped from literally not being a player in Telugu to a clear number two position in Telugu, whi ch is a combination of some great new music and the Mango catalog ue acquisition.
Shubham Ajmera Understood. And my last question is on the Carvaan business. So, like can you share the product mix in the Carvaan. How much percentage is from the newer mobile versions, which we have launched? And how much is from the older variant per se.
Vikram Mehra: Unfortunately, I'll not be able to share that information. But I've been stating for the last 2 quarters that Carvaan Mobile is playing a substantial enough role . The old Carvaan is a product -- is a 5-year-old product now and has got no marketing support over 3 years now. So it's been a newer products and variants of Carvaan like Carvaan Mini, Carvaan mobile obviously , which is helping us that much more .to sell these many number of units.
Moderator: Ladies and gentlemen that was the last question. And now I'd like to hand the conference back over to Mr. Vikram Mehra: for closing comments. Over to you, sir.
Vikram Mehra: I'll just repeat whatever I said earlier. We maintain our bullish stance on music licensing. We expect a 22% to 25% annual growth over the next 3 to 5 years. T he next 12 -18 months , where we will see the transition of the OTT or the music streaming industry from an ad -based model to a subscription -based model , will have its short -term pressures and things will go topsy turvy .

, But the moment I start looking at an 18 to 36 months or a , 60-month horizon, I see a very stable growth of revenue coming in.
But even during this period of 12 -18 months , we are confident that we will be able to handle these pressures because of the diversified nature of our revenue and an increasing market share in the space of music. We will continue with our aggressive investments, both on film and the

non-film music

side across all the major leading languages of the country. We are on a constant lookout and conversations with multiple companies which are either music catalogs or companies which are connected to the world of m usic -may not be directly holding catalog - but may help us a lot in promoting new music.
We're talking to a multiple such entities and evaluating if any acquisition is possible at a valuation that makes financial sense. We continue with a cautious approach on Carvaan, and the focus will be to continue to manage our margins and not the top line. Carvaan will continue at least to do breakeven. The film , TV series and the events vertica l, I expect it to grow at 20%, 25% growth year -on-year, and we hope to make anything around 15% margin on this business. The events verticals specifically will have its ups and downs on the quarterly side depending on how many events in a quarter have we been able to go into. It will take a couple of years right now before stability that comes in . Itwill be a very low -margin business at least in the first couple of years. We will continue with this because strategically, it helps us with our music acquisition . Overall, I assure all of you once again that we are well protected from the vagaries of advertising revenues going up and down on a quarterly basis. But hopefully, we are well prepped and don't have high cost structure s for us to suffer in case things go dramatically wrong. I'm hopeful right now that we will maintain our profitability and the growth projections, we have given you on a short to me dium term basis. That would be all. Thank you guys, bye -bye.
Bhupendra Tiwary: Thank you very much, sir. Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2023

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CIN: L22213W B1946PLC014346 Email ID : co.sec@saregama.com

Date: 26th May , 2023
The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163
Subject: Q4FY23 Earnings Conference Call – Transcript

Dear Sir/ Madam,

Pursuant to Regulation 3 0 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q 4FY23 Results Conference Call held on Friday , 19th May, 2023 at 16:00 hours (IST) for the Quarter and Financial Year ended 31st March, 2023 .

The above information is also available on the website of the Company.

You are requested to kindly take the afore -mentioned on record and oblige.

Thanking You.

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer

Encl. As above

“Saregama India Limited Q4 FY'23 Earnings
Conference Call ”

May 19, 202 3

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR ,
SAREGAMA INDIA LIMITED .
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL
OFFICER , SAREGAMA INDIA LIMITED .
MR. SAKET SAH – HEAD, INVESTOR RELATIONS ,
SAREGAMA INDIA LIMITED .
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR
RELATIONS , SAREGAMA INDIA LIMITED .
MODERATOR : MR. BHUPENDRA TIWARY – ICICI SECURITIES
LIMITED .

Moderator : Ladies and gentlemen good day and welcome to the Q4 FY'23 Earnings Conference Call of Saregama India Limited hosted by ICICI Securities .

As a reminder, all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorde d.

I now hand the conference over to Mr. Bhupendra Tiwary from ICICI Securities Limited. Thank you, and over to you, sir.

Bhupendra Tiwary : So, welcome everyone . On behalf of ICICI Securities, we welcome you to the Q4 FY'23 and FY'23 Results Conference Call of Saregama India Limited.

From the management we have Mr. Vikram Mehra, who is the Managing Director; Mr. Pankaj Chaturvedi, who is the CFO; Mr. Saket Sah, who is a Head, Investor Relations; and Mr. Pankaj Kedia, who is Vice President, Inv estor Relations.

So, without much ado, I will hand it over to Vikram, who will give the opening remark post which we will take the Q&A. Over to you, Vikram.

Vikram Mehra : Hi, good evening everyone . What an eventful year for us, with the impact of the digi tal revolution along with our content play.

So, FY23 saw operating revenues of Rs. 751 crore and a PAT of Rs. 189 crore . This basically means that on year -on-year basis our revenue has grown by 29%, while PAT has grown by 24%.

In fact, what I am prouder of is that it is not a one -off journey . If you actually see our seven -year journey which we have also shared in our Corporate Presentation , our reve nue has been growing at 23% CAGR for the last seven years now, while our profits have been growing at 59% CAGR.

I have always requested all of you people and I continue requesting, to please look at our numbers always on an annual basis and not on a quarte rly basis. Our business unfortunately cannot be analyzed on a quarterly basis. One, because of the seasonality that plays a very important role here as advertising revenues completely fluctuate depending on the seasonality . And S econd, the accounting treat ment of our overflows which we book whenever the overflow s come in and the nature of advertising and overflows is such , that for us Quarter 3 is the biggest quarter th en it is Quarter 2, th en Quarter 4 and then Quarter 1. So, whenever you are analyzing us, either do on a financial year b asis or a rolling 12-month basis.

Our growth has been great, but I am very confident that we have still just touch ed the tip of the iceberg. The digital consumption in our country is not going to stop. It's going up both in terms of more people joining the bandwagon of buying a smartphone and also people who have a smartphone consuming that much more content on it. Cont ent can be anything, it can be audio,

it can be video, it can even be gaming. Overall, as people get hooked onto this digital economy, they will end up consuming content connected to a company like Saregama.

We are also seeing more and more people getting comfortable with the payment economy that fits behind digital. Five years ago, nobody use d to go out there and pay. Today 's younger generation is getting more and more comfortable to pay for gaming. The good part is if you pay for gaming you are going to b e equally comfortable paying for other audio or video content , which from our perspective looks like a great future where both not just advertising based revenue, but subscription -based revenue may also kick in, improving the profitability of an I P owning company like Saregama. Remember with technology platforms ' fortunes change. For a pure-play content IP company like ours, 'Lag Jaa Gale' song was a superhit 60 years ago also, 30 years ag o also and today also is one of the top songs of the country. And tha t's the beauty of an audio or video IP owning company.

Let me brief you on the status of our demerger scheme which was approved by the shareholders. The current status is that our application for demerger was heard by NCLT on 28th of April. The pronouncement of the order is still pending. Awaiting the final order sanctioning the scheme, our financial results have been prepared without giving the effect of demerger . Once we get the order the scheme will be effective and necessary re visions are going to be made in the financials.

Let me start with the music piece. I think the biggest industry change that I have been talking for couple of years now has started rolling up which is the mo vement of streaming platforms from being a free p latform to a subscription -based platform. We saw three platforms during this year announcing formally that they want to move completely behind a paid wall . which means out of the nine platform s six platforms are going to be now behind the paid wall.

I have repeatedly explained that a song which is heard by a paid subscriber is commercially that much better for us than a song which is heard by a free customer. Globally if we look at it, we are seeing around 589 million people paying for music subscriptio n and listening to music that way. In fact, 67% of music industry revenue actually came from streaming . Just imagine if we are making this much amount of money when paid subscription is yet to take off what will happen on ce it takes off. And the signs are now there.

There are only three platform s that are left who haven't turned paid . I will again warn you that in the short run it will create pressure on all of us. If people go behind a paid wall, you will see the monthly active user base falling in the short run. But on a short to medium term basis, I see far more money being made by all stakeholders inclu ding the IP owners like Saregama. And since we are sitting on the bulk of the music IP I think we will have one of the biggest advantage s that you want to see of subscription -based economy taking off.

The other thing that works well to our advantage is that we have a very strong catalogue from the Southern part of the country - Malayalam, Tamil, Telugu, Kannada. We are seeing traditionally whenever paid subscription has taken off its led more by the South Indian states

first, and then it starts moving more towards the North Indian states. Since we have a larger share of the South Indian languages ' content, we believe we will have a big advantage as India starts moving towards subscription.

Our licensing revenue this year grew by more than 20% for the fifth year in a row and a big driver for this growth ha s been new content acquisition. The thing which almost sound s unbelievable to most people and at times even to us is that if I look at FY '23, 48% of our revenue actually came from music which has been released post -2000. People often call Saregama a catalogue company . I can hardly call it a catalogue company with close to 50% of our revenues flowing from 21st century music.

What makes us even more proud is not just the fact that we are picking up a lot of music in Telugu, Malayalam, Hindi, Bhojpuri, Gujarati, but the fact that we are picking up winners. It's not about just picking up songs that are coming out - that's an eas y thing anybody can do it. It's about being very stringent about how you go about picking up the music. The i nvestment that we people have made in data analytics, predictive modeling and the entire decentralized decision -taking process where one person sit ting in Bombay at the senior level is not taking the decisions. It is the p eople who are locally based and have strong KRAs that can be control led and evaluate d, who are taking the help of the data m

odels which have been created and take decisions This results in allowing us to pick winners and perform far better than any of our competitors.

Why should you believe me what I am saying , it's very easy to claim this , please go out there and check out our Corporate Presentation . We have given data po int after data point in each of the languages showing how our songs are scoring extremely well in all the major charts that are announced by all the streaming platforms and YouTube. So, we have given examples of Spotify charts, we have given examples of Yo uTube numbers, have a look and you will realize that our content selection is really clicking .

In fact, if I look at YouTube alone, 11 of our songs released in 2022 have already crossed 100 million views on our own channel. I am not even talking of our older releases and Kishore Da and Rafi Sahab music is not included here. This is the latest music we are talking about. There is Hindi , Telugu , Punjabi, and Bhojpuri sitting in there .

If you look at the subscriber base of all the channels that Saregama has and similarly for all our competition , we did not have the largest subscriber base on YouTube because we did not own too much video content . In fact, all the content we own pre-2000 is primarily only audio. So, we did not have too much of a play on the video side. Now that we are investing in the newer content which comes along with the video , the subscriber growth rate (not the absolute numbers yet) for all Saregama music channels. is the fastest in the market.

Apart from the work that we people are doing on the way we select music , data analytics, predictive models and decentralized decision -taking process , I think the other big key is the

partnership we have been able to strike with all the major production houses. I have stated in the past, even while the QIP was being done when I was asked a lot that why do we believe we have a chance to win. And I said that one of the big reasons is the old partnerships we ha ve with most of the production houses. We people had procured music from the same production houses when maybe their grandfather or the parents of the current generation were working. And we h ave been paying royalty to them for a very long time. So, there is an innate belief in the fairness with which Saregama deals with the market.

What is the net result? Today, whether it is Dharma , which is Karan Johar 's Production House or Sanjay Leela Bhan sali or Vidhu Vinod Chopra or Mythri which is the producer of the movie Pushpa , all of those people are very comfortable dealing with Saregama and have granted the music of their films to us.

Again, repeating 48% of Saregama's revenue comes from music whic h has been released after 2000, unbelievabl e even for us .

This year saw us taking the leadership position in the new content. And the criteria of leadership is view s generated on YouTube through new content. We are already the number one player right now in Telugu, Malayalam, Bhojpuri, and Gujarati. This year as we people move ahead, we plan to take leadership position in Hindi and Tamil also.

With multiple big musica l films getting released from our side we believe their numbers will swell. If I look at Quarter 1 alone this year, we already released the first big song of the Vijay Devarakonda and Samantha movie 'Kushi' . Also, the first song of Vicky Kaushal and Sara Ali Khan's 'Zara Hatke Zara Bachke' was release d two days ago. We are expecting songs of the Ranveer Singh, -Alia Bhatt Karan Johar movie 'Rocky Aur Rani Ki Prem Kahani ' to release in the month of June. Even if I look at the other languages, this year is go ing to see big releases including Ajay Devgan's 'Maida an', Vicky Kaushal's other movie called 'Rola' and Tamil Superstar Surya's two films . We also have the music of Malayalam Superstar Mohanlal'

s
'Malaikottai Vaaliban ' and Mammootty's 'Bazooka'. There are big movies , all lined up, with scheduled dates. So, you are going to be seeing big numbers. Yes, obviously there has been an immediate impact of that on the financials too, both on the revenue side and the cost side. For that matter if I look at our Quarter 1 FY'24 , our content cost may just be double of what we people paid last year. But you will start seeing the impact of that on the revenue immediately.

This is new content, and we talk a lot about new content. But I also want to share with you the amazing work which has been happening on the catalogue side. Now this is the older content we are talking about. We have shared this year in our Corporate Presentation th e revenue growth that we have seen over the last four year s, in all our catalogue music, basis the decade of their release.

Now why will people go out and listen to the older music ? One, we are promoting older music a lot on platforms like Instagram and YouTube Shorts. We ensure many more influencers who

are very active in this media end up using our songs in every reel that those people are creating. Many of them are paid, many are free, barter deals, all kind of work is going on ensuring that the younger generation keeps on getting exposed to this older music. B ut an even bigger job happening is that we are creating versions of this music which make these older songs even more relevant to the younger crowd.

Now whether it was a 'Mera Dil Yeh Pukare Aaja' which became a huge phenomenon around seven months back or the 'Nadiya Ke Paar' song 'Kaun Disa Mein' which is now a huge phenomenon. These are Lo-fi versions, Trap Mix version, Acoustic versions or Dance Co vers. This new age content which is basis the older content only is being released typically on a zero upfront cost . We ask creator economy to create content for us only on a royalty sharing basis, we typically end up giving 10% royalties to all th ese peop le which is now resulting on some high-quality content coming to us and in large numbers.

We have also opened up a consumer scheme whereby we are inviting every bathroom singer in this country to start sending their own versions of the big Saregama songs, retro songs. And al l these are then uploaded on a special YouTube channel. And whatever money is made by us, we share 10% royalties with them. So, suddenly you have somebody sitting in Meerut or Jabalpur or Ujjain also now getting a chance to sing 'Lag Ja a Gale' or 'Mere Sapno Ki Rani Kab Ayegi Tu', This game is about quantity also. The d ay since they create the cont ent, one, they get

invested in that content and they listen to the content that much more on streaming applications then they create their own version, they tell their friends, families, some of those versions breakout and everybody makes money out of it.
What is the net -net impact? Imagine the music which was created and release d by us in 80s or 90s has also grown by over 19% on revenue perspective in the Financial Year '23. So, this year was 19%, last year was single digit but the fact of life is, these are 40, 50-year-old song s. For last four years, every year we have seen growth in the money that we are making even from our catalogue . So, while we keep on investing in newer content and keep this company ready for 2050 at the same time, we will not let g o of any opportunity to make more money from the catalogue .
One other part I want to inform you is that, whenever we create a new version of a song, take any song, for example, 'Jumma Chumma' , the new song ends up getting a fresh copyright life. So, if the newer song becomes popular that means you are keeping the older song alive through the new songs in that 60-year sound recording copyright life that starts getting included. Publishing Rights are anyway moving right now

on a much longer basis.
So, it is a win-win situation, this entire endeavor of pushing more and more of the catalogue music. And it's not happening by a chance ., We have new content departments within the company ., So there is a Bhojpuri team which is separate, Hindi is separate, Bengali is separate, Gujarati is separate, Tamil is separate, Telugu is separate here so there are people in charge .

Similarly, now we have a full -fledged catalogue team whose only job is to create versions of this and find innovative w ays to go out there and market it.
FY '23 also saw at the industry level a big resolution of an old conflict that we were constantly having with singers . Their association call ed ISRA has been at loggerhead s with music labels about an old conflict. We have thankfully been able to resolve it at the later part of the last financial year. The good part now is that ISRA will not be reaching out to any of the customers now. These customers are our digital customers or a hotel or a wedding which were approach ed earlier by music labels for the sound recording right and by IPRS for the publishing right, both ways we were making money.
Now ISRA was also asking money for the separate rights which was creating some amount of disturbance in the market. And more importantly the two stakeholders who have to work together were working in conflict.
Thankfully, with the blessing of Honorable Minister Piyush Goyalji we have been able to resolve this issue once and for all. Now instead of a conflict , singers work with us. The deal is that they will be paid 25% of all the public performance revenue that we create . What is public performance revenue? The money that we collect from a hotel or from an event or a function or wedding or a concert , 25% of that money is now going to flow to singers. But singers in turn are going to work with us and ensure that t he overall public performance revenue goes up.
So, if the initial month is anything to go by , we are already seeing that the royalty hit that we will end up getting, because of this 25% of public performance revenue going to them , will be more than compens ated by an increase in the public performance revenue.
Anyway, the short -term problem of this royalty payout has been that entire FY '23 royalty payout to singers got booked in Quarter 4. One of the reasons why you will see Quarter 4 margins looking a litt le lower compared to Quarter 3, because the entire royalty payout for the 12 months has happened in a single quarter. But as we go forward, the royalty payments are going to be happening on a quarterly basis.
Does this mean that the overall royalty payout that Saregama talks about between 12% to 15% will go up? Good news is no . As a percentage also, the increase that we people will have because of the royalty payouts for singers , more than gets compensated by the reduction in the royalty that we are paying for the newer content . This is because more and more of new content coming on the regional side is procure d on a one -time payment basis and zero royalty is attributed to them. So, if you look at our numbers also, you will see that Quarter 4 royalt ies have gone up as a percentage because of one-time payment of all the four quarters hitting in a single quarter. But if you see it on an annual level our royalty payouts have come down as a percentage.
My last part in music will be missing if I don't tal k about the play of Artificial Intelligence.
There are various views being taken on how AI is going to be affecting the industry. We want

to be ahead of the curve, we for the last 12 months or so have been building our own understanding and a knowledge ban k on the world of AI. We are working with some of the leading institutions in this space and investing a lot internally

on the relevant manpower so that
we are ahead of the curve.
We are actually pretty excited about the value AI will bring into a content creation company like ours. It can help us with the huge database of songs that we people are sitting on, literally the golden catalogue of music in this country . We are in a great position to allow the AI learning engine to learn on our stuff and help us predict even better as to what kind of music is going to be working in which genre.
We believe our investments which were done on data analytics are helping us today to have a better success rate than any other player in the market. And our investments which are going in the area of Artificial Intelligence are going to help us a lot in the two to three years to come.
Carvaan, our retail business, maintained its growth tr ajectory during the year. On the unit basis it grew by 40% odd to touch a sale of 5.6 lakhs during the year, compare d to the 4 lakh sale that we did last year. It actually helped us write a very small positive margin this year. But I think the more h earten ing part for us is that this is the fourth year in a row that there has been no marketing and still the brand is able to keep on growing up purely basis its own consumer p ull.
Yes, the large contributor of the sales driver this year for Carvaan has been t he Carvaan Mobile which allowed us to grow at a lower price point which also explains why the revenue growth in Carvaan is lower than th e unit sales growth because Carvaan Mobile is coming at a lower price point. But overall, we maintain our positive outlo ok towards Carvaan numbers . We will continue pushing Carvaan in the market here without putting any major marketing efforts behind it.
Remember it's not just the breakeven or a small contribution margin because of which we are in the world of Carvaan. Carv aan helps a lot on the catalogue side. Now there is enough amount of data sitting out there with us which has proved a causal relationship between the songs which are put on Carvaa n and the song which are growing at the fastest rate on the streaming platforms.
Let me clarify when we say we put 5000 songs in a Carvaan, they are not our biggest 5000 songs. Say, there are 5000 Hindi songs from the total 38000 odd songs . So, they do just ice to all the singers whose station has been created or all the composers whose stations ha ve been created within Carvaan. They are not necessarily our Top-5000 songs.
We saw data which is very clearly saying whichever songs we are putting in Carvaan, gr ew the fastest on digital also . We were surprised by this and did a lot of qualitative study here and we came back to the conclusion now that most songs on Carvaan heard , by the middle -aged and the older people are not through earphones or headphones. They use it as a speaker and keep it on during the daytime. There is a lot of passive listening of those great older songs being done also by the younger age group. Many of the songs are liked by that generation a lot, because now

they are in a way force d to listen to that. And they start growing a fascination and a liking for those songs, end up consuming those songs that much more on streaming platforms.
So, Carvaan has been playing this big role for us from catalogue marketing perspective to o. That doesn't mean we will ever allow Carvaan to get into losses. This world of Carvaan that we are in, will always be a breakeven or hopefully , like we saw this year , will have a small contribution margi n.
The Film, Series and E vents vertical touched the highe st ever revenue this year. It crossed Rs. 150 crores in FY '23. Let me talk about each of th ese three verticals in detail. Movie business , started around five to six years ago . has now started delivering steady profits. We have been able to establish our reputation in the market. T

he volume that we have allows us to get all the cost
optimization done. So, both on the cost side, the volume is helping us, on the revenue side since we have no w an established reputation, we are able to ensure a decent margin for ourselves.
This was in fact the first year where the focus moved more on the actual release of our theatrical films. We released two of our Malayalam films and one Punjabi film in the theatre, and we got very good reaction. I am happy to share with y ou that one of our film called 'Agra' -an unreleased film - actually got selected in the Super Prestigious Directors' Fortnight at Cannes' this year. So, my team is sitting out there in Cannes as is half of the Bollywood world where the movie premier is go ing to be happening in the Directors' Fortnight, it's a very big thing. Very few movies end up getting selected at the Cannes' Directors' Fortnight levels. It just shows that the path that we people have chosen in terms of creating good quality commercial cinema is working out.
We plan to scale this business even further next year. But the basic principle remains the same . We are not going to be taking big risks and will work only on those films, regional films where we can secure a large part of our revenue through Digital & TV Rights sale.
Coming to the Web Series business, we finally after working for many years were able to get a

break in the web series business and we have successfully released two of our web series . First is the series calle d 'Hunter' with Suniel Shetty, and the second is the series called 'United Kacche' with Sunil Grover. Both were released on the digital platform s this year. As these were our first series releases, we were not able to get enough breaks on the series side. We have just put our best foot forward which means that we have literally release d these on a cost recovery model basis. We did not keep margin s with ourselves because we wanted to show to the world that we can create high quality content.

I want to give y ou guys comfort that we have not written losses here, but this is literally on a cost basis that th ese two series have gone out. We are very hopeful that for both these series there is a high probability either we get a second season or looking at this ser ies, somebody else may end up giving further number of series across to us . So, it's a good start which has happened

on the series business . In the long run , as the reputation starts building up in series business t oo, we will very comfortably end up making a 15% margin.

The third vertical which was literally given life in this financial year was the Events vertical. We did multiple concerts with Diljit Dosan jh at the global level. Th is was absolutely the first time for us in India, U.S., Canada. And we also launched our musical IP called 'Disco Dancer - The Musical'. I have been saying this for last four quarters now, our events business is where, our films bus iness or new music business or Carvaan business was six to seven years ago. We are in the stage where we are just establishing this business. There will be losses that will be written in the short term on this, but as we people go forward in the 12 to 18 months horizon, we will be able to start writing positive margins. And the leverage th is gives us in our music business anyway is the icing on the cake.

But to give you guys comfort, I want to state something else also which is an internal policy which we will share with you now. While we continue to grow our films series and events vertical, we will be extremely cautious in our approach as we people take it forward. Our internal policy is very clear on it that the total capital allocation, to Film , Series and Events business will never exceed 18% of the capital deployed at any particular time in the company.

So, there are various

checks and balances which are sitting in place out here . Only once we get our comfort, if we ever change this capital allocation policy, we will come back to you people. But at this juncture, we are very confident that we should be able to grow this business vertical at over 25% year -on-year and write - a profit . Films are profitable, series should get profit able as we people expect, it's cost plus only. Events vertical in the next 12 to 18 months will turn positive.

On the last part, which is the Television series world of ours, we retired two of our super successful Tamil serials Both of them had complete d over 1200 episodes each and we replace d them with two new serials called In iya and Ilakkiya . Like it has become a norm here, all the serials end up becoming a slot leader from the word go . Both these serials are doing extremely well on Sun TV and leading t heir respective slots on the Tamil TV content side . And like always we people own the IP of all these serials we are creating for Sun TV .This puts us in the unique position of being the only production house which can go out and claim this.

So, ladies and gentlemen, a great year for us on all the vertical s of our s - music licensing, music retailing, films, events and series . I will be happy to take any questions from your side now .

Moderator : Thank you very much, sir. We will now begin the question -and-answer session. We have the first question from the line of Bala Murali from Oman Investment Advisors. Please go ahead.

Bala Murali : I want to know about this film side business and how many films we are planning to r elease in this financial year ? And are there any films which satellite rights are due and about to be renewed this year?

Vikram Mehra : The kind of films that we will be releasing during the year are listed in our Corporate Presentation. Our focus continues be ing Malayalam and Punjabi only. We are expecting anything between six to eight films to be released during the year, which are all at various stages of production at this moment. All I can share with you philosophically we believe the work of film is in a fashion that most of them gets secured by the TV Rights. I would not be able to share specific dat a about which films rights have been sold or not. Films business is a ~15% margin after charging off full costs.

Bala Murali : I am asking about that already the content of films which you have, any films satellite rights due in the current year or coming year, so that's what I am asking?

Vikram Mehra : Of the first set of movies that were put on the digital platform s , the rights of couple of movies that came out o f the digital platforms have moved to another digital platform. That's all I am at a liberty to say. So, the second round of monetization o f some of our earliest films have just started. As you know the TV Rights, the deals typically happen f or a much longer duration , so none of our movies have come out of that yet. Remember our film business is only a five-year-old business.

Bala Murali : And lastly on the margin side what would be the projections for this current financial year, how much we can expect ?

Vikram Mehra : On to our adjusted EBITDA percentage of 3 2 to 33 . Don't look at this number on a quarterly basis. On an annual basis, adjusted EBITDA, we have been stating this is in the range of 32% to 33% and we stick to that.

Moderator : Thank you. We have the next question from the line of Bhupendra Tiwary from ICICI Securities. Please go ahead.

Bhupendra Tiwary : So, I had two questions, the first one is on, if we look at the guidance part, I believe that we have given earlier, and I believe it's kind of prevail that we are looking at 20% to 25% growth in the licensing business going forward also. But the fact is that we have a strong new content releases this year. So, does tha

t change our stance on the guidance of course the long term and medium -term kind of visibility is 20% to 25%. But does that change that course for FY'24?

Vikram Mehra : No, it does not . We will hold on to these numbers only . Please understand the way our deals are also structured; you don't get the impact of a new content release overnight. If you are in a fix ed fee deal with somebody, say with short format apps or TV channels, you don't get the impact immediately, and you will have to wait for the one-year cycle to get over before you start seeing the upside on the revenue part. On platforms like YouTube, you see the impact immediately. So, we will hold on to this number of 22% to 25% only at this moment.

Bhupendra Tiwary : Now the second question is you alluded to the fact that six out of the nine streaming platforms have turned into paid format . So, just wa nted to understand what is our kind of revenues, I

understand its low but what's the kind of percentage there in terms of subscription part. And how much can it go over the next three to five years, I am not talking about the one year. But what do you visu alize it going forward if this is the trend going ahead, I mean.

Vikram Mehra : I will explain the math to you again and you form the judgment. If it's a free customer of any OTT streaming application who is listening to the latest Arijit song, on an averag e we get paid 10 paisa, on the nine platforms. Assume you are a paid customer of any of these platforms and suppose you paid Rs. 100 as your monthly charge to that platform because you are a paid customer who does not want to listen to advertis ements ., then the deals are this way that whatever you have paid , which is Rs. 100, 50% of that mone y is going to be earmarked as what they call content pool. So, in Rs. 100, 50 bucks become s content pool. This will be divided equally amongst all the songs that you heard during the month.

The average customer listens to around 66 songs . Suppose you heard 100 songs in the month which means every song will be worth 50 paisa. Now assume India is not a Rs. 100 per month economy, it may be a Rs. 50 per month economy, possibl y. In that case every song becomes equal to 25 paisa. Now you can do your math, how big a jump i t's going to be as streaming services keep on moving towards pay .

There will be pa in in the very short run as people move from free to subscription model , because free to pay can only happen if you start turning off the tap of free. So free usage will start to fall down and pay will start building up . But as I have shared in my Corporat e Presentation , it was a very interesting graph of how the paid subscribers based globally has moved over the last eight to 10 years. It shows steady numbers in which paid starts moving up once a platform decide s that enough of free, we want to move towar ds pay. The good news is , in India , the piracy incident s in the larger towns have fallen dramatically so the consumer base of the streaming platforms in Bombay, Delhi, Calcutta, Bangalore, Jaipur and Ahmedabad start saying, "I want to turn into a paid customer if you come at a reasonable fee . I have anything between Rs. 50 to Rs. 100 per month. " There will be many peopl e who will start moving towards the pa id model .

Bhupen dra Tiwary : And in terms of margin when we say about will maintain the EBITDA before content charge of 32%. So, now the thing is I just wanted to clarify this year we will also see big content charges hitting into the balance sheet. I understand we look at the steady state is without content charge how is the margins, but is it fair to assume that this year while the revenue growth will also be reported kind of EBITDA might look lower because of the con tent charge?

Vikram Mehra : Content charge comes below the adjusted EBITDA.

Bhupendra Tiwary : So, that's w

hy I am saying so I understand the EBITDA before content charge guidance, but for below part this year might look because the content charge is hitting high.

Vikram Mehra : See the whole part is, if the incremental revenue given by the new content is lower than the charge connected to that new content then you are right . So, let's talk about absolute numbers

not percentages here. But if the revenue matches and our endeavor will be right now to go back and at least do a revenue matching kind of a part. But th e delta is not going to be this way or that way, delta is not going to be very massive, it will be a very marginal delta . So, we are not going to come and tell you right now that our PBT has fallen , just because we took a massive charge.
Bhupenra Tiwary : One last question if I can just squeeze in. So, we haven't utilized large , in fact almost most of the part of the things that we raised as QIP what are the kind of acquisition, are there acquisitions or the kind of content thing that we are looking to kind of spend on for the money that we kind of raised?
Vikram Mehra : First, let me acknowledge that we have not been able to pick catalogue s primarily because they were coming at a valuation which was not making sense. We believe that was not value accretive . Just because we had the money did not mean we should go and pick up catalogue s at any price at which they were available. In fact, there is no catalogue deal that has happened anywhere in the market apart from the one single deal that we had done.
We are also no w revising the model, earlier our entire thought process was that we will just go and pick up catalogue s. Now we are also looking at picking up minority stakes , moving to an absolute majority in regional music companies allowing the regional label to run with the company for next two, three, five years. So, we come with the minority now, we help them out and then pick up the majority or an absolute number in the next three to five years. So, that's another model we are looking at. And I am hopeful that we will be able to go back and strike deals. But one thing I am again assuring you just because the money is sitting with us, we are not going to pick up catalogue at bizarre prices.
Moderator : Thank you. The next question is from the line of Dhruv Rathod from Solidarity Investment Managers. Please go ahead.
Dhruv Rathod : Actually, I had a few questions as the telecom companies focus on the ARPU growth, right. And they will be taking mobile data prices up. So, do you see th at impacting our music label business, if audio or video streaming would drop?
Vikram Mehra : Again, you are asking me to do crystal ball gazing . If you ask a pure financial part , that if the prices double tomorrow , (which I see very unlikely), will the consumption come down ? , Look the consumption should come down. But I am going to counter it with a cultural change that you are seeing in the country. If for five minutes I tell you that I want to pause this call, almost 70% to 80% of everybody on this phone call right now is going to take out their mobile phone. Even if nobody has sent them a message on WhatsApp they will still take out their mobile phone and they will try to kill their time by watching something, if nothing else th an an Instagram fee d.
We as Indians don't know what to do even with two minutes you are free with us, apart from taking out o ur phone and consuming something. And it's not just the upper strata of society .
Next time we go for a morning walk, or an evening walk please look at every autowala, taxiwala,

who is waiting there you will find them on their phones and they are not gaming, they are watching video or listening to music.
In that kind of a world , it looks very unlikely that just because the data

rates go up marginally
that the consumption is going to fall in a dramatic fashion. Also, you just see what's happening on the television part . There are 22 million connected televisions which are active on a monthly basis now. I am an ex-Tata Sky person and I never imagine d that connected television is going to become a way of life for people like us. So, that's your upper strata of society , the lower strata of society are going to continue watching everything on the mobile phone. So, with 10%, 20%, 30% increase in the data rate, I don't think it's going to impact the content consumption at all.
Dhruv Rathod : And the second question was around as like we know interest rates have been rising globally and startups are seeing challenges in raising equity funding at that point. So, are we seeing any slowdown in YouTube ad revenues because of this?
Vikram Mehra : Actually, that's a funny part we saw a slowdown last year for two qu arters , which was when the startup revenues w ere coming down. But they got more than compensated by the FMCG increase, durable s increase, and services increase. So, we wouldn't have been able to write right over 23% increase in our music licensing revenue if YouTube numbers ha d fallen down .
YouTube revenue which is from music and even my TV serial business is dependent on advertising, we have not seen a slowdown honestly only startup money is not there.
Dhruv Rathod : Lastly what is the share of music label revenues from YouTube in FY'23?

Vikram Mehra : We don't give vertical wise, but if I look at all the three verticals of digital, which is music streaming, video streaming and short format apps they together for us are anything between 70% to 75%.

Moderator : Thank you. The next question is from the li ne of CA Garvit Goyal from Nvest Research. Please go ahead.

CA Garvit Goyal :

So, the point here is on despite having a significant presence in industry and good management experience , why we are not able to utilize the capital in efficient manner. Similar thing that we have yet to decide with what to do with that Rs. 750 crore of fund raised that even after one and half years . So, means we raised it to add some value for the shareholders and since last one and a half year we did not make any material annou ncements, means I am not understanding that there was a plan at that time there should having some progress on that , I think it's wrong for shareholders , company raising fund citing that we don't want to lose on the opportunity. And those opportun ities disappear even after one and half years.

So, please throw some light on exactly what is happening, and we are actually lacking particularly focusing on that QIP utilizations ? And this Film segment as well, that is ultimately that is deteriorating our bottom -line.

Vikram Mehra : I repeated this, and Bhupendra ask ed me the same question. I am not going to run away from the fact that apart from one catalogue we have not been able to buy any other music catalogue out in the market because they were coming at multiple s that would have hurt the shareholder valuation right now for Saregama as a company. It did not make sense to pay those kinds of multiples . The negotiation position becomes at times a little difficult when the other party knows that you are under pressure to go and utilize your funds. They think they can get away with higher prices and did not make financial sense to us.

So, I acknowledge it, accept it that we have not been able to deploy funds at the rate that we would have like d to . How soever, tempting it may be for us we w ill not utilize these funds for any vertical apart from music. These funds were not picked up for my retail business or films business or events business, which are all getting fun ded right now out of the internal accruals itself. We will keep th ese funds and look at va

rious aspects on the music side alone, saying how do I use these funds in ways in which it can help the music business to grow.

I am reasonably hopeful this year you will see under the new structure that we are ready to work with, whereby we are ready to come as a minority player and then give a chance to the owner of that company to build value, in that company and then buyout absolute majority in time. Under those models we should have some successful deals happening this year.

CA Garvit Goyal : And on product mix side so basically our product mix is changing like film and publication, have contributed approx. 18% to our revenues in FY'22 now it is I think 23% ar ound. So, but these segments cumulatively doing only 2% to 3% of whatever revenues they are generating so my question is, is it going to be in the same way for us going forward or are we going to improve it before if the station doesn't change, then we wil l see further decline in our ROCE s?.

Vikram Mehra: Again , as announced, the first publishing business has already been announced is being demerged out of the company. So, I did speak about it in my opening comments that we are just awaiting the final go ahead from NCLT and the publishing business gets demerged as part of a demerged entity. So, that will not be there with us.

Regarding the other two businesses, the nature of all the business is not going to be like music business but we want to be there in other businesses also be cause they are symbiotic businesses to music business. Our films business will remain a 15% to 20% margin business, but the good part is we are not allocating more than 18% of our total capital out there, at any particular time for the film business. Most of our money will be allocated only to the music business, which is the highest margin business.

CA Garvit Goyal : So, can't we consider deme rging this film segment as well ?

Vikram Mehra: It add s a lot of value to our music business, it's not just us who has got the films business, all our competitors, if you check out all the other music labels that are there, I don't want to take their names but if you look at who were the Top 3 or Top 4 music labels in the country all of them have got a film business. It gives you a huge edge in the music business if you also control the films.

CA Garvit Goyal : And you mentioned huge cost are coming in our P& L this particular year and incremental revenue is also likely to match th ose costs. So, overall, this year likely to be EPS accretive for

the shareholders or we can say it can be a muted one?
Vikram Mehra: The only future numbers that we are giving here is music licensing revenue should grow anything between 22% to 25% , Films, Series, Events business will be growing around 25% during the year. Events business will remain under pressure, but the quantum is not going to be that big. Carvaan business wi ll remain between a breakeven to a very small margin business. Our adjusted EBITDA for the company should be anything between 32% to 33%.
CA Garvit Goyal: And last one is, basically we did QIP and since th en amount was invested in Mutual Funds , so these a re the debt oriented mutual funds or equity oriented mutual funds?
Vikram Mehra: Debt only , our bigger criteria is to secure the capital.
Moderator : Thank you. The next question from the line of Ravi Kumar Naredi from Naredi Investment Pvt. Ltd. Please go ahead.
Ravi Kumar Naredi : My question and my concern is that when we raise fund from QIP our market cap is not rising, please use this fund so fast so we may get suitable return from that investment.
Vikram Mehra: Done sir, that’s my biggest KRA also, but I will again say that it doesn’t mean that I will buy it at any rates, that’s a very wrong way and a short -term way of looking at it.
Ravi Kumar Naredi : I understand but whatever planning y

ou would have done for the QIP, how to reinvest, you need to revis it it?
Vikram Mehra: The couple of things that we are looking at right now are the valuation which just went through the roof at that particular time and was not making sense for us to go by. The whole pa rt is that , can I go out there and pick something up at a multiple which is slightly lower than ours or be in a position to increase the revenue that much that I can make more money out of it, only then it is value accretive to the shareholder otherwise it doesn’t make any sense. But you will see progress happening on that. If you ask me what’s the only thing that keeps me awake at night, this is the one.
Ravi Kumar Naredi : What is the policy to charge content cost from P&L account quarterly basis or yearly basis?

Vikram Mehra: On a monthly basis, not quarterly.
Ravi Kumar Naredi : How much cost we charge?
Vikram Mehra: So, right now the entire amortization is happening over a period of 10 years. Marketing gets charged of f immediately 100% in the month of release itself . The content cost gets charged off over a period of 10 years and it’s not a straight line. We take the biggest hit in year one and then year two and then it’s a flat straight line. And on the films we are charging off the entire cost of the film in year one itself.
Ravi Kumar Naredi : And since the debtors have risen too much, can I get the bifurcation more than six months out of that figure?
Vikram Mehra: So, we will share this information but at this juncture there is no reason to believe for us that there will be any bad debts. .
Ravi Kumar Naredi : And last point, music right cost is rising too much due to high competition, so how you are dealing with this situation and what is in your mind ?
Vikram Mehra: Ravi, I can’t tell you how I am managing it, but the financial results are showing . On YouTube if you go out there and see all India trending charts, YouTube publishes this on a daily basis, Top 30 songs in the country . Out of trending Top 30 songs in the country , ours are at any time between 7 to 9,. Right now, I am sitting on 7 songs . Three days before there were 9 songs, because we are picking up content, that content is clicking in a very big fashion . And we are still maintaining our profitability.
Moderator : Thank you. The next question is fr om the line of Bala Murali from Oman Investment Advisors. Please go ahead.
Bala Murali : Regarding platforms, so you said that most of the platforms which our songs are streaming are becoming paid subscription ?
Vikram Mehra: First, most is a very dangerous word to use. Three of the platforms announced that they are turning paid. Two of them have turned paid. Third has shown an intent to turn pay but the Top 3 platforms are still on the free side. These are platform #4, #5, #6. So, the Top 3 platforms are still offering free service, now please ask me your question.
Bala Murali : And more thing regarding this Mango Music acquisition, I observed that still songs are playing on their channel. That monetization is coming to Saregama or some part of that monetiza tion will go to Mango Music also?
Vikram Mehra: All I can tell you right now the song that we people have gone out there and picked up from their side, if the IP belongs to us often we allow the song to stay out there on somebody else’s

YouTube channel als o and we claim it 100%. This happens very often, I can't respond to Mango specific to you, but if the IP belongs to us YouTube ensures rights now a 100% of the advertising flows to us.

Moderator : Thank you. The next question is from the line of Devanshu Sampat from Avendus Wealth. Please go ahead.

Devanshu Sampat : Can you just give a sense of how the valuations of music content is levelized or changed over the last one

to one and a half year, because I mean situation was very different when we ra ised money. So, has the situation eased a bit, this is why we are okay to deploy little to the minority stake or we are still far away from the comfort level ?

Vikram Mehra: Sorry I am not clear about your question, how are the rights of new music pricing --?

Devanshu Sampat : I am saying the valuations of these labels and music content that you are not comfortable with right now to deploy money?

Vikram Mehra: Yes, so more than easing out see the moment there is a structural change that we are ready to do, wh ere we are telling the label that you may be selling it; you may believe you are selling it at a lower price now, but you have a chance to use these funds to make your company big and sell the majority of the stake may be at a much better valuation later. That model is something that a lot of people are appreciating and understand ing. So, I would like to believe that some of the people will agree . This is just the catalogue part. There are all kinds of companies which are there on the music side, where we can go out there and get into acquisition deals, which will help overall the space of this music world for us. There is content acquisition and there is this content market ing, both the parts are very important and increasingly we are seeing a large amount of our content acquisition money actually going towards our marketing side. So, we are looking at all the possibilities now. We are just widening the scope, the only cond itions that we people work on is it has to be connected to the world of music for us and second it has to be shareholder value accretive.

Devanshu Sampat : And can you give me a sense of how your Top 5 or Top 10 songs contributes , the new songs that's obvi ously I believe would be adding to your top -line every year. So, is there like a very high concentration that happens specially with the new songs that come out, is there some idea you can give?

Vikram Mehra: All I can tell you right now is our new songs a re doing very well and you can check out my corporate presentation where we have shared raw data.

Devanshu Sampat : No, I have seen two-decade gap over here, I am talking about something specific which really people are listening to, let's say rel eased in the last three to six months that would be helpful?

Vikram Mehra: No, but those songs that I have shared there, so are you asking me the actual revenue or are you asking me which songs have done well?

Devanshu Sampat : No, I am asking you the reven ue that comes from the Top 10.

Vikram Mehra: I am in this market right now, if I start sharing every song revenue that I am making how will I survive and do my business dealings . So, I am telling you now that what percentage of my overall revenue is comin g from new content, . How is my catalogue growing by which you can arrive how my new content is growing - you have got that number also. I am giving you how many new songs I released and how many of those songs are sitting in the top charts of the country, which are Spotify charts. So, I have given you lots of information at this juncture for you to form an opinion of the quality of music that we people are hearing.

Devanshu Sampat : And last question, do you have any sense on the growth of the user base how it has changed post the streaming platforms once they start charging, once they move to that paid model, do you have any sense, can you give a sense of how the numbers have changed?

Vikram Mehra: I can just hazard a guess on the profile of the customer . Obviously the urban customer, that are slightly better off and more educated is moving to pay subscription faster. You have people in their 20s who move to paid subscription faster than people in their teens or people in their 40s. You have South Indian s tates that move to paid subs

cription faster than you have the North Indian states. So, those level s of broad definitions are there, but overall, we know when the switch happens from somebody allowing all the content available freely versus saying listen you need to pay, there will be an immediate drop that happens and then it starts building up once again. The platform s that have taken a call they are moving towards paid, they are going through that kind of a transitional journey.

Moderator : Thank you. Ladies and gentlemen this will be the last question for today, which is from the line of Shubham Ajmera from SOIC Ventures LLP. Please go ahead.

Shubham Ajmera : I just wanted to know about the potential impact on our business in the event of online streaming platform facing financial difficultly or going bankrupt, because of these changes or something

like, since they are moving to the fully paid subs cription model now?
Vikram Mehra: If a particular platform goes out there and shut s shop, or is in financial distress, is not able to go out and invest, whatever the reason maybe the customer will not stop listening to music they will move to whichever pla tform that's offering it. We went through this part right in our last financial year. A couple of platforms were having issues in terms of going paid and not having the monies, you have not seen the revenues falling down. We just released a Vicky Kaushal song sung by Arijit two days ago, and that song has already clocked numbers in lakhs on a daily basis. If the customer does not get it on one platform he will kill that platform go the second platform. So, we don't see too much stress happening out here i f couple of platform s shut down.

Moderator : Thank you. As that was the last question for today, with that we conclude today's conference call. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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Date : 4th August , 2023

The Manager,
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National Stock Exchange of India Limited
Exchange Plaza, C -1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: SAREGAMA
The General Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163

Subject: Q1FY24 Earnings Conference Call – Transcript

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q 1FY24 Results Conference Call held on Friday, 28th July, 2023 at 15:00 hours (IST) for the q uarter ended 3 0th June , 2023.
This inform ation is available on the website of the company www.saregama.com .
You are requested to kindly take the afore- mentioned on record and oblige .

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer
Encl: As above

“Saregama India Limited
Q1 FY ’2 4 Earnings Conference Call ”
July 28 , 2023

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR – SAREGAMA INDIA LIMITED
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER – SAREGAMA INDIA LIMITED
MR. SAKET SAH – HEAD OF INVESTOR RELATIONS – SAREGAMA INDIA LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT OF INVESTOR RELATIONS – SAREGAMA INDIA LIMITED

MODERATOR : MR. ABHISEK BANERJEE – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Saregama India Limited conference call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to a sk questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conferenc e over to Mr. Abhisek Banerjee. Thank you and over to you, sir .
Abhisek Banerjee: Hello, everyone. A warm welcome to you to the Q1 FY '24 results conference call of Saregama India Limited. On behalf of ICICI Securities, I would like to thank the management for giving us this opportunity.
Today, representing the management, we have Mr. Vikram Mehra, Managing Director; Mr. Pankaj Chaturvedi, CFO; Mr. Saket Sah, Head of Investor Relations; and Mr. Pankaj Kedia, Vice President of Investor Relations.
I will now hand over the call to Mr. Vikram Mehra for his opening comments. Over to you, sir..
Vikram Mehra: Thank you, and good afternoon to everyone. The biggest event of the last quarter was the approval from NCLT for the demerger of Digidrive Distributors Limited . This new company now has the digital distribution mandate on a nonexclusive basis for the Carvaan range of products , Open Media's publication business and Saregama's other noncore assets. We are in the process of getting this new company listed on the S tock Exchanges .
The shareholders of Saregama will get one share of Digidrive for every five shares of Saregama held by them and the record date for the same was 27 July 2023. We expect the listing to be done somewhere in the last week of August '23.
The quarter saw operating revenue of INR 163 crores and a PBT of INR 59 crores. In our presentation, we have again shared the performance of the company over the last 13 quarters, just to show you the cyclical trend that we have seen in Saregama all throughout, where Q1 is the lowest quarter and Q3 is the highest quarter . The same trend is continuing year after year after year. And we hope that we will further build up on the quarter 1 number in quarter 2 and quarter 3.
If we look at the quarter numbers on a ye ar-on-year basis, the revenue appear s on the flattish side, but it hides more than it tells. It's the events business, which is extremely cyclical and even t dependent , where last year we had a large number of Diljit Dosanjh concerts that were scheduled in U.S. and Canada in the first quarter of the year, which was not the case this year. This year, in fact, we have Australia concerts being scheduled in the later part of the year. So the Q1 number of events, which were there in the last financial year were n ot there this year. Otherwise, if you look at the music business, there was a pretty healthy growth of 17% in Q1 too.

The other part that I want to share upfront is that the company is in dialogue to settle a very old contingent liability, which is presently under litigation. Discussions with the party are in pretty advanced stage. And based on the conservative policy that we follow, we have provided for an estimated settleme nt amount in our books during Q1. This is the only reason why there has been an increase in the other expenses in the P&L. And this ha s absolutely nothing to do with the ongoing business operations of the company. This is a very old legal case that's going on.
The big story in the music business for us in this quarter is achieving the leadership position in the Hindi music segment . While last year, we were able to get into a leadership position on Telugu, Malayalam, Bhojpuri and Gujarati, Hindi was still s ome time far away because most of ou

r releases have got postponed to financial year '23, '24. Two of them finally got released in Q1, with few songs beings released now.
So in Q1, the biggest hit s of the country at an all -India level have been the 2 songs of Zara Hatke Zara Bachke, a Vicky Kaushal, Sara Ali Khan film for which the music was given by Sachin - Jigar. The song “Tere Vaaste” was there at the number 1 position on every possible chart in India, whether it's Spotify or it's Airtel Wynk. In fact, o n YouTube, it was a global number 1 music video for a very, very long time. The songs are also rating at number 1 on various radio stations, whether it's in terms of number of times songs are played or the local countdowns, which is presented by a company l ike Mirchi. Even on Shazam, it was emerging as the top song.

So the music has done very well for us. It was immediately followed by Rocky Aur Rani Ki Prem Kahani . One song got released at the end of the last quarter and did very, very well -- it is an Ari jit Singh song.
In Telugu, we had another postponed movie called Kushi finally releasing its first song. Again, the music is super hit and the good part is that not just the Telugu version , but the Tamil and the Hindi versions have also done very well for us.
For a company which wants to establish a leadership position at an all -India level, it is a very important and a crucial step for us that in Hindi also, on an overall basis, we will be able prove that we are number 1 in terms of listenership share. I am glad to share that if you look at an all - India level for the full quarter April to June , new content released during the quarter and the listenership /viewership of that content, we have got a clear market leadership at this juncture at an all -India lev el.
Even in Malayalam, we got a massive hit in the form of , a movie called Romancham. Songs were very well received , which allowed us to continue with the leadership position in Malayalam. If I look at the next quarter, which is Q2, the going looks pretty good. Rocky Aur Rani Ki Prem Kahani 's, next lineup of songs have come out, all doing very, very well. Case in point is a song called " What Jhumka ", again dominating most of the charts in the country and abroad. With the movie getting released today, we be lieve that the traction of the songs is going to become even bigger as we go ahead.

We also h ave Kushi 's other songs coming out. We have 2 big original songs in Hindi coming out sung by Arijit and Badshah. So we have a pretty decent lineup in front of us for Q2. And if I look at Q3, Q4, the second half of the year, which is always bigger from the entertainment industry perspective, we have big movies coming up. In Tamil we have Captain Miller and
Kanguva, – starring Dhanush and Surya respectively , both of them top stars of Tamil. Their movies ' music is going to get released.
Kiccha Sudeep, who is the number 1 star of Kannada, his movie 's music is getting released in the later part of the year . In Hindi, we again have, , the Vicky Kaushal movie Mere Mehboob Mere Sanam, we have A. R. Rahman music in Imtiaz Ali and Diljit Dosanjh's Chamkila, and then we have Ajay Devgn's Maidaan. In Malayalam, we have the Mammootty movie Bazooka, in Punjabi, w e have a very big Gippy film coming up - Warning 2, the music of al l these films is sitting out there with us.
So we go forward with leadership position. Now that we have got on to this number 1 position. we see ourselves fully holding on to this position. Also strategically, I need to state this, it's easy for us to ta ke a conservative position on newer content and just take a few movies here and there from the new content perspective. As a company, we don't believe in that policy. Saregama as the erstwhile HMV ha d always bought the biggest music, and this is what has kept company relevant for

so many years.
Now also we are very clear, we will pick up all the major popular titles that are going to come out, which is not only going to make money for the company for the next 2, 3, 4 years, but will
ensure that the company keeps on making a large amount of money even 20, 30, 40 years down the line. So that you or I may not be there, but you as a shareholder and whichever management team is sitting here in 2060 also can take a lot of pride in the content that we people secur ed in 2020. We take pride in the content that was picked up in '50s and '60s and '70s, and we still make money off it.
On the monetization side, I have been saying this for some time that the big change that is happening is about more and more streaming platforms now realizing that they need to move towards a subscription model. You already have 3 streaming platforms , all announcing over the last 90 to 100 days that the model is now fully moving behind the paid wall. There are only 3 platforms - which are number 1, number 2, number 3 in the market - left who are still pursuing
a free model, . All 3 of them have sent a clear message that they want to move towards a subscription model.
Am I saying India will never have a free market? It will be silly on my p art to go and state that.
India will be a mix, like in television business, of subscription and advertising. But just like in the television business when at one time subscription was just a nominal numbe r and all the
revenues of TV channels used to come from advertising which has now completely changed,
and a larger chunk now starts coming from subscription, something very similar is going to be happening in India on the music side too.

On the music side, an increasing chunk of revenue is going to move towards the subscription side. And when it moves to a subscription, our yield per song heard is going to go up. I've shared the math multiple times in various calls. So I won't bore you by repeating how that will work. But as we move towards subscription, there will be short- term pain. As platforms move from a free model to going behind completely a paid model, their revenues are also going to fall for a quarter or 2 quarters, and so there will be an impact coming on our revenues too.
The good part is when you are a very well -diversified company like Saregama, which has a very limited dependence on revenues coming from streaming, we will be able to manage these ups and downs that will keep on happening on the subscription revenue in the short term very easi ly.
We are, though we are sharing with you that there will be pressures coming in on the subscription side, still holding on to our guidance that overall music licensing revenue should be growing at the rate of anything around 22% - 23% this year. We don't see that changing.
The YouTube revenues have gone up substantially. And for us, it's disproportionately higher numbers that are coming in.
Remember, traditionally, the music that we people own, we had only the audio rights. We are the only label who had o nly audio rights and not the video rights.
Now with the aggression that we people are showing and picking up newer content, all this content is coming along with the video rights here.
If you check out all -India trending on YouTube at any particular time, out of the 20, 30 songs that they show on the all -India trending list, we typically, as a label, have anything between 7 to 10 songs sitting in that particular list and it also has a direct implication on the revenues that we are making right now from the video side.
We have also further beefed up our publishing side of the business. We are getting more aggressive in terms of giving licenses for our music to various films as well as brands and creating songs specific to particular brands. Until now, brands use to have their advertising and they used to have a song in their advertising. Now we are proactively going to the brands and saying, why not we develop a song which is completely suited to their brand, which helps them in their marketing while we can al so go out there and monetize that song. And in fact, we also get a license fee from the brand. More and more brands are realizing that to talk to the youth music is the strongest art form . And with our leadership position and perception in the market, brands are very comfortable coming out and working with us.
Our work on growing revenue from our catalog continues. This means m ore and more low -fi versions or tra p mix versions, acoustic versions are released . This is the kind of music that resonates with the newer generation . While we maintain the lyrical quality or the composition of the original song, it's a completely new instrumentation, which is created at times literally at a zero cost or a very nominal cost, making the song relevant to the yo unger generation and, more importantly, giving a fresh lease of life from the copyright perspective to the new rendition of the song that we release.
We also continued with the campaign to keep on inviting more and more entries from budding talent, wheth er it's a bathroom singer or it's a talented guy who ha s won a conte st in a smaller

town like Bareli, all of them to keep on sending their cover songs across to us, in return for which we share 10% lifetime royalties with these people. This is allowing us once again us to grow revenues without spending money and also to improve the popularity of our catalog music.
On the last call, we have shared that the royalty expenses that went up in Q4 was a one -off event because we had adjusted the entire royalty pay out that we had to make to singer s for the entire year in a single quarter. We have lived up to our commitment. If you see the royalty expenses this year as a percentage of revenue, they have come down. And this is a steady state in which we are going to be operating, because now we are paying them on every quarter basis and will not come across on a cumulative annual basis . So royalties are back to where they are supposed to be.
On an overall basis, I still maintain, we have just touched the tip of the iceberg. We are not going to get swayed by doing some short -term things to improve profitability for a quarter or 2. We will continue taking steps to build the foundation for this company to be the most relevant entertainment company in India for the next 50 years. All the necessary steps, whether in terms

of spends that we people are doing on data analytics, predictive AI, generative AI building tools for us on the marketing side, we will continue taking those steps because we believe that's going to make t his company far more resilient and powerful in the decades to come on not just the music front, but on the overall entertainment front.

The other edge overall that we end up getting is a diversified business model. We are not dependent on any one player, a ny one business stream and, within that also, any one partner too much. There was a time that some of our global partners were having a problem in terms of their advertising revenues. We were not that affected because our dependence on any one partner is not that high. Now that all of them are seeing an upswing, hopefully it's great news for us. But

the good part is, there isn't too much dependence on any one partner. We are not tied to the fortunes of any global MNC.

On Carvaan , we have been stating this, that it's running on its own momentum, and the journey continued during this quarter also. If I look at a quarter -on-quarter basis, it's been a crazy growth that we have seen. It's a 50% growth. We have touched close to 1.49 lakh units being sold. This compared to around 90,000 that we sold in the Q1 last year.

The big sales

drivers continue to be Carvaan Mini and Carvaan Mobile, which is also explaining that the revenue growth is lower than the unit growth. But remember, Carvaan is profitable, and not mak ing losses. And more importantly, Carvaan helps us a lot on the catalog marketing side. It really keeps that music relevant as we people go forward.

Films and series vertical did not have any r elease happening during the quarter. We just had the TV serials on Sun TV. Q1 is traditionally our weaker quarter from an advertising perspective because most advertising goes into IPL. So in Q1 every year, we go through the same pressure. This quarter was no different. We have one movie of ours , which is getting rele ased in Q2. For Q3, Q4, the lineup is very strong. There are lots of big titles that are coming, both on the Malayalam and Punjabi side.

I want to reiterate that we are holding our guidance on the films and movie side of a 25% growth in revenue and a 15% margin. Looking at the Q1 numbers, some of you may have doubts, how you're going to go and achieve it. We are very confident with the lineup, which is sitting in Q3 and Q4 that on an annual basis, we will achieve the 25% revenue growth number with the 15% margin.

Let me now talk about the live events business based on the feedback received from multiple investors. We have present ed live even ts business as a separate vertical , carved out of the films and television segment , so that you can see the revenue and profits.

Please remember, it ’s an absolutely new vertical for us. It will require large amount of investments to build it up. We saw in this quarter , Disco Dancer being released for the first time in India. Some of you may have heard about it as it was widely covered in every major newspaper and online publication. It got very positive review s both from the critics side as well as the customer side.

I have to be honest with you, we had to market it a lot because it is the first time a concept like a musical show where our story is being told with the combination of dialogues and music being presented in India . Its a relatively newer concept for the Indian audience. We are either used to seeing a story in the form of a film in a theat re or we go to the musical theat re only to listen to people singing songs. This is a combination we have , which is a very common thing in U.S. or U.K. It's a newer concept in India, and we spent a good amount of money to go and promote it. Hence, there are losses which we have written during the quarter, the entire cost of marketing has been charged off. We are confident in a period of 12 to 18 months , this segment will also turn profitable. And if it's not, we are very open to completely having a relook at this new business that we have got ourselves into.

Overall, if I take both these segments together, films and series segment and the live event segment, as we have co mmunicated to you , at any particular time the total capital that is deployed, in these 2 segments will never exceed 18% of total capital deployed . That's an internal guideline that we people to work with. And at this juncture, the number is closer to 12%. So we still have a large elbow room left in front of us. But we are clear, we are not going deploy more funds just because we have an 18% internal guideline .

So overall, we are happy with the way the quarter has shaped up. Music segment is solid. Overall, if the growth looks flat, it's only because live events had a big quarter last year in Q1. By the time we end the current financial year right, we are confident that each of these segments are going to grow at a rate that we have shared with you in the past.

Thank you, and we're open to questions now.

Moder ator: The first question comes from the line of Swapnil Potdukhe from JM Financials.

Swapnil Potdukhe: So I just have a couple of questions. One is with respect to your growth rate in the music licensing business. Your music business has grown 17%. Your volumes in the Carvaan business have grown more than 50%. Does that imply that our music licensing business has grown significantly lower than 17% Y -o-Y? And if that is so, and the fact that some of our accounts are doing quite well, topping some of the char ts, why is that not getting reflected in terms of our top line growth in this licensing business?

Vikram Mehra: Let me answer your second question first so that you understand how the commercial works in the music licensing business. These are not the days of CDs and cassettes that an album becomes a hit right now I can sell more cassettes and CDs . Most of our deals are covered under minimum guarantees and the overflows are booked only when the deal gets over.

So unless a deal was getting over on the 29th or 30th of June and the overflows have hit us , there's no way that the impact of success of a song in quarter 1 can be seen in quarter 1 alone. You will see it only when the overflows at the end of the deal are going to kick in . Or if it’s a fixed fee deal, then basis higher performance we will be able to negotiate a much higher fixed fee at the time of renewal . So there is no immediate same-day correlation or a causal effect relationship, wherein the success of the song today results in the revenue going up also today, principally.

Coming to the first part, music licensing revenue has shown a pretty decent growth. We show these segments separately only at the end of the year. However tempted I may be right now to share the numbers with y ou to tell you the growth is pretty decent, I will resist it. We are holding on to our projection of 23% growth overall on the music licensing side. We have said this over the last 4 to 5 years, we have a track record that we have maintained these numbers, and I'm pretty confident we'll maintain the numbers this year also.

Swapnil Potdukhe: Right. And the second question that I wanted to ask is the losses or the cash burn that we expect in the Events business. Have we internally taken -- do you have any num ber in mind that you would burn a certain amount of? You did mention that it will take around 12 to 18 months to be profitable, but any quanti fication in terms of actual burn that we're expecting in that period.

Vikram Mehra: Have we got an internal number that we people are saying that at any particular time should not go beyond that, yes, we have a plan which is being adhered to. But for you the comfort I can say that, this cost is factored when we share the adjusted EBITDA margin . The adjusted EBITDA margin at the company level is not going to be falling below 32 % to 33% that we have always maintained.

See the live events business, strategically is also critical for us . We want to control the artist, and for the artist live event is a very important part. As a company, are clear that we are not relying only on, firstly, the laurels of our past by doing only recreations of older music. We want to create music for tomorrow. Tomorrow ’s music is going to come both from film and non-film side and the newer generation is getting more and more comfortable with non -film original music, the way it happens in America or anywhere else.

We need to be prepared for the situation that if suddenly original non-film music starts becoming big, in that case, artist relationship is going to be the biggest differentiator between labels. And artist relationship is not just about who's going to go back and pick my phone because I've been there.

Artists will pick up everybody's phone. But which label can offe r what in the path of artist’s growth will matter. , And all these are great areas that we can offer to t

he artists , saying that if you work with us, it's not just songs that we can release for you, we can do artist management for you and can also manage y our entire live business.

But that does not mean live is going to become a loss leader. We believe once we have been able to establish ourselves in the initial days that what does Saregama Live stand for , this will turn profitable . At an operating level, actually, there's typically no problem , but we have to spend on marketing. in the initial days to establish what this concept is.

Swapnil Potdukhe: Right. Got it. And just one final question, if I can squeeze in, can you give a sense of how much -- what per centage of the QIP funds are still on the balance sheet given that we have now started deploying some of those funds towards the newer content that you mentioned?
Vikram Mehra: As of now, we are not using , the internal accruals of ours are enough right now to fund all our content acquisitions. So we have INR 710 crores, which is still sitting out there on our balance sheet from QIP.
Moderator: The next question comes from the line of Udhayaprakash from Value Research India Private Limited.
Udhayaprakash: I have 3 questions. My first question is that you have said that you are going to pick up bigger content going forward, most all big budgets. And one of the reasons why you, along with many other production companies got was that is because they probably gua rantee a set number of streams automatically due to the star power that it automatically attracts. Do you think that because more and more music production companies will come towards these kind of movies, the content, the cost that you -- at which you acq uired this contract would be inflated?
Vikram Mehra: So let me answer your question, number one first. I don't want to take the names of my competitors. But if you please go language by language, the big film music areas are Hindi, Telugu, Tamil, Malayalam and Kannada. In each of the languages, there are 2 o r max 3 music labels that are playing it out.
The entry barrier in music label business is very, very high. That's why globally, there are only 3 music labels. S ome of the global labels are not there in India. India is an only exception. And in India also, in any market, there are only 2 to 3 labels. So I'm not saying there's no competition, but it's not that because there are 10 people fighting it out. .
The production house also understands the deals very clear ly that if we are going and acquiring a large budget movie, it's not just money because of which Rocky Aur Rani Ki Prem Kahaani

or Zara Hatke Zara Bachke came to us, and you can check this out with the respective production houses also in a one -on-one dialogue.
It's the marketing ability of a compan y, which goes a very long way to convince a film producer whether they want to work with the company or not . A very good example is the recent movie, Zara Hatke Zara Bachke, which is a Vicky Kaushal, Sara Ali Khan movie. The movie got a massive opening and the production house has accepted publicly that this is because of the very huge success of the songs. And we have played a very important role in promoting the songs a lot.
Unlike the Western world where it is the trailer of the movie which convinces peo ple to watch a film, in India, it's primarily the successes of the song before the release of the film because of which movie gets a big opening. So we believe that strength of ours will always put us in a very good position with each of these production houses.
Second, also remember, with most of these houses, we have a relationship going on for 30, 40, 50, 60 and 70 years. The royalties are still being paid to them. So they also have this comfort level , that with Saregama, the deal is not only for a day. If you do work with them, Saregama is one of the very few upfr

ont and honest companies that will keep on paying your royalties in perpetuity.
Udhayaprakash: Okay, sir. Understood. And my next question is, as a music production company, do you have control over any aspect of the album, be it the number of songs or the length of a song or any kind of -- anything related to the album? Or is it all the decision of the creator only?
Vikram Mehra: No, we do have . Most of the times right now, most production house s work with us very, very closely . Some of the factors that you raised like the number of songs, too are part of the commercial deal itself. So when we go and acquire, all this is very clearly stated that how many songs will be there, what will be the kind of situations of the song. In 99 out of 100 times or 100 out of 100 times music composer is also finalized.
What we don't have a control, and I'll be very honest is that in that song when a picturization is happening, what is the actor wearing and what is the actress wearing. That is completely in the hands then of the film director. Unlike an original song, if I'm releasing non-film, then I'll have control over that too. But on the audio part, the production houses work with us very closely.
Udhayaprakash: Okay. So while you're financing the deal itself, you pretty much know everything that you have to know about the music rights?
Vikram Mehra: Yes, yes, we do. In fact, we know it at every stage, see most production houses also need to sound off and bounce ideas. So they work closely with us. It becomes more of a partnership model as the songs are being developed. .
Udhayaprakash: Okay. Sir, my final question is that the contribution of films and TV segment where our revenue

has improved in the last 5 years. In FY '23, it was around 20 -- it was around 20% to 22% of our

revenue. But due to this factor, do you think the lack of releases in maybe 1 or 2 quarters, which you may have done deliberately, will affect the revenues going forward since they form a huge part of our revenue? Is this something that we should expect going forward?

Vikram Mehra: Yes, it is. So the only part of films and TV segment, I don't like is a lumpy behaviour . Often the film's release date is -- may not even be in my hand. It als o depends a lot right now, which is the right window where we can go and release our film so that there is no competing film that is of a bigger star coming on the same day. So a lot of variables start playing. So you will have some amount of lumpiness. Our hope is as the size of films and TV business becomes bigger, there should not be any quarter where there is no release coming in. We are hoping and trying that it builds up that way. But the very nature of it is lumpy.

Udhayaprakash: Okay. If I could squ eeze in one last question. And on last con -call, you had stated that we are remaining conservative about spending QIP money because any time you go on for acquisitions, the valuations are so inflated. Is this still continuing? Are you trying to finalize an y deals during this financial year...

Vikram Mehra: No, we are very clear, we will do deals either in terms of content buying or buying positions in companies that help us in the marketing of music because the money is going to be used only for music. It's not going to be used for films business or Carvaan business. We will do it only when we believe it is value accretive to our investors. If it's not value accretive to our investors, then we need -- we sit on the fund or use these funds for new content acquisition rather than going out there on the catalog side. Are we in dialogue? We are in dialogue with people. And we'll share with you whenever the timing is right.

Moderator: The next question comes from the line of Bala Murali Krishna from Oman Investment Advisors.

Bala Krishna: I would like to know about the film segment. I think for

this year, we have planned only 3 releases. So what would be the plan for the number of films per year down the line 3, 4 years?

Vikram Mehra: So I'll not go on the number of films. I will go back on the revenue that we are writing on film production. This year, we are seeing right now, we should be growing at around 25% in that segment. And in fact, I'm holding on to that guidance on a short - to medium -term basis. Every year, we see our films and TV business growing at 25%, while the total capital allocation will always be maintained within the upper limit of 18%.

Bala Krishna: Okay. That's great. And regarding this, the library, we have around 68 films or 70 films, so all these films satellite rights are already sold or any film's satellite rights are still pending, we can expect any monetization from that?

Vikram Mehra: So there's a combination. For the newer films, most of the rights are gone. For s ome of the older films, rights come back to us because we sell only time duration based rights. W e are licensing and not selling. So often, if satellite rights go away after 10 years, they come back. So this keeps on happening. The bigger revenue clea rly is connected to the newer films, and most of the newer films are still going through the first tranche of licensing.

Bala Krishna: So when we can expect these newer films will come back to also again rights, which we can...

Vikram Mehra: Some of the Yoodlee films – from the first round that we have launched in '17 came back from the first platform already gone on to the second platform. So this keeps on happening. Remember the earlier set of films that Saregama was making under the Yoodlee brand name was relatively smaller films made for the digital platforms. We are now making bigger films in Malayalam and Punjabi primarily, which are going to hit the theatrical world also.

Bala Krishna: So one more thing. And lastly, like we are focusing on these 2 l anguages only. Is there any specific reason and or we can expand to another language also in future?

Vikram Mehra: So at this juncture, 2 parameters are very crucial for us. Let me step back. One, we want to have a guarantee that 70% to 80% of the cost of the film is revenue connected so that is guaranteed before the theatrical release. That's an important criteria with which we people approach the film business. We rely on theatrical only for 20% to 30% of the cost of the film . When a film is put on theatr ical release, we know that if even if everything goes wrong , at least anything between

70% to 80% of the cost is recovered.
Second, we are looking at a 15% margin in this business minimum. We look at these 2 parameters, then the languages like Malayalam, Punjabi, in fact, to some extent, Tamil and Telugu also fit the bill better. There is a higher probability that the films get over on time within budgets, and we are able to get a good value fo r those films, but are we open to other projects also? Yes, we are, provided the other project also guarantee us that 70% to 80% of the cost of the film will get -- the revenue connected to that is guaranteed even before we start spending the money. That's our basic principle in which we approach our films business. We are not relying too much on theatre.
Moderator: The next question comes from the line of Aditya Nahar from Alpna Enterprises.
Aditya Nahar: Vikram, just wanted to check with you this provisio n that we have made against a settlement, if you could share what the amount of this is?
Vikram Mehra: See the matter, at this juncture, being sub -judice, and still pending a formal closure , we cannot give you more details at this juncture. And I'm quite hopeful right now that in Q2, everything should get closed, and that's the time we'll share with you.
Moderator: The next question comes from the line of Ravi Kumar Naredi from Naredi Inve

stments Private Limited.
Ravi Naredi: Now the result is subdued comparatively to last quarter, but my question is regarding the song of Zara Hatke Zara Bachke which was blockbuster, first congratulations to you, we have written off the cost of music in this June quarter? Or what is the policy?
Vikram Mehra: I think we hav e shared the policy multiple times now, the marketing cost is fully written off now, in the June quarter itself. And the cost of the content is going to be written off right now in a 10-year horizon, where the largest chunk is going to be written off in ye ar 1 itself.

And actually, if you look at the overall business for us, personally, we don't think that the quarter performance is subdued. Please exclude the events business vertical, which is fading, that's why we have shared the information of live event s separately . Please look at the music part, which you are comparing with. I think we have gone back and delivered a pretty decent performance. So please understand, we are building the company for 30 years down the line.
Ravi Naredi: Definitely. We agree, that we agree, the company will be high in the next 50 years, I'm so promising on this picture. So because the music has no alternate so far.
Vikram Mehra: If you see the past trends, you will see my Q4 performance of the previous year compared to Q1 of the current year, typically there is a difference of 2%, 3%.
So we have a clear pattern in which our performance keeps on moving. My overflows are at a particular time , when they come in , we try to do more and more minimum guarantee deals . We do vari able deals in which revenue is recognized only when it's getting accrued across to us, and there's a large overflow that typically ends up coming in specific quarters.
Ravi Naredi: Yes, sir. Still we need to deploy extra fund there as earlier, so this my.. .
Vikram Mehra: We are, and that's a very stated position of Saregama as a company that we will go out there and invest in multiple languages, take leadership position in each of the languages because when you get into a number 1 position across multiple languages and the power of catalog that we have, we will be able to drive efficiencies in terms of better yield far better than anybody would be able to do today in the market.
Moderator: The next question comes from the line of CA Garvit Goyal from Nves t Analytics.
CA Garvit Goyal: You mentioned if no value acquisitions will happen, you will use the funds for acquisition of new music. But at the same time, we are saying that we do have internal accruals for acquisition of film music. So I'm not getting w hat exactly we are thinking. Are we caught in a situation like we can't deploy the funds at high valuations, but the valuations are not getting favourable ? So can you kindly just put some colour on this.
Vikram Mehra: So QIP funds are going to be used for both things , for inorganic acquisitions, that are either on music catalog, which help us on the content side or they help us with acquiring companies that can help us on the marketing or music side - 2 big pillars on which the music business is built.
The current requirement of our new content acquisition that we people are doing is met, as I talked to you right now, through our internal accruals. Our stated position is that we want to acquire 30% of all new content that's coming in. Nothing stops us from a cquiring 35% or 40% of new content also.
So we , the management is constantly evaluating whether the QIP funds, as we go forward, are better deployed, picking up older catalogues , picking up companies which are specializing in marketing of music or picking up larger share of newer content. But what I'm assuring you that

this money is invested right now, keeping in mind principle being s

ecured and will not be used
for anything apart from music.
CA Garvit Goyal: So that thing I understand, but if I remember correctly, 1.5 years ago, our strategy was that most
of the funds, most of the percentage of this fund will be used for inorganic acquisition side. So
that thing, I think, we are something differentiating now....
Vikram Mehra: We believe that if any acquisi tion is going to be value accretive, we will go ahead. We have
done a smaller acquisition right in the beginning. After that, we are still evaluating multiple players, both on the content side
and marketing side. The moment we believe that something is
ticking mark and its value accretive to the investors, we will take it up.
CA Garvit Goyal: And last one, you were saying this year, we will announce something regarding the share. If we
are not getting 100% , we will get some percentage of the company between these terms. So is it
likely to happen in this year?
Vikram Mehra: Let me do some research, then I'll share with you.
Moderator: The next question comes from the line of Navneet Bhaiya an individual investor. .
Navneet Bhaiya : I have 3 questions. The firs t is the INR 0.10 that you get per song that is heard on a YouTube
channel or whichever channel, does that ever come for renegotiation, with inflation or maybe cost of content also going up?
Or that remains fixed forever?
Vikram Mehra: And so it's on an ave rage INR0.10. If your question is, do I see the rate going up in the short
run? Doubtful on the free side. The yield will go up because more and more people are going to go behind the paid wall. And
if they go behind a paid wall, this yield can become 2.5 to 5x higher
on a per song heard basis for the guys who are listening to the song behind the paid wall. But on
the free side, I don't see this yield going up. The real kicker is coming because of the deeper penetration of each of these
services and more nu mber of songs being heard on a daily basis.
Navneet Bhaiya : Okay. So again, on the free side, any specific reason why couldn't work, inflation per annum at
least that should be there in the fee...
Vikram Mehra: Navnee t, I have shared this in the past also, remember, on the f ree side, the streaming platform s
don't have a viable business model today. The only way they can make money is through
advertising. There is a limited amount of advertising money that chases audio. So the streaming companies, if they ar e
promoting free, they also need to find a way to make money. And we
understand those pressures. That's why world over in every country of the world streaming
platforms can move towards the paid side. You have 600 million paid subscribers for audio
streami ng world over.
In India, we have seen that video streaming has done a decent enough job on the paid side. It is
just a matter of time, all these streaming companies in India are also going to have a very effective paid business, they make
money and we mak e money.

Navneet Bhaiya : Understood. My second question is, how big is the international song segment, English some
segments in India, if you have any percentage terms? How big is that?
Vikram Mehra: How big is the international?
Navneet Bhaiya : Content he ard in India.
Vikram Mehra: That's just a metro phenomenon. Let's be clear that in the Bombay s and Delhi s of the world, the
youngsters also listen to a lot of Western music or Korean music for that matter. But it's still --
even with those people who are here, every time they're with their friends and there's a party
happening, finally, it's going to come bac k to Arijit Singh and Badshah or a Ranbir Kapoor or a
Ranvir Singh movie fan. The moment you go to smaller towns, it's all Indian music.
Navneet Bhaiya : Okay. So as of now, for us, as a company, even in the medium term, there would be no plans of
acquiring content in the English segm

ent, right?
Vikram Mehra: So we have a very publicly stated position there that we believe with 1.4 billion Indians here and
a large amount of 1.4 billion Indians , the entire population of Srilanka, Bangladesh, Pakistan is
a large enough captive market and parts of Malaysia on the Tamil side and parts of Singapore, there is a large enough

population right now for our music. And we want to focus there and get
a clear distinct number 1 position.
Navneet Bhaiya : Understood. And the third question, which is more of an understanding. So there are a lot of user creat ed mash of songs, which is like a 3 -minute songs with 10 different songs in it, of which maybe they have 3 from Saregama, the remaining from some other labels. How does the revenue sharing work there?
Vikram Mehra: So tell me there, it all depends platform to platform. Give me an example. Are you talking about YouTube?
Navneet Bhaiya : Yes, YouTube. They are...
Vikram Mehra: In YouTube, if somebody is going and running a vide o where 5 songs are being used, the revenue which is getting generated that YouTube is going to share with us, will be split across the 5 songs.
Navneet Bhaiya : Okay. Understood. And you would have an analytic to figure out as when a song is used for 50% of the time, yes?
Vikram Mehra: Yes, absolutely, that is there. So we have got advanced analytics, YouTube model is very, very strong. Their fingerprinting is really accurate. And I haven't seen cases where the division that they do of the revenue based on each of the songs goes wrong.
Moderator: The next question comes from the line of Saket Mehrotra from Tusk Investments.

Saket Mehrotra: In the earnings disclosure, there was a mention of an INR 12 crores revision on contractual terms for the revenue. So does this have to do with our existing contracts? Or were these any fresh contracts that we've undertaken?
Pankaj Chaturvedi: This is part of all existing contracts. It just happens that we follow a very conservative accounting policy of revenue recognition based on the virtual certainty. So at times, there are contracts which are under negotiation. F ormal contract s which may not be in place, but the renewal is in process. So we book the revenue based on the estimates. So when the renegotiation takes place, there may be a difference that would arise, which is recognized in the ongoing quarter.
And like you are asking, at times, peo ple do ask about how the renegotiations take place and the ways of revenue recognition. We thought we'll make an upfront disclosure. So the position is very clear to all our investors.
Saket Mehrotra: Okay. So will it be fair to assume that like this is like an increase in pricing that we've managed to get from whatever negotiations we've done, right? Like that's what we are working with?
Pankaj Chaturvedi: Yes, what you think is right . The renegotiation has resulted in revenue in this quarter. It also mean s that from quarter -to-quarter, this could differ based on the position and the negotiations.
Vikram Mehra: This is fully recognized -- accrued and recognized, it's not future revenue. Yes.
Saket Mehrotra: Correct. Okay. And also on this events business, r ight, like -- I mean, what's the way forward? Because we've just demerged a loss -making business. And how much drag do we see with this going forward? I understand it's a part of your overall strategy. But if you could just give us some guidance on what the expectation is from the year forward.
Vikram Mehra: I have answered this, somebody else also asked this question. See, on the overall basis, we will never allow events to drag down our adjusted EBITDA below 30% to 33%. Events is a business that we peop le are trying because we believe strategically, it's going to help us a lot as we go forward on our artist relationship business .
And also in India, there have

been various studies that have come out that for people, as disposable incomes go up, people wil l be seeking out for entertainment options outside their home, too. There is a limit to which digital consumption will happen. People will seek out other things too, and live may play a very, very important role there.
Keeping both these things in mind, we have gone ahead with this. We are going to re -evaluate this entire thing over anything between 12 to 18 months and see whether things are moving as per the plan or not. If it's not, we will relook at this business
Moderator: The next question comes from the line of Swapnil Potdukhe from JM Financial.
Swapnil Potdukhe: Just some clarification, Vikram. So I think most , some of the visibility platforms are moving behind the pay wall. Now is it possible that our minimum guarantees will for the contract that

we have, they will not get renewed at a, let's say, incremental levels and the business model will slightly change as in like you have the visibility of the revenues that will be lower?

Vikram Mehra: There will be pressure when we move from free to paid. I f there were minimum guarantees, then there would have been no pressure. But for us, music labels and streaming platforms to build a sustainable model where the revenues for music labels are guaranteed not just for next 12 months, but for the next decade, it's important that the streaming platforms also have a sustainable model. The only way they can have a sustainable model is if they move to a subscription.

So all of us are helping the streaming platforms to move from free to paid by moving away from this concept of minimum guarantees. All of us are going to get paid right now on the basis of our actions. That yield is going to be far higher on a per song basis. But the first 2, 3 quarters when building up the numbers, there will be pressures coming in. It 's not the one label that's doing it. That's a global practice that happens.

So the guy who continue s with free would have to still go back and give them minimum guarantees. Guys are going fully behind the paid wall, we are there to support them in these quarters. But because we know this was coming and we have been planning for this and urging the streaming platforms to go behind the paid wall, at Saregama, we have built multiple sources of revenue now, which will ensure that we still hold on to our growth numbers.

Swapnil Potdukhe: Right. And just an extension to that, since you are holding your guidance for the full year, so do you -- are you suggesting that your YouTube revenues will be significantly higher and that would offset the impact of the near -term volatility?

Vikram Mehra: I can't share anything beyond this. Remember on the streaming side also, 3 of the biggest guys or the biggest who control the industry are still free. Actually, they have gone behind the paid wall. So the top 3 are still behin d the free tier , remaining guys are all behind the paid wall. So the journey has started. Our journey, which we believe is going to make a much better yield and profitability, both for us and the streaming platform, the journey towards paid.

Moderator: The next question comes from the line of Anirudh Shetty from Solidarity Investment Managers.

Anirudh Shetty: I have 3 questions. So my first question was, we are amortizing our content charges over 10 years. So was it done, to more accurately match our cont ent cost with what over what time period we will get our revenues? And also, if you can give a breakup of how much goes on year 1 and then 2, 3, just to get an indicated sense of how upfront are the – how staggered are the content cost charges in some sens e?

Vikram Mehra: Our content amortization is in sync with the global standards considering any company which is into genuinely large enough content creation . Look at the compa

nies which are doing this in India, it's actually only 2 of the companies, which are genuinely into new content creation, the number 1 player and from a revenue perspective and we, the number 2 player today. Both of

us only are not spen ding large amounts of money. So we looked at our global benchmark s, the companies we look up to and all of them follow a similar policy.

On an overall basis, to give you an idea that for a song, which is getting released, the numbers, assuming marketing to be 20% of the cost, 36% of the total money gets written off in year 1 itself.

Anirudh Shetty: Got it. And in the past, we have mentioned that we look to make a payback of 5 years. So how should one interpret that? Is it that the cash that we'll deploy in any particular given song or a particular year that we intend to recover that on a post -tax basis over time? How does one read this payback period?

Vikram Mehra: See this payback is without including the cost of capital. If the amount of money spent to acquire content is hundred dollars , we are charging it off along with marketing at around 48% out in the first 2 years. But we internally work on a benchmark that this hundred dollars will get recovered in the first 6 0 months.

Anirudh Shetty: Got it. And if, say, over time, in the streaming world, you move for more free to paid subscription, does the payback period reflect that new reality? Or do you think the payback period could become even shorter if that were to happen?

Vikram Mehra: All my growth projections, 23% on the music growth with the 32% to 33% adjusted EBITDA at the company level, all of them are shared with you without considering the upside that will come from paid subscription.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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Date : 9th November, 2023
The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1,
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Bandra (East), Mumbai – 400 051

Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163

Subject: Q2FY24 Earnings Conference Call – Transcript

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q 2FY24 Results Conference Call held on Thursday , 2nd November , 2023 at 12:00 Noon (IST) for the quarter and half -year ended 3 0th Septe mber , 2023.

This information is available on the website of the Company www.saregama.com .
You are requested to kindly take the afore- mentioned on record and oblige.

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer
Encl : As above

“Saregama India Limited Q2 FY-24 Earnings
Conference Call”

November 02, 2023

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR .
MR. PANKAJ CHATURVEDI – CFO .

MR. SAKET SAH – GROUP HEAD (INVESTOR
RELATIONS & ESG REPORTING).
MR. PANKAJ KEDIA – VICE PRESIDENT (INVESTOR
RELATIONS)

MODERATOR : MR. PULKIT CHAWLA – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, welcome to the Q2 FY 24 Results Conference Call of Saregama India Limited hosted by Emkay G lobal Financial Services.
As a reminder, all the participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions at the end of today 's presentation. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the confe rence over to Mr. Pulkit Chaw la from Emkay Global Financial Services. Thank you and over to you Mr. Chawla .
Pulkit Chawla: A very good afternoon, everyone on behalf of Emkay Global I would welcome you to the Q2 FY24 Results Call of Saregama India Limited.
From the management we have with us , Mr. Vikram Mehra – Managing Director; Mr. Pankaj Chaturvedi – CFO; Mr. Saket Sah – Group Head of Investor Relations & ESG Reporting ; and Mr. Pankaj Kedia – Vice President of Investor Relations.
Without any further delay, I will hand over the conference call to Mr. Vikram Mehra for his opening remarks post which we take the Q &A. Over to you sir.
Vikram Mehra: Good afternoon everyone. The Quarter 2 of Financial Year '24 saw the operating revenues of Rs.172 crore and PBT o f Rs.65.6 crore . If you look at these numbers on a year -on-year basis, you will see a de-growth in the revenue numbers that's purely because of the even ts vertical. Remember, events vertical is seasonal in nature.
Last year, Quarter 1 , Quarter 2 saw two of our international tours happening which d id pretty well.. This year, the focus has been a little more on the domestic side, which starts reflecting in Q3, Q4. As I always say, please look at the numbers only on an annual basis and not on a quarter - on-quarter basis. This is actually very much true for the e vents and the film business.
Before I get into the Music segment , I want to reiterate once again what I shared last time . The Company was in a dialogue to settle a very old contingent liability which was under litigation. We are very happy that this liability is now fully settled and the entire contingent liability of Rs. 58 crore has been knocked off from our balance sheet.
Let me jump onto the Music segment first:
While our numbers are looking very decent , the good news that I want to share with you is that now Saregama is actually working with the biggest production houses in the country . From Dharma Production 's Rocky Aur Rani Ki Prem Kahani which got released in Quarter 2 , or their upcoming movies like Mere Mehboob Mere Sanam or Sarzameen to Sanjay Leela Bhansali 's Gangubai , and his upcoming movie Baiju Bawra , or Vidhu Vinod Chopra 's 12th Fail, or I mtiaz

Ali's Chamkila or Jio Studio 's Stree 2 .Many more such big production houses are actually partnering with Saregama . And the scene is no different in the Telugu or Malayalam space, where the biggest production houses like Mythri , producers of Pushpa , are now partnering with more and more movies and choosing Saregama as their marketing partner.
It is heartening , because there was a little bit of skepticism that people had when Saregama decided to re -enter the new music acquisition space, there was a doubt whether Saregama has it in them to play this very competitive game. And through our innovative marketing strategy, use of technology, data and analytics, and the professional way in which this entire work has been handled, has convinced every major movie studio and lot of independent artists to start choosing Saregama as their preferred partner.
In this quarter, we saw the release of huge hits . In Hindi it was Rocky Aur Rani Ki Prem Kahani . In Telugu Kushi got released which was a big

musical hit and in Malayalam we had the biggest
hit of that market called RDX. Remember, this is coming immediately after the success of Zara Hatke Zara Bachke in Hindi and Romancha m in Malayalam in Quarter 1 . So, you now hav e two back -to-back quarters with great albums coming out from Saregama. Almost every single chart you have in this country from AirCheck (for radio) , to Spotify charts to a YouTube chart or an

Airtel Wynk chart it's becoming a routine to see Saregama songs featuring in the top 10 or top 20 list of these platforms. So, we are not just into new content, but we are now becoming a very successful player in the new content space.

Now, commercially if we look at the impact of these new successful releases please keep in mind that the immediate impact will be seen only on YouTube, which is a purely variable model that all of us work on. If a song video does very, very well, then there are more views which straightaway results into higher revenue. But the impact on the other two verticals which is OTT streaming, and short format apps like Instagram or YouTube Shorts, will come with a lag . This is because of the nature of deals which are either minimum guarantee or fixed fee in nature . So, you don 't see the immediate impact of it . But the impact will start coming with a lag of anything between 3-12months.

More importantly, all of you who are invested in Saregama have a deep appreciation for the quality of our catalog ue., It were some very for esighted people who were running this Company in the 70s, and 80s, who decided to invest in the content at that time. And all of us who are running the Company now are privileged enough to enjoy the fruits of those decisions. Similarly, these big success es that are coming out now will ensure that 30 years down the line, when a different set of management and investors may be here, they will also be equally happy about the fact that we invested in some very high-quality content today. Remember, music has got the longest shelf life of all the IP that 's there in the market. Anything between 60 to 80 years and you still have found the 1950s and 1960s and 70s songs being played out in in a very big fashion. And I don 't see any difference in the newer content that 's coming out. I 'm 100% convinced that 30 years from now, when today 's 18 ,20 and 22 -year-oldsbecome 50-year-olds, they will still listen to a Tum Kya Mile or What Jhumka.

If we look at the coming quarters, there are many more big movies whose music is going to come out . There is Kanguva which is a Suriya movie in Tamil, there is Sudeep's Kichcha 46 in Kannada, and there is a Vicky Kaushal film Mere Mehboob Mere Sanam which is coming out . Then t here is Diljit Dosanjh & A. R. Rahman 's Chamkila . There is also Ajay Devgn and A. R. Rahman 's Maidaan. There is Mammootty 's Bazooka , and Gippy 's, Warning 2 in Punjabi . So, you have a very strong lineup of releases for quarter three and quarter four also. Combine this with the individual artists ' releases that will keep on happening as we will go forward. So, hopefully you have a rocking year ahead of you.

Let's talk about monetization a little more . The biggest shift that we are seeing in the industry is the adoption of subscription -based revenue models by various streaming platforms. For the longest time in India, all these streaming platforms were relying only on advertising driven model, . This means they were putting all their content on a free basis and the re was very little focus on pushing the customer to the paid model. That's changing now ,as three platforms over the last few months have decided to put their entire content behind the pa ywall . Even the remaining three audio OTT platforms who were still having the content on the fre e side, have now started putting in serious ef

fort to convince more and more customers to go behind paywalls by giving more privileges to the paid customer and taking them away from the free customer. This mo vement, which is happening from free to paid is something that all of us as music labels are also helping push. The problem with streaming platforms always ha s been that if they move from a free model to a paid model, they start from zero subscriber s on Day 1 so their revenues plummet ,. To support these platforms all of us have taken a call that we will stop charging them any minimum guarantees ., This means in the short run , labels , especially the bigger labels , are going to face some amount of pressure . Our revenues are going to come down , but the moment we start looking at a 12 to 18 months horizon , , you 'll see a huge jump that may come out of the subscription revenue that we 'll be able to get. I 've been sharing this data multiple times, that the money that we make from streaming platforms should go up by anything between 150 % to 300% as the market moves from a free model to a paid model.

Are we asking for something very unexpected in India or expecting something very unexpected in India ? No. You have close to 600 million people globally including a large number in China which is now paying for music then why should India be any different . Over 100 million odd people are now paying for either a digital cable or DTH which tells that people have an inclination and affordability to pay . Somebody just needs to push the customers to come behind the paid model. Even if I look at the video OTT services that are there in the country, even they are doing pretty well , I'm not getting into the reasons. All I 'm debating is , there 's affordability in the market and there is a willingness to pay, and we don 't see the first 100 million people who move behind the paid model for music is that big a challenge in our country.

So, there is , short term pressure, but on a medium -term basis there is serious upside potential for a company like Saregama. From Q1 and Q2 we had three of our partners completely going behind a paid wall , namely Resso, (a ByteDance Company) Gaana and Hungama. So, there were

pressure and we were able to counter those pressures through a significant increase that we have seen on the YouTube revenue side . YouTube revenues are going up and the primary reason for that is the newer content that we are putting on YouTube. In fact, growth in quarter -on-quarter total number of views on Saregama -owned music channels on YouTube without considering YouTube Shorts and user generated content has increased more on a like -to-like basis than any of its immediate competitors. We are seeing year -on-year the fastest growth coming in the market. And this is for two reasons - we are investing in new content and our hit ratio seems to be far better than anybody else in the market . This is all, a result of the fundamental changes that we have brought into our Company which is a data driven approach and decentralized decision taking model. So , I believe this competitive advantage that we have right now to be a sustainable one.
Now, I'll jump into the biggest growth trigger that we have gone out and adapted which is acquisition o f a majority stake in Pocket Aces, a top digital entertainment company in India. Let me tell you what the biggest trigger for us is for taking this decision . We are seeing the evolving nature of the advertising industry in India. If I go by Dentsu which is one of the biggest global media buying and planning companies , they are saying that the advertising market in India is going to be growing at 15% year-on-year. The GDP is looking at a 6% growth , advertising market growing a t 15% is very easily understandable and believable number. The shift is now happening on the adver

tising , which earlier used to happen on television, radio and print but
now seems to be moving big time on to the digital world. They are now seeing that digital advertising is expected to grow 3 1% CAGR . In 2022 digital advertising accounted for 35% of all advertising, which is expected to grow to 45% just within two years that is 2024. If it is sounding bizarre , no, it's not. If you talk to any 12-year-old or 15-year-old or a 25-year-old and ask them when the last time is they saw an ad, their immediate response is we don't watch TV any longer. Most of them have shifted either to an AVOD or an SVOD service and in their free time, they prefer watching short format ap ps, like Instagram and YouTube S hots. So, there are more and more eyeballs of the younger generation that is shifting on to that digital media landscape. Advertising is just going to follow them. So, when we are s aying in 2024, the digital advertising is going to be 45% we won 't be surprised that if this pattern continues, Ther e is every reason this pattern will continue, because smartphone penetration is going up, broadband speeds are becoming better, you will see more and more people now moving on to these digital platforms and the share of digital advertising could become 60 %, 70% also in the days to come. So, w hat does that have got to do with us ? If digital advertising is going to be coming in, where will it go ? It will either go on to AVOD platforms like YouTube, or it is going to go on short format apps like Instagram and YouTube Shorts and the likes from the domestic guys. Whomsoever controls this landscape in terms of reach here , we want to be the preferred content consum ption destination for the customer on these platforms. Saregama has been very , very strong on the YouTube front , with close to 100 million subscribers on Saregama owned channels. Our weak point always has been the social media which is where the younger generation is going . What Pocket Aces brings to us is that demographic . It has got a massive

play in the Instagram world . Pocket Aces overall has got 95 million followers on digital media, with a majority of them on Instagram. And that 's what makes it very heartening that advertising is going to be coming onto that digital world . We need to control both the AVOD like YouTube, which is Saregama 's strength, and manage the short format apps which is Pocket Aces' strength . In fact they have 64 million , followers on their digital platforms. This ensures that when the money flows, a large chunk of money is going to come out there to Saregama . That 's the biggest reason why we were looking at a digital entertainment company and Pocket Aces came #1 there. If there 's any area we have always been striving to work hard on. is how to make the Company talk to the younger age group. Saregama has always been a pro culture Company , we are who make mainstream music which is heard by families. So, we are very strong in this zero-to-12-year-old age group for children, whether it 's rhymes , or it 's good model songs or stories, we are going to have a Carvaan in that particular space do very well. Or we do well with more mainstream stuff, which starts attacking the age group of 30 , 35 whether it 's some of the greatest music from the yesteryear films , or even the latest Rocky Aur Rani Ki Prem Kahaani , Zara Hatke Zara Bachke , Kushi, RDX etc. they are all good examples of mainstream content. Where we are weak is how to talk to this more rebellious 12 to 25/28 age group. Pocket Aces just fills that need gap for us perfectly. The main strength of Pocket Aces is they have a large following in this age group of 12 to 28. The content that they create a t this time is what you call counterculture. No 18-year-old wants to watch the content that their mother and father are watching. That

’s the ir nature . We were also like that when we were younger. We never used to wear the clothes that our parents were wearing ., Also at that time we didn’t ha ve choices in music, but today the children want to listen to what they consider is their music . It’s not that they are against what their mom and dad are listening, but they want their own music also. And the kind of content they end up listening to, at times can be bordering on something which I call non-mainstream music.

Pocket Aces, which has a great positioning of being the most youth -oriented brand on the digital space, is going to help us in this area from all the three perspectives . They get us a younger audience to talk to o, have a 65 million follower base that is sitting on Instagram . They make us very much attractive to the creators of content that want to talk to the younger people. I ’ll tell you very often what happens is that our content team who are talking to the younger 22-year-old content creators who make content for an 18 to 20 age group, those creators are very uncomfortable working with a more traditional Company like Saregama. According to them, their rebellious content will get lost or diluted in the overall sheen of a Company like Saregama. We have been contemplating for some time launching an Indie music label, independen t of Saregama so that content creators can get comfortable. Now, that ambition of ours will get fulfilled through Pocket Aces .

And the third part is the brands. Advertising money that Saregama make s from its music from brands is big. But we always end up getting more conventional brands that want to talk to the middle -aged people . The moment we go to brands that want to talk to an 18-year-old kid, they don’t find us as ideal partners. Pocket Aces has got a massive strength in that particular age

group, because they create content for that age group only. And brands are far more comfortable talking to them rather than coming and approaching us to find a brand solution. In a single stroke we have been able to go back and fulfill this need gap of hav ing a youth -based positioning and the ability to target that segment.

The third benefit is this 95 million additional follower bases that Pocket Aces brings along with it. It is going to give us a big edge in new content acquisition , when we go and talk to any production house and say that we want to partner with you on the music side . The biggest thing that the guy is looking for apart from money, is the marketing power. Until now our strength was 100 million odd , we are literally doubling it . We will be in a far stronger position to get newer content from movie studios.

Let’s look at the financial s of Pocket Aces. Pocket Aces wrote a revenue of INR 104 crores with a loss of around INR 16 crore in FY23. We are fairly confident , that if I look at FY25 because we already six months into FY24 so we cannot make any projection for FY24. In FY25, you are looking at annual growth of minimum 23% and a breakeven at the PBT level happening at Pocket Aces by 25. But that ’s no big story. Why am I just talking only of 23% at this juncture and breakeven because it will take us a few months to build and operationalize all the synergies that we have identified between the two teams. If we go on a medium -term basis we are fairly confident that we will be able to grow the combined revenues of the two companies at anything between 27 % to 28% which is a big jump from 23% that we have been talking of Saregama in the past . We will get this additional growth both on Pocket Aces and Saregama combined numbers.

Also, this growth, should not come at the expense of profitability margins. We have taken it as a challenge upon us that we will stick to the adjusted EBITDA guidance o f 32% to 33% that we have been making in the past for Saregama . T

he combined numbers of Saregama and Pocket Aces should hold on to the same 32% t o 33% adjusted EBITDA target. So, you are talking , about the Saregama and Pocket Aces combination growin g at a much faster pace in a fairly strongly growing digital market . In a fast-growing industry, we combine growing at a faster pace while maintaining our profitability. We are , extremely bullish on this acquisition and hopefully the numbers will start following soon .

Let me share the second development here within Saregama . We have been speaking about launching an artist management vertical. This was done in Quarter 2 , what does this entail ? We have presently signed three artists on a 360-degree monetization basis. We will invest in creating songs for them , their music videos and marketing these artists on a wholesome 360 degree over the next few years. Not only will we make money from the music that they create, but once these guys get established, we will monetize them by promoting them on the live circuit s, that means various corporate functions that keep on happening. Live ticketed and non -ticketed events that happen , are huge markets for artists today . We will push them , advocate for them at these places and whatever money these people make , from that a big chunk will be retained by Saregama . So, through th ese 360-degree artists, not only are we securing the next generation artists '

availability for the Saregama music business, but we're also building an absolutely new vertical, whereby we get a share of the artist earning. While we are anyway setting up this infrastructure to promote and push our artists in the li ve circuit, we have also decided to create one more vertical here, whereby we are now representing close to a dozen artist s for their live business only. That means , these are artists on whom we are not going to invest anything . They are small to medium term establish ed artist s, and we are telling them that Saregama will represent them on the live side. Whatever money we are able to get for them from the live side we will keep a commission on this . Our commission percentages will be higher on 360-degree artists because we are investing in them but lower on the live artist s because we have zero investments in that particular space.

It becomes even better. Now with the Pocket Aces deal happening , they have got a huge influencer management vertical which is nothing but again a different form of artists management. Their strength is brand management and selling their artists right now to various leading brands of the country, especially youth focus ed ones . Our strength is selling the artists on the live space. So, what we 'll be doing is , all the artists and singers who are signed with Saregama , we will continue managing their live part . But we will also try to convince these artists to give their brand sponsorship mandate to Pocket Aces . Similarly, all the influencers who are getting signed by Pocket Aces , their brand sponsorship mandates will continue to be managed by Pocket Aces . But we will try to convince those influencers to give their live mandate to Saregama . Which is o ne more big area of synergy and that makes it very attractive for both of us . Saregama and Pocket Aces will be very attractive to any artist who is there in the market now, because the artist becomes big through the v video content that Pocket Aces is making and the music content that Saregama is making. We monetize them through brand strengths that Pocket Aces has and live event strength that Saregama has . It is a win -win situation for everybody involved.

Let me now jump into the space of technology and what we are doing in that space. In the times to come the content business is not only just going to be about creativity, but technology will start playing a bigger and a bigge

r role in the entire content creation space, whether it 's audio or video. That 's the reason within the Company we are very serious about making investments in both predictive artificial intelligence as well as generative artificial intelligence. Predictive AI investments are already b earing fruits. That 's why success rate of our music albums is far better than anybody else in the market today. We are also working on generative AI whereby we can create tools that we are developing in -house to learn from our own music. So, there 's no copyright infringement because this is our own 150,000 songs with billions of data points about which song does well, where and on which platform . We will u se that data to go and create newer content on an automatic basis. We are also upgrading all our hit songs to the latest technology, which is Dolby Atmos mix for better listening experiences. The songs may have been created in 70s, and recorded using that technology that was available at that time. But today, if you 're an Apple Music customer, or any of the other platforms, you have far better-quality speakers and AirPods you have access to. So, we are upgrading , the music that was created 30

years back . We break it into individual stems, that means individual parts, upgrade those parts, so that when you listen to this music now on an Apple Music, you actually get the benefit of the latest technology that 's available. Now all these things just differentiate us with any other player in the market. We are preparing this Company constantly for tomorrow, and not just trying to make money for today.

Let me share another very interesting development which is going to roll out in the days to come. We are about to launch our own music learning app, which will teach music fans how to sing songs or play instruments , and all this is being done using artificial intelligence. It 's not just a tutor who is going to manually go back and teach you . There are sessions available, where in if you have a doubt there will be a human element coming in, who will take a session for you digitally. But the bigger part is tha t artificial intelligence is no w going to help people on an app which will be available both on Android and Apple Store. You will be able to keep on honing their skills, either on vocals, or while playing the instruments to see how good or bad they are, improve their skills and then get in a position to sing some of the greatest songs that Saregama has, whether it is Lata Mangeshkar 's Lag Ja Gale or Arijit Singh 's latest Tum Kya Mile or What Jhumka .

Suddenly there is a comfort that people sitting in their homes, whether it 's your seven -year-old kid, or a 35 /40-year-old lady or a 19-year-old boy who wants to impress his girlfriend, all of them can now learn scientifically how to sing songs or play instruments. And the cherry on the cake is because the app is launched by a music label like us we are also offering the opportunity to the best performing people who are using this app and are evolving as singers or instrument players to get a chance to rele ase songs or music album s with Saregama . Now, most people give their right arm just to appear in a singing or a dance show on television. Just imagine if they come to know that India 's most prestigious and oldest label will give them a chance to release a song, there will be a decent amount of traction that will be coming in for the learning app.

Remember, the learning app needs to use the IP that belongs only to Saregama . So, nobody else can go back and teach them and no other Company out there has got the quality of a rich catalog that we have . Just another example of how like the Carvaan we are constantly looking at ways of monetizing the IP that we already own. No other label was able to go back and match us on the Carvaan space because

they didn 't have that kind of a rich catalog. Similarly, we believe we will have a massive competitive advantage on the music learning app also.

A quick update on Carvaan. , The numbers of Carvaan continue to grow primarily on the back of mobile phones. These are the Carvaan branded feature phones. Good news is that the unit sales is going up. But it is matched by the average realization per unit sold going down. Remember, mobile phones are typically all under 2000 bucks , that we are selling in the market. So, average realization is lower on these but the comfort I can give you is that we are maintaining the percentage margins that we are maintainin g on Carvaan doesn 't matter whether its mobile phone or the high end Carvaan .

On the Films and series vertical actually the re wasn't any action in this particular quarter. All the big releases are planned in quarter four, and there will be very little action happening in quarter three also . Difficult to believe, but I 'm still holding our guidance, that by the time we end the financial year, the Films and series vertical of ours will see a 25% growth this yea r. On a like -to-like basis , FY24 will grow by 25% over FY 23. There are multiple movies and very big Malayalam and Punjabi movies all lined up in the January to March quarter.

On the even t side, Quarter 1 and Quarter 2 was relatively silent , quarter three will see a Diljit Dosanjh tour of Australia and New Zealand being done by us. Our overall approach on film , series and Events business continues to be that of being cautious in nature. I shared it last time and again reiterating that our total capital a llocation to fi lms, series and Events business at any particular time will not exceed more than 18% of the total capital allocated . Currently this number stands close to 12%. So, we will take smaller steps here , keep on growing this part and hopefully the vertical itself is going to throw enough cash to fulfill our growth ambitions.

Overall, I want to reiterate that we have just touched the tip of the iceberg. We have got our foundation in place in the Company on all parts of IP whether it 's your one-minute short format content through Pocket Aces or a three -minute music video through Saregama or a 22-minute content through Saregama or a 45-minute content through Pocket Aces or a 120-minute content through Saregama . We are covering all bases of ours. The digital world is growing very, very rapidly. We are investing in technology in a very big fashion to keep us steady as we go ahead. We are relying more and more on data analytics in the decision -making process and we are investing primarily in tomorrow. Investing in tomorrow doesn 't mean we overlook today . The today will be stable but the tomorrow with all these fundamentals in place should look even rosier. And remember the content that we create today especially on the music side, is going to be heard and paying us revenue not just today, not just tomorrow but for the next 10 , 20, 30, 50, 60, 80 years also. On that note, thanks a lot for your patient listening. Happy to take questions.

Moderator: Thank you so much so much. We will now begin the question -and-answer session. The first question is from the line of Aditya Nahar from Alpna Enterprises. Please go ahead.

Aditya Nahar: Just for my understanding. We have bought 52% for the amount mentioned and the remaining is on the basis of certain benchmark goals correct?

Pankaj Chaturvedi: That's correct Nahar.

Aditya Nahar: And the fund for this has been from the Q IP?

Pankaj Chaturvedi: We will be closing the transaction shortly and we will be acquiring close to 52%. Within next 15 to 18 months our acquisition will be close to 92%. And yes, you are right , the QIP funds will be used for this inorganic acquisition.

Aditya Nahar: Okay , great. Pankaj since

I have you, any timeline o n the listing of the Digidrive?

Pankaj Chaturvedi: So, with Digidrive the good part is, the shares have been credited to the Demat accounts. We 've received approval from both the stock exchanges. We are in the process of getting the final clearances from SEBI, which we expect should be completed in about two to three weeks. And our endeavor is to get the listing as soon as possible.
Aditya Nahar: Great. And sorry, Vikram my last question to you is, this is an open -ended question, any thoughts on the Taylor Swift controversy of she recording her old songs again, with licenses being renegotiated with newer artists , if you could just talk about that briefly ?
Vikram Mehra: So, I'll not touch that . What I can tell you is the way rights in India are, they are very different from the way rights are procured or secured in the international world. And so in our case, we have both what are called Sound Recording Rights, that means the right to the song that 's created, as well as the Publishing Rights, which is the right to the composition and the lyrics. That way, we are in a complete ly secure position at this juncture to do recreation of anything that we people want, and nobody else can do it.
Moderator: Thank you. The next question is from the line of Saketh Mhalotra from Tusk I nvestment. Please go ahead.
Saketh Mhalotra: So, I had a question on this Pocket Aces acquisition that you mentioned on the medium -term guidance. This is over what timeframe are we looking at this growth of 27 % and 28%?
Vikram Mehra: Anything around three years .
Saketh Mhalotra: Okay. And secondly, are there any specific synergies with respect to being on the cost side , like, I understand that even Pocket Aces is into production . So, will we be running t wo cost centers or is it going to create some sort of savings do we have any actionable numbers for that to bring our cost down ?
Vikram Mehra: On the video side you are right both of us are into the production side and that 's the great part. We are doing more films from Saregama, and we are doing more series work for digital platforms targeted at youth from the Pocket Aces side. There are already projects that have been kick started to start doing benchmarking on both the sides and see that if we people are procuring simple things like lights, or camera work that 's happening out there, can we start doing combined deals now, which takes care of both , the requirement of both sides of the spectrum and achieve more cost savings . So, yes, the re will be cost benefits coming out of that side. The moment I 'm talking about are music promotions, a large chunk of our music marketing budgets actually end up going and getting spent right now on various influence rs that are active on social media. Now we have access to meet a large number of those influen cers through Pocket Aces as they are representing them. So, we will be in a position to go out there and negotiate a far better deal for the same amount of money and get bigger bang for the same buck. So, there are advantages both on the revenue side that will accrue to Pocket Aces and to Saregama also on the cost side.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital . Please go ahead.
Lokesh Manik: Couple of questions from my end, one was a clarification. In your presentation under music licens e and monetization , you did mention that strong revenue growth in medium to long term despite short term pressure due to minimum guarantees going on. Clarification was this was solely attributed to the music apps that are going behind the wall , they are going to pay.
Vikram Mehra: It's only attributed to that.
Lokesh Manik: , okay great. Second was on the live artist managem

ent. I n the event, let 's say does not work out and the artist is not successful, how is the exit plan then , do we have any liability to carry forward for the next 5 , 10 years o r the contract period that we get into , how does it work ?
Vikram Mehra: So, there are two kinds of artists as we mentioned, the one which are a 360-degree artist , there is a short -term commitment and I'm not going to run away from it. But the numbers are not that huge. And 360-degree play of ours is going to be limited at this juncture only to three artists at best it may become four or five artist s. That real numbers are going to be coming right now where we take the live Events monetization mandate of artists with zero commitment.
Lokesh Manik: Okay, understood. J ust a last one , so the growth rate that you have up to 27 %, 28%. So, 27%, 28% would be from 2025 onwards just a clarification.
Vikram Mehra: Yes.
Moderator: Thank you so much. The next question is from the line of Pulkit Cha wla from Emkay G lobal Financial Services . Please go-ahead sir.
Pulkit Chawla: So, Vikram given that now the largest OTT platform has also restricted several features. Do you

see that short term pain that you 're talking about becoming slightly worse in the near term at least. And let 's say that all these platforms tend to be moved behind a pa id wall. Do you see it an impact on piracy also going up because of this issue. Second, as I foresee the payback period is also going up from the current target?

Vikram Mehra: Payback period for music?

Pulkit Chawla: Yes.

Vikram Mehra: Okay, so let me answer the second part. No, we are holding on to our guidance of a five-year payback period for music. We 're not going to differ from that. So, if for whatever reasons, if there is a serious amount of pain in the market that means acquisition costs will have to come down. So, we are not changing our five-year payback guidance. That 's one part here. Let me try to answer your first question , will the re be a pain right there ?. Yes, the re will be pain. The good

part is out of the six guys who are all giving free access the mo vement to pay is happening in a phased fashion . . Three have moved to pay , other three have not moved to pay yet. It's good news and bad news . I would have loved had everybody moved to pay in a single shot so that we were done with this . But from our commercial perspective, we still have three of the guys who have a large amount of free business that 's going on. If one or two of these guys start deciding to move to pay, yes the re will be a serious pain in a quarter or two when it happens. But the jump that you are going to be seeing from free to pay in terms of our revenue is massive. there is a part two to your first question .

Pulkit Chawla: Yes. So, d o we see an impact of piracy?

Vikram Mehra: So, piracy , it's a pretty good question. See, I am also chairing the apex body of the music industry in India called IMI, and we are working a lot with the commerce ministry in that space, because we come under DPIIT which is a part of commerce ministry, . We keep on working with the government a lot on various carrot and stick measures that are carried out to take care of piracy. Piracy is declining and if you talk about the Bombay s, Delhis and Bangalore s of the world, there is literally zero piracy . You will always have those kids who have a way right now to download some of the content on an illegal basis . But those days where music was available on CDs on every street corner , be it Bombay or Delhi are gone. So, what will the customer do ?, In the same part there is cricket sitting behind a paid wall, but people are still going out there and paying for it . The amount of piracy that used to happen earlier is not happening in our country any longer. And this has been the same journey th

at China has gone through. There was a serious amount of piracy problem there. As technology is evolving and people got used to the flavor of great experience on a streaming app, people are refusing to go back to the old days. So , I don 't see piracy happening at least in all, the tier one , tier two, tier three towns . In the smaller towns they may still be doing . But the good part is , those guys are anyways not on the OTT platform s today.

Pulkit Chawla: Thanks , that's helpful. Just one more thing has there been an increase in the competitive intensity for the new content action?

Vikram Mehra: There are a limited number of players which are sitting on newer content. So, if your question is saying has the pricing gone up substantially, p ricing is complete disconnect ed to the dynamics of what music is doing well. If you have one language with 10 hits coming in a year and all doing pretty well then costing starts going up or some other language takes a beating in that case. So, it is a competitive market . No new guy can ever play this game because they don 't have the catalog to play this with. They don 't have the number of songs that big labels should release . Among the existing guys we are in a fairly strong position today, which is reflected by the amount of content we are acquiring .

Moderator: Thank you so much. The next question is from the line of Swapnil Potdukhe from JMFL. Please go ahead.

Swapnil Potdukhe: I had three questions. One is that , given that we are going through this transition of free subscriptions to a paid subscriptions , how should we see the music licensing revenues trending in the next let 's say a couple of quarters or so, because I would presume that there could be some pressure over there . And when we are guiding for 27 % to 28% consol idated growth are we expecting the music licensing business to grow at a similar rate or basically how much of that will be coming from music license?

Vikram Mehra: Let me answer the second part first . Music licensing is the largest source of revenue that we have. If we are striving for a 27 % or a 28% growth three years from now onwards, I cannot achieve that growth unless music licensing also fires at the same pace. And I 'm reiterating , this does not include the positive kicker, we will get the day everybody goes behind a paid wall. Accordingly, the streaming business alone can grow between 150 % to 300 % for us . But that will be over and above this . Yet even without that, just the synergy of the two companies will ensure that three years from now you are looking at a 27%, 28% growth with both businesses combined, including the music business.

Swapnil Potdukhe: The other thing was near term revenue trends ?

Vikram Mehra: In the near-term things will keep on fluctuating . We will hold on to our numbers of a 22- 23% growth , on the music licensing side . A quarter here and a quarter there might be misse d but YouTube comes back and support s this. We are growing our publishing business in a significant fashion which is all about brands We are also trying to grow our public performance business. So, hopefully, we will be able to counter this pressure when I look at the 12-to-24-month horizon where all this transition from free to paid is going to be happening.

Swapnil Potdukhe: Got it. And t he second question is with respect to one of the major platforms missing from your PPT with respect to the partners which are working with you. So, can you elaborate on that?

Vikram Mehra: So, all I can say is that this is a natural part of doing business here. If you look at any music label -platform partnership 90% of the labels will have some issue going on with some platform. So, we are in a commercial dialogue with them . The commercials are not matching at that particular time and we will hopefully sor

t it out. But it's the usual way of doing business . Somebody will not be there on platform A, somebody will not be on platform B. We just need to go out there on any p latform and look at the content we will come to know . The comfort that I want to give you is, that a majority of our deals in these cases are all variable in nature. If a customer does not find Tum Kya Mile , or What Jhumka on a platform A, that person does not start listening to some other song . Instead, the person moves from platform A to platform B. So, I don 't end up having a 100% loss of the revenue . The revenue to a great extent gets made up by some other platform where the revenue starts going up significantly. That notwithstanding, it 's our intent to get the commercial deals in place with the s aid platform.

Swapnil Potdukhe: Right. And the third question is on the cost side. So, we have seen a significant sequential dip in some of the major cost items like royalty fee in the , and any other expenses too. So, how should

we see them playing out in the near term , given I presume this is a and it has a direct correlation with the fact that music licensing is going through some certain pressures. But how should we see it cost side moving in the near term as well?

Pankaj Chaturvedi: On the royalty front the absolute numbers are pretty much stable . Although as a percentage they have been declining and we 've explained the reasons why. On the other expenses , we spoke about it the last time when we said that we were addressing one contingent liability and there were some estimated provisions that we were taking, . Hence you s aw a small jump last time . That cost has come down . When compared to the last quarter, they are pretty much in the normal state now. So, as we move forward, these fixed cost s as a percentage of revenue will always keep declining. Hope that helps.

Swapnil Potdukhe: Just one clarification, the A &P spent that we have right now of around INR 13 crore for this particular quarter that was completely attributable to the music licensing or does it also include Carvaan and few Films business ?

Pankaj Chaturvedi: On Carvaan as mentioned we don 't spend on the marketing side . The entire A&P that you see in the P&L consists of all other segments . There were some A &P spends on Events and Films last quarter which are not there this time. A&P spends a lso depend on music, what song gets released, when and w here we promote those song at the appropriate time. So, other than that, there is nothing specific as such to highlight on the A&P .

Vikram Mehra: So, as he said, on the A&P side there was no change on the music linked A&P They were similar amount of numbers ., But since there were no Events or film releases in Quarter 2 , there is no A&P spend on that front . The numbers will look different in Q4, when there will be large number of Films of ours getting released from the Yoodlee side. There will be corresponding marketing costs l also com ing in.

Swapnil Potdukhe: Got it , very clear Vikram. Just one last thing , Carvaan continues to be breakeven or it is also contributing to some profits right now ?

Vikram Mehra: Carvaan, was breakeven . and now contributing to profits. But it's a very thin margin .

Moderator: Thank you. The next question is from the line of Vikas Tulsiyan from Vision Ahead . Please go ahead.

Vikas Tulsiyan: Sir, from the last eight quarters your results are flat basically. And at the same time, the listed peer like Tips Industr ies has performed so well. So, sir why you have not performed last eight quarters and what you will do to rectify it ?

Vikram Mehra : Let me not go on the competition part here. The revenue s have to be firstly seen right now on the moment we finish our entire year. The Events business is the only bu

siness where you are
seeing this kind of fluctuation happening and when we got into Events , we had given this heads -

up. Because those are blocky and chunky in nature, they come in a quarter in a big fashion , and then they don 't come out in the other quarter. If I look at the steadier part of our business which is music, the re has been a steady growth that we are seeing on the licensing side. At the end of the year, we always end up sharing the licensing revenue with you . But licensing revenue is growing at 2 2-23% per year and it's not flat in nature. I t's the other parts of the business, which are chunky . There is Carvaan business that used to be big but has come down because we did not want to have any losses going out there and that business at this juncture is growing at a steady to little de-growth ..

Vikas Tulsiyan: Sir, so why don 't you demerge the music division also, they are so many loss-making division or flat division and the result is.

Vikram Mehra: We don 't believe they are loss making divisions. We believe there are serious amount of synergies between the various verticals that we have . That 's point number one. Remember there 's a big dip in our Company when we are looking at content IP . Saregama as a Company is not only looking at improving numbers in this quarter, but how to keep the Company in a very solid position three years , 10 years and 30 years down the line . So, we are taking all the steps to build the foundation for the next massive story. We don 't want to be just a profitable Company but be India 's biggest entertainment Company that is also generating large amount s of profit . Our approach is little more long run-in nature. The comfort I can give you is, films and series business is going to be riding a 15% margin this year it's not going to go below that . We have just started the Events business and have requested for time of 18 months. We 'll take a call if that number is going up or not. It 's critical to the artist management business , and the music business if you are also on the li ve side. You speak to the same singer and if you can manage the live business also chances are they will also give songs to you, , This may be difficult for some of the other competitors if you are not in this business.

Moderator: Thank you so much. The next question is from the line of Sukhriti from Laburnam Capital . Please go ahead.

Sukhriti: Just a couple of questions, one on the minimum guarantees. So, it's great, but they are sort of fading away. And we are going to see largely clean variable pricing -based numbers, any sense of dimensioning how big the fall will be due to that . Second question is, as we see a consolidation play out in distribution platforms, are we concerned that our own revenue share may come under pressure, because for the last few years you 've had multiple platforms trying to build viewership , trying to build growth and they may have been a little more generous with payouts, but going forward, would that change and specifically folks like YouTube, or maybe Spotify that become more dominant could you see them squeezing harder . Finally, on Pocket Aces , you articulated your rationale for doing this very clearly. I 'm just curious if we did a build versus buy analysis, how do we feel in terms of time and costs that would have taken to build this out organically versus what we paid for it?

Vikram Mehra: So, let me answer your Pocket Aces question first. In the case of Pocket Aces, we indeed debated between build and buy. The issue is, culturally , we are a traditional family culture driven organization . We create content which appeals to the more mainstream audience that wants to watch content along with their families. For me to go back and say that wh

ether within the fold
of Saregama we could go out and create content, which is more rebellious in -your-face kind of content, it would be a difficult task . We would have had to go back and start it completely outside Saregama, not leveraging any of the benefits of Saregama . We realize d that is going to be a Herculean task, and most likely it is not going to happen. And it 's going to take a very long time. So, it's better that if we are able to get the number one player in this particular space , which is professionally run, and has got a formidable reputation in the market. From the cost perspective also right now , may make much more financial sense. And mor e importantly, we are able to capture that digital audience today when that transition is happening , rather than later . And we are immediately seeing the impact of that . Every major movie studio head has already called us up. And they have taken notice of this fact and congratulated us about how we people are thinking of the future. So, we know that it is going to give us the benefit immediately in the content acquisition space . That's the second part of your question, the first part on the consolidation that may happen on the OTT side. Firstly, I have already stated how big the kitty can be . I will repeat we believe that when the transition is happening from a free econo my to a paid economy we are looking at the kitty that we generate from streaming platforms to go up

by anything between one and a half to three times in the short run. The dynamic is very simple . I will explain it to you . On average when a free customer listens to a Saregama song, we get paid on an average Re.0.10.. But if you are a paid customer listen ing to my music, then our deal primarily is that whatever ,the customer, has paid to the streaming platforms, around 50% of that is going to be earmarked as content pool. And that content pool will get divided equally among all the songs that you heard during the month. So, now let ’s take through a number that suppose you are paying Rs.100 to your streaming platform on a monthly basis, which means that content pool is equivalent to Rs.50. An average Indian customer is listening to 64 songs on a streaming platform .. If I look at that number, then everybody gets paid close to Rs.0. 80, Rs.0. 90 let ’s not look at that. Let ’s say you are hardcore customer and you listen to 100 songs in a month that means I get paid Rs.0. 50 per stream. Even if you are not committed Rs.100 per month you commit a Rs.50 bucks per month. Then also we get paid Rs.0. 25 per stream . So, there is a large amount of upside which is sitting in there with all of us music labels once the movement happens from the free to the paid side. Your other question was , if consolidation happens, remember India is a very competitive market. But if I look at America to day, there are only three big platforms playing out there. There ’s Spotify, Apple, and Amazon , there is nothing else. It’s not gone out there and diluted the position of the three of the big music labels that are sitting in ther e. We have seen a similar situation happening in India, because what we are selling or licensing is not commodity. If you are fan of a song that you have grown up with, or if you have a favorite Shahrukh movie or Amitabh movie or Ranveer movie, then you are going to listen to that song . That song cannot be replaced by some other song on the platform just because my song was not available . You make go out and switch platforms. So, in the IP vs platform game, we strongly believe that we people have equal footing with them .

Sukhriti: Got it and really helpful, could you use any dimensioning around the extent to which things should fall as the MG is falling ?

Vikram Mehra: So, again, it all depends on phasing . You have three of the guys out from w

hom Mgs have
completely gone and we are now building the subscription business there . There are three big guys - the number one, two, three players are still there in the market on the free side . It all depends on whether a single guy goes out and other two remain, in which case it will be all be in a phased fashion. If all three go out, it doesn ’t make any impact. But that also means that the growth in subscription revenues is going to be that much deeper. So, there may be a big dip for a quarter, but a massive increase coming from maybe the third quarter onwards. If they go behind a paid wall in a phase d fashion, then there may be small dips happening over one, two, three quarte rs and an equally gradual improve ment that ’s happening on the subscription side. All that is a matter of 12 to 18 months, and the endeavor of our Company is that we counter or neutralize the impact of this to whatever extent possible by increas ing our YouTube revenues and our publishing revenue.

Sukhriti: And could you give us a sense of what percentage of the revenue today comes from minimum guarantees?

Vikram Mehra: I can ’t get into those specifics . But remember there are only three platforms left. Everybody else is behind paid wall s and all paid wall guys work on a variable basis .

Sukhriti: Got it . And of those three, all of them are at the minimum guaranteed level or could some of them be paying you more than the MG ?

Vikram Mehra: You are getting into specific s. But what I can tell you is in majority of the cases, in the earlier days when everybody was there on a free si de, our M G numbers where typically anything between 90 % to -120%. And these deals were renegotiated every year, to ensure that there is some amount of parity which is maintained.

Moderator: Thank you. The next question is from the line of Yash Bajaj from Lucky Investment Managers . Please go ahead.

Yash Bajaj: I had a couple of questions on Pocket Aces . So, first is that I wanted to understand how different the business model is if I compare it to the traditional Saregama model and it could be really helpful if you could answer that in context with the P&L and balance sheet , that’s my first question.

Vikram Mehra: So, see o ur primary business model right now on the music side or the film side was to create IP and license it out to platforms - that’s a primary model. We don ’t take our content to the customer directly; we license it .. The primary business of Pocket Aces is to create content and get brands get integrated into the content . That content is going to be hosted on their own Instagram pages or influencers ’ Instagram pages. That ’s why these guys have got a massive strength going on , on the brand relationships. Saregama wants to evolve in that space , so that we are not only dependent on platform s, but can make some money directly from the brands. When these two strengths come together the net result is more than the sum of the individual parts. Have I answered your question ?

Yash Bajaj: Yes. So, just to understand , Saregama is more of a catalog model where t he catalog is the inventory.

Vikram Mehra: Not catalog ue model . Catalog ue is old content . We are an equally strong player in the newer content . Our business is to create IP , retain the IP and license it. Pocket Aces, on the video side , does exactly the same thing. They also create content , create more content on the web series side, than the film side . But that 's a video part of the business, which is a smaller thing. The bigger part again is , they create content and rather than licensing it to anybody they get brands to come right up front. And that becomes a business model.

Yash Bajaj: Okay . So, is there anything significant on the balance sheet of Pocket Aces th en?

Vikram Mehra: No.

Yash Bajaj: I am aski

ng from how Saregama creates the IP, and it forms part of a balance sheet ?

Vikram Mehra: So, our IP does not form part of the balance sheet . If you look at my older songs, we are not keeping them on the goodwill basis right now on our balance sheet . These guys follow the similar model . They charge of f the entire cost of the content in the years in which they are creating the content and booked the corresponding revenues, that are coming. I just want to clarify , that we have invested in Pocket Aces , not because of the IP that they have created. But it's because of the digital follower base that they have, which believes in them and the capability to create content, which is relevant to the younger people, . The content that has been created and sitting with them as an IP owned by them is the least of the reasons because of which we have invested. I hope we have clarified that part.

Yash Bajaj: Yes, thanks for that. And the second question is , for follow up to Pocket Aces only that are there any exclusive agreements with these influencers or how are the agreements like deals?

Vikram Mehra: Typically, artists management contract s for whatever mandate artists is giving you are exclusive in nature . I want to clarify this in continuation with the question that asked - what is the artist looking for , why does an artist want to go out there and sign up with any Company and share his revenue with that Company ? There 's a reason artist wants to do it - every artist wants to become even bigger. And how do you become bigger ? By becoming more visible . Saregama has the ability to make its own artist big but the only access we had till now were to our own music videos . Pocket Aces , the only access they had was to create content for the influencer for the Instagram and the YouTube world. Now content creation for our artist is going to be done by Pocket Aces and for Pocket Aces the creators can now start appearing in the music videos for

Saregama . So, for an artist it becomes the ultimate destination where he or she can become big using the IP creation power of both the companies' combined. Which means Pocket Aces, which is already the number one player in the digital influencer space , should be able to grow that part of the business at a significant pace.

Moderator: Thank you so much sir. The next question is from the line of CA Garvit Goyal from Nvest Analytics . Please go ahead.

CA Garvit Goyal: Sir, you have earlier guided for 22% to 25% growth if we take the growth segments, then going by that we should have reached somewhere around 900 crore by FY24, but in H1 we did only 340 crore, s o although we were supposed to be entirely organic growth, but even if I add Pocket Aces that will contribute in Q4, maybe around 30 crore. So, are you confident enough that we will be able to make the revenue 530 in the second half?

Vikram Mehra: 22% to 23% is the growth that we have been seeing for this financial year. You have to give me time till the 4th Quarter. We'll see about 75% of the revenues for the Films verticals coming in that particular quarter. So, for this reason, though there are serious pressures on shorts and the streaming application s going behind the paid wall, we are still hopeful about our growth rates with these acquisition s on a combined basis, though we will get Pocket Aces numbers only for a few months, we should be somewhere close . We're not changing our guidance for 2 2-23 as of now.

CA Garvit Goyal: Understood. And sir secondly on the acquisition of Pocket Aces only, I agree it is beneficial for the Company in the longer term definitely it is going to be as you explain ed, but it doesn 't fall under the intended utilization of Q IP, and i t is not a music label, it is more of a web series creator . So, with this acquisition, don 't you think we are goin

g against the strategy of strengthening our music IP with the songs that were released during 2005 to 2020 making at the time of QIP?

Vikram Mehra: At the time of Q IP, since I was ad dressing at that time, I said anything that helps our music business. Now music business has got three arms which are helping music business today. One is just pure IP buying either new content or older content i ts somebody else 's catalog , that's one . Anything that helps me make my position better in terms of acquiring newer content which is the marketing power that you ended up getting it. This is where Pocket Aces fits in beautifully when I now go to a movie studio and say that we want to acquire the content that you guys will be releasing on terms of the song. And we put combined power of 100 million o f Saregama on digital side, and another 95 million from Pocket Aces we become that much more attractive, vis-à-vis any of our direct competitors. So, this acquisition is helping us a lot in the new content acquisition space . I'm also telling you there 's a third space also out here, which is the AI for technology space . The old ways of buying music is all about go ing out there and pick ing up a song, is valid but there are other areas today . It's not just about just getting music but it's about making the music become very big . Their marketing is very important . Technology start s playing a very important role here that tomorrow there 's a great AI based firm which has built specialization in that area, we may even look at that - essentially anything that helps our music

business. We are not going to start using the se funds for our Films business or an event business or a Carvaan kind of a business , that will all be managed right now through our internal goals .

Moderator: Thank you. The next question is from the line of Govindarajan C from CS IM. Please go ahead.

Govindarajan C: A couple of housekeeping questions to start with , in your notes to account there is a mention of 15.32 crores of provision written back. Could you tell us where this is directly to the balance sheet or has been taken through the P&L, the P&L that hasn 't been accounted for , that's question number one. Secondly, we see a significant increase in inventory in the first half. What is that due to, and the third question is something that you answered many times but just wanted some clarity. What is the total amount that 's spent by the industry on music acquisition every year. You've mentioned the number of 800 crores, and you want to be 30% of that. Is this the cash outflow or does it include commitme nts based on minimum guarantees, etcetera or is 800 crores will be outflow each year that is made by the label . These were my three questions.

Vikram Mehra: So, l et me answer the third one and let Pankaj take the first and second. The total size of the industry this year of total content sold should be closer to 1000 crore . 800 crore was the number two years back. When we are s aying 1000 crore , it doesn 't mean 1000 crore cash flow will happen. Typically, when we acquire content, especially on the film side, music is the first right that any of the production house ends up selling. At that time, we just pay a token percentage to block and sign the agreement . Real cash outflow start s happening out closer to the release of the film. But that also means that a movie that we acquired maybe in FY22, or FY23 payouts may have happened , in FY24. Though we had acquired the rights in 2023 but the movie never got released, and hence the songs were not released. So, that answer to your question number three.

Pankaj Chaturvedi: On the note that you 're referring to , this is in the normal course of business wherein we take provision based on estimates and we actualize that in the subsequent months or quarters. A

s a

good practice , we've been disclosing this. That's question number one. Question number two was on the increase in inventory. This is on account release of film music which we bought and our investment in Yoodlee Films.

Moderator: Thank you so much . Ladies and gentlemen , we would take that as our last question. On behalf of Emkay G lobal Financial Services , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Date : 15th February, 2024
The Manager,
Listing Department,
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Phiroze Jeejeebhoy Towers,
Dalal Street,
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Scrip Code: 532163

Subject: Q3FY24 Earnings Conference Call – Transcript

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Q 3FY24 Results Conference Call held on Friday, 9th February, 2024 at 2:45 P.M. (IST) for the quart er and nine months ended on 31st December, 2023.

This information is available on the website of the Company www.saregama.com .

You are requested to kindly take the afore -mentioned on record ..

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer
Encl : As above

“Saregama India Limited
Q3 FY '24 Earnings Conference Call ”
February 09, 202 4

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR – SAREGAMA INDIA LIMITED
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER – SAREGAMA INDIA LIMITED
MR. SAKET SAH – GROUP HEAD, INVESTOR RELATIONS AND ESG REPORTING – SAREGAMA INDIA LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR RELATIONS – SAREGAMA INDIA LIMITED

MODERATOR : MR. PULKIT CHAWLA – EMKAY GLOBAL FINANCIAL SERVICES

Moderator: Ladies and gentlemen, welcome to the Saregama India Limited Q3 FY '24 Earnings Conference Call hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Pulkit Chawla from Emkay Global Financial Services. Thank you, and over to you, sir.
Pulkit Chawla: Thank you, Tushar. Good afternoon, everyone, and welcome to the Saregama India Q3 FY '24 Earnings Call. From the management, we have with us today, Mr. Vikram Mehra, Managing Director; Mr. Pankaj Chaturvedi, CFO; Mr. Saket Sah, Group Head, Investor Relations and ESG Reporting and Mr. Pankaj Kedia, Vice President, Inves tor Relations. Without any further delay, I shall now hand over the call to the management for the opening remarks. Over to you, sir.
Vikram Mehra: Good afternoon, everyone. This is Vikram Mehra. The quarter 3 for FY24 saw operating revenues of INR 204 cro res and PBT of INR 70 crores. I've spent over 9 years at Saregama and every quarter we are, getting more and more clearer about what business we are in and how we're going to reach our final target.
If I have to summarize in a single line about our strategy and what we want to do, it is to create IP and then monetize that IP. That's the only business we are in and will continue to be. The IP creation can be across audio and video, which includes music as well as film, series or short -format content.
On IP , monetization is primarily done through licensing deals to third -party platforms. It also extends to monetisation of artistes who create th ese IP, and it’s done through brand endorsements and live events .
So over time, what we create and how we monetize would have got changed, but the fact that we will focus only on creation and monetization, and not getting into the services business is very, very clear. Secondly, we don't want to sit on the laurels of the past catalog ue that we have . Nonetheless, if we decide tomorrow that we don't want to invest in new content, we can easily draw very heavy margins from catalog ue content . But consciously, as a management team and our board we want to prepare this company for 20 years down the line and not just for the next 2 to 3 years.
Let me start with the first vertical music licensing. This vertical has been growing at 23% CAGR for the last 5 years . As I mentioned in our last 2 calls, this year has seen a lot of pressure on the OTT audio side. Many of the platforms being under financial pressure have dec ided to move from free to paid.
This, actually , in the long run is very good news for us. All the labels have joined hands and are, in fact, helping the platforms in their journey. We have removed our conditions on minimum

guarantees for platforms that have moved behind paywall. It will make the overall music economy far healthier . But there are short -term pains because of that.
Platforms moved to pay and the minimum guarantees going away, resulted into revenues on the OTT side being under serious pressure. We have been able to balance it to some extent by higher numbers in the other verticals but overall, there is pressure on the music side.
The good news is that all the pressure is practically going to get factored in financial year '24 itself. After this, we would have reached a base whereby anything from now onwards is going to be positive jour ney only resulting in similar growth rates that we have seen in the past from music licensing.
If you look at

the global data for, OTT audio and video, which means normal streaming platforms as well a platform like YouTube have grown by 34% in calendar year '23. And India is finally showing the highest volume growth globally on audio streaming a s well as audio plus video streaming of Music.
Please keep this in mind that India's growth is coming only on the back of just 200 million people streaming audio and some 350 million people streaming video. It means t here's still a huge headroom of growth in terms of usage lying ahead of us.
All that we need to see now over the next 12 to 18 months is this base of users finally going behind a paywall and generat ing revenue for the platforms as well as labels. It has happened

internationally. It's bound to happen in India. It's happening on the video streaming space in India. It will eventually start happening in the space of audio streaming too, give it 12 to 18 months.

This quarter saw the music release of Vidhu Vinod Chopra's 12th Fail, a movie which has won every accolade, and the music is doing very, very well. In Tamil, we had Dhanush's Captain Miller's music getting released; in Telugu, we had superstar Venkatesh ’s movie Saindhav , getting released.

In Malayalam, we had Mohan Lal's Malaikottai Va aliban's music getting released. We also released one of the rarest non-film songs that Arijit has done outside the film industry called Dil Haareya, which did very well for us. We had multiple song s by Bhojpuri superstar Neelkamal and by Gujarati number one star Rakesh Barot getting released.

But if you ask me, I think the greatest story for us has been a song released by India's biggest rapper called Divi ne. A year ago, nobody would have thought that someone like Divine is going to work with Saregama . Also, it's not just a song he has released but he has also agreed to do a concert t our across India with Saregama.

So, we have a twin relationship going on with him, on the live -event side and the music side. It's fulfilling the objective that we have been trying to pursue over the last few months - to make the brand younger and get more young er artists to work with us . Whether it's the Pocket Aces acquisit ion, or the fact that we are coming out with the latest Bollywood releases has helped change our image and profile in the industry.

Another very popular rapper in India , Krishna. released a song with us in the month of January. The songs of the quarter 2 releases Zara Hatke Zara Bachke or Rocky Aur Rani Kii Prem Kahaani in Hindi, or Kushi in Telugu or RDX in Malayalam continue to do very, very well in quarter 3 also. If I look at our lineup for the next 12 months, which is a litmus test for all o f us, are we able to generate enough amount of new content? We want to work with the best in the market in every major language.

Let me share the lineup which is one of the best lineups you can think of. We have three Dharma Production (Karan Johar) films that are releasing over the next 7, 8 months. One of them is an Alia's film while the second is a Vicky Kaushal and Tripti Dimri film. Further, t here are 4 Jio Studio films that we will be releasing over this time including Stree 2 and Akshay Kumar's S ky Force.

Then there is Ajay Devgan's Maidan, and Diljit Dosanjh and A R Rahman's Chamkila getting released. In Kannada too, we have acquired music of a couple of superstar movies, Darshan’s Devil . And Sudeep Kiccha's Max.

In Malayalam, we have Mammootty's Bazooka's music coming out. In Tamil, we have Suriya ’s fantasy film, Kanguva. It is creating lot of hype and publicity there. Its music is sitting with us. And I think one of the biggest wills be the Telugu film, Game Changer, starring Ram Char an and Kiara Advani directed by Shankar . Ram Charan is doing his first big film after the award - winning RRR,

while veteran Shankar is making a film after a very, very long time.

In Punjabi, 2 film music albums of the N o.1 star Gippy , Warning 2 and Shinda Shinda No Papa is with us .

As you heard the lineup from my side, you'll realize that we are not just a Hindi Bollywood music company. We want to dominate all th e regional languages, which will give us a good negotiation position when we talk to all the pl atforms. But yes, with all the investment that we have been making, the content charge off which includes just the content charge off and the corresponding marketing has gone up by 54% year -on-year.

I'll repeat, we are in a transitional state. Our content spends are not going up in a linear fashion. Post QIP, we were clear, we are going to step up our investments in content not in an incremental fashion, but in a step jump fashion . This means in the short run, the investments will go up very, very steeply , which will result into revenues, just about matching the content charge -offs that we are taking.

Give it another 18 months or so, and you will start seeing that the incremental revenues we are getting from these investments will start far outweighing th e charge -offs that we are taking corresponding to the newer content.

We went from a company which w as not investing in content to a company which is now taking pole position in all the languages. So, this is the transitional time that we are going through. The absolute numbers on profits are never going to dip. In the short run, they will continue to go up, but they will go up far more steeply after another 18 months or so.

With all the new investmen ts, we are holding on to our internal guideline as well as guidance to you that the payback periods have to be 5 years. The language mix is decided keeping in mind a payback period of 5 years. And post that, you have another 55 to 75 years left in front of you to keep on making money from these songs. Remember, Lag Jaa Gale is already a 60 -year-old song, and we are still making money from it.

While we invest in new content, we continue working on our catalog ue, both on promoting our existing songs using In stagram or ensuring those songs are made available in some of the newer movies that are coming out. We are using technology in a big fashion to push these songs. Also, we are creating a lot of versions of these songs. Whether it's the tech -based lo-fi versions or asking the new age artist s to reimagine and recreate the songs and then promote these songs using Instagram. All of this is giving a new lease of life to the catalog ue, and this work will continue happening.

There is enough amount of preceden ce that we see at the global level done by some of the biggest music companies whom we very closely follow and learn from. And we are realizing a lot of money can be made from the catalog ue. If I go by the last 3 years' track record, our catalog ue has been comfortably growing at 12% per annum, and I don't see any reason why it will get hit over the next 12 to 18 months . Once the OTT platforms start moving behind the paywall, I see catalogue easily managing 14% to 16% growth.

The new vertical under music licensing, is artist management. There, we have signed up artists and then we make them popular by placing them in our IP releases. Majority of them are music, but we are also using the power of our IP releases on the short format side, which is housed in Pocket Aces or maybe putting some o f them under Yoodlee Films.

Once the artist is made popular, we then monetize these artists by getting brands for them who want to use them for the reach these guys have created on Instagram or YouTube and also place them in various live events. And whatever money the artist makes, Saregama gets a share of it. So, it's an interesting model. We are making songs with them, which are

anyway paying for
themselves. But rather than using random people right now for our songs, we sign up artists and work only with them in the songs. So, the money comes not only from the songs, but by also monetizing the artist itself. We currently have 123 -odd artists, under Pocket Aces and 15, under Saregama .

As the investment in new IP increases , we see these artists becoming bigger as a result of this , allowing us to make more money. Remember, digital advertising is growing at 31% per annum and we believe a large chunk of this investment, which is moving to the digital side will finall y start following artists/influencers.

And the biggest beneficiary i s Saregama , because Clout, our artist -influencer management business that we have under Pocket Aces is the number one player in this market. In fact, recently, they won the most innovati ve marketing agency at the Entrepreneurship Awards of 2023.

And with Saregama and Pocket Aces coming together is going to give us a massive edge because compared to every other artist management agency who just manage the artists, we are the only ones who can give breaks to artists in our own content . For example, if an artist join works with Agency X, they may agree to give a margin A to them. But if they work with us, we can get, in fact, 2A margin from the artist because we are also aligning the artist t o feature in the music video /film/web series that we are doing. None of the other artist management agencies have a content business going on.

Overall , with a stated goal of acquiring 25% to 30% of all new music which is getting released in India, we are confident that our music licensing business, should be able to double its revenues in the next 3 to 3.5 years. And all this new content that we are talking about is going to be funded through our internal accruals or the QIP money.

Let me now shift gears and move to the video vertical, where we make films under the brand name Yoodlee. Digital content under the Dice brand, which is a vertical under Pocket Aces. On Instagram, we make content under the brand name FilterCopy and Nutshell . It is the explosion in the smartphone penetration and the relatively cheaper data, which is the b iggest driver of this vertical.

We are still in very early stages of video compared to music where we have got over 120 years of experience now. We believe over the next 5 years, we should be able to grow this vertical at a CAGR of 25 %, And, in a stable state it should be able to give us a 15% margin.

The way our deal structuring is done, in terms of cash inflows and outflows, what I am happy to share with y ou is that a 15% margin will result into a 21% IRR on this business. And the only capital that you need here is more in the nature of working capital, which again is going to be managed through internal accruals or maybe a small line of credit.
Quarter 3 saw the release of Crushed Season 3 and Half Love Half Arranged series from Pocket Aces (under the Dice brand) on Amazon . They were released by Pocket Aces before 11th of November, and the financial numbers you are seeing right now are only Pocket Aces numbers post-11 November . So, we don't have the benefit of the revenues of these two. I'm sharing this information just to tell you how strong our other business of Pocket Aces is.
FilterCopy, the biggest youth Instagram channel -- that is owned by Saregama through Pocket Aces, actually completed o ver 1 billion views on Instagram between January to November of 2023, making it by far the biggest thing that you're seeing on Instagram today. It is resulting into lots of brands, now chasing Fi lterCopy to get their products integrated into the video, and we see this business growing manifold.
There was not too much of action happening on the Yoodlee side in quarter 3. Quarter 4, we'll see 2 Mal

ayalam fi lms and 2 Punjabi films getting released. The live events business of ours , whose primary objective is to support the music business , saw a successful Australia to ur of Diljit Dosanjh. We also did a show with Javed Akhtar saheb on the stories behind the biggest songs that had ever been released. E verywhere, it's a music element, which is important working

with them, whether it is Diljit Dosanjh or Divine . It also helps us get into deeper relationships with the se artists, which facilitates more and more of their music coming across to us.
In the l ast call, I had spoken to you about the music learning app that we plan to launch, which will teach music fan how to sing or play instruments using artificial intelligence. All the hits' songs from Saregama from Lata Mangeshkar 's Lag Jaa Gale to Arjit Singh's What Jhumka from Rocky and Rani Kii Prem Kahaani. will be taught using this app.
And the best part is the people who do well in these courses, which are all going to be paid courses , will be given a chance to release a song or an album with Saregama . This is something that nobody else in the market can go back and support. Just like what we did many years ago with Carvaan, this will be one more way for us to monetize our incredible music library. We are hoping to launch this app sometime in March or April this year. And the way the app is being built, it seamlessly integrates with every other vertical we have in the company.
On the topic of technology, we are really going very heavy on converting all our older songs into Dolby Atmos or spatial audio. Over 2,500 songs have already been converted. The good news is that a lot of platforms like Apple are now incentivizing labels who are putting up their content in the newer format. Also, a presence in these newer formats means th at more younger people are open to the idea of listening to older songs.
Carvaan saw a marginal decline in revenues this quarter. Though the unit sale numbers have gone up, we are selling more of the lower -priced units. This is a very conscious effort fro m our side. We have further reduced sales and marketing expenses that we are making on Carvaan. We are comfortable with the Carvaan revenues going down. , Strategically , as we move ahead, we are going to move Carvaan from a retail product to only an e -commerce selling product.
Over the next 3 - to 3.5 years, we would be investing over INR1,000 crores in new content, all coming out of our internal accruals and QIP money. This will not only contribute to the immediate growth but also put company on a long -term growth path. The only reason that we are number two and not number one in the music market today is because we did not invest enough between 2000 to , 2019.
We want to go back and correct that. While we are investing heavy, we will hold on to our absolute profitability in the first 12 to 18 months. After 18 months, you will start seeing a steep increase in profitability. And from year 3 onwards, you are then looking at a step function jump and investment go ing away and a linear increase happening, the profitability should go up in a significant fashion.
If I look at the overall revenue for the company, excluding Carvaan, to continue growing at 25%, 26% CAGR over a 3–5-year period . And the overall profitability (PBT) of the company, to double in the next 3 to 4 years. Both the music vertical and the video vertical are going to contribute to this.
I'll reiterate -- it's easy for us to stop all investments and just focus on short -term profitability. We have taken a conscious call that's not the track that we are going to follow. We will invest heavy on content while ensuring that we maintain a short -term profitabi lity. But in the midterm,

we keep on increasi

ng our profitability and in the long run this company will be much stronger
than what this company is today.
You have just touched the tip of the iceberg. As the subscription economy starts taking off in
the n ext 18, 24 months, you will see lots of money being made. That is what is happening in
every other part of the world. And it's happening in the video space in India . So, the company,
which is investing heav ily, company that is using Artificial Intelligence to make the right content
selection and has got technology to ensure there's no revenue leakage that's going to be the
company, which is going to have the last laugh. And we are very confident that we are on track
to be in that position.
Lastly, I'm than kful to the Board which has declared a 400% interim dividend. This is a way of
thanking our investors for the faith and confidence they have shown in the company.
Thank you, and I'll be happy to take questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question
is from the line of Pulkit Chawla from Emkay Global Financial Services Limited.
Pulkit Chawla: So just wanted some understanding in this transition of movement to a paid platform. Now
assuming t hat these key players that have actually transitioned to the complete paid platform
would not have had a major market share, the impact on your revenues seems to be quite decent.
And particularly, your competitor hasn't really seen any impact there. So, is there any difference
in the way they deal the structure here? So, could you throw some colour round this first?
Vikram Mehra: So let me not talk about competition, that's wrong on my part. All I can tell you is that we have
a significant part of our reven ue from all these platforms. Unlike some of the other music
industry players - listed and unlisted - , Saregama -- had gone out there and struck relationships
with all the 9 platforms and got that efficiency level 2.5 to 3 years ago.
Some of the other gu ys have been able to do it only over the last 12 months. So, we already had
a step jump that we had seen in our revenues in the past. So, there was no new platform coming
in. We've already been running on full efficiency there. The impact was a little bigger on us as
these 3 platforms - Resso, Gaana, and Hungama – were significant . We have been able to
counter t he impact you are seeing on the revenue by increasing revenue from the other verticals.
The good ne ws is that come quarter 4, the entire thing will be factored in. After that, we will be
back on track to start achieving 25%, 26% revenue growth at the company level .
Pulkit Chawla: That's helpful. Second, on Resso, I think now that Resso has started to mo ve to India, do we see
any financial impact here or these users that transitioned to a different platform? And
consequently, like a company like ours -- it's not a...
Vikram Mehra: Resso had completely moved from free to paid. Revenue had come down dramatically, and
that has been factored in . This is the third quarter in which that has been factored in.

Pulkit Chawla: And do you also foresee some -- that some more players might shut shop and maybe
consolidation in the industry?
Vikram Mehra: So, who are the players that are left here ? On the paid side, you have big players like Apple,
Amazon . YouTube premium, Gaana and Hungama. Nothing is going to happen as far as these
are concerned. The movement they went to the paid side, minimum guarantee went away.
, The adverse impact on revenue has already been factored in.
If anything, the numbers are going to go up when the pay business starts taking off. The moment
the other 3 big guys who are left, which is Spotify, Wynk, and Saavn, move to paid, the overall
industry is going to jump by 2,2.5x in revenue on the audio OTT side We're just

waiting for
these 3 platforms to turn paid.
Pulkit Chawla: And finally, just a plan for the remaining QIP funds, is it to be used for more acquisitions or just
for p icking up new content?
Vikram Mehra: So, it will be used for strengthening our position in the space of music. Both organic and
inorganic opportunities are being looked at. It will be purely utilised for music. We have no
intent to use it for the video vertical.
Moderator: And the next question is from the line of CA Garvit Goyal from NVEST Analysis Advisory
LLP.
CA Garvit Goyal: First question is on the guidance side. So is the guidance that we have been provided for this
year, it remains intact or not?
Vikram Mehra: So, you need to clarify what guidance are we talking about, which guidance are we talking

about?
CA Garvit Goyal: Our top line guidance, sir? Like we were targeting a ballpark number of INR930 crores, INR940 crores for 2024.
Vikram Mehra: I've never given that guidance. So sorry, I'll have to...
CA Garvit Goyal: We have given in terms of CAGR, 22% to 25% CAGR.
Vikram Mehra: I'll again go back on this. What we people have said in the beginning is that we expected Music licensing part to grow at 23%. We are maintaining our stand that on a 3 -year basis, we see 25% to 26% CAGR at the corporate level.
CA Garvit Goyal: Then this 25% to 26% CAGR is on an overall basi s or for the music segment only?
Vikram Mehra: This is for the corporate level; we are giving a guidance of 25% to 26% CAGR over the next 3 to 5 years.
CA Garvit Goyal: Understood. And sir, you mentioned like Q2 onwards, the growth will be there in the music segment like the older pain is factored in. So, I need to understand b y growth, do you mean like

the benefit in the terms of the subscription model is likely to come in from FY '25 only? Or it will take some time to ramp.
Vikram Mehra: So let me further clarify , when I'm saying 25%, 26% (excluding Carvaan), we are looking a t 25% to 26% growth. At the end of the year, we always end up declaring the Carvaan revenues.
This growth that we are seeing is basis the business being the way it is today. It's just a new content strategy, which is going to help us achieve this. As and w hen the – audio OTT business starts transitioning to paid in 18 to 24 months, our growth and our profitability can become even better.
CA Garvit Goyal: Understood sir, and sir, you also mentioned like Spotify, Wynk and Saavn going behind the paywall. So, are there any expected timelines or the negotiations happening? Or what is the scenario right now for them.
Vikram Mehra: I'm not saying they're going behind paywall. I am nobody to go and declare that. I'm saying they are the only ones who are left, who have not gone behind a paywall. When they go behind the paywall, it will result into the entire industry behind a paywall and the revenues that music labels make from audio OTT platform s should go up by 2 to 3x.
My personal belief is in the next 12 to 18 m onths, you will end up getting these guys also moving.
A year back, we had maintained a stand that in 2 to 3 years, industry will go behind the paywall .
–In the last 1 year , 3 have already moved. Hopefully, the second part of my projection is also going to come true.
Moderator: The next question is from the line of Nitin Sharma from M C Pro Research .
Nitin Sharma: So, two questions. First of all, this INR1,000 crores content investment, is there a broader breakup in mind to how much will be spent on different categories and also some visibility on the event segment will be helpful?
Vikram Mehra: So, on the music part, -- this investment will be spread between both Hi ndi and Regional with a large share going on the regional side. We believe that regional music ends up giving you a better return on investment. The competitive intensity

out there is also on the lower side, and we are very, very strongly placed to take po le position in all the regional languages of the country.
Also, we are realizing that over the last 10 years, the consumption pattern of people is changing .
On the entertainment side, both video and music, it's changing from listening only to Hindi or English music to consuming more and more of content in their own languages - the local languages. And we are just trying to benefit from this change in culture.
Now your second part was on the live event side. See we are just 1-year old on the live event side. We are still testing waters and have not gone out there and done any massive investments.
Actually , there is no investment needed on live event. It's literally a working capital that gets stuck out there for a month to 45 d ays at any particular time.
Our focus is to primarily work with the top singers, allowing us to build a deeper relationship with them . Till now, we have worked primarily with Diljit Dosanjh, resulting into Diljit Dosanjh

giving us song s for the first tim e. Diljit, as you may know, is the biggest non -film singer in India and getting a song from Diljit is a very big thing . This speaks volumes of the strength of our relationship courtesy the live event business . .
And with Divine, who's the biggest rapper, something similar is happening . We are doing a tour with Divine , which has already helped us release a song of Divine. So, we will use live events

in a more strategic fashion to cultivate relationships. Will liv e event become a loss leader? No. Give us a year or so for us to stabilize this business. And we believe right now that there will be some amount of margin . It will be single -digit margin business, but a much higher IRR because the capital gets locked out there for a very, very short time.

Nitin Sharma: So is there any thought process in terms of how many live events you would have...

Vikram Mehra: Very early in the day ., All I can tell you is our live event business will be limited only to music. We are not competing with other people right now who do live events. We are focusing only and only on musical concert s/ musical plays and nothing else. We will go and grow this in a very slow and stea dy fashion .

Nitin Sharma: Understood. And my second question is a bookkeeping one. So, what is the other noncurrent financial liabilities and what it is like at the end of December?

Pankaj: Non-Current Financial Liabilities represents derivative liability for the future investment in Pocket Aces. That is part of the unallocated bucket. Th e liabilities are based on purchase price allocation exercise done for Pocket Aces investments.

Moderator: And the next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: Vikram the first question is on your thesis that given in 18 months, we see many people go behind the paid wall. It is just to play Devil's Advocate. We've seen this in the global markets. In India, here we are quite lower on the per capita income front. So just want to get a sense of what gives you the confidence that people will shift towards prepaid economy. That is -- that was the first part.

Vikram Mehra: We don't break the chain of thought here. The growth projection that we have been giving , is that we will be able to grow the company at , at 25- 26% (excluding Carvaan) and should be able to double our profits in the next 3 to 4 years. This is independent of audio OTT business turning, going behind the paid wall. I wan t to make that point very clear. As and when we move behind the paid wall, that's a cherry on the top.

Now the second part about what gives us the confidence. I was asked a very similar question in 2006 when I was part of a different company. On the DTH s ide saying that what was giving us confidenc

e that DTH will ever take off in India when the rates of DTH was twice that of cable in 2006. And here, you had not 1, not 2 at that time, 3 big platforms going away. And even today, they are at a very, very sign ificant scale in spite of having a rate which is higher than cable.

If you start looking at the video OTT platforms, whether it's Jio or it's a Hotstar or it is a Voot, Sony Liv, Zee5, Netflix, Amazon, the numbers are significantly high. So, it's not that Indians don't want to pay. But you need to give them value and need to somewhere stop the availability of free content. Then people are ready to pay for entertainment.

So, the key part is the 3 guys who were giving it free have to go behind the paid wa ll. Piracy is dying in the larger cities. So, somebody sitting in Bombay, Delhi, Bangalore, Calcutta, Lucknow, Jaipur, will opt for a paid subscription as long as the pricing is reasonable . It does have a INR500 per month market also on the music side. Yet, a double -digit number on a per monthly subscription is something most Indians will be very comfortable paying.

So yes, I'm very confident that these 3 players, as they start moving more aggressive ly on putting their content completely behind a pay wall, which we will very strongly support as music labels, you will see that economy taking off in a very big fashion. You already see that on a big platform like Spotify, they have made the free experience reason ably bad.

It's still available for free, but the number of breaks and advertising and the gaps that they started putting here is pushing people towards the pay side and you will see this number growing up significantly.

Lokesh Manik: Vikram, my second ques tion was on live event vertical -- so globally, what we are seeing is Music is dominated usually by the non -film music and single artist? Is that a trend you're seeing in India, or you would have some statistics in terms of what percentage is film -music an d non -film music?

Vikram Mehra: I'm not very clear, but you said -- your voice right now was echoing. In the international market, we see what?

Lokesh Manik: In the international market, Music is dominated by non -film music. There is no film music in the international market. You have the independent baskets, like I say...

Vikram Mehra: So, the live event business -- is based on all the non -film artist s only. The two names I gave you with whom we have been working at this juncture, Diljit Dosanjh, is the biggest non -film artist coming out of India and Divine, the biggest rapper coming out of India.

We are in this quarter 4 which I'll talk about and then we talk about quarter 4, 3 months from now, have just launched a new vertical under the talent mana gement called Saregama Talent whereby we are now grooming young kids, who are very talented or musical prodigies to become

great performers with eye not only to make their music videos and songs big, but also to start pitching them for live concerts ..
So that 3, 4 years from now, Saregama becomes a label, which has a Taylor Swift or a Justin Bieber equivalent artist coming out there from our stable, who will become big, both on recorded music circuit as well as the live circuit.
Lokesh Manik: My question w as actually, are you seeing a trend change in the industry where you are seeing non-film music picking up in India versus film music?

Vikram Mehra: Yes, t hat's why we are investing on these artists.
Lokesh Manik: Okay. So, what percentage would this be? An y idea?
Vikram Mehra: See film music still dominates. There is nothing that compares with a Ranveer Singh and Alia Bhatt dancing to Tum Kya Mile or What Jhumka . There's a magic, it is something very, very different. We're a movie crazy country. But the yo unger generation is

also very open to listening
to non -film music.
And that's why we want to strengthen our relationships with all the major non -film big artists across languages, whether it's Hindi or Bhojpuri or Gujarati or Bengali or Punjabi and also start creating some of the artist s of our own.
Moderator: And the next question is from the line of Govindarajan from CSIM.
Govindarajan: I have two quick questions. First, you said the industry has done away with minimum guarantees. Is this limited to the se 3 players who have gone behind paid or the minimum guarantees are done away for Spotify, Saavn and...
Vikram Mehra: So, in general, minimum guarantees are taken out for the guys who have gone fully behind paid.
Govindarajan: Okay. So, the other 3 are st ill with minimum guarantees?
Vikram Mehra: I can't comment on that part. But the one who have gone behind paid walls don't have minimum guarantees.
Govindarajan: Okay. But you're not telling me whether the others are with minimum or not?
Vikram Mehra: Ther e are all kind s of model s, you're getting into a very specific path right now, and there are only 3 guys left. So, I'll leave it there. But the pa id platforms are all now sitting without minimum guarantees . There we get a percentage of actuals, which is the way business is done in all other parts of the world.
Govindarajan: The reason I ask is there's been a big disruption to revenues because of these going away from minimum guarantee and th at could happen with the other three as well.
Vikram Mehra: So, the beaut iful part is that other 3, the moment they go behind the paid wall, the pay economy takes off because then the user has no option. Right now, we are in the worst phase as a company, in those 3 platforms -- have gone behind the paid wall. So, money from minimum guarantees stopped, which were significant in financial year '23 and has become zero in FY'24 for us. The pay economy hasn't taken off because the other 3 continue to be there on the free side.
Though the consumer has been able to shift t o those guys, the moment those three also go away and everybody goes behind a paid wall then the pay economy takes off . This is 2x to 3x higher in revenue accrual than the free guys. For us, the redeeming feature is that , unlike some other players , we had a significant revenue coming from these guys in the FY '23 revenue base.

That's why -- on a like -to-like basis, FY '24 is under pressure. But in FY '24, you don't have revenues from any of these platforms . So, from 1st April, you will once again see a very significant growth coming in.
Govindarajan: I get that. Second, you had mentioned the total acquisition -- music acquisition of about INR1,000 crores. I mean, you're roughly talking about INR300 crores a year. Now if I look at your cash flow statement for the 9 months, you've invested about INR160 crores in new music, spent on new content. Is that the equivalent number that we are talking about, INR160 crores over the 9 months going to INR300 crores a year?
Vikram Mehra: Broadly , yes.
Govindarajan: Okay. And given your accounting policy, content charges should go to INR300 crores in about 3, 4 years. It should catch up with the regular spend in 3, 4 years...
Vikram Mehra: In any year the marketing expenses are charged off immediately . Marketing to co ntent vary from language to language. There are languages where marketing is pretty high, while there are languages, t he marketing is very, very low.
So, depending on the mix, year -on-year basis, , the marketing gets charged off immediately. And

then you t ake the first-year charge -off of that year's investment and the second or the third - or fourth -year charge -off of the previous year's investments.

Govindarajan: I think a couple of years back, had mentioned generally, marketing is about 25% of the spe

nd.

Vikram Mehra: Yes, it is on an aggregate level, yes, it is.

Govindarajan: I'm just a little confused on the 1 statement that you made that you expect to hold on to profitability in the next 12 to 18 months. Are we talking about percentage margins? Or are w e talking about absolute profit?

Vikram Mehra: There will be an improvement in profitability going all throughout. What you will see is that the revenue will grow at a rate slightly faster over the next 18 months, th an the rate at which profitability is gr owing. But over a period of 3.5 years , you are talking of profitability also doubling as revenue also comes close to doubling.

Govindarajan: Yes, it's a tricky period because this is when your content charges will go up a lot from INR25 crores...

Vikram Mehra: The growth rate on profitability may be lower than the growth rate in revenue, but the growth rate is going to be a significant positive growth rate.

Govindarajan: And lastly, for the three guys who haven't moved to paid, especially one of them who has made -- Spotify, you mentioned has made free thought so attractive. Are we seeing any change in the mix of paid with the subscriber?

Vikram Mehra: Yes, we are. I'll just leave it there. The green shoots are there all across. So, we are happy with the way things are moving.

Moderator: The next question is from the line of Keval from DSP Investment Managers.

Keval: So first of all, sir, can you throw some light on how are the payment terms different under free subscription and paid wall?

Vikram Mehra: Typically, on the free side, we get paid on an average INR0.10 per stream. If then somebody listens to our song -- say free customer, on an average, we get paid INR0.10. And if it's a paid customer, we get a share, which is roughly 50% of what the customer is paying. We get a share of that 50% based on actual consumption.

So, if you have heard 50 songs, suppose you are INR100 subscriber, then around INR50 will be treated as the content pool which will get equally divided across all the songs you heard during the month. So, if you heard 50 songs, then every song starts becoming worth INR 1 ; if you heard 100 songs, every song starts becoming worth INR0.50.

That's the pay part. Free part is INR0.10 flat on per stream heard. In the case, the platform is offering both free and pay, we charge a minimum guarantee typically. If the platform is only pay, we take away this condition of minimum guarantee.

Keval: Understood sir. So again, a question on that. So, let's say, it's up on a paid custom er, he listens to 100 songs, and he has paid INR500 for subscription. So now I understand that, that INR500, 50% of that divides between 100 songs and it's paid to the particular labels. Now in the case, let's say, he hears 1,000 songs for that INR500 of s ubscription. So, isn't it a double -edged sword that on paid wall, we might even get lower remuneration compared to free side?

Vikram Mehra: Sure. If we get 100 million customers and all of them spend 14 hours a day just listening to music, maybe you're rig ht. In that case, the deal structures are going to get chan ged once again. The younger segment, which is the early mover segment that comes in is that intense music listing part and they end up doing 100 songs odd on a per month basis.

Most people like you and me typically don't get that kind of a time to listen to music on a daily basis, month after month at that significant number. Deals are all done keeping in mind the amount of consumption, which is happening.

We are getting data on the consumption basis also. So, we know what we are getting with the guys who have turned paid. We believe at this juncture, looking at that data, the value of a song heard by our paid customer is any time between 2.5 to 5x of song heard by a free custome r.

Keval: Understood, sir. And sir, la

st question that you mentioned. Paym ents from three platforms have been stopped. So, what is the reason? And how big is the impact of that?

Vikram Mehra: Correction - minimum guarantees are stopped because they have mo ved from free to pay. And in pay, we don't charge minimum guarantees, as their pay business is yet to build up. These three had a significant play out there with us, I can ’t give you the specific s now. But whatever it is , 3 quarters have already been fac tored in.

There's only one quarter left. After that, the entire impact of these 3 players is going to be wiped out. And we people start building -- once again, giving me the confidence that we should be able to grow the revenue of the company at a 25% to 26% CAGR over the next 3 to 5 years.
Moderator: The next question is from the line of Udhayaprakash from Value Research.
Udhayaprakash: I want to understand how the performance of movie affects your screening of let's say, after movie release . Can you give in the context of an album that...
Vikram Mehra: Can you please repeat the question?
Udhayaprakash: Sir, I want to understand how the streaming of a particular album or song continues after the release of movie happened? How does the reception of the movie affect the streaming -- number of streams going forward? Can you give in the context of we say an album that hasn't been received well , but movie has performed well.
On the other hand, the album that has been received very well but the movie didn't perform well. How much impact does it make? And how does it affect -- because the acquired content based on the story and based on, we have our own calculations, payback [in audible] performance of a movie, does it change those things. Does it have a huge impact on it?
Vikram Mehra: At a very broad level, a movie performance does have an impact. But does it impact very significantly, no. If you look at earlier days, 60s, 70s, 80s. If I'm going to give you the names of some of the songs, I can bet that you won't even know the names of the movies, but th eir songs became very, very big. It very often happens even today that songs which are coming from smaller movies suddenly beco me very big.
But in general, if the movie is also hit like . A very good example I'll take for you right now is the movie called 12th Fail. Have you heard of the movie? It's a Vidhu Vinod Chopra's movie, which has become a massive hit. It's a very small budget film, which has become a raging hit at this moment. The a ctors were -- they're not the A category actor, they are amazing actors, but they were not the A category actor.
So, the moneys that we paid for the movie cum music right now were also on the lower side. The songs opened on the lower side of traction. We r eleased the song before the release of the film. It was not very big number in terms of streams that we were getting o r video views.
As the movie became a hit on the theatre s and has become even bigger on Hotstar, the performance of the songs on a daily stream basis have gone up by 8x. So, it has an impact. And if you like look at a movie called Zara Hatke Zara Bachke -- the producer of Zara Hatke Zara Bachke went on record saying that the only reason the movie opened up that big is because the songs be came a cult even before the release of the film.
So, there is a relationship between the music and films, but it's not a complete caus al effect relationship. I'll call it a more of a linearity effect . There is a correlation but not a 100% causal effect. So, one's success or one's failure doesn't necessarily result into other things also failing

or being successful. On YouTube, if it's my favourite actor dancing and I like the video of th at very, very well, it really doesn't matter right now whether t

he mo vie became a hit or not.
Udhayaprakash: So we can say that if the movie is performing well, we'll have a multiplier effect on the album but on the other hand, even if the movie doesn't perform well, that doesn't mean there will be an equal downside, but there will be a slight impact on the performance of the number of streams going forward.
Vikram Mehra: What you also realize is that sometimes in the music is not as per our expectations. Even if the movie does well right now, does nothing to the song. So, it's a combination. See when we pay on films, what we are ensuring is that some of the biggest stars whose face has got a crazy amount of fan following, they get connected to the music -- or the video of that song.
And hence, we get massive amount of sam pling upfront, which means the marketing money that we have to spend to make that song popular come s down dramatically because every fan is going to go there and listen to the song at least once or twice. And then the song will start working on its own.
Udhayaprakash: And sir, my second question is on the difference between our approach to, let's say, a big movie or small movie. When you're approaching a big movie that has big stars and a big production house, we cannot go ahead and give a number that you w ill achieve this number of views, but you know that certain set of audience will listen to the song, but the same cannot be assured or expected for a small movie.
So can we say that when we are -- although we are still paying lower amount when we acquired content for small movies which is more of a volume gain, can we say, similar ity in Bollywood or regional languages.

Vikram Mehra: So, what often happens is when you're working on smaller movies, it means not working with the top actors and actresses or di rectors. At that time, we put a lot of importance also on the quality of music that's coming out. There's a whole idea of applying predictive AI to decide whether to take it or not, even with the smaller actors and what is the amount of money we can make from it, that applies to every song that we e acquire in the company.
So predictive AI has got a big role there. But after that, on a smaller movie, if the quality of songs is a very decent, we just go and pick it up. If the quality of the music is also not something that people enjoy, in that case, we have said no to those movies in the past. In fact, some of these are bigger movies which released recently.
Udhayaprakash: And my final question is on, we have always been aggressive in the front of marketing -- I mean, for our new release. So how will Pocket Aces come into play in this area, marketing of a new content?
Vikram Mehra: I will just give you 1 st at out here . In this very, very short period of 45 days that the people have worked together with Pocket Aces in Q3 we had already managed a reach of 60 million on the digital side for our music using Pocket Aces assets. It's helping us magnify the popularity of our songs manifold using the footprint that Pocket Aces has.

If I remember my number s correctly, Pocket Aces has added over 120 million to our overall digital footprint. Today, we have got over 230 million subscrib ers/followers on digital media. Very few companies can claim this.
This is the biggest currency we are investing in. Tomorrow , when customers want to listen to something and brands want to advertise anywhere, this is what's going to help us and put us on a pole position compared to all other players who are maybe driving current profitability rather than preparing the company f or 3 to 5 years down the line.
Udhayaprakash: And so right now on significant stake in Pocket Aces and we also use them for marketing new content? Can we also expect cost synergies in terms of marketing going forward?
Vikram Mehra: There will be. So , rath er than

trying to go out there and just reduce cost, we are asking ourselves how we can go there and give bigger growth. There are areas in which cost efficiencies are being driven, not necessarily just to go out and cut marketing expenses. I think the g rowth opportunity is very much a bigger one sitting in front of us.
The aim is to make my songs which are released by the music side become that much bigger using th e digital power of Pocket Aces. ? Also , the intent is to make the influencer business of Pocket Aces , become that much bigger using our ability to create music and music videos so that both businesses grow at a much faster pace than they were doing in the past to achieve the synergies ? And that's the reason I'm saying we are really growing at 25%, 26% on a sustained basis, that's where all these growth numbers are coming from.
Moderator: Ladies and gentlemen, the last question for today is from the line of Chirag Shah from White Pine Investment Management Private Limited.
Chirag Shah: Sir, first, just a basic question of clarification. So, for example, YouTube has gone behind paid wall. So even if there is a free subscriber who is listening to YouTube and listening to a particular music, how would you be paid for that? And how different it i s, what is the gap versus a paid subscriber here?
Vikram Mehra: For YouTube, there are two services; There is YouTube and there's YouTube Premium . YouTube is a free part. If -- on a YouTube free part, if an ad is presented on any IP that we people control, either on our own channel or user-generated content, if an ad is being put, we get 55% of it. YouTube retains 45% of it. That's a free business M odel.
So that's free. If you move to the paid part of YouTube, you are paid subscriber of YouTube, which means no ads are going to be presented to you. In that case, whatever you're paying to YouTube, it follows a very similar model like audio streaming p latforms . Whatever you paid to YouTube - a percentage of that is earmarked as content pool, which will be divided equally across all the content you consume during that.
Chirag Shah: So, look, staying on the free part, so you are saying if the ad is played , music is played and the ad is played, whichever, you get 55% of that ad t hat -- I didn't understand that?

Vikram Mehra: Suppose you are Hindustan Unilever. You have put up an ad, your campaign is going on, paid x rupee right now for every time your ad is presented behind, before a video and between the video.

Chirag Shah: I understood now. .
Vikram Mehra: So that money will come to us.
Chirag Shah: But I presume that would be far lower on a per song basis as compared to what you get in paid. Maybe -- maybe on the paid subscriber would be 4x, 5x and more than this, right? Is that the right way to....
Vikram Mehra: Paid economy, I'll repeat what I said earlier, in general, a paid customer when he or she consumes our music ends up being 2 x to 3x more valu able.
Chirag Shah: Okay. Sir, second, a basic query, suppose in the case of a paid subscriber, okay? If the song is downloaded by him in his mobile library. I'm just using a mobile as an example. And if you repeatedly hear that when either is off -line or o nline, it -- in both the cases, it will be counted a number of times, right? So, there are algos, even if they listen to the song offline...
Vikram Mehra: Contractually, we are protected there. And all these platforms have a technology, whereby at the local cache level in the app, they will be keeping a track of how many times you heard if you are a paid customer or free customer. They also -- when you offline something, they also offer offline ads along with it. So that when you are watching something offl ine , ads are also presented there. We get advantage of all that.
Chirag Shah: Okay. So, there are algos or software availabl

e even if it is offline...
Vikram Mehra: Not now, this is over a 5-year-old technology. .
Chirag Shah: Yes, I know just. Sir, last thing is, if I have to ask you that the music content acquisition payback, how do you look at it over the next 3 years as compared to past 3 years, maybe for yourself as well as the industry. So has the payback got elongated. And if yes, how much it has el ongated versus what you have seen last year?
Vikram Mehra: Actually, it has not got elongated right now. When we started investing in newer content, when -- literally, we were buying music in la khs or INR 1 crores that time also I maintained the policy of 5-year payback period. And if you go through every call of mine over the last 7, 8 years, you will consistently hear that ou r internal benchmark is 5 year s.
We only buy content where we are confident that we should be able to manage things in pay back per iods of 5 years. Wherever we believe that the numbers are not supporting this objective we just walk out of those deals.
Chirag Shah: You are saying despite there has been some aggression in the industry, because some of this content has even gone for INR50 crores and INR40 crores kind of numbers. We think the paybacks are not getting affected.

Vikram Mehra: I'll give twin answers to this. One, if the value of the content has gone up, then the revenue from that content ha s also gone up. The YouTubes of the world or audio streaming apps or short format app s like Instagram were not giving you money 5 years ago, the way they are giving now.
Also, content pricing goes in sync with the realization we are witnessing .
Also on the competitive intens ity, in every language, there are only 2 to 3 players. There is nobody else. It is not that the 20 players are fighting th is out because entry barriers are very, very high in music industry. It is between 2, 3 players.
Chirag Shah: Sir, I was under impression that given the way recent biddings have happened for album , movie album , is there a risk that paybacks got elongated?
Vikram Mehra: No, I'll just give you an example from something I posted 2 days ago, we had released a Bhojp uri song an year ago called Lal Ghaghara, by Bhojpuri industry's number one star called Pawan Singh . And that song just two days ago, has crossed 300 million views on YouTube.
Even a 100 million was unheard of thought from 4 years ago in our country.
Chirag Shah: No, I was more referring to movie album, the way...
Vikram Mehra: In movie album, On Rocky Aur Rani kii Prem Kahaani we have already 100 million number. I have the Badshah song of Pa ani Pa ani touching 700 million. I have the songs of a Zara Ha tke Zara Bachke, two of them crossing 120 million. Many of them are crossing -- over 100 million number s on Spotify alone.
As digital explosion is happening, more people are jumping onto this digital bandwagon, and the overall consumption has gone up in a significant fashion. You have What Jhumka, which is sitting at over 260 million views on YouTube today. I have Phir Aur Kya Chahiye sitting at 240 million. I have a Telugu song from the movie Dasara sitting at 210 million, a song from the Telugu movie Ku shi sitting at 170 million. And then you have a Tere Vaaste from Zara Hatke sitting at 420 million, and movie is not even 1 year old.
The numbers are looking massive. The key part out here is that the fundamentals that are used to buy music has to be very strong. We have invested very heavily on predictive AI, which is becoming a big aid for us.
Second, we have a decentralized decision -taking mechanism so that somebody sitting in

Mumbai at the senior level is not taking all the decision. Somebody who understands the local languages is taking a decision and is also responsible for the reve nue numbers that are coming in.
Their bonuses are tied to what kind

of payback is the music selected by them giving to us . These mechanisms that we have built in the setup of ours, which is 100% professionally driven here is what gives me the confidence that we will be able to sustain this 5-year payback . And on payback even I do not even give you a guidance of 5 to 7, I'm very clear about it. It cannot exceed 5 years.

Moderator: Ladies and gentlemen, that was the last question for today. On behalf of Emkay Global Financial Services, that concludes this c onference. Thank you for joining us, and you may now disconnect your lines.
Vikram Mehra: Thank you, guys.

Call: May 2024

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Date: 31st May, 2024

The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163

Subject: Q4FY24 Earning s Conference Call -Transcript

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’) as amended, please find enclosed the transcript of the Q 4FY24 Results Conference Call held on Friday , 24th May , 202 4 at 12.00 P.M. (IST) for the quarter and financial year ended on 31st March, 2024.

This information is available on the website of the Company www.saregama.com .
You are requested to kindly take the abovementioned on record .
Yours Faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer
Encl : As above

“Saregama India Limited
Q4 FY '24 Earnings Conference Call ”
May 24 , 202 4

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR – SAREGAMA INDIA LIMITED
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER – SAREGAMA INDIA LIMITED
MR. SAKET SAH – GROUP HEAD, INVESTOR RELATIONS AND ESG REPORTING – SAREGAMA INDIA LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT , INVESTOR RELATIONS – SAREGAMA INDIA LIMITED

MODERATOR : MR. PULKIT CHAWLA – EMKAY GLOBAL FINANCIAL SERVICES

Moderator: Ladies and gentlemen, welcome to the Q4 FY '24 Results Conference Call of Saregama India Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions a fter presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Pulkit Chawla from Emkay Global Financial Services. Thank you, and over to you, sir.

Pulkit Chawla: Thank you, Manuja. Good afternoon, everyone, and wel come to the Q4 FY '24 earnings call for Saregama. From the management, we have with us today, Mr. Vikram Mehra, Managing Director; Mr. Pankaj Chaturvedi, CFO, Mr. Saket Sah, Group Head Investor Relations and ESG Reporting; and Mr. Pankaj Kedia, Vice Presid ent, Investor Relations. Without any further delay, I shall now hand over the call to the management for their opening remarks. Over to you, Vikram.

Vikram Mehra: Thanks, Pulkit. A very good afternoon to everybody. This quarter, Q4 saw an operating revenue of INR263 crores and a PBT of INR 76 crores. This is a year -on-year growth of 29% in revenue and 30% in PBT. So overall, a good quarter that we are happy about. I always start my call by reiterating a rather simplistic business strategy we follow at Sar egama. Why do we exist? What is our day -to-day work?

Our only agenda is to monetize what we own today and what we had procured yesterday in terms of IP. So, monetize today 's IP and yesterday 's IP better and better, and use the money we make from it to create IP for tomorrow. So not only does today's profitability get secured but the profitability and relevance of the company is secured for the next 15, 20, 30, 40 years.

IP creation is across audio and video includ ing music film s, series and digital co ntent. We monetize our IP primarily through licensing deals done with the third-party platforms. This also includes monetization of artists who are creating this IP and it's done through brand endorsements and live events. Let me start with the first vertical, music. This includes both licensing as well as artist management. The OTT revenue this year and this quarter was adversely affected by the platforms ' movement to subscription business (3 platforms went paid) , . This meant that the minimum guarantees we were getting from t hem on the free side went away.

This de -growth was more than balanced by the revenue growth we have seen on YouTube, courtesy newer content, and the artist management vertical. With regards the artist management vertical, we have now started reporting it separately from this quarter in the spirit of transparency and it being a new business . This ensures you can get much more granularity on that part of the music business.

This quarter saw the music release of Diljit Dos anjh's Chamkila, an album which has done extremely well for us. Not only has the album done well, but also gave fresh support and boost to the older Chamkila songs recorded in the '80s and '90s. The music of Ajay Devgn's Maidaan ,

Article 370, was also released. The first song from Shankar and Ram Charan's Game Changer in Telugu and Mohanlal starrer Malaikottai Vaal iban in Malayalam also got released.

We also saw the first song of Saregama's Talent Maahi, g etting released in this quarter. The song called "Sorry " has become a massive hit among girls in the 14 to 22 age group . In Bhojpuri, we released Superstar Pawan Singh's song called Arrah Ballia Chhapra, which trended for many, many weeks. And as always, in Gujarati and Bengali, our songs have done v ery well.

Our li

ne -up for the next 12 months is all in place, wherein we have some of the biggest film music of the year. This includes three Dharma production films including one with Alia called Jigra. There are four Jio Studios film s, including Stree 2 and Akshay Kumar's Sky Force. We have Surya's Tamil fantasy film Kanguva, Mammootty's Malayalam film Bazooka, Kannada Superstar Sudeep Kiccha's film and Gippy's Punjabi film Shinda Shinda.

The latest one - I'm happy to add - a deal we closed just a fortnight ago is a very widely anticipated movie called Kalki 2898 AD . which is a Prabhas, Deepika, Amitabh, and Kamal Haasan starrer . It's primarily a Telugu film yet multilingual and we have procured the music of that too.

This quarter, the charge -off on account of the new content has gone up to 37% year -on-year, something we are proud about. I'm very happy to share that for the first time our annual investment in new music content across Hindi , Telugu, Tamil, Malayalam, Kannada, Bhojpuri,

Gujarati, Pun jabi, Marathi, and Bengali language touched close to INR 200 crores this year. This is an almost 80% jump over the money we spent on new music content in FY '23.
So, we mean it when we say that we are investing for tomorrow. We are investing very heavy in newer content. We are using technology, data analytics, predictive modelling extensively to choose what content we buy and it's bearing fruit. This is something I've been sharing and let me share it for one more time. We are in a transitional state currently, where our new content expenses are going to go up steeply resulting in incremental revenue just about managing the content charge -off. Over the period of next 18 to 24 months, this will stabilize.
After that, the content investment will go up o nly linearly, while the additional revenue that we have generated from the content we have procured over these last 36 months, will go up steeply . This means , the bottom line will grow much faster after another 18 to 24 months. With all this new content investment that we are doing, we maintain our payback period of five years. This is our internal benchmark and guidance we work with and happy to share we are doing better than that. And remember, after these five years are over, we have another -- 55 to 75 years left to keep on making money from that music . Though it's tempting to focus only on newer music, we understand our bread and butter comes from our catalogue music. There's a separate dedicated team whose only job is to maximize revenues from the ol der music that we own . This is by means of creating versions of those songs or finding opportunities to promote those songs on short formats like Instagram, YouTube Shorts or TikTok outside India. Basis our track record of the last few years , we are confident that the catalogue part of our music will continue growing at a minimum of 12% per annum. Further, over the next may be 18 to 24 months, we will have

the OTT platforms start turning pa id all throughout. That means the entire industry turns pay, and the catalogue music growth after that may start going up anything between 16% to 18%.
Let me jump to the newer vertical under music called Artist Management, wherein artist s are made popular through our music IP release. And then we monetize these artists by booking them for live events, weddings, and brand endorsements. And whatever money the artists make from this, we get a share of that. We currently have 123 artists under Pocket A ces’ Clou t and nine under Saregama Talent.
As the investment in new content goes up, these artists are going to become bigger and bigger.
We're finding various opportunities to plug in these artists even in the film music that we are procuring. As we all know, the fastest vertical of advertising that's growing in the country is
digital advertising. And in this w

orld of digital, th ese influencer s and talent start holding huge
power and become a big beneficiary.
Thankfully, our vertical of Clou t under Pocke t Aces is a clear market leader and is perceived as a market leader in th e entire influencer business. Not only this the quarter saw the release of the first song of our Talent Maahi of which we are very proud . Also o n 1st April, we released a song called Useless Bhawra. This song is around one girl, which is from Saregama Talent. While the boy we are using is one of the influencers from Pockets Aces Clout called Arjun Deswal. Now this is a good example where Useless Bhawra is going to make money in its own because the song has been doing well. While both the talents are becoming popular.
Net-net, with our stated goal of acquiring 25% to 30% of all new music which is going to be released in India over the next few years, we are very confident that the music vertical (which is Licensing and Artist Management) should be able to double its revenue.
This vertical is today close to INR 540 crores. And we are confident it should cross INR 1,000 crores in next 3, 3.5 years. And all the new content we are talk ing about, that we need to cross INR1,000 crores , will be fund ed through our inter nal accruals and the QIP money.
Let me now shift to the video vertical, wherein we make films under the brand name Yoodlee (primary regional content) digital series und er the brand name Dice, which (part of Pocket Aces)and a lot of D2C channels like Filtercopy, Nutshell on Instagram and YouTube . The explosion in the smartphone ownership and the relatively cheaper data are the bi ggest drivers of this vertical.
We believ e advertising revenue, as I stated earlier, will keep shifting from the conventional worlds of television, radio and print to the digital form. And anybody who controls eyeballs on the digital part is going to make handsome money . We are still in the ear lier stages of building these verticals.
As we go forward over the next four to five years, we are looking at this vertical to grow at a CAGR of 25%. Q4 saw releases of four of our films . 2 of our films, which are Anweshippin Kandethum (Malayalam) and Warning 2 (Punjabi) did very well, and we have made profits.

Our biggest film, Malaikottai Vaaliban, a Malayalam film starring Mohanlal, did not perform that well on the box office. But thankfully the adverse impact of the same was controlled becau se of our internal policy which warrants a minimum 70% cost of the film to be recovered through satellite and digital licensing even before the theatrical release.
We have always maintained the stand that we are bullish on v ideo. Yet we are very strict about the financial policies, which allowed us to handle this less -than -expected box office performance from Malaikottai Vaaliban.
We had three more movies that were planned during the quarter, primarily Punjabi. We had to postpone the launch of these movies because that's the time when the farmer agitation was going on in Punjab . And after that, the IPL and the political rallies have started. One of those movies has already released n this quarter called Shinda Shinda No Papa and is currently running in theatr es. And if you guys read about it, you'll realize it's a big hit on the theatr e side.
The second movie, which was planned for Q4 is now going to get released in the month of June . Quarter four also saw the release of our digital series Crushed Season Four on Amazon Mini TV. Happy to share that FilterCopy, the biggest youth Instagram channel that we own, touched 1.2 billion views in FY '24. All this is great news because the advertising base is becoming bigger and bigger. We maintain a stand that video is an integral part of Saregama's IP building strategy.
Tomorrow's customer will switch betwee

n audio and video in a seamless fashion, and we need strong libraries across both audio and video to give us negotiation powers with the platforms of tomorrow. It also helps that being present on video gives us an edge in the music business. I'm happy to share that the ROI that we are managing from music, which comes from our own movies is far higher than the ROI we manage from the music we are procuring f rom third -party film producers. This is obvious because third- party film producers keep their own massive margins on top of it. While when we make the music, we are getting it literally on a cost basis .
And it's for the same reason that every major competi tor of ours has got a full -fledged films o r video business vertical within their companies.
It will be a constant endeavo ur to explore various ways of growing the video business in an aggressive fashion, but with strictest financial discipline being in p lace. We have been talking about the video business now for seven years. You have seen there is no year in which you're going to see us going crazy on our numbers. We are happy to grow in a steady fashion and with utmost financial discipline.
On the live events side, we have been back to the drawing board and relooked at the entire strategy this year.
You are going to be seeing a completely different approach we've taken in the year to come, which is FY '25. We have a few show s of Diljit Dosanjh pla nned during the year. Also, our Disco Dancer musical has now got an exhibit in Australia this year. We are also planning shows of some of the Pocket Aces' talent. In fact, one of them is called Viraj. With him, we have done many shows in Mumbai already and all of them actually went houseful. As stated earlier to all of you, we need one more year to prove the live events model, failing which we are committed to taking tough decisions on this vertical.

Last quarter, I spoke to you guys about a music learning app that will teach music fans, how to sing or play instruments using artificial intelligence. It also helps promotions of the newer songs that we are releasing. We did the soft launch of that in April, and we'll continue refining this app over the nex t two to three months before we start pushing it. We have rolled out a new retail strategy for Carvaan, wherein we will be retailing it only from e -commerce and modern trade stores.
Over the next few months, we will completely get out of individual shops, which are the implications on the entire manpower structure also we have within the company. The net result of that this year was a flattish revenue on Carvaan with a breakeven, as w e get into FY '25, the revenues of Carvaan are going to see a decline, but we should be able to touch a single -digit mid-level profitability on Carvaan during the year.
If you look at FY '25, then the good news is that the adverse impact of the three audio OTT platforms turning pay is factored in. And the remaining part of that will fully get factored in the first quarter of the financial year '25. So, from Q2 onwards, we will be back to the old growth rates that we saw in the audio OTT space a year ago.
On YouTube, quarter one may see some pressure due to April, May being completely dominated either by advertising happening on IPL or a lot of political advertising going in because of which the other brands took a back seat. So, there was some impact . But we have reasons to believe

that starting June, the YouTube revenues are going to be on track and with GDP growth looking as positive as it is, YouTube will also maintain a growth trajectory for the entire year.
Our new music release calendar is very str ong, and that gives us the confidence that we will manage our numbers. We also expect Artist management vertical to go stronger from what it is today. Overall, at the company level, we expect reve

nue, , excluding Carvaan to grow upwards of 30% in FY25.
Over the next three years, we will be investing over INR 1,000 crores in new music content. This will contribute not only to the immediate growth, but also put the company on a long -term growth path. Overall, at the consolidated company level, we expect reven ue , excluding Carvaan , to grow at a CAGR of 25% to 26% and PBT to double over the next three to four years. Both the music and video verticals are going to contribute to that. We maintain our annual adjusted EBITDA guidance of 32% to 33%.
If we look at t he global data, OTT audio and video streaming grew by 34% in 2023 with India showing the highest volume growth in terms of streams. And this is when less than 200 million people today are streaming in India on OTT, and anything between [350 million to 4 00 million] people are on YouTube. There's still a huge headroom left for growth. Now the next step i s to monetize this consumption.
It is happening on YouTube. It's bound to happen on the audio OTT platforms also. It has happened in every part of the wor ld and it will happen here also. The price at which it will happen may be different from the price at which it is happening in the US, but it's going to happen. With the price increases that some of the streaming platforms have started making

globally we see a lot of benefit coming in going forward as we are available on a Spotify or Apple or Amazon or a Deezer at a global level -
With more than 238M digital footprint , cash reserve, professional managerial depth, and investments in technology. Saregama will be able to guarantee earnings not just for the next two to three years, but also for the next 20 to 30 years. Thank you, and we'll be happy to take questions.
Moderator: Thank you very much. We will now begin t he question -and-answer session. T he first question is from the line of Swapnil from JM Financials.
Swapnil: Congratulations on a good set of numbers. So, my first question is on the music licensing revenue side. You did mention that there was a significant improvement in YouTube side of revenues. I just wanted to get a sense if there was any impact of any overflows happening during the quarter that may have benefited as well? And if yes, would it be possible for you to quantify a few numbers?
Vikram Mehra: Actually, overall, the numbers are on a steady basis. There's no one -off that has happened during the year.
Swapnil: And the second question is with respect to your Q 1 guidance that you mentioned like YouTube revenues can be reduced because of few one -offs which are there. Is it possible that, that can get set off with some incremental revenues from one of the large music OTT platforms, which was not available for a few quarters earlier? And so those revenues coming back starting given that I can see the n ames...
Vikram Mehra: Swapnil, I'm not putting a negative projection on Q1. In the spirit of transparency, I just mentioned that on YouTube, April, May has been under some amount of pressure. I'm reasonably confident that, YouTube ’s (on its own), June recovery should be smart. There may be a lot more advertising that will start, moment the elections results get declared and IPL also gets over. So, the quarter should start looking better. Anyway, as I always maintain and I've been doing it for, I think, over seven years, please look at us on a 12 -month basis. Please don't look at us on a quarter basis. And on a trail ing month basis, we are giving the guidance that Saregama's consolidated revenue, excluding Carvaan is going to grow upwards of 30%.
Swapnil: Understood. And just a last question on your cost side. If I were to look at it from a Q -on-Q basis, some of your costs like A&P spends and other expenses, they have increased meaningfully. Any particular reason that you would like

to call out wh y were these costs higher -- slightly higher?
Vikram Mehra: You are saying why had advertising increased?
Swapnil: Yes.
Vikram Mehra: I've told you right now, we have invested close to INR 200 crores f or newer content. That includes marketing money also. So, every time a new song comes out, it needs more marketing.

So, content investment is not just money that we are giving to the film producer, but also the
marketing money that are going in to it.
Swapnil: So will it be fair to say that your run rate of A &P was around INR 17 crores to INR 18 crores per
quarter for a long period of time. Now it is INR 27 crores. So, will it be fair to say that, that is
the new run rate that one should work with?
Vikram Mehra: We need to look at a INR 1,000 crores investment ove r the next three years . This includes some
money that we will be paying to the film producer or the production budgets plus marketing
money that will promote these songs.
Swapnil: Okay. And just the last one on the other expenses. Because other expenses, if I recall correctly,
there used to be a meaningful impact because of Carvaan. And Carvaan, I think, has not done
well in this quarter . So, any reason , still there is a decent delta Q -on-Q? .
Vikram Mehra: I am asking Pankaj here...
Pankaj Chaturvedi: Swapnil, on the other expenses, we had mentioned earlier also, we had one contingent liability,
which is now settled. Yes, that was the charge taken in Q1. O n an overall year -on-year basis,
you will see some increase in other expenses. Otherwise, no major one -offs over there.
Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.
Ankush Agrawal: Vikram, broadly I wanted to understand a bit about this artist management side of things. If like,
we have qualified, what kind of reve nue streams we are looking at over there? But qualitatively,
how big of that business is currently in the overall music licensing side ? Is it like it is less than
10%? If you can guide a bit on that? And three years down the line when you're saying the mus ic
licensing plus artist management would be double. And at that time, would it become a larger
proportion than what it is currently? Or do you expect a steady state it would stay range bound?
Vikram Mehra: What you see in this quarter is not steady state, it is going to become bigger than that. Is it going
to take over the licensing part of the business? No, it's not. At the end of the day, artist
management is a by -product of the business of music licensing. L et me reiterate our philosophy,
if we are rele asing six songs in a particular language, we start wondering that why are we making
the artist big and not getting a benefit out of it? Because as the song becomes a hit, it's not just a company that owns a song
that makes more money, but the artist also become that much more
popular. .
So hence, this part that if we can take a position on their artists, there's no additional investment
I'm making on their artist. I was anyway doing the song with them. Only thing we are now making it pre -conditional to the
artist that if you want to do a song with us, you will have to –
get into a long -term agreement with us. And then see if we can make money from this person
basis wedding s and brand management.

Ankush Agrawal: Right. Got it. But directionally, would it be, let's say, 20%, 10% of overall pie, something like
that...
Vikram Mehra: Let's give it a year. Again, as I repeat , the good part about this is as a by-product it does not take
any major investments from our side. It's only the manpower which is sitting in there to manage these artists and that's it.
Ankush Agrawal: Yes. The reason I was asking this was that we know that music licensing is the most profitable part of the
busine

ss, right? And here, say, events and weddings that we 'll do with the artists, that
might not generate the similar kind of long -term revenue or, say, the profitability that would be
there. So just trying to understand that.
Vikram Mehra: The overall company, guidance , is 32% to 33% on an adjusted EBITDA basi s. The only thing
which is left after adjusted EBITDA is the charge-off we are taking on new music. There's nothing else left. E verything else is
before that, that will give you an idea. So , if I'm saying 30%
growth on the overall basis, that doesn't mean we are reducing our guidance on adjusted
EBITDA. We can't afford to have a situation where an artist management vertical grows at a
significant fashion but generates no margin for us because then I can't hold on to 32%, 33%
adjusted EBITDA guidance.
Moder ator: The next question is from the line of Lokesh Manik from Vallum Capital.
Lokesh Manik: Yes. Vikram, my first question was more of a clarification. So going by the content charge for
the year and your accounting policy that you have explained over the years, just a back of
envelope calculation suggests a deal value, new music deal value coming close to somewhere around INR150 crores. Would
that be right, or you would still stick at -- or should we take
INR200 crores, as mentioned by you for this year?

Vikram Mehra: A lot depends on which quarter, what has got released. K eep that in mind because – even the first-year charge-off happens , uniformly over the full year. Marketing happens instantly , so phasing has a very important role here. But that's why w e decided that we will share with you this time how much have we a ctually invested during the year.
Lokesh Manik: So, the INR200 crores, so that was -- so I should take INR 200 crores because I was under the impression there might be some INR 50 crores non-music addition content on some other verticals, from some other -- but that's not the case, right?
Vikram Mehra: That's not the case. Like I shared, INR 200 crores, please, for everybody, I'm stating this. This INR200 crores is on music content that we hav e invested across multiple languages.
Lokesh Manik: Understood. Understood. Vikram, my second question was on Pocket Aces. So, this vertical, you are expecting a 25% CAGR going forward. This would be after taking in benefit of synergies of Saregama or prio r to the acquisition, they were independently growing at this rate?
Vikram Mehra: The synergies of Saregama are going to be there. I think the bigger driver of synergies for Saregama is the cost management. Pockets Aces, when we acquired was a loss -making unit, marginal losses only. As we go forward, we have promised you that this year, FY '25, we will

ensure that it turns breakeven or a very small profit at Pocket Aces level. And that's primarily getting driven right now out of the synergies with Saregama. Lot of cost structure that those guys are having right now, we are removing them because they can just ride on our infrastructure expenses.
Lokesh Manik: Okay. So , the synergies are on the cost side, not on the top line. Top line, they were growing any which way 20%, 25%?
Vikram Mehra: Yes.
Moderator: The next question is from the line of Pulkit Chawla from Emkay Global Financial Service.
Pulkit Chawla: Congratulations on a good set of numbers. Vikram, you were obviously highlighting that you'll be able to ramp up the content acquisition as such. Now so would you be looking to ramp up the number of songs? Or are you looking to, let's say, ramp up more expensive song as such? Or would you probably get into more digital music wherein the past, you've highlighted that ROIs have been better?
Vikram Mehra: Yes, we will do a little bit of everything. When you buy music, you obviously take some punts on more expensive premium content coming from artists who are very

well established. A t the same time, we keep on in vesting in the newer artists. The risk -reward patterns are very, very different in both these situations. You are investing in the premium guys; the risk is relatively lower because they already have a large established fan base. But they come expensive, s o the return profile is also on that way.
When you are working with absolutely fresh artists, the risks are massive. But if any of them clicks, the returns can also be massive. So obviously, it's a balance of the 2. It's a balance of film music and non-f ilm music. It's a balance of Hindi, Tamil, Telugu, Malayalam on one side, and Gujarati, Bhojpuri, Haryanvi, Odia, Chhattisgarhi kind of languages on the other side .
Pulkit Chawla: Right. Fair enough. And my second question is, how does the performance of music typically vary -- if you're comparing, let's say, theatrical release compared to a direct OTT release? Where I'm coming from is just trying to understand if, let's say, Chamkila was a theatrical release, how would have music done differently as compared to when it's toda y released directly on Netflix?
Vikram Mehra: Let me put it this way. Any film which is going direct to digital, the cost at which we acquired the music is also dramatically lower. In fact, in most of our contracts, we have the stipul ation that if a movie at the end mo ment decides not to go to theatrical (theatrical definition is , how many minimum theatres in which movie should get released), and go directly to OTT, there is a reduction we are going to get on the pricing. We are protecting and covering ourselves through that. At the same time, we are realizing that -- it's not that a movie which is going directly to digital, the music does not do well at all. Chamkila is a good enough example. Now it's a theoretical thing fo r me to answer to you that had it gone to theatre, had it done far better? I suspect it would have. But then the cost at which I would have got the music also would have been that much higher.

Moderator: The next question is from the line of Ankit Babel from Subhkam Ventures.
Ankit Babel: Two questions from my side. First is, you guided for a 30% plus kind of a revenue growth, excluding Carvaan. I just wanted to confirm, is it fair to assume a 30% plus growth in your pure music licensing revenue also

in FY '25?
Vikram Mehra: In that range, yes.
Ankit Babel: Because you had guided for doubling your revenue in next three years, right, so which translates to 24%, 25% CAGR. So -- and in first year, you are doing the 30% plus so what's...
Vikram Mehra: In first year, , the content investments are also going up in a step -up function. As we go forward beyond two years, then they will start growing in a linear fashion, this is because we don't have any intent to acquire more than 25% to 30% of all the newer content that's coming in as of now. And hence, the nature on a 3-year basis, we are talking of the growth pattern that you're talking about here. But immediate year, there is a 30% growth, excluding Carvaan.
Ankit Babel: Okay. That's great. So how much content investment you mentioned you'll be doing in FY '25, including marketing and everything?
Vikram Mehra: Next three years, INR1,000 crores .
Ankit Babel: Next three years, INR1,000 crores. Okay. Okay. And sir, what is the break up? Can you please provide the breakup of your intangible assets of INR 513 crores, which you have mentioned in the balance sheet? Last year, it was just INR 114 crores. T here is an increase of INR 400 crores.
I understand a part of it would be because of Pocket Aces. But can you just give me the incremental breakup, the breakup of the incremental number of INR 400 crores?
Pankaj Chaturvedi: Yes, broadly, I will tell you, goodwill is in excess of INR 300 crores. This has come on account of the acquisit

ion of Pocket Aces. Since it's a comm itted acquisition, we need to value the entire acquisition and accordingly account for in the balance sheet. There is also a corresponding liability under financial liability, you will see an increase, which is for the balance 48% stake acquisition. So pri marily, that is the reason for the spike. Otherwise, the increase in intangible is only on account of the songs that we acquire.
Ankit Babel: So incremental INR 400 crores, out of that INR 300 crores is goodwill and INR 100 crores is the songs?
Pankaj Chaturvedi: It's the music assets, yes.
Moderator: The next question is from the line of Aashish Upganlawar from Inves t Q.
Aashish Upganlawar: Yes. your comments are pretty helpful in terms of understanding where the business is going, and it's pretty comm endable the way you guys are investing in content. Just a clarification, you said that EBITDA margins, you are comfortable, I mean, looking at maybe 31%, 32%. Below that, what remains is the depreciation item, which given the step -up in investment would al so

increase by step . Is it possible to give some clarity on how much it would increase? I suppose we amortize a lot in the first year out of whatever is spent. So just a bit of a clarification would help us.
Vikram Mehra: Our guidance there is that our profitability at the PBT level is going to double in the next 3 to 3.5 years.
Aashish Upganlawar: Yes. On an annualized basis, is it possible? I mean INR 300 crores, we are investing, I think, 36% you amortized in the first year, split into marketing.
Vikram M ehra: I think we are very open and transparent about the amount of data we are sharing. I'll hold on to our 3-year guidance here that it's INR 1,000 crores music content investment we people are doing. Our revenues at the consolidated level, all verticals combined, excluding Carvaan, we are looking at 25%, 26% growth rate as we go forward on a 3- to 5-year basis. And our PBT is going to double over the next 3, 3.5 years and 32 % to 33% adjusted EBITDA , that's my long - term guidance. On a short term, which is for FY '25, we are saying our company's revenue, excluding Carvaan, should grow upwards of 30%.
Moderator: The next question is from the line of Pradeep R awat from Yogya Capital.
Pradeep Rawat: Sir, I have one question. Prior to 2020, our EBITDA margins used to be 10% to 12% and then it rolled north of 30%. Can you mention any reason for that?
Vikram Mehra: It's doing far better than what we used to do earl ier. The music industry itself has started shaping up far better. We have started investing in the newer content in a much more aggressive fashion.
If you see our investments -- and in fact, I'll say, pre -2019, we hardly used to make any investments at tha t time. So overall, we are doing well and expect to get a pat on our back from you.
Pradeep Rawat: Yes. with respect to debt, currently we don't have any debt. And in 2021 we issued capital, of INR750 crores, I think so. So why aren't we taking debt? And why are we diluting equity?
Vikram Mehra: This is a call that we people have taken in 2021, when we raised the QIP part as we people sit right now, I have mentioned this that the INR 1,000 crores music investment that we will be making over the next three years will be funded completely through internal accruals and QIP money.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investment Private Limited.
Ravi Naredi: Vikram ji, first, congratulation and best wishes for next five years, appointment as MD. I must

say, in last few years, we saw you were working, and in last 10 years, Saregama top line rises from INR200 crores to INR800 crores, while bottom line from INR 6 crores to INR 200 crores in
your able guidance. so fantastic results yo u had given, and we wish all the best. Sir, Gen G, for songs and mov

ies, new trend started in U.S. where people are liking, again, record that we play on the HMV, like this. And they are buying these cassettes -- buying these records instead of
listening m usic on this our -- other channel. So is it -- you are aware of this?

Vikram Mehra: Sir, I'm not very clear about your question. Are you talking about the music listing, which is happening now in the U.S. on Vinyl and LPs?
Pulkit Chawla: Yes, yes, Gen G. T hat is called Gen G.
Vikram Mehra: –Sir, i f you check it out on our website , we have already released nine different LPs and they are doing far better for us in U.S. than in India because very few people in India have LP players with them. In U.S., they are making a decent amount of money. In fact, I'll say, in some of the markets, even more than Carvaan for us.
Ravi Naredi: Okay. I was curious how it will impact our company, but you have already issued...
Vikram Mehra: Sir, as a company, we are conscious ly checking out what all is happening in the various part of the world. From an America, which is always ahead on the digital side, to a Japan, which is far ahead on the physical side, to artificial intelligence in terms of predictive modelling and generat ing part. We, as a company, take a lot of pride in the fact that we are not just a bunch of creative people here, but we are a bunch of tech people who are also in the world of creativity.
Ravi Naredi: Right, right, right. Sir, in first few years, whatever movies we made, I am telling about five years back or seven years back, any film we have sold again the right when first right is completed, and any money we have received?
Vikram Mehra: Yes, not many of those movies have come out because seven years haven't crossed. The couple that has, came out of one platform already licensed to the second platform.
Ravi Naredi: And how much money we receive, can you tell -- the amount?
Vikram Mehra: If you also remember or if I remind you, at that time, the movies that we were making were these INR1 and INR 2 crores movies -- the strategy of the films has changed completely from how we started in 2017. On the ROI basis, the movies have done very well for us. But whatever money they are making must be seen in the light of the fact that they are INR1 crores or INR2 crores movies. They all have gone out there to the second round. The three movies that have come out, they are all on the next platform.
Ravi Naredi: And last year, what percentage do you think ship to paid versus free consumption?
Vikram Mehra: This is on audio?
Ravi Naredi: Yes, yes, yes.
Vikram Mehra: I'll answer this question in a different fashion and something I'm very happy about now is, for Saregama, the amount of money we are makin g, we made this year from paid subscription in India. We make a lot of money right now from paid subscription of Spotify America or an Apple America. I'm not using that.
I'm saying subscription money that the platforms made in India. And they shared our pe rcentage of that across with us. That number has grown by over 40% in FY '24 compared to 23, and it has now started touching double digits in crores. You see -- and this is one top of the fact that three

guys are still not paid in India, Spotify, Airtel and Saav n have not turned pay yet. Only the other guys are paid.
If I include YouTube revenue also because YouTube also has a paid service, that is growing in a very significant fashion. The paid economy has already started showing signs of growth. I hold my guidance that over the next 18 to 24 months, subscription business is really going to take off, which is going to add to our overall profitability.
Moderator: The next question is from the line of Swechha Jain from Whitestone Fi nancial Advisors.
Swechha Jain: Okay. Sir, first

of all, I would like to understand your content cost write -off policy. I know you mentioned in the previous calls, but I'm kind of a bit confused. What I understand is we don't charge off in the same quarter , right? We write it off over three years. Am I correct?
Pankaj Chaturvedi: I'll just repeat. Our life of content is 10 years, the new content. However, the charge-off is front loaded. As we have said earlier, the marketing gets charged off immediately. An d the content

acquisition cost is distributed as 20% in the first year , 15% in the second year and remaining equally over the next eight years. So that's the content charging policy.

Swechha Jain: Okay. And sir, just one more clarification. I think in an a nswer to a previous participant's question, you were mentioning about content cost of INR 200 crores for music. So just wanted to understand, this INR 200 crores calculation that came up, was it pertaining into FY '24?

Vikram Mehra: INR200 crores odd is what we have spent on new music in FY '24. Not ever ything is going to get charged off in FY '24. Our charge -off depends on the timing on when did the music get released. If there was marketing that happened behind the song, i t gets charged off ful ly and marketing is typically 20% of the cost of a song. So that gets charged off immediately under t he marketing side.

While the remaining 80% gets charged off in a phased fashion, front loaded, but in that even the first year will get charged off over 12 months. In FY '24, when you see my charge -off, it will also have a charge-off of what we procured in '21 and '22 and '23 and also a portion of what we people have procured in '24.

Swechha Jain: Yes. Okay. Okay. And sir, would you be able to give me the r evenue breakup for FY '24 in terms of revenue from, obviously, the Music, then the Yoodlee platform, the Artist Management and Carvaan?

Vikram Mehra: If you see our results right now, there is a segmental reporting which is sitting there. You can get it. Music, which is Licensing and Artist Management, made INR 544 crores in FY 24; Carvaan business ended up making INR 130 crores odd. Video business made INR 116 crores and Events was 13 crores.

Swechha Jain: Okay. Okay. And sir, just one more question. The INR 1,000 crores that we plan to spend over three years. What I understand is that completely is going to be for the music, not on the video business, right?

Vikram Mehra: On music, we are spending INR 1,000 crores.

Swechha Jain: Okay. And how much percentage would be in FY '25? I know you said this over three years. I just want to understand -- is it going to be more in FY '25? Or it's going to be evenly spread across three years?

Vikram Mehra: See, the more granular we go , the numbers become difficult to be shared . Directionally, it is INR1,000 crores, and we have spent upwards of INR 200 crores in this year.

Swechha Jain: Understood. Understood. Sir, just last question regarding a strategy for Pocket Aces. How exactly do you think it's going to sync well wit h our business? I mean what are we thinking about it from a 3- year or 4 -year perspective? if you could just throw some light around this acquisition, sir.

Vikram Mehra: We believe that the GDP will continue growing upwards of 6%, which means the advertising business is going to grow in a substantial fashion. To sustain that kind of a GDP growth, far more consumption needs to happen, and consumption gives rise to advertising and the vertical which is showing the maximum traction under adve rtising is digital advertising. This way we are arriving at the fact that digital advertising is another huge growth factor . And you can refer to any of the projections made by various consulting companies, they're all arriving at the same conclusion, assuming that the GDP is going to grow. If we look at digital advertising,

it chases eyeballs. As a consumer yourself, when you are on YouTube or on Instagram, or on Facebook, you either go and follow an indi vidual or you follow a channel.

Channel may be an entity and that entity may be a FilterCopy, a Star or a Sony also. Or you follow an individual, which may be R J Karishma or Amitabh Bachchan. That's what people do. We, through Pocket Aces want to control both these. Our attempt between Pocket Aces and Saregama, is to control more and more eyeballs that are going out there on the AVOD platforms and ensure then that the advertising money that will follow, these eyeballs, we get a lion's share of that.

That's a business idea behind the entire acquisition of Pocket Aces. Pocket Aces has got two big areas going in here. T hey are the biggest digital influencer Management Company in India, which means more and more advertisers are now reaching out to us. and saying, can I use your influencer? The moment they come to us for influencer, we also pitched to them that why not also use a song of Saregama in whatever the influencer is s aying about your brand. Both sides can go and make some revenue from it.

Then we also own channels like Filter Copy, Gobble, Nutshell. They've got large amount of follower base on Instagram and YouTube. W e tell the brand that I will give you the influenc er, I will give you the song, and I will put it on my channel so that you don't need to spend money promoting this message of yours . Because in any ad, you need to make the ad and then spend -- first spend money on making the ad and then you spend money ri ght now in disseminating the ad. We can offer them everything together as a combination of Saregama and Pocket Aces. This is the direction in which we are moving.

There are already brands who are now liking this proposition of ours. Because when I'm off ering three things together, along with the capability also to make the video for them if needed be, it makes their lives simpler and they're able to do it at a much lower price point. And we benefit across all parts of Saregama. So digital advertising is growing in a big fashion. And we together at the consolidated level want to have a lion's share of that.

Swechha Jain: Okay. Okay. So just a clarification. The growth guidance that you gave, a CAGR of 25% to 26% over three years, so what I understand, would that consider the paid economy, which we feel is going to really go up this way or that...

Vikram Mehra: When we are giving you this growth guidance at this moment, we are saying this is independent of full subscription taking off. If the audio subscription starts taking off, you can add a few more percentages to this.

Moderator: The next question is from the line of Akhil Gulecha from Pikade y Family Office.

Akhil Gulecha: Congratulations on great Q4 results. T here was this EY report which sugge sted in 2023, there are around INR 70 lakh paying subscribers of music in India, excluding YouTube Premium. What do you think is our estimate of the number of paying subscribers today for OTT music? And how do you see this number growing in the next two, th ree years? Are there any trends that you're noticing?

Vikram Mehra: The numbers that you're talking about, they are a combination of subscribers and bundled propositions because bundling is also a common thing done by the telecom operators. And two of the OTT platforms are run by telecom operations, whereby they bundle up paid subscription along with the data packages that they are giving.

So just for you to get a better flavou r of what these numbers are. I've already told you that for Saregama, in FY '24, the money that we made from paid subscribers, non-YouTube paid subscribers, India operations grew by over 40%. W e are extremely bullish on subscription. We believe in the next 18 to 24 months, the entire economy may be moving to a subscription. Globally, there are around 650 million people who are paying for music subscription today. This is despite some of the platforms taking a serious hike over the last 30 to 60 days. But music has got that kind of stickiness that people are ready to go there and pay. This is going to eventually happen in India also. It happened in -- first between cable and DTH. Then it started happening on the video OTT side. And it's going to happen on the audio OTT side.

Now the jury is out on how many people are going to be taki ng the paid subscription. -- If I go by affordability factor, some of the numbers I can throw at you is there are some 125 million people between digital cable and DTH today. That tells you some indication of how many people are ready to pay for some form of entertainment. There is anything between 90 million to 100 million people who are on some form of a video OTT app today. So that's a range of numbers we people are playing on.

Whether it will happen at INR 50 per month, INR75 per month, INR100 per month , it's still up for debate. The number of subscribers that we can manage within three years of everybody

turning pay can be anything between 50 million to 75 million. Price point can be anything between INR50 to INR 100. That's a range in which we are playi ng. The way our deal structures are whatever the platform makes from a paid customer -- on an average, 50% of that money is distributed amongst the content owners.

Akhil Gulecha: Okay. Understood. That's helpful . Can you give us some idea? I know you can't give the exact numbers, but some rough idea of how much of a music label revenue today is coming from paid subscription versus MGs or free ad-supported revenue model?

Vikram Mehra: All I can go back and say that the subscription part is still on a pr etty low side. It's not a high side. It's just that it's showing one of the highest growth rates. .

Akhil Gulecha: Okay, understood. And second question is around the content cost. I understand that you're writing off 50% of our content cost in the first two years. So are we recovering the same amount through revenues in the first two years .

Vikram Mehra: Yes, otherwise my profitability would have taken a beating this year. .

Akhil Gulecha: Okay. Because it has been over two years since we've done the QIP. W e mu st have some data around, whatever the content we are investing in, how is the ROE, how are we recovering? Y ou are recovering more than the 50% of the content cost in the first two years itself, right?

Vikram Mehra: Yes. I have stated this, our internal policy is the payback period of five years. If I go by the last 4-year performances , we are doing better than that. I still consider that to be a beginner's luck. I'll maintain my payback guidance for five years, but we are doing better.

Moderator: Thank you. Due to time constraint, that will be the last question for the day. I now hand the conference over to Mr. Vikram Mehra for closing comments. Over to you, sir.

Vikram Mehra: So once again, thanks a lot for your patienc e. I've already given my guidance as we go forward. We believe that Indian economy is on a very strong path. Both advertising and subscription part of the businesses will keep on getting stronger. And when the customer is paying directly through subscript ion or indirectly on advertising, we want to get a lion's share of that, and we will get it both from the music as well as on the video side .

We will not hesitate in investing and taking bold decisions while being extremely strong on the financial discipli ne. We repeat our guidance that our FY '25 consolidated revenue excluding Carvaan should be growing upwards of 30%. Our adjusted EBITDA guidance remains at 32% to 33%. On a three - to five-year horizon, we are looking at revenue, excluding Carvaan , growing at 25%, 26% o

dd, while our profitability to double in 3, 3.5 years . Thank you and look forward to your support.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you m ay now disconnect your lines. Thank you.

Call: Aug 2024

Date: 12th August, 2024
The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 532163
Subject: Q1FY25 Earnings Conference Call-Transcript
Dear Sir/ Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations') as amended, please find enclosed the transcript of the Q1FY25 Results Conference Call held on Monday, 5th August, 2024 at 12.00 P.M. (IST) for the quarter ended on 30th June, 2024.
This informati on is available on the website of the Company: www.saregama.com
You are requested t o kindly take the abovementioned on record.
Yours Faithfully,
For SAREGAMA INDIA LIMITED
Priyanka Motwani
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"Saregama India Limited
Q1 FY '25 Results Conference Call "
August 05 , 202 4

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR – SAREGAMA INDIA LIMITED
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER – SAREGAMA INDIA LIMITED
MR. SAKET SAH – GROUP HEAD – INVESTOR RELATIONS AND ESG REPORTING – SAREGAMA INDIA LIMITED
MR. PANKAJ KEDIA – VICE PRESIDENT – INVESTOR RELATIONS – SAREGAMA INDIA LIMITED

MODERATOR : MR. PULKIT CHAWLA – EMKAY GLOBAL FINANCIAL SERVICES

Moderator: Ladies and good day and welcome to the Q1 FY '25 Results Conference Call of Saregama India Limited hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questio ns after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pulkit Chawla from Emkay Global Financial Services. Thank you, and over to you, sir.
Pulkit Chawla: Thank you, Neha. Good afternoon, everyone and welcome to the Q1 FY'25 earnings call for Saregama. From the management we have with us today, Mr. Vikram Mehra, Managing Director; Mr. Pankaj Chaturvedi, Chief Financial Officer; Mr. Saket Sah – Group Head -

Investor Relations & ESG Reporting and Pankaj Kedia, Vice President - Investor Relation
Without any further delay, I shall now hand over the call to the management for their opening remarks. Over to you, Vikram.

Vikram Mehra: Thank you, and good afternoon, everyone. This quarter saw operating revenue of INR 205 crores and PBT of INR 51 crores. Our revenue increased by 26% over the last year and is in sync with a guidance of 30% revenue increase in FY'25. Our EBITDA increased by 9% and is currently at 33% of the revenue which again is in sync with the guidance that we have been giving for our adjusted EBITDA.

As always, I will request you to evaluate us on a rolling 12 -month basis and not on a quarterly basis. I said this when we had a great quarter 4 last year and I'm saying the same thing in this quarter. On a full year basis, we are confident that we will end up meeting all our guidance that we have given to the market.

Let me start as always with the first vertical - music. The apparent drop in music segment revenue is on account of Carvaan which we are scaling down I can give you the comfort that the music revenue - which is a combination of music and artist management - is on track to achieve our guidance of 25% - 26% growth in the FY'25. We don't see any problem there.

This quarter saw the release of our chartbuster song Tauba Tauba from the movie Bad Newz. This song has topped every possible chart in the country - be it a Spotify, Instagram, Radio, YouTube you name it and we're there. It's the Spotify's no. 1 song in India since 9th of July. In fact, it is the global no. 1 music video on YouTube since the last 28 days . Today is the 29th day. As I talk to you , the no.2 and the no.3 song on the YouTube global list currently also belong to us.

The other songs of Bad Newz - 'Jaanam ' and 'Mere Mehboob ' - are also part of Spotify Top 50 charts for weeks now. We also saw the release of the Prabhas, Amitabh Bachchan and Deepika Padukone starrer Kalki 2898 AD. Just like the movie, the music is doing very well and has topped the Telugu charts. Other big album this quarter was of the m ovie Mandakini whose song, 'Vatteppam ' topped the charts in Malayalam language.

In the non-film category, the company released songs like Morni by Raftaar, who's a very big rapper. Then there is Kaala Chashma Laga Lijiye by Neelkamal in Bhojpuri; Piyu Maano Maru

by Kajal Maheriya in Gujarati; and the devotional song, Suno Krishna Pyaare by Swati Mishra and these are only some of the names that have taken. Overall, we released 330 + original and premium recreation songs across multiple languages which includes Hindi, Bhojpuri, Gujarati, Punjabi, Tamil, Telugu, Malayalam, Marathi and Bengali.

Our lineup for the next 12 months is all in place where we have the music of some of the biggest films of the year. In the month of July, w e have just released 2 songs

from the next movie called
Stree 2 . Both the songs are doing extremely well. One of them is global music video no. 2 and the second song is global music video no. 3 on YouTube music video charts. That means global no. 1, no. 2, no. 3, all belong to Saregama today.

Some of the movies which are going to get released in the next few months are Dharma production's Jigra which stars Alia Bhatt; Maddock film Skyforce starring Akshay Kumar ; Surya's Tamil Fantasy film Kanguva, , Mammootty 's Bazooka in Malayalam; Kannada superstar Sudeep Kiccha 's film. I have shared with you in May that this will be the year where we start the journey of future -proofing our company by investing in newer content. It will also be the year to start the process of moving Saregama from being the no. 2 label to the no. 1 label of the country.

This means this is a 3 -year period where we will buy big in terms of content, but we will always buy smart so that we have one of the best ROIs in the market. This quarter the charge -off on account of new content has gone up by 48% year -on-year. We are currently in a transitional state where our new content expenses are going up in a step -function manner, resulting in the incremental revenue just about matching the content charge -off.

Over the period of next 18 months this will stabilize. The content investment will start going up linearly after that and not in a step function . And the additional revenue that we'll be generating on account of the content we will be taking over these 2 years and the new content that we will pick up will far exceed the charge -off that will start coming in , which means the profit should also start rising steeply.

With all this investment in new content, we maintain our guidance of a 5 -year payback period. That means whatever you spend today across all languages, in a maximum of 5 years we will get our money back , and then we have anything between 55 to 75 years to make money from that content.

This quarter was the last one with the base effect of free streaming moving to pay. Two of our

partner platforms - who had contributed revenue on the free side in Q1 FY'24 - from Q2 onwards completely moved behind the paywall ., This impact gets over from Q2 onwards. On YouTube revenue front , quarter 1 saw some pressure on account of most advertising actually coming from the political advertising or was IPL advertising. June onwards we started seeing very stable growth. As we go forward in the year , we s ee the numbers looking good.
Overall, we aim for the music vertical - which includes licensing as well as artist management - to grow its revenue by a minimum 25% - 26% during the year. Artist management - the new vertical that we have under music , wherein artists are made popular through our IP releases

which may be music or short format films or longer format films , and then we monetize these artists by booking them for live events, weddings and brand endorsements and Saregama gets a share of their money.
During the quarter, 30 -plus new influencers and music artists were added, making our overall portfolio upwards of 150. These artists ,among them, have over 100 million followers and subscribers on Instagram and YouTube. As the investment in newer content goes up these artists are going to become bigger and bigger. Even t he most pessimistic estimates on digital advertising growth are giving a number around 15%. A large amount of this money is going to flow down to content which is riding on the digital platf orms.
And the might that we have between our own content and the content which is created by the artist whom we are managing, we believe we will be in e a very strong position to grab a lion's share of this advertising budget both on the music side and more importantly through Pocket Aces ' Clout. We believe we will be having a clear n

o. 1 position here.
Two of the artists on the music side released their songs. The re were Arjun Tanwar's song, Banjare that was launched, and Maahi released his second song Jaadugari . Overall, with a stated goal of acquiring 25% to 30% of all new music releases in India, the licensing vertical should double its revenue in 3 – 3.5 years, which is 25% to 26% growth year -on-year. And this entire investment is going to be funded through our internal accruals or the QIP money . No additional investments or fundraise is needed.
Let me now shift to the video vertical where we make films under the brand name Yoodlee, we make digital series under the brand name Dice which belongs to Pocket Aces, short format content under Filter Copy , Nutshell, etc and TV serials for Sun TV.
The explosion of smartphone ownership and cheap data are the biggest driver s of this vertical. We are still in very early stages of building this business. We believe , over the next 5 years, we should be able to grow this business at 25% CAGR. Please remember, every time we look at video, video must make money on its own and we are all very clear about it. But we should also keep in mind the amazing amount of impact it has on the music business. –Firstly, i t allows us guarantee d content . Since most of our competitors also have a video arm, we never want to be caught in a position where it becomes difficult for us to acquire content from the market. Secondly, the music content , which is put in a Yoodlee film ends up giving us a much better ROI than something that we're acquiring from the outside, obvi ously, because we have complete control on what music and what singers are involved in that music.
This quarter saw the release of two Punjabi films, Gippy Grewal's Shinda Shinda No Papa and Ni Main Sass Kuttni Part 2 . Quarter 1 also saw the release of Bada Sheher Choti Family , our branded web series with Maruti as a principal sponsor which was released by Filter Copy . Agra Affairs , a Dice creation was delivered to Amazon Mini TV. And Gobble had a web series called , Carpool Biryani which had the backing of the sponsor Thumbs Up.
In the last few quarters with various consolidations that are going on in the media sector, there is a little bit of uncertainty on the digital platforms and TV channels. We believe all these things

should sort themselves out over the period of next 12 months. And the market is, once again, going to have a lot of hunger with more and more of video content, both on the film side as well as on the short and long format video content side.
On the live events side we have started the Dil Luminati tour of Diljit Dosanjh in Vancouver with a record -breaking turnout of over 50,000 fans. Overall, 11 concerts were held in Canada and U.S.A. Multiple shows are planned in India and UAE in the coming q uarters. We also launched That's So Viraj - With Friends a live comedy shows with a Clout exclusive artist called Viraj Ghelani. These are great examples of synergy being drawn between various verticals of

Saregama so that the overall result is much greater than the sum of individual parts.
Two of the shows were held in Mumbai and now we are planning the shows internationally also.
As shared in the past, events business is a very high revenue, low margin but a high IRR business. So, in quarters where there are a lot of concerts, it may make our EBITDA margins look a little low. But the fact is very little capital gets locked in events business, and that also for a very short duration, which results in a very high IRR for the business even though the margins are less.
A typical scene is that if a concert is happening, our actual money is getting locked for not more than 15 -30 days, and more often than not our ticketing partner ends up giving us an advance, which takes care of the investment that we have to mak

e initially.
As far as Carvaan is concerned, we have rolled out a new retail strategy whereby we'll be selling this product only from e -commerce and modern trade stores. This entire thing is getting rolled out in various parts of the country. Over the next few quarters, we will start getting out of the individual stores. While our top line -- will shrink on account of getting out of the retail store s, we believe our profitability margins are going to improve through better control on the cost structures, which were di rectly attributed to physical distribution.
As promised earlier, from this quarter onwards, we have started sharing the Carvaan revenue number separately. This quarter, Carvaan revenue was INR24.7 crores, which is a significant drop over Q1FY24 .
If I talk long term, over the next 3 years, we will be investing over INR1,000 crores in new music content. This will not only contribute to immediate growth, but also put the company on a long -term growth path. And this is something I want to reiterate. We've always had the option to be happy being a music -only or catalogue only company and drive very high margins. And yes, the margins can be very high if we continue only being that. We believe that's not going to prepare the company for the future. We a re making these high margin s because we made the investments 30 years ago on the catalogue content. Similarly, we have to make investments today, so that 50 years down the line also, the company remains relevant and remain one of the most successful entertainment compan ies you've ever seen in India.
Also, we don't want to be dependent ever only on one vertical. And in today's digital environment, all verticals are feeding off each other. Events feed off music, music feed off films, films / are used to promote artists and the same artists are then going out there and

performing in events. So , for us there's a lot of synergy we can drive of f each other. And you will start seeing the impact of this over the next 2 to 3 years.
At the consolidated company level, we expect revenue, excluding Carvaan, to grow at a CAGR of 30% over the next 3 years and PBT to double over the next 3 to 4 years. On the EBITDA side, we maintain our adjusted EBITDA guidance of 32% to 33% with the strength of -- the IP that we own, a long -term strategic thinking, adequacy of capital on our balance sheet and a fast -growing digital footprint.
Today, we have direct or indirect control of 262 million follower internet footprint between various channels of Saregama, Pocket Aces and the artists that we people manage. Strength of all this will ensure that we will be successful in our aim to become one of the biggest and the most profitable IP company from India. T hank you, and we'll be happy to take questions now.
Moderator: Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Kavish Parekh from B&K Securities. Please go ahead.
Kavish Parekh: So, at the start of the call, you alluded that the music business needs to be looked at on a 12 -month basis. Even then music revenues are up only 7%, further margins too have been volatile. what explains this, sir? What led to the sharp fall in margin -- musi c margin this quarter? And secondly, any colour on the performance of Pocket Aces? Numbers suggest that Pocket Aces is now close to breakeven. So, is that the right understanding?
Vikram Mehra: So let me answer Pocket Aces first. End of the year, you will find Pocket Aces at a breakeven level. We are not there yet, but we will be there before the end of the year. Regarding the first one, when you're, looking at our music revenue, you have to combine music and artist managem ent.
On a combined basis we have been growing at over 23% year -on-year. In fact, this year, , our guidance is that we wil

l grow at 26%. You had a question on the profitability. Please remember,
at the moment, we started investing more and more on the newer content . As stated earlier, the increase in revenue in the initial year was just about match ing the charge -off that we will end up taking on the content . Give it another 18 months, post which the impact of the revenue will be far higher than the charge -offs that we'll be taking. And you will be seeing profitability also start

moving at the same rate as revenue.
Kavish Parekh: Right, right. Just as a follow -up on the artist management vertical, revenues from the same have started flowing in only 3Q FY '24 onwards?
Vikram Mehra: No. We started reporting them separately now. They were earlier part of the music vertical.
Kavish Parekh: All right . Thank you, sir . That was it from my side.
Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: Just got one basic data -keeping question. How much revenue comes from YouTube and Instagram for Saregama across all the segments?

Vikram Mehra: I can't give you specific platform level information, it's confidential in nature.
Yash : Okay. But you just directionally, would it be li ke a majority of your revenue o r are there other streaming platforms that also contributed o r is it more diversified? That' s what I'm trying to understand?
Vikram Mehra: We don't have dependence on any 1 platform or 1 partner to that extent. YouTube definitely is a large enough player right now, but so are the streaming platforms like Spotify, short format platform like Instagram , so are the big television channel networks who end up taking a license from our side and s o are the societies from whom we end up getting money typically in Q4. We have very consciously worked in a fashion that ther e is no overdependence on any one player.
Yash: Okay. Got it. Thank you.
Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.
Jyoti Singh: Sir, my question is on the event side performance. If you can shed some light and also impact on revenue coming from the Diljit Dosanjh concert that was held in U.S. and Canada in Q1. And third, sir, just wanted your view on the influencer side, like we are focusing to advertising through influencers. So, like a lot of focus RPSG Group to go with the influencers. So, this will be going to be our strategy for most of the group companies that we are doing?
Vikram Mehra: I'm in a position only to comment on Saregama. When we look at influencer s, we strongly believe that in the days to come, more and more younger people will prefer following their local influencers that they look up to rather than only the top cricketers or the top Bollywood actors. People go by the brand recommendation made by somebody they can relate to rather than only a movie id ol. And brands are recognizing this. So, more and more brands want to work with the influencer s. We understand this reality.
Hence, we want to build up that vertical. The key challenge is anybody can tomorrow start representing influencers. Why we are unique is because we are the only influencer management company, which is also in the business of creating content. Hence, the influencer who signs up with us, we can make the influencer that much bigger by giving them chances to appear in our music videos or give them chances to appear in the video content that we are creating for a Filter Copy or a Gobbl e or a Nutshell or a Yoodlee .
Once the influencer becomes big, whatever money influencer makes through brand endorsements, through live performances at weddings or any other mode , we end up getting a percentage share of that revenue. This is as far as the influencer part is concerned .
On the event side, remember

the nature of the business is that you invest some money for a very short span of time . Concerts typically don't require long gestation periods. If a concert is happening in the month of October, , we end up putting our money only in the month of August. In the month of September, we end up getting advances from our partners who may be doing the ticketing for that show. The money is locked in for a limited time. October, the deal gets over, money is back, brand money is also i n. So, the same money can be circulated 6 to 8 times

during the year. Hence, on the margin side, it will always be single -digit margin , but on the IRR side, it becomes triple -digit IRRs if the money is deployed properly. Hope I've answered all your questions.
Jyoti Singh: Yes, sir. Sir, just one more thing. As we are now focusing more of launching younger generation singles. So, what your comment on that side like because it will be lesser in cost. So, it will obviously going to help us to reduce our costs. So how it will go into benefit for us?
Vikram Mehra: It will benefit us, but maybe the reason that you have given may not be right. When you work with very big artists, you end up paying a large amount of money to the artist . But the marketing requirements are lower, because artists are already very well known. When you're working with

younger artists, the artist fee is practically 0, but the marketing fees are very high because the artist needs to get established in the market first.
Our strategy of investing in the newer artist is that not only do we want to make money from the songs that the artists are creating. But if the artist becomes big, the y will get invitations to perform in weddings or corporate functions or brands will like them to do brand endorsement s. We will also get a share of that money. So, unlike your big artists where you make money only from the songs, with the younger artists - the risk is higher - but the monies can be made both from the song as well as from the fee that the artists will be making.
Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.
Lokesh Manik: Just 1 question from my end. The music revenue this quarter was at INR140 crores versus INR149 crores June of last year...
Vikram Mehra: It's n ot INR142 crores. It's INR142 crores, plus INR16 crores, so it's INR 158 crores.
Lokesh Manik: INR158 crores.
Vikram Mehra: Artist management always ha s to be seen as music, please. I've been stating this.
Lokesh Manik: Fair enough. So, my q uestion was , even if you see INR157 crores versus INR 150 crores, and we had a content char ge last year at INR 18 crores for this -- the June quarter last year. So are we not seeing the throughput or there's nothing much to read into this...
Vikram Mehra: Nothing. My only part, which I said earlier also, when you're comparing INR 158 crores versu s INR149 crores number, also see us excluding Carvaan revenues on both sides . Carvaan has seen a reasonable decline in this quarter. Music licensing revenue - which is a combination of music and artist management - on its own as a vertical is very steady. But I'm continuing with my guidance of a 26% growth during the year.

Moderator: Thank you. T he next question is from the line of Pulkit Chawla from Emkay Global Financial Services. Please go ahead.

Pulkit Chawla: Vikram sir, my first question related to YouTube. So just wanted to understand the impact of realizations on YouTube compared to, let's say, sequentially you did highlight there has been some decrease because of diversion of advertising funds annulated. Ap proximately what proportion of the YouTube views that you typically do report? Is that on the Shorts platform?
Vikram Mehra: On the repo

rting side a significant number of views are coming actually from the Shorts platform . Since others start reporting all views, that's why we have to report views in similar fashion. Earlier days we never used to report Shorts . On the realization side , Shirts are fixed fee deal whereas views on Saregama owned channels and UGC on YouTube is a variable deal.
Pulkit Chawla: So, I just wanted to understand you mentioned about, let's say, because our YouTube views have actually gone up this quarter on a sequential basis, but there seems to be some weakness on a realization basis ?
Vikram Mehra: In April, May combined we saw more advertising money flowing on news, elections and then on IPL, which happens every year because most big advertisers want to advertise on IPL and nothing else. And this is what was expected, and I had said this in my last quarter's analyst call also. June became completely stable, and we were back to normal, and July has been going very steady for us.
Pulkit Chawla: Got it. Second, on the event side, this quarter, you had 11 concerts with Diljit in the U.S. Canada, but revenue obviously doesn't seem to be that high if you're comparing on a sequential basis. And you did highlight that you've had a relook at the entire strategy last quarter. So, is that -- if you could throw some light on that?
Vikram Mehra: On the events business, can you just be a little bit more specific, Pulkit. What is the exact information...
Pulkit Chawla: You've done around 11 concerts with Diljit, right? But I think if you look at the revenue on a sequential basis, there hasn't been too much of an improvement also. And you did highlight in terms of your -- you had a relook at strategy, right, last quarter. So just wanted to have some colour on as to what the -- what the new strategy has been in the event side?
Pankaj Chaturvedi: The revenues that we realize depend on what kind of structuring is being done . For our overseas events , we've got different partners managing the shows .
Vikram Mehra: The event revenue in U.S., the way we have treated it - is very different from the deals that we have in India. In India, we are managing it 100%. In U.S., it's eas ier to go out there with a local partner. And we ended up taking only our share out of it on the profit side. We didn't want to take a risk of such a large revenue coming on our books.
Pulkit Chawla: Got it. Yes, that's helpful. And my last question is on the artist side. I mean, given that you've reported, let's say, low single -digit margins for the couple of quarters that you've reported your

numbers, where do you typically see medium -term margins trending towards in this particular segment?

Vikram Mehra: Remember, there's no capital that artist management requires . All the capital is on music. Artist management on its own, apart from having a team, there's nothing else that we people are spending there. Typical margins on the music side of artists can vary anything between 20% to 30% to 40%, while on the influencer side is between 15% to 20% as the gross margin from which you deduct the expenses of your team members out there. So that's a range you are going to be in unless you have a breako ut artist coming out. Remember, this is whatever we make as additional money because there is no cost.

Pulkit Chawla: Got it. That’s it from me. Thank you very much.

Moderator: Thank you. O ur next question is from the line of Dheeresh from WhiteOak Capital Management. Please go ahead.

Dheeresh : Just for clarity, the -- in Pocket Aces, revenue is being partly reflected in artist management as well as in video. Those are the 2 places where it is getting reflected, right?

Vikram Mehra: You're right.

Dheeresh: So, when you say that INR16 crores, so you said music is INR142 crores plus INR16 crores. So this INR16 crores which yo

u're carving out now, in the base quarter, June '23 quarter, how much would have been the artist management?

Vikram Mehra: Artist management today is a combination of what we are doing with Pocket Aces. And in Pocket Aces also there are music influencers and acting influencer s as well as the artist management that we are doing within Saregama. It's a combination that you are seeing in there.

Dheeresh: Correct. So , the INR16 crores this quarter is a combination of your legacy artist management and the Pocket Aces artist management, right? In the base quarter, June '23, you would not have the Pocket Aces artist management, but you would have your existing base legacy artist management. So that legacy artist management in the base quarter, if you can give a ballpark number to that extent?

Vikram Mehra: Let me not get i nto that much of detailing at this moment. See, again, the objective is to understand that is the music business is growing at the pace at which management had given the guidance. I'm holding my commitment that we are on track for a 26% year -on-year increase on the music business, which is a combination of music licensing and artist management.

Dheeresh: But without artist management, the music licensing itself also should be in 20% plus, right? Because before we had acquired...

Vikram Mehra: There's no without -- it's the same business for us. It just that there were so many questions coming on artist management. So , we start ed reporting them separately. It's the same business. At the end of the day, those artists are appearing in my music videos. And we are taking risk by having the same artist appearing in 3 of my music videos or singing 5 of my songs. So , the revenue I'm going to make from it right now is also a music revenue. We are very clear. It is a music -driven business.

Dheeresh: Okay. And just -- I mean, I know there is some variability quarterly, but compared to the other industry peers, why is there so much deviation in the quarter -on-quarter performance?

Vikram Mehra: In the quarterly presentation, again, we have given the quarter numbers for the last, 1 7 quarters. And the nature of the beast is this. One, there's advertising revenue, which is highest in quarter 3 .Both on the video side as well as on the music side, a large contribution is a percentage of the advertising revenues, which is seasonal in nature.

Second, the way our deals are -- there are minimum -guarantee deals with potential for overflow s. For m inimum guaranteed deals , we book revenues basis only the minimum guaranteed value -- and overflows come when they actually start hitting us once we exceed the minimum guarantee. And these deals at times are allowed to live for the entire period of 2 years. They sometimes get renegotiated earlier because of various reasons. The moment we're renegotiating the deals, overflows are going to get booked. Whene ver you're looking at us, please look at us on a 12 -month basis.

Dheeresh: Okay. Understood. Thank you for taking my question.

Moderator: Thank you. Th e next question is from the line of Swapnil from JM Financial. Please go ahead.

Swapnil: So, my first question is with respect to your Carvaan revenue. Could you give a sense as to what was the Carvaan revenue last year same quarter?

Vikram Mehra: See, we have only started sharing those numbers from this quarter onwards . You have the number for the last full financial year. It will be easy for you to make an estimate from that. We have seen a decline in this quarter, I will acknowledge that. We have cut down our retail network dramatically, and we will keep on cutting it down over the next 2 quarters. By the time we end this financial year, it will become only an e-commerce and a modern trade product.
Swapnil: Okay. Got it. The second question is with respect to a multiyear deal

that one of our competitors
have signed with a global music label, which I think is helping them get better rates from global OTTs. Have you thought on those lines, getting in those kinds of deals where we align with some global music label and...
Vikram Mehra: I will not comment about competitor s. Let me tell our strategy. We, as a company, want to be taking this looking 20, 30 years ahead. The whole reason we're investing in newer content is the same. And similarly, the rationale that our fortune should be in our hand, whereby we build relations hips with each of the individual platforms rather than for a guaranteed amount of money handed over to some other labels. That means, I will have no understanding in future how Spotify is functioning, or an Instagram is functioning. We don't want to be caught in that particular situation.
Please remember, every step we are taking in this company is not looking for just the next 12 months. We are looking at anything between at least 5 to 10 years ahead. And saying in the days where there will be a limited number of platforms, there should be enough competence sitting within Saregama that we know how to read data which is coming in. A good example today is on a daily basis, my team keeps note of the views and streams of every song out of 150,000

songs , on every platform . If there is more than 5% variance in the daily views or streams compared to the last 1-month average, we take immediate actions on this.
All this intelligence that we are building on the analytics side and on marketing side, they can come only if you have direct relationships with platforms . I often say that even if somebody is ready to pay a little bit of a premium, we let go of that. We much rather prefer that we build this competency now and have direct relationship going on the platforms.
Swapnil: Fair enough. That's very well explained. The next question is with respect to how much content acquisition are we planning to -- I think in the cash flow statement, you have shown around INR47 crores of content being acquired for this particular quarter. For the full year, where will we stand?
Vikram Mehra: We have given an estimate of INR1,000 crores for the next 3 years. At a very broad level, we are looking at number of anything around a little upwards of INR300 crores.
Swapnil: Okay. And how much cash would we have on the balance sheet as of today?
Pankaj Chaturvedi: We have disclosed this Swapnil , it is more than INR600 crores if you see our cash flow statement in the investor presentation.
Swapnil: Okay. Got it. Thanks a lot. All the best.
Moderator: Thank you. The next question is from the line of Mayur Patel from 361 AMC. Please go ahead.
Mayur Patel: Just want to confirm one thing, Music and Artist Management segment grew by 6% year -on-year in this quarter. So, are we on track to deliver 25% plus for the year?
Vikram Mehra: We will grow music and licensing business of ours, which is music plus artist management minus Carvaan, at a minimum 26% . We're confident we will end up achieving those numbers before the year ends.
Mayur Patel: Sure, Vikram. Just one more thing. Can I just -- my line was not clear. Content acquisition was INR27 crores in this quarter, and you're guiding for INR300 crores for this year. Is it right?
Vikram Mehra: That's a content charge, not acquisition value.
Mayur Patel: Okay. What was the acquisition value for this quarter?
Pankaj Chaturvedi: We don't share the acquisition value every quarter. Like the guidance has been given on the content investment. That's the value of the total content that gets released during the quarter.
And the INR1,000 crores is the number for 3 years, around INR300 crores plus is a number for this year.
Mayur Patel: We are on track to achieve this INR300 crores content acquisition for this ye

ar?
Pankaj Chaturvedi: For this year, yes, INR300 crores plus is the target and we are on course to meet it.

Mayur Patel: Fair one. I will come back for more questions. Thank you.
Moderator: Thank you. Th e next question is from the line of Aashish Upganlawar from InvesQ Investment Advisors . Please go ahead.
Aashish Upganlawar: Sir, just one bookkeeping question. Would it be possible for you to share the content cost between amortization and other parts of the P&L that has gone in this quarter?
Pankaj Chaturvedi: See, the content cost is in different line items. It's part of the advertising costs as well as our depreciation. But to give a full clarity on the charge, we are reporting the entire content cost separately in the investor presentation.
Aashish Upganlawar: Okay. So, what was it this quarter, total?
Pankaj Chaturvedi: It was INR27 crores.
Aashish Upganlawar: INR27 crores?
Pankaj Chaturvedi: Yes.
Aashish Upganlawar: Okay. So, sir, I think our p olicy is of writing off maybe 38 % in the first year. So reverse calculation of this would be a right figure to go for the content expenditure that we have booked this quarter?
Pankaj Chaturvedi: Not really because the phasing of the content getting released is very important. The marketing gets charged off immediately when you release the content, whereas acquisition cost will get charged off pro rata based on when the content gets released. So, if you simply divide by 38%, that will not give you the right number.
Aashish Upganlawar: Okay. But this will incrementally keep going up over the quarters now because we have started spending on content as per any plan?
Vikram Mehra: Four to 5 quarters, you will see this number going up and then stabilizing.
Aashish Upganlawar: Right. Okay sir. Thank you.
Moderator: Thank you. T he next question is from the line of Prateek Bhandari from AART Ventures. Please go ahead.
Prateek Bhandari: Just wanted to understand as to where are we in terms of the revenue for Padhanisa? Have we started generating the revenue for that, the music app?
Vikram Mehra: No, for Padhanisa, it's still in a soft launch phase. We are still refining and working on it. That's why there's no marketing happening out there. There is revenue, but that revenue is more of a soft launch part. It will require another month or 2 before we start promoting the product.
Prateek Bhandari: Okay. And you also mentioned that for Pocket Aces, you have an intent to grow with a CAGR of 25%, and by this year -end, we shall be at a breakeven. Are we still on the same track?

Vikram Mehra: Absolutely.
Prateek Bhandari: Okay. Thanks a lot.
Moderator: Thank you. O ur next question is from the line of Akhil Gulecha from Pkeday Family Office. Please go ahead.
Akhil Gulecha: You keep saying that we should look at music and artist management as one vertical, and we will do that going ahead, but we can't look at it this quarter because there was no artist management in quarter 1 of FY '24. So , for a like -by-like comparison, we have to look at the music revenue and, it just feels like the music licensing revenue by itself, like excluding artist management, which is an inorganic acquisition. The music licensing revenue by itself has not really gr own this quarter. Why is that happening?
Vikram Mehra: I've clarified it. I'll again repeat all these 3 things. It's not an apple -to-apple comparison if you don't do artist management combination because artist management not only include the artists which are part of Pocket Aces (which is the inorganic acquisition). but also includes the artists, which are Saregama artists, which was part of the revenue in the same quarter last year. That's one.
Second, this music revenue, what you are seeing includes Carvaa

n also, which has shown a decent decline during this quarter on a year -on-year basis. These both are more accounting issues right now than anything else.
The third part -- I said this in my opening statement, -last year, 2 of the platforms which have now moved from free to pay were still free, and we had accounted for the minimum guaranteed revenue in th at quarter. Those platforms in Q2 onwards completely moved behind the paywall and the revenues have come down dramatically. We saw the impact of that in Q2, Q3, Q4 FY '24, and as stated, ha ve also been seen in quarter 1 of FY '25. It's only from Q2 onwards, that impact will completely go away.
Akhil Gulecha: Okay. It's largely because of the shift from free to paid. So , you think for the next quarter, that should go away. Music licensing by itself should be on track for 25%, 30% growth.
Vikram Mehra: From Q2 onwards, it's not even part of my denominator.
Akhil Gulecha: Okay. Okay. Understood.

Moderator: Thank you. O ur next question is from the line of Divyanshu Mahawar from Dalal & Broacha Stock Broking Private Limited. Please go ahead.
Divyanshu Mahawar : I just wanted to know a broad industry question that, if say, let all these platforms move behind a paid wall, so what impact do you see in the piracy? And is there any change in the payback period happens if all these platform moves to a pay subscription model?
Vikram Mehra: Okay. So let me answer your first one. Let's talk about markets like Bombay, Delhi , Kolkata and Chennai . If you move everything to pay, and somebody wants to say, okay, I don't want to listen to paid content neither do I want to go to YouTube, where will they go?

If you ask a random person today, they don't even know where to get pirated music any longer. Piracy in the larger cities is dying on the music side. Smaller towns, it's still there, but it's a different kind of piracy whereby the local telecom guy or somebody side load ed some pirated music on to your phone. That is still existing, it's not dead yet.
But in the larger cities and town s, the piracy has come down. We are reasonably confident that if we move everybody from free to a paid, currently, you have about 185 million to 200 million monthly active users on the free side. Some of them -- they'll move to YouTube, some of them even do side loading. Our belief i s that at least 50 million of those people in the first 12 to 18 months itself are going to move towards the paid side.
Now on the paid side, let's understand how does the math work. Our deals with all the paid platforms are like this: whatever money they make from the customer, say they make INR100 per month for the sake of simplicity. We will get on an average 50% of that money as content pool. That means platform made INR100, INR50, he is going to keep, INR50 it'll give to the content guys, which will get divided equally across all the songs heard during the month.
If the person is a heavy listener, listens to 100 songs in a month, still every song is now going to be worth INR0.50. Today, on an average on the free side, we end up making close to INR0.10. And you may go back and say, okay, he is not a INR100 customer, he is a INR50 customer, still we make INR0.25.
So yes, the realization that all of us as an industry are going to make is going to improve significantly as we move towards paid side. All you need to do is to look at some of the global music labels to understand the impact of paid subscription on the fi nancial health of the music labels.
Divyanshu Mahawar : And second question is, sir, that is are you looking that government is taking a step towards piracy issue? And how do you see this subscription movie going forward in coming years? Means, is it implementing on the ground level?
Vikram Mehra: We at the industry body, which is called IMI, work very closely bot

h with the state and the central government to bring down piracy. There is a very strong conviction at the government level to kill this concept of piracy and get everything on the legitimate side, not just on the music, but even on the film side . Even judiciary is very actively helping us out as content IP owners to help control piracy and put the people who are indulging in it behind bars.
Other part, remember, our biggest saviour on top of it , is technology. If I ask you, you or your family, how do you guys watch and listen to anything, even with video? Chances are it will be an app on your mobile phone or an app on your smart television. Very few people these days consume content through browser. In the app world, technology allows us to find out very fast that an app is infringing on our content and giving our content without taking license, . All we need is to reach out to Google or Appl e and seek their help to take actions against the app. And both are very proactive and helpful in this space.
Divyanshu Mahawar: Thank you sir.

Moderator: Thank you. T he next question is from the line of Ravi Kumar Naredi from Naredi Investments. Please go ahead.
Ravi Naredi: Sir, operational costs, do you include content cost, contract manufacturing charges, cost of production of film. This cost at higher side, INR68 crores in this quarter. What is extraordinary expenditure?
Pankaj Chaturvedi: We have the release of films. We have events. We have music also, which is on the higher side. Everything in revenue, which is on the higher side will have a higher operational cost.
Ravi Naredi: Okay. And this segment revenue ended, video, by INR46.53 crores revenue. So, what is not able to gain anything material from this video, what is this?

Vikram Mehra: As I said, on the video side, we are still in the early stages. We have -- to give you comfort once again, on the capital allocation policy, there's a very strict guideline we all abide by, which is not more than 18% of the total capital allocated will ever go towards the films , series or video segment of ours.
Within that, we hope that in the next 12 to 18 months, we will reach a situation whereby we should be able to generate 8% to 10% margins and a much higher IRR because most of the times when we are working in this space, that capital has actually come from somewhere else, and we don't end up putting all the capital as our own capital. That's what the endeavour is on the video side, sir.
Ravi Naredi: And sir, now we reached 70 -plus films in our database. So, what is your experience, which you want to share with us now? 70 -plus films we are having in our database.
Vikram Mehra: As we go forward , future strategy remains that we will be investing only in regional cinema. We are not making direct to digital films. We make only regional films that can be taken to theatre . The financial discipline is that 70% of the cost of production should get recovered before the release of the film by licensing the TV and the digital rights of the film.
The music that we end up getting out here we have far better control and hence, we get higher ROI there, which are sitting on the music side. On the video and on the serial side, we continue with our strategy at Pocket Aces that we will make content only once we have a pre -licensing or a pre -commissioning from any of the bigger digital platforms.
Ravi Naredi: Right . And sir, lastly, R ocky Aur Rani Ki Prem Kahaani movie, we are -- anyone made, and we have attached with that movie. Any such -- in future, we repeat the same performance?
Vikram Mehra: Just for your information a t this juncture, along with Rocky Rani, there was one more movie called Zara Hatke Zara Bachke. Zara Hatke Zara Bachke has done even better than Rocky and Rani in a relative sense because it was a cheaper movie. And Bad New

z, which is the movie just got rel eased, this is the first movi e whose song has remained a number 1 position both on Spotify and YouTube for 29 days globally.

Yes, our performance may not be Rocky Rani because it's better than Rocky Rani. We are very proud of Rocky Rani and Bad Newz is also from Dharma. You will continue seeing good selection of very big movies, more importantly, movies whose music has a lot of potential to go out and survive. Kalki is another very good example. Kalki has done very well in theatres -- the biggest movie of the year. And the music was ours and music has also done very well.
Ravi Naredi: Right . And you are doing very hard work. We wish all the best, sir.
Vikram Mehra: Sir, I keep on repeating this and I want to say to everyone , listen we have an option to look at only a short -term profit strategy versus preparing this company for 20, 30 years down the line.
We are very clear, while we keep an eye on today's profit, yet we are actually preparing this company for tomorrow.
Ravi Naredi: That I agree. Thank you very much.
Moderator: Thank you. Th e next question is from the line of Rohan Advant from Prad Capital. Please go ahead.
Rohan Advant: Thank you for the opportunity. S ir, I've understood your guidance up to the adjusted EBITDA level. We know that on the content charging cost which was INR86 crores in FY '24. Can you broadly guide us on based on the acquisition that you plan in this year, what would that content charging cost be in FY '25?
Vikram Mehra: The content charge will be pretty high in FY '25 because the total amount of content investment we are doing in FY '25 is going to be 50% higher than what we did in FY '24. So that's will straightaway have a large enough impact coming on content charge -off.
Rohan Advant: So, at those PBT level, do you expect to grow in FY '25?
Vikram Mehra: Sir, the growth will be there, but the growth is going to be much lower than the growth which is coming in revenue. As we are starting this process of doing large investments in content, for the next 18 months or so (that is 6 quarters), you will have the situation where the revenue will grow at a steep enough pace, but PBT is not going to grow at the same pace . But -- after that, PBT growth is going to become much faster. We are confident that on a 3 -3.5year basis, we should be able to double the PBT that we wrote in FY '24.
Rohan Advant: Got it. And sir, secondly, on the paid versus free. If you look at Jio and Wynk, which are owned by telecom operators, where they bundle their offering, do you think they're ever going to get -- turn paid?
Vikram Mehra: Sir, you said in Jio and Wynk case, what? I'm not clear about...
Rohan Advant: They're owned by telecom operators, right, which where they would be bundling their services with other offerings, right? So, I mean, does it make sense for them, I'd say, unlike a Spotify, like does it make even sense for them to turn paid or they are likely to remain free forever from

a customer's perspective because it's bundled with some other services?

Vikram Mehra: The question is, are they ready to go back and keep on incurring large losses on this particular app. There may be other things that they can bundle, content is not cheap. I am reasonably confident that all these concerned people are smart businessm en. Also remember, when you are streaming a song, the amount of data consumption that happens is not very high, it's not video. It's audio at the end of the day.
The benefit they may end up getting -- on the data consumption side is there, but it's limited. I'd like to believe that the telecom -led OTT platforms are also going to make a move to paid and you are looking at around an 18 months to 24 months maximum . All the 3 big platforms wou

ld
also be moving behind the paywall. There is already a lot more work happening in this space than a year before . And we are seeing that impact on the subscription revenue. The base is very small. The percentage of growth look s very, very big . But for me it's akin to seeing green leaves after rain , it's that stage. I'm very confident that we'll have a large subscription fee growing there.
Rohan Advant: Understood. Thanks for taking my question and all the best.
Moderator: Thank you. Th e next question is from the line of Govindarajan C from CSIM . Please go ahead.
Govindarajan C: Yes. Thanks for taking m y question, I mean this has been asked many times on this call on the Music segment. See we have three sub segments in music, the licensing to OTTs, the artist management and Carvaan. The artist management is a relatively new one. Last year, you did INR20 crores, of which INR13 crores in the fourth quarter. It's very hard for us to make any sense of how this year is going to be. If it suddenly comes into revenue base, and we have no idea of what the seasonality of the business is, how much of the growth from music, you've guided 25% growth.
But would it all come from artist management because it's a very, very different margin profile. And I think that's the reason people are asking again and again, right? That licensing is a very high-margin business. Artist management is mid. You're seeing single digits, Carvaan is probably breakeven...
Vikram Mehra: Margin profile of the music vertical at the gross margin level is not going to change.
Govindarajan C: Yes. But I mean, we would still -- it will still be useful if you tell us, a, how music licensing -- pure music licensing grew in the first quarter. And how you expect that to grow in the full year?
Vikram Mehra: It will be unfair on my part to start getting into a quarter part. Our artist management vertical always will be a very small subset of the music licensing business . I can do artist management vertical only in non -film music. Non -film music itself is a small vertical. Film music, which is a lion's share of my music business today , there's no concept of artist management because I can't plug in my own artist there. Majority will continue coming out from the pure licensing business alone.
Carvaan will degrow. So , on an overall basis, the margin profile is not going to change here. You are looking at between licensing and artist management, the combined number growing at 26% year -on-year. Unfortunately, beyond that, it's just too much of detailing, and I can't put that

out in the market yet. You will start seeing these numbers panning out. I'm also maintaining our guidance of adjusted EBITDA at 32% to 33%. I'm not changing that at all.
Govindarajan C: Okay. One small clarification, you did INR16 crores of revenue from artist management in the first quarter. Will the quarterly run rate broadly be similar or is there a lot of seasonality?
Vikram Mehra: No. In artist management, there is not that much a seasonality. So Q3, Q4 will be higher, but the seasonality -- because it's not directly only advertising -dependent, is far less out here than compared to the hardcore music business where we get a share of advertising money from platforms which is completely seasonal in nature.
Govindarajan C: Okay. Thank you.
Moderator: Thank you. Th e next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.
Jyoti Singh: My question, sir, on the edited song side that now a lot of influencers and brands are using the song for the promotion on YouTube as well as on the Meta edited version. So how we realize the revenue of that song?
Vikram Mehra: Ma'am two things. One, if a brand is using our music to promote any commercial interest of theirs, they have to take a separate license. Over t

he last 3 to 5 years, we have invested a lot in technology, which allows us to track that on any of the social media platf orms . If anybody is using music or a derivative of that music, which means even if using in your voice, Husn Tera TaubaTauba of Bad Newz , our system will be able to catch it. And we pull down that post of the brand immediately and then pursue them legally to take a license from us. .

Jyoti Singh: Okay. And sir, last one more question. A lot of blockbuster movies are there in FY '25 and recovery in Hollywood. We are expecting a better year for Saregama?

Vikram Mehra: Ma'am -- we have never grown our top line by 30% year -on-year. This year, we have already projected a 30% growth year -on-year. Our revenue is going to grow significantly. The profits we are going to make , we will ensure that we invest those profits in picking up newer, successful and popular content. So that it's not just 1 -year growth story, but it's a multiyear growth story.

Jyoti Singh: Thank you, sir . All the best.

Moderator: Thank you. L adies and gentlemen, we'll take this as the last question. I now hand the conference over to the management for closing comments.

Vikram Mehra: Thank you. I'll just reiterate, please always look our numbers on a 12 -month basis. We have started an ambitious journey to start investing in new content in a very aggressive fashion. Many of you will recollect Saregama had not invested and/or picked up a ny new content in the first 18, 20 years of this century. This journey started only 4, 5 years ago where we came back into new music.

We want to ensure that today if we are making a lot of profits, it is because we invested in content of 60s, 70s, 80s, 90s and we'll repeat that. So that when we are in 2040 or 2050, we are still the

number one company. Secondly, subscription in music side is coming, subscription on video side is going to become even more prominent as has happened in every other part of the world. That's the time that the people who have got the highest quality IP content whether on the audio side or the video side they are the ones who're going to benefit a lot.

We will continue our journey of building and growing this company at an astronomical rate whilst also keeping an eye that the profits need to be maintained. There will be first 12 to 18 months, where profits may not grow at the pace at which top line is g rowing. But post that, profits will start growing at the same pace and eventually start exceeding the rate at which revenue is growing. Thank you and we expect all help and support and your blessings on this. Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Exchange Plaza, C -1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163

Subject: Q2FY25 Earning Conference Call -Transcript

Dear Sir/ Madam,

In continuation to our letter dated 30th October, 2024 and pursuant to Regulation 3 0 SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations') as amended, please find enclosed the transcript of the Q 2FY25 Results Conference Call held on Wednesday, 6th November, 2024 for the quarter and half year ended on 30th September , 2024.

This information is available on the website of the Company www.saregama.com .

You are requested to kindly take the abovementioned on record .

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer
Encl : As above

Page 1 of 23 Saregama India Limited Q2 FY '25 Earnings Conference Call November 06, 2024 MANAGEMENT: MR. VIKRAM MEHRA – MANAGING DIRECTOR MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER MR. SAKET SAH – GROUP HEAD, INVESTOR RELATIONS AND ESG REPORTING MR. PANKAJ KEDIA – VICE PRESIDENT, INVESTOR RELATIONS MODERATOR: MR. PULKIT CHAWLA – EMKAY GLOBAL FINANCIAL SERVICES

Moderator: Ladies and gentlemen, welcome to the Q2 FY '25 Results Conference Call of Saregama India Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Pulkit Chawla from Emkay Global Financial Services. Thank you and over to you, sir. Pulkit Chawla: Thank you, Riddhi. Good afternoon, everyone. And welcome to the Q2 FY '25 Earnings Call for Saregama India Limited. From the Management, we have with us today Mr. Vikram Mehra – Managing Director; Mr. Pankaj Chaturvedi – CFO; Mr. Saket Sah – Group Head, Investor Relations and ESG Reporting; and Mr. Pankaj Kedia – Vice President, Investor Relations. Without any further delay, I shall now hand over the call to the Management for their "Opening Remarks." Over to you, Vikram. Vikram Mehra: Thank you, and a very good afternoon to everyone. Welcome to the Earnings Call of Quarter 2 FY '25 for Saregama. This quarter saw operating revenues of Rs. 242 crores, and a PBT of around Rs. 59 crores. Our revenue is 40% higher on a Y-o-Y basis. Our H1 revenue of Rs. 447 crores is in sync with our guidance of 30% revenue increase in FY '25. Our adjusted EBITDA increased by 17%, and is at 35% of revenue, which again is in sync with our guidance of 32% to 33% adjusted EBITDA. May I once again request all of you to evaluate us on a rolling 12-months basis, and not on a quarterly basis. You can take last 12 months, or you can evaluate us for the full financial year. On a full year basis, we are confident of meeting all the guidance that we have given in the past. Let me start by telling you the reason behind this massive increase in revenue. This has come, , despite the retail business (Carvaan) coming down by 40%. Despite that, the overall revenues have gone up by 40%. This growth has come on the back of a very successful quarter for the video segment. The revenues grew from Rs. 15 crores to Rs. 72 crores in this quarter. Remember, video is a strategically important, high IRR, low margin business. The great news about this increase in video segment revenue is that this has come along with the total amount of assets on the video segment coming down. So, you have less capital of ours getting blocked in video, while the revenues have gone up even better. We are very, very

confident of, our capital allocation policy, more importantly , our financial management policy, which is allowing us to drive better IRR from our video business than most other competitors. The second source of growth in revenue is because of the music business. This business, which primarily consists of music licensing and artist management , stood at Rs. 148 crores in this quarter, which is a 22% increase over the last year, again, in sync with our annual guidance. Let me also address the other issue, of PBT coming down on a year-on-year basis. This is purely on account of one factor, which is investment in newer content. The total charge-off on account of new content, which includes both marketing and the charge-off content, is higher by Rs. 18 crores in this quarter compared to the last quarter. If you add that Rs. 18 crores back, the numbers all started looking great again. This cost is reflected primarily in the advertisement & sales promotion head , and depreciation & amortization expenditure head. As you know, the entire cost of marketing gets charged off in the same quarter, that is not amortized over the full four quarters. So, that's why you keep on seeing these bumps and lows coming in. Our beli

ef in new content investment and futureproofing the company remains steady. I have been sharing this over multiple quarters. What we are seeing is now just a rollout of that strategy. The positive impact of that is going to be felt not just for a couple of quarters, but for the next 60 to 80 years. As committed in Q4 FY ‘24 call and Q1 FY ‘25 call, that on a 12-months basis, FY '25 will be showing a modest growth in PBT. Let me get into individual segments , to start with Music Licensing: This quarter saw us becoming number one in Hindi music for the first time, with two of our albums being the top two albums of the country. First came Bad Newz, whose song Tauba Tauba topped every possible chart in the country, including Spotify, Instagram, Billboard, Wynk, Radio. Even on YouTube, it became the number one song globally for over 25 days. The total number of YouTube views of this song has crossed 300 million. The other songs of Bad Newz, like Jaanam and Mere Mehboob were also part of the Spotify Top 50 chart for weeks. Following this, in this quarter, was the biggest album of the recent times launched by any label called Stree 2. It's a rarity in today's world for all songs of an album hitting Spotify Top 15, of the country. If you see the top three songs in India on YouTube, we have been controlling them now. While I am talking more about October, November, but we have been controlling those positions now for weeks. Aaj ki Raat was Spotify's global no.1 for, , approximately two and a half weeks. Today, as we speak, on YouTube, Aaj ki Raat has already crossed 500 million views, while Aayi Nai, the second song, has crossed 300 million views. Overall, at an album level, on YouTube alone, on our own channel, we would have crossed 1 billion views. Yes, a large portion of them came in quarter three. But it just tells you that our ability to pick good quality music and

market it is now being proved to be unparalleled in the market. Our hit rates are far higher than any of our direct competitors. The other big albums this quarter were Ram Charan's Game Changer, whose songs got released in Telugu, and Suriya's magnum opus Kanguva in Tamil, whose song also got released. The company continued to maintain its leadership position in Gujarati and Bhojpuri languages. Let me reiterate that the success that you are seeing is all coming out of our management belief that a data-driven approach to music acquisition and use of predictive models is a far superior way to select music than relying on an individual's ability to predict which song is going to work or not . Overall, the company released 400-plus originals and premium recreations across Hindi, Bhojpuri, Gujarati, Punjabi, Tamil, Telugu, Malayalam, Marathi, and Bengali languages. Our lineup for the next 12 months is all in place. I have shared these names with you in the past, too. These are some of the biggest films of the year that will continue coming to us. This includes the recently released) Singham Again, which is Rohit Shetty's film. Music of two more films of Maddock, (Thama and Skyforce are sitting with us. Mammootty's Malayalam film Bazooka, Sivakarthikeyan's super hit Tamil film Amaran whose songs are doing very well, and Kannada superstar Sudeep Kichcha's next film is also with us. As we have been saying from the time, we did our QIP and raised funds - the endeavor of our company is to future-proof this company. We want to continue investing in high-quality content so that the company retains a leadership position not just today, but in the decades to come. And we keep on making money from this content , not just today, but for many, many years to come. This quarter, the charge-off on account of new content has almost doubled because of all the new content that we have purchased. We are today in a transitional state where our new content expenses are going up in a steep manner, because this is a step jum

p. For a company which did not invest in new content for close to two decades has now started investing, and now aims to catch-up and reach the no.1 position. This means very high investments of content are going on there. When you increase the expenses in a step function jump, when 20% to 25% of the expenses are going towards marketing, there is a kind of imbalance that starts happening. I said at the last call that it will take six quarters. For the next six quarters, of which the first quarter is over now, you will see revenue going up in a substantial fashion, EBITDA growing slower than that, and PBT will grow the slowest, among the three . After the end of six quarters, you will have profitability which is being driven out of music, outpacing the rate of revenue growth. because our step jump in content investment is only for these three years. After that, we are comfortable at the level at which investments are going to happen. So, content expenses are not going to go up, but the profitability, which is going to come out of the investments that we are making today, will all start showing up. With all this new investment, we maintain a guidance

of a five-year payback period, with an additional 55 to 75 years of profits that we can make from this music. The second music vertical is Artist Management, where artists are made popular through our IP releases. Further, we monetize these artists by booking them for live events, weddings, and brand endorsements, from which Saregama gets a share. During this first half of the year , 60-plus artists/influencers have been added, taking the total count of artists that we are managing to 180-plus. This is a 50% growth over the last year. Between these artists , we have got close to 120 million followers and subscribers on Instagram and YouTube. As our investment in new content keeps increasing, – we are putting these artists as part of the investment in most cases - many of these artists are actually singing the songs of the newer movies that we are making, or we are releasing non-film songs which are centered around them . As the artists become bigger, and digital advertising keeps growing at 15%, we believe that we will end up making substantial monies from artist management . Overall, with our stated goal of acquiring 25% to 30% of all music released in India, the music vertical (licensing & artiste management) should double its revenue over the next 3/3.5 years. All the new content is going to be funded through internal accruals and the QIP money. Now let me shift to the Video vertical, where we make films under the brand Yoodlee, digital series under the brand Dice of (Pocket Aces), short videos under Filter Copy, Nutshell, and TV serials for Sun TV. The explosion in smartphone ownership and cheap data are the biggest drivers of this vertical. We are still at the early stages of building this vertical in which we have a strong belief. Firstly, on its own, in the days to come we expect video segment will also become the primary source of entertainment on which the discretionary money is going to get spent on, both, through subscription and advertising.. So, people who own video IP will be in a very strong position in the days to come. Secondly, Video business is also strategically important for us to maintain a stronghold on the Music business. As shared with you earlier, majority of the music consumed in India is film music, and we want to control the source of this music. This is to ensure that we are never in a position that source is being controlled by a competitor. Moving on, Q2 saw the release of a Malayalam series, Manorathangal on Zee5. With a stellar cast of Kamal Haasan, Mohanlal, Mammootty, the series became very popular on the digital platform. We also released Jeethu Joseph's Malayalam film, Nunakkuzhi in theatres, during the quarter. This quarter also saw the release of Unravel Austral

ia, a branded web series with Australia Tourism, on our channel Gobble on Instagram. Further, Half Love, Half Arranged Season 2 and Karate Girls, a Dice creation that got delivered to Amazon MiniTV.

Because of the impending mergers of certain leading platforms , there is some pressure on the Digital Series Licensing business. We believe this pressure to continue for another couple of quarters. By that time these mergers will go through, and we believe there will be fresh requirement for content coming in. Pocket Aces, with its unique position as the No.1 content creator for youth in the country, will be in a very good position to cater to this massive demand that will be coming in for content targeted at the younger segment. On the revenue front, Video vertical revenue grew to Rs. 72 crores in this quarter compared to Rs 15 crores in the corresponding period last year. The increase in the operational cost is primarily on account of the cost which is connected to the increase in the video revenue. As you can see, the video revenue has gone up by Rs. 57 crores , and the rise in the operational cost is directly linked to that. On Live Events side, we launched a new IP called Yeh Shaam Mastani with Zeenat Aman with the event being hosted in Delhi and Bombay. The next quarter will also see Diljit Dosanjh's Dil Luminati tour in India, , which has got completely sold out. As stated earlier, event business is a very high revenue, low margin but a high IRR business. Our capital allocation or locking happens for a very brief span of time, and you can see this from our segmental assets and liability figures. Most of the work that we do is based on the advances we receive from our partners. The third quarter will see the same skew flowing up. The tour has been a big success and the revenue numbers will be substantial. We are very happy with the margins we will end up showing , but on a margin percentage basis it will be low number. Yet, it's a very high IRR business. Most importantly, it's further strengthening our relationship with the artist. As a matter of fact, Diljit Dosanjh was kind enough to give us a song for one of our movies, Jigra, which came out in Quarter 2. Let me go to the fourth part – which is the music retail business.. So far, I have covered Music (Licensing and Artist Management), video, and live events. We have rolled out a new retail strategy under which we will be selling Carvaan and Carvaan-related products only from e-commerce and modern trade stores. Over the remaining six months we will completely get out of individual mom-and-pop stores. While the volumes and the top-line coming from Carvaan will keep shrinking, the profitability margins are going to improve as we go forward, because we are controlling all the costs which are connected to retail distribution. From the last quarter onwards, we have started sharing the Carvaan revenue numbers separately, as part of our presentation. This quarter saw retail revenues of Rs. 21 crores, which was a drop from last year., This has been very much planned and what is happening is on expected lines because we are out of the retail business. Over the next three years, we will be investing over Rs. 1,000 crores in new music content. Apart from contributing to immediate growth, this will also put the company on a long-term growth path.

Overall, at the consolidated company level, we expect revenue, excluding Carvaan, to grow at a CAGR of 30%, and PBT to double over the next three to four years. Both Music and Video verticals -are going to contribute to this. We maintain an annual adjusted EBITDA guidance of 32% to 33%. There may be quarters where numbers may go here and there, if suddenly a big live event revenue is coming in. But on an overall basis, we expect margins to remain at 32% to 33%, and Music margins to hold steady. On an a

nnual basis, our PBT will show modest growth compared to last year. This is the case only for the next five quarters, after which PBT should start growing, at a rate faster than the revenue growth. Saregama's growth narrative will continue to be steady in the medium to long term courtesy the increase in digital consumption. This is both in terms of new customers joining the market, and existing customers consuming more audio and video content, . With a 294 million internet footprint, our cash reserves, the managerial depth that we have in the company, access to some of the biggest soundtracks, and an ability to create content through the most financially tight process at the lowest per minute pricing in the market, we believe that the earnings are going to be guaranteed not just for the next two to three years, but for many, many decades to come. Thank you, and happy to take your questions now. Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead. Abneesh Roy: Congrats on good revenue growth. My first question is on the overall competition and the ecosystem. So, Warner Music has said that India along with China will be their two most important focus markets, and they want to become much bigger. So, I wanted to understand how worried you are, because you clearly are ramping up significantly for the next three years. Is Warner's higher focus on India one of the reasons? So, that's one part of the competition question. Second, Dharma Productions' 50% got sold to Adar Poonawalla. How does this impact? Because your company's name also comes as one of the bidders. Eventually, that did not happen. So, what was the thought process? Why did we not go till the final acquisition? If you could share your thought process on that, and how these impacts buying from Karan Johar's Dharma Productions in terms of music rights. Vikram Mehra: The Warner statement is something even we have been giving. . We are very happy to see the statement coming from the Warner Chairman. India is going to be the next biggest growth market. Anybody who is tracking the music industry globally understands that subscription service is eventually going to take off in India in a very big fashion. I have been saying this for multiple quarters, and I continue maintaining the position that give it another 12 to 15 months. Hopefully, once the merger of two of the biggest video platforms concludes, we

believe the next focus is going to be on the music streaming side. There are only two platforms today which are still offering free services, Spotify and JioSaavn,. We hope that India also is going to be moving with the help of these two platforms going fully behind the paid side, also. Once that happens, you are looking at a massive growth coming from the Indian market, primarily led by subscription. I think what has helped us a lot over the years is the fact that we understand Indian music better than anybody else. This is a company which has been in this space for over 123 years now. Our relationships with local production houses in every particular language are very, very deep ,chances are very high that if we are going to someone and picking up music from them, and most of them are second or third generation film producers, 99.99% of the times their father’s/grandfather’s/grandmother’s production houses' films or music is also sitting there with us. So, we are leveraging on that fact a lot. Second, the fact that we are investing on data, unlike any of the competitors , is going to hold us in a very, very good position. Second, let me not comment about an individual production house. As I stated in my opening statement, and I have been saying in the past too, we believe Video is a strategically important business for an IP company like Saregama. Video on its own, has got a very stron

g future, will be able to go forward. Remember, when disposable incomes go up, all of us have got more discretionary money at our disposal. The middle and upper middle class in this country have very limited sources in which they can go out and entertain their families. Movies, going out to shopping malls, movies, and hopefully live events are all going to get a massive benefit from that. Also, our relationships are very, very strong. Since you spoke about Dharma, what I can share with you is that we have picked up music of multiple films from them. Even in the future we will have multiple films from them whose music is coming across to us. We share a great relationship with Dharma, and with multiple other leading production houses in the country. Thank you. Abneesh Roy: No, sir, two follow-ups there. One, are you seeing initial signs of Warner Music bidding aggressively? And second, you do not see any change to your ability to bid for Dharma's future music rights, right? Vikram Mehra: Sir, let me not get into anything individually. The great part is that we share a very deep and old relationship with each of these production Houses, we do not see any impact of that happening. Since you were talking about Dharma, music from a movie of theirs - Jigra has just been released by us. Our 2nd biggest musical release of this year, is Bad Newz, which is from Dharma. Last year’s, Rocky aur Rani Ki Prem Kahaani was also from Dharma. Just on the cards

right now, the next movie coming out there with these people. It’s great that the video industry is getting more organized money. The quality of movies will go up, and the quality of music in those movies will also go up. See, competition is always there. Warner is looking at India now. Sony and Universal have also been there in the market. It's good. With a greater number of international players coming in, more focus starts to come on the Indian music industry. Yet, we strongly bet on our understanding of the Indian music market, and the fact that our relationships are far, far deeper. That's why we are not focusing on any one or two languages. We are focusing on every major language of the country. Abneesh Roy: Understood. The last question is essentially on your strategy of upfront three years' very aggressive spending on content. So, one is, could you look at option B also, where you remain aggressive, but because the PBT growth rate will be much lower than the revenue growth, is there option B available in terms of strategy, where you do it a bit more gradually? Second is on data point. So, in the last six months, where you have increased aggression, if you could tell us incremental market share in music. T-Series, Sony, Warner, and You. How is it now, in terms of the last six months, some data points in terms of market share? Vikram Mehra: You can start tracking the YouTube channels of everyone in the market which will give you a decent enough idea. If you look at the presentations, that we have shared, there's a slide which talks about how the numbers in terms of views have changed on YouTube and how the growth rate has been of ours versus all the major competitors in the market. That will give you an idea that we are growing at a rate which is faster than anybody else. And it's not that difficult right now. If you start tracking all the recent hits of any of the labels. it will become obvious to you. I have already stated that for the year, we have taken the leadership position in Hindi for the first time . We have been leaders in Bhojpuri, Gujarati for a very long time. Further, for the entire last year we were leaders in Malayalam and Telugu and I am confident we will end this year on similar lines.. The languages in which we need more work at this juncture is Tamil and Punjabi. Abneesh Roy: And who will be the leaders there, Tamil and Punjabi? Vikram Mehra: Sir, again different people. We are eit her sitting in a second position or the third position. We are not number one, and we will not be happy unless we reach the number one position. Abneesh Roy: Understood. And on the strategy part if you could comment, gradual versus very aggressive. Vikram Mehra: We have a stated position that we want to invest Rs. 1,000 crores.. Remember, you are talking to a company which for close to two decades did not have any new music coming in . We have toiled and come to this stage after experimenting with newer content for five years or so. We

have refined our selection process and our ability to market it more effectively than anybody else. Hence the monetization is going to be there better than anybody else. So, we are betting on that ability of ours. Moderator: Thank you very much. The next question is from the line of Priyankar Sarkar from Square 64 Capital Advisors. Please go ahead. Priyankar Sarkar: Sir, one quick question. Why have the other current liabilities moved up to close to Rs. 250 crores versus Rs. 65 crores in March '24, and what does this exactly pertain to? Pankaj Chaturvedi: Priyankar, it's part of our various contract negotiations. We receive cash for the upcoming deals. So, under various contracts we receive cash for which the income is going to accrue in future. This is accounted for as other current liabilities, or income received in advance. You can see a corresponding increase in the unallocated assets which is basically the increase in the cash balances. So, the two will correspond to each other. As we move forward, income gets recognized, and this will get reduced. Priyankar Sarkar: But it was a sharp move, right, from Rs. 65 crores to Rs. 250 crores. So, why did that happen, I guess, in your industry? Pankaj Chaturvedi: It was under negotiation and hence this is the result of that. Vikram Mehra: Please give Pankaj a pat on the back that he has been able to negotiate and get large advances out of people which makes our position that much better because there is additional money right now. We are not investing our own money in newer content. Moderator: Thank you very much. The next question is from the line of Pulkit Chawla from Emkay Global Financial Services. Please go ahead. Pulkit Chawla: So, my first question is on the music licensing side. If you look at the last couple of quarters, I think revenue growth has been slightly subpar. This quarter again, let's say high-single-digits only. So, if you could dwell slightly deeper into this trajectory, just trying to understand where the weakness is coming from in terms of platforms. So, whether it's YouTube or any of the OTTs, which is sort of pulling down this growth? And second, also the margin side, for the overall music segment, that seems to have declined Y-o-Y, even when there's a sharp decline in Carvaan, where margins are obviously negligible. So, is this decline in margins solely attributable to the higher content investment, or is there something more here? Vikram Mehra: So, let me answer the first one. Please understand, that you need to look at music always as Licensing plus Artist Management. Just because we are splitting the segment, you cannot look at it in two different ways. This is because at times, the investment of the artist is sitting in

Music, while the revenue, which is coming from the same artist, is sitting in Artist Management. That's the wrong way to do it. On the Music front , which is Licensing and Artist Management, we are on a 22% growth. And by the time we end the year , we will be closer to achieving 23% to 24% growth . So, I am not that overtly concerned at this juncture on the Music revenue part. Yes, in the past, as stated, till Q1, not in Q2, we had the problem of three of the platforms going from free to pay. So, their free revenues are sitting in the denominator, but not in the numerato

r. But that impact is behind us. We are happy at the rate at which numbers are going up for us on all the major platforms. Yes, obviously, the day subscription takes off, which is a matter of few quarters, the revenue growth is going to be far more significant. You are talking about doubling of the revenue that you are making here. Second big factor is the day the short format apps in India open themselves up to advertising they will end up sharing close to 50% of that revenue with the IP owners. So, whomsoever is controlling the more popular IP will also end up getting a significant bump in their revenue flowing directly to the bottom line. These are two big things which are on the cards. Pulkit Chawla: And on the margin part? Vikram Mehra: Margin point, the impact is only on the new additional cost which is a Rs. 18 crores increase in the content charge, which is out of advertising and revenue part. Pulkit Chawla: So, secondly, on the Event segment, clearly there is obviously a great response to Diljit's concerts that we had in Q3. If you could just explain what are the different sources of revenue that you have here and how much revenue, let's say, that you typically would make on a per event basis. You'd also alluded to some, let's say, change in strategy last quarter. Vikram Mehra: So, what I can tell you, there are two sources of revenue primarily that comes in live events - ticketing revenue and sponsorship revenue, . In the quarter, you will be seeing 12 concerts happening in India, and , and 1 concert happening in Middle East. That's what the plan is. These are obviously very high revenue numbers because the entire ticketing revenue comes across to you. Event business, by its very nature, is a very high top-line, relatively lower-single-digit margin bottom line, but a very high IRR business. That's what you should expect to see in quarter three. Moderator: Thank you very much. The next question is from the line of Harssh K. Shah from Dalal & Broacha Stock Broking Private Limited. Please go ahead. Harssh K. Shah: A few questions from my side. So, firstly, on the content, the music content that gets released in the industry on a yearly basis. Sir is it the case that the number of songs is kind of going down, but the cost for each song is going up? And especially in the South Indian languages?

Vikram Mehra: There's no such indication at this juncture. So, the cost of the songs is typically linked to what kind of revenue labels are making. So, if there's a producer who has a track record of giving film albums which are massive hits, the value of the songs for future movies always goes up. If there are languages which have got massive popularity, you will find the music of those languages being a little more expensive. Equally, if a production house gets into a track record of giving albums which just do not work, the price of the future album starts falling, and so is the case with languages. It's a dynamic market. Harssh K. Shah: So, why I asked this question is because certain labels in the southern part of this country have kind of said that the cost of acquisition of the song, kind of since, say, 2020 to right now where we are, the cost is going up. So, meaning, will that impact on the payback period for at least that language? Or you do not see that? Vikram Mehra: Thankfully, my answer to this is in your question only. If you go back and check out my transcripts from 2018 onwards, when we started acquiring newer content, we have been maintaining the five-year payback period guidance, and we hold on to that. Harssh K. Shah: Secondly, on the Video segment, so how should one kind of look at the Video vertical in terms of the contribution to my overall revenue? Sir, I understand that this segment is kind of lumpy in nature where in one quarter it could be high, another quarter it could be low, but on an annual basis, how should one look at this segm

ent in terms of contribution? Vikram Mehra: Sir, Video segment is still a very, very new segment out there for us. We are still trying to finetune our strategy . There are two factors I can throw at you at this juncture.. First, we are expecting broadly 30% growth of the Video vertical . Second, the total capital which is going to be allocated to Video and Live Events vertical at any time will not exceed more than 18% of the total capital allocation done by the company. So, there are checks and balances that we have put right now on the Video business. Unlike the Music business which we have been doing for over 120 years, Video business is a relatively newer business. That's why we have put enough checks here. Give us another few quarters, and we should be able to share with you a much more precise three-year plan for the video segment going forward.. Harssh K. Shah: And lastly, on the short format video platform. So, here I am talking specifically about YouTube Shorts. So, basically they are kind of generating massive volumes in terms of views, but the monetization is kind of not to that extent. And considering how YouTube has changed the guidelines in terms of the definition of what a short video is, what sort of indicative timeline do you all have in terms of when the monetization can start? And if you could give us some color on that.

Vikram Mehra: On YouTube Shorts, our contracts protect us from the new guidelines that have been shared. That's all I have the liberty to say . So, we are protected. So, you are not going to be finding my music on this long form content which is going on YouTube Shorts. Yes, just like you, we are also very keenly following both the leading short format apps of the country, YouTube Shorts and Instagram. We are working closely with them and trying to make this transition from being just a content viewing platform to one which is getting enough advertising to justify the number of eyeballs that are going in. Like in every other part of the world, once these platforms have formed their position as a clear cut market leader and are not threatened by the imminent entry of a third platform who's currently not there in India, I think they will start opening themselves up to advertising that much more. And that will be a huge jump that we will end up getting. On YouTube Shorts specifically, on the non-music side, they have started opening themselves to advertising. And the Video part of my business has started growing . Remember, the company called Pocket Aces, we are also creating content which is a short format content. So, along with Instagram, we are also putting on YouTube Shorts. And we are seeing the green shoots of revenue building up. Harssh K. Shah: So, then, can we expect that in the next three years, maybe within three years, we could see the monetization happen? Vikram Mehra: I can tell you things which are in my control. It's wrong on my part to comment and give assurance on behalf of the outsider. I think my guess is as good as yours, that in this time frame, you will see short-format apps realizing here that getting eyeballs for the sake of eyeballs means nothing. Eyeballs must be converted into advertising revenues, and all of us are going to benefit. My bets are higher on subscription on streaming apps picking up even faster than advertising on short format apps. But both are bound to happen. They are natural things happening in every other part of the world. Moderator: Thank you very much. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead. Jyoti Singh: Sir, I just wanted to focus on the language side. Sir, what is your view on the Bhojpuri song side, which you mentioned we are getting high traction, which is still 2% for us as per last annual report? Vikram Mehra: Yes, for the longest time we as a company have been saying, both on the Music and the Vid

eo side, are equally bullish on the major regional languages of the country, whether it's Tamil, Telugu, Kannada, Malayalam, or Bhojpuri, Gujarati, Marathi or Bengali. We've just entered the Odia market., . We do not want to be only a Hindi music or a Punjabi music company.

If we look at our 120-year odd history, we have the biggest catalogues in each of these languages, and we want to continue building on that . Various languages have different monetization contributions. Some of the languages are heavier on YouTube while some get a lot of views from outside India. Some are bigger on streaming platforms. We always keep these things in mind while we do capital allocation across languages. So, the languages you spoke about, i.e. Bhojpuri, Tamil, Telugu, Kannada, Malayalam, or Gujarati, will continue seeing investments coming from our side. Jyoti Singh: And we are on, like, number one something on the Bhojpuri side? Vikram Mehra: Ma'am, let the year get over, but as of last year we were number one in Telugu, Malayalam, Bhojpuri and Gujarati. Jyoti Singh: Is there any focus on working with the brand for background music, and like our competitor working on that side, if you can shed some light on that? Vikram Mehra: What do you mean by that? I am not clear about it. Jyoti Singh: Like a lot of label companies, they are working with the brand too, sometimes it used from the existing library like Bajaj and Marico, they use the music. Vikram Mehra: See our presentations over the last, 12, 16, 20 quarters, we always share the list of multiple brands that we are working with. Please connect with us and I will send you these ads. From the brand side, we are the number one in the country today. If I look at this quarter, Mahindra Thar had our song Inteha Ho Gayi Intezar Ki. Mahindra Thar has got the biggest opening of the recent times they've ever done in terms of booking, and there's usually one ad, and that ad has got our song in it. Dabur Babool ended up using our song in Q2.. Lux, Ponds, Reliance Trends and Enamor used our song. And these are just some of the brands we work with.. So, we have a very strong vertical, wherein we license our music to brands for their advertising needs in not just Hindi but also Tamil, Telugu are and Malayalam. Jyoti Singh: And sir, if you could guide us on the margin side, how much we make on the brand front? Vikram Mehra: Ma'am, those are getting to very specifics. The most premium catalogue of the older songs on the audio side are controlled by us. We have got good realization, that's all I can state here. In the days to come, you will see our brand work not just on music, we are getting more active on getting brands as part of Live Events, and the Video content that we are creating for short format apps. Jyoti Singh: And just a last question, like anything we are doing with Netflix on the movie side?

Vikram Mehra: If I remember my numbers correctly, we have close to two dozen movies of ours which have been licensed to Netflix. In fact, Netflix is our biggest partner. We have some of our content which has gone on Amazon, Zee5, and Hotstar too. But Netflix is our biggest partner in terms of the destination where our movies end up getting licensed to. Moderator: Thank you very much. The next question is from the line of Jayesh Jain from DSP MF, please go ahead. Jayesh Jain: I wanted to understand that if you adjust for the Artist revenue, your Music Licensing revenue has grown by roughly double-digits, and given the spend we have done in the last one to two years, it's almost Rs. 300 crores. So, a lot of this revenue growth has come from the addition of new songs. Has the monetization of those songs not increased as far as we would have expected? And following that question, does your five-year payback calculation account for the anticipated rise in monetization per strea

m due to the known factors we all know? Could you just throw light on that, and how should we think about this? Vikram Mehra: For the first one I am going to repeat myself. You must look at music revenue as Licensing plus Artist Management. Artist Management is not something which is separate. Some of the big songs that we have invested in are connected to the artist who is sitting in Artist Management. So, I am creating those songs because I want to make the artist big. So, please look at Music revenue as a combination of Licensing and Artist management, which has grown by 22%. Your second part, our five-year payback period guidance is done. Basis the revenue that we are making today. Any lift that we will end up getting - because of subscription taking off in a big fashion or short format apps getting additional advertising revenue and hence we get a share for I -, has not been factored in. Jayesh Jain: So, the five-year payback period is on the current revenue per stream broadly? Vikram Mehra: Yes. Jayesh Jain: And do you guys have any idea what is the acquisition cost per song should be around, so that our IRR does not fall below 26%? Vikram Mehra: Sir typically, there is no per song part. I If a song is being picturized on Ranbir Kapoor, sung by Arijit Singh, music is given by Pritam or Sachin-Jigar, and you have a leading heroine like Alia or Kriti working on it, the scene is going to be very different versus a smaller artist and a smaller singer. So, our approach is not very different from the approach you may be making, which is a portfolio management approach. Jayesh Jain: Exactly, yes.

Vikram Mehra: We end up taking bets in multiple languages, in multiple categories of films, and on the non-film side, we also know that if we are releasing 100 songs, we cannot have 90% hit rates.. The hit rates are going to be lower than that. But our hit rate must be higher than anybody else's in the market, and those songs should be large enough to not only recover the cost of the songs that have not worked well, but also generate the returns that you are talking about. Jayesh Jain: Understood sir. I do understand there are a lot of factors in the business, but you would have still some colors on let's say high-end Hindi songs versus vis-a-vis normal original songs. Vikram Mehra: Along with portfolio management, our entire content selection is done using predictive AI. I also said this in my opening statement. We are not betting on the ears of the Managing Director, or the Senior Management of the company, to take calls on which album is going to work or which song is going to work. We rely a lot on our predictive AI and then work with people under the age of 30 in each of the regional language local teams to take a call as to what to go for and what not to go for. Secondly, everybody who is on the music team, be it content acquisition, marketing, monetization, from the executive to the vertical heads, all their KRAs are completely linked to one factor - which is the five-year payback period. That's one principle with which the entire company lives, breathes and sleeps by. See, different languages behave in a different fashion. A language like Hindi may have a relatively longer payback period, but the songs have a much longer shelf life compared to, say, Bhojpuri, which has got a much shorter payback period, but the shelf life of the songs are also relatively shorter. When we are doing capital allocation, at the beginning of the year, and then we relook at it on a quarter basis, it's done keeping in mind that at an overall level, we manage our goals of a five-year payback period while also ensuring that we manage our market share. And there's a revenue growth number coming in. Jayesh Jain: Understood sir. There is an implication of weighted average of songs, and weighted averages IRR of each region. Vikram Mehra: You are right, sir. That's why you will find at

times we think twice before getting into a particular language or not. . So, as an outsider, you may think that a lot of people are listening to that language. Unless we are convinced that it will fit into the overall weighted average and will not push my payback period over five years, and we are not going to get into it. We are in the business of making money from IP. We are not in the business of just making IP. Moderator: Thank you very much. The next question is from the line of Govindarajan Chellappa from CSIM. Please go ahead.

Govindarajan Chellappa: Hi. I have just one question. You in the past mentioned and you reiterated today that you will limit the capital employed to films, series, and events to 18% of the total capital employed. I mean, this implies that you were never keen to buy a large production house as was being speculated. And you do not have the intention to do that in the future. Is that a correct interpretation? Vikram Mehra: At this juncture, if there is any change in this, we will come back to you and share what the plans are. But at the same time, I am going to repeat to you that we believe Video is strategically important to us. We do not want to be in a situation- all my competitors who are in the space of music also have a video arm in their company - we do not want to be in a situation where it becomes difficult for us to source music. In the same breath, we also understand that Saregama is very, very good at, financial management. We understand how to make the last penny work harder, and not just spend money for the sake of spending money. That's our strength. But making massive, large budgeted films is not in our DNA. So, if we ever have the intent to create that kind of content, we will look at potential partnerships., whichever way we go then , we will chat with you guys first. Govindarajan Chellappa: So, just to understand you right, I mean this is another point you made in the past that you are not interested in big budget, big star movies. Vikram Mehra: We creating ourselves, no. We do not have the wherewithal to do it. But that does not stop us from partnering with somebody if all the other guidance and guidelines are met. We will look at those possibilities in the days to come. Are we interested in videos? Yes, we are very keen on Video segment. Govindarajan Chellappa: I mean, it's semantics here whether partnership means investment. Vikram Mehra: So, at this juncture, there's nothing happening, so I do not know what I share with you. Govindarajan Chellappa: So, I just want to leave it with a thought. If you've seen your competitor, Tips Films and Music, you would see how Tips Music has gotten re-rated once they split the company between Tips Films and Music, and there is a message in that. That's all I wanted to let you know. Thank you. Vikram Mehra: Thank you, sir. Moderator: Thank you very much. The next question is from the line of Prolin Bharat Nandu from Edelweiss Public Alternatives. Please go ahead. Prolin Nandu: Hi, Vikram. Thank you for sharing these insights. You have answered my question, but slightly more color on your comment on data-driven AI-driven model to buy the content. So, can you tell me as to from that reliance on the model when we started? How has that model developed over the period? What is the way in which you marry the model with human intelligence? And

if a competitor were to decide to follow a similar kind of approach, how easy or difficult would it be if data is the only differentiator, or the key mode that that model has? Can you just give some more color because everything hinges in a way on that, and you are going to spend Rs. 1,000 crores over the next three years. So, can you help me better understand this part of your business? Vikram Mehra: See, everything that you do, your competitor can go out there and repeat. At the end

of the day, majority of the spaces in which majority of the companies are- unless it's trademarked stuff - things can get replicated. But what you cannot replicate is the mindset or the DNA of the company. We, as a creative house, believe that we are not in the creativity of entertainment, but we are in the business of entertainment. That's a very big difference. We do not get happy if you are getting a big hit movie or critics like it. We become happy if there is a return which is coming on the investment that we are making on an IP production. That's the . The modelling part has also come out of that thing. As a human being, even if I am the most gifted singer, composer, music expert, which I am not by a mile also, had I been blessed, then also I would have been blessed in one or two languages. Humanly, it's difficult right now for somebody to be completely on top of the more than a dozen languages in which Saregama is investing in today. So, we said we need to have a more scientific approach, which is more data-driven so that it's not just a gut call-driven part. the model is now at an accuracy level that is pretty confident. What does a model tell? Models do not say that you do not buy something. Models just go back and tell that if this is the set of artists who are connected to this particular song, based on the track record of the last rolling 36 months, this is the amount of money you can expect to make over the next five years. That gives me an outer line right now, that this is the money that we should be ready to go out there and pay. Every song makes money. The question is, at what cost did you acquire the song so that you do not end up losing money? Model tells us that. Then the songs are heard by the local language, young, or everybody who hears the songs and gives their views are all under the age of 30, that's the company guideline. Again, this is part of my DNA and mindset of Saregama, where we believe just because we are sitting on very senior level positions, that does not give us the automatic right to become the judges of what the younger people in this country want to hear. We leave it to people who are closer to that age group. These things are very difficult to replicate. Everything can be replicated in that sense.

If that team goes back and says, no. If they go back and say, yes, we like the song and we know the pricing at which model has gone back and so on, if the final deal can happen within a plus minus 10% of these deals get done. If there is a valuation which is asked for, which is far higher, that's the only time senior management starts getting involved in, say, is there a bigger strategic benefit of doing that deal? If yes, we will explore it. If not, the deal is rejected right there. Do exceptions happen, sir? Model does go wrong, This is because in this business, there is a possibility that a combination of a top hero, top composer, a top singer and a top choreographer which has given only hits over the last three years may give a flop. Alternatively, somebody who's only given a flop over the three years may give a sudden hit. We believe I am better off leaving that kind of content here rather than taking a high risk. Because at the end of the day, our success is linked to the returns that we make from our IP. Prolin Nandu: So, we are confused, that's very clear. Thanks a lot. I want to probably draw your attention back, I mean, you shared a part of your model back at the analyst meet, right? I mean, as to how you arrive at a particular pricing based on the artist and so on and so forth. So, in the same presentation, you also had a projection in terms of FY '28, where do you want to reach? And you said that in the call, you said that for five more quarters, the investment in content will continue to be high, probably higher than the quarterly run rate or half yearly run rate that we have seen in the H1 of FY '25. Bu

t is it fair to say that the gap between the revenue growth and adjusted EBITDA growth, that with the PBT growth, that will narrow much more than the five quarters? Is that a fair assumption to make? Vikram Mehra: It will start narrowing, but we will still be growing . So, it's literally the first quarter where big investment has happened, but some impact of the revenue you are going to see in Q3. So, as we keep on going ahead, the gap of the growth rate between adjusted EBITDA and PBT will start narrowing down. As we go even closer to the end of five quarters, they will start growing at a rate which will be similar to the top-line growth or exceeding that. Moderator: Thank you very much. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead. .Lokesh Manik: Firstly, wishing Vikram, you and your team a very happy Diwali and a happy new year. Secondly, I had one question on the Film vertical and I know you addressed it by asking for some time for the next two quarters to gain some clarity. But just a little more detail on how I see it is which is in two components, one is, the TV Series vertical, is it shows historically were with Saregama, and then you introduced web series and movies in 2019, '18 onwards. So, just to get a sense of our deal there was that we would do a cost-split model with three platforms and license it for a period of three years, post which the IP would be exclusively ours. So, is that now maturing? Is that more now maturing and coming back and adding to the profitability that is reported in that vertical this quarter? And can this be the margin side, at least I know the revenue is lumpy, the 10% margin can be sustainable and whatever revenue comes in in the following quarters because this is the first quarter that we reported a good profitability in that Vertical. So, has that model now matured where these movies are now going back to other platforms and there is very little cost? Vikram Mehra: I do not think our Video business has matured yet. Remember there is a new Video segment that we have taken with us which is the short format content, which is sitting in the marketplaces, and that's also a substantial number. The models will mature with time. That is why we have put this constraint on the total amount of capital that we are allocating to the Video business here. So, there is enough number of checks and balances which are sitting here. On film sales, the way we function with any newer content today Is that before we go and start spending money on the films, we need to get a soft agreement on at least 70% of the cost of the film. This will get recovered through digital television, and whatever the music team believes is the right valuation for the music, primarily on TV and digital. This ensures , that the risk that we are taking on theatre is limited only to 30% of the cost of the film. On series, if we are making something, we do it only if we have a pre-licensing commitment coming out from any of the platforms. Otherwise, we do not do it. The same philosophy we have started now putting in Pocket Aces too. And as and when we work with any other partner also outside in whichever fashion on the Video side, we will ensure that the financial discipline that we are bringing to the table does not get wavered. Please understand Video business is a good business provided you can maintain the financial discipline. We have been able to demonstrate that on the Music side as well. We are now demonstrating on the Live Event side that we are good at enforcing financial discipline irrespective of whether the movie becomes a hit or flop. That’s s never in our hands. Those things will keep on happening. There also the same portfolio approach works . If you are making 10 films, three or four at best are going to become hits. Some will be average, and others will be flops. But the discipline should be that st

rong that you do not take too much of a risk on a single film, and majority of the money is spent on the film, and not on frivolous stuff. Wherever we believe that the nature of the deal is not happening, we just walk off the deal. We do not do deals for the sake of deals. Lokesh Manik: No, fair enough, because we need to understand a little more about the success of the model. So, are you seeing takers for this series that we have developed pre-licensing in 2019, in '24, are other platforms interested in taking these up? Vikram Mehra: The kind of movies that we were making at that time under the Film vertical or the Video vertical has metamorphed. The kind of content we were making in 2017 to 2020, pre-COVID were small-budgeted films, , which were planned only for digital. Some of them have completed

the first cycle and have already moved to the second platform and have started generating revenues. The model that we are working today on completely changed. There is a smaller market going in for these very tight budgeted films. That's why for last two and a half years or so, our focus has been more on movies, which will first go to the theatre. But just because they are going to the theatre does not mean that you are going to take a massive amount of risk. So, we need to pre-license our rights, and at least secure 70% of the cost. Lokesh Manik: And will these pre-licensing periods be the same, three years, locked in? Vikram Mehra: Sir, it depends right now. There are three-year deals, there are five-year deals, there are 11-year deals also. Moderator: Thank you very much. The next question is from the line of Ravi Nareddy from Nareddy Investments. Please go ahead. Ravi Nareddy: Sir, I was waiting in the queue and thinking our time is over. But still you have taken my question. Sir, whatever song Sharmajee Ki Beti or other we have sold, can you tell how much Saregama is earning on a quarterly basis? Vikram Mehra: Sir, I cannot share here. Ravi Nareddy: No, no., total. I am not asking individuals. Vikram Mehra: Sir, the total amount of money that we are making from, which part from? Selling our rights? Ravi Nareddy: These advertisement clips and whatever you had written the Sharmajee Ki Beti, other, like, -- Vikram Mehra: As I mentioned, I cannot give you a number . If you ask someone in the market, you will hear a very strong part coming in that on these sync deals as we call it, where our music gets embedded in ads or other production houses' content, we are the clear market leaders there. Ravi Nareddy: No, no, that I know. I have been a shareholder for the last 13 years. So, I knew everything. Sir, from Diljit Dosanjh can you give the margin in percentage terms? 1%, 2%, or less than 1% that is? Vikram Mehra: See, Events if done well, at best is a single-digit margin percentage. But as I said, the capital gets locked there for a very short span of time. And that also very little capital, so Live Events if done well, will have a massive IRR, though a lower margin business. And we have already seen the excitement with Diljit Dosanjh, and an international British band called Coldplay. But in India, as we go forward, as discretionary income goes up in the hands of people, . they would like to go out and spend it. Some of the money all of us spend on physical products, better cars,

better watches, better houses, better, and then people start spending money on giving better experiences to their families, which once a year can be an international trip. But on a regular basis it ends up being taking a family to a movie or taking a family out there to a concert. So, we believe Live Events may have a very bright future, and the fact that we people are the only Live Events player who is also into Music, and only Music player is also into Live Events, gives us a massive agenda raise to come. Ravi Nareddy: And

in the last 18 months how much music has been going on a paid basis? Can you give me some idea about this? Vikram Mehra: I am not clear about your question. Ravi Nareddy: In the last 18 months how much music has been going on live, the paid basis? Vikram Mehra: Subscription? Ravi Nareddy: Subscription basis. Vikram Mehra: Sir, subscription is growing at a pretty fast pace. But that is because the base is very, very small. We are seeing a good amount of push coming on the subscription side, especially from partners like YouTube or Apple. Now even Spotify is pushing for it. I maintain my bullish nature out here. I will maintain my 15 months path now. You will see the only two free guys also moving towards the pay side, which is Spotify and JioSaavn, hopefully. All the other people have gone behind the paid world today. And subscription will take off. That is also the reason why there are so many of international labels focusing on this country. Everybody understands Indians used to spend more money on cassettes and CDs 25 years ago. Then they pay for subscription. The intention to pay is there. Disposable income is there. It's only that two platforms have to stop giving free content. And I believe we are moving in that direction. Ravi Nareddy: Right, right. Really, thank you very much for giving me the opportunity to ask the question. Vikram ji, listening to you is always good, and we wish all the best. Vikram Mehra: Sir, it is our honor. Ravi Nareddy: No. It is a really very honor to talk to you, sir, really. Thank you very much, sir. Vikram Mehra: Thank you, sir. Moderator: Thank you very much. Due to time constraints, that was the last question. I now hand the conference over to the management for closing comments. Thank you, and over to you.

Vikram Mehra: Thank you everyone for the very patient listening. We are on a strong growth path. We believe that we now have the wherewithal to invest in music in a wiser fashion, giving us a higher ROI than any of our competitors. We believe that it is the right thing to do to invest in newer music to future-proof this company. We will continue being on that path. It is a matter of another five quarters, after which the results of all this investment that we are making will start showing fruits. This in terms of profitability grows at a rate which will be in sync with how revenue growth is going to be happening. That is one. Second, Video is a strategically important vertical for the company. both Video on its own, and the importance of Video to safeguard our Music business. And we will keep on making all the necessary moves in that space. What I assure you is, whatever we do, it will always be keeping in mind the financial discipline by which we people swear by in our company. Live Events is starting in a very big fashion. It will be a low-margin, high-IRR business in the days to come. Hopefully, that will also start contributing significantly both to the top-line and the bottom line of the company. Overall, we maintain that in the next three to three and a half years, you will see the profitability of the company doubling. We need all your support. Very, very happy Diwali to all of you guys and a Happy New Year. Thank you. Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2025

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Sub: Q3FY25 Earning Conference Call-Transcript
Dear Sir/Madam,
In continuation to our letter dated 5th February, 2025 and pursuant to Regulation 30 SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (' SEBI Listing Regulations ') as amended, please find enclosed the transcript of the Q3FY25 Results Co nference Call with Analysts held on Monday, 10th February, 2025 for the quarter and nine months ended on 31st December, 2024.
This information is available on the website of the Company www.saregama.com.
You are re
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Yours faithfully,
For SAREGA
MA INDIA LIMITED
Priyanka Motwani
Company Secretary and Compliance Officer
Encl: As above
Page 1 of 22 "Saregama India Limited Q3 FY '25 Earnings Conference Call" February 10, 2025 MANAGEMENT: MR. VIKRAM MEHRA – MANAGING DIRECTOR MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER MR. SAKET SAH – GROUP HEAD, INVESTOR RELATIONS AND ESG REPORTING MR. PANKAJ KEDIA – VICE PRESIDENT, INVESTOR RELATIONS MODERATOR: MR. PULKIT CHAWLA – EMKAY GLOBAL FINANCIAL SERVICES

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY '25 Results Conference Call of Saregama India Limited, hosted by Emkay Global Financial Services. As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pulkit Chawla from Emkay Global Financial Services. Thank you, and over to you, sir. Pulkit Chawla: Thank you, and a very good evening. And welcome to the Q3 FY '25 Earnings Conference for Saregama India Limited. From the management, we have with us today, Mr. Vikram Mehra – Managing Director; Mr. Pankaj Chaturvedi – CFO; Mr. Saket Sah – Group Head, Investor Relations and ESG Reporting; and Mr. Pankaj Kedia – Vice President, Investor Relations. Without any delay, I will now hand over the call to the Management for their "Opening Remarks". Over to you, Vikram. Vikram Mehra: Thank you and a very good evening to everyone. This quarter saw operating revenues of INR. 483 crores and a PBT of INR 84 crores. Our revenue has seen substantial growth faster than our guidance of 30% revenue increase for FY '25. Our adjusted EBITDA increased by 25% on a Y-o-Y basis. Our disproportionate 58% of this quarter's revenue has come through events, which, as I have said in the past, is a low margin percentage business. To put it in perspective, INR. 279 crores came from live events with INR. 22 crores profit. This disproportionate share of live events has resulted in adjusted EBITDA falling to 21%. If for a moment we exclude events, then our adjusted EBITDA is maintained at a healthy 40%. Although this quarter has been very good, I still request all of you to evaluate us only on a rolling 12-month basis and not on one quarter's performance. Let me start as always with the music business, which comprises of licensing and artist management. It grew by close to 20% on a year-on-year basis. Our revenues from YouTube maintained their growth trajectory. Audio streaming moved another step closer to the goal of going fully behind a paid subscription wall. One of the remaining three audio platforms offering free service, Airtel Wynk, has decided to shut business during this quarter. This leaves only two players in the market now with free offerings, and we are hopeful that they will also turn pay over the next four to five quarters. Because of the shutting down of Wynk, there will be short-

term pain, but we believe that the closure of their free service is good for the industry in the long run, as it will further motivate the remaining two guys to turn towards paid subscription. Our publishing business - wherein we give rights of our songs to be used in various videos continues to grow handsomely. Every major web show released in Q3, starting from Fabulous Lives of

Bollywood Wives, to Roshans, or big movies like Pushpa 2 and Shahid's Deva have one thing in common, they have licensed a Saregama song to be used for the show or the film. Brands like Air India, Urban Ladder, Mondelez also ended up licensing our songs for use in their advertising. Being aware of the power of our catalogue, we are constantly fine-tuning our approach in keeping our catalogue relevant and top of mind, which is done through dedicated marketing teams who work on the placement of these catalogue songs at high traction places. We continue with our strategy of future-proofing our company by investing in new content. The nine months of this year have seen the most aggressive content release ever from Saregama. We released close to Rs. 235 crores worth of content which include content cost and relevant marketing over the

nine months. Many of our albums that we release this financial year are charting at top positions across various languages. On a full year basis, we will be releasing content this year, costing us upwards of INR. 300 crores. Our August release - Stree 2 - songs are still on top of every possible chart. They are still generating 10 million additional streams daily on YouTube and Spotify combined. If I look at cumulative numbers, the four songs of Stree 2 have generated 1.9 billion views on YouTube and 450 million streams on Spotify in just six months. Further, our Tamil album, Amaran, has turned out to be the biggest hit of the Tamil industry of the last calendar year. During Q3, we also ended up releasing music of other big films like Singham Return, Jigra and Kanguva. Another big move from our side in the last quarter was that the Company forayed into the extremely popular space of hip-hop music. We tied up with MTV's Hustle Season 4 to acquire all the 130 songs that were produced in that season. We are also signing the winner of MTV Hustle 4 and all the major contestants as our exclusive artists. We will be creating more content with them and will also monetize these artists through live events. Please remember hip-hop is one of the fastest growing categories which is talking to the youth of the country, and it is not limited to any one language. They do very well in Hindi as well as Malayalam or Punjabi or even Bhojpuri. One thing which we are consistently able to deliver is a better hit ratio compared to everybody else in the market, and we attribute this completely to our data-driven approach to music acquisition. Rather than relying on only the human ear, we rely on predictive models to help us decide what to pick up and how much money we should be ready to pay for that content. Overall, during the quarter, we ended up releasing close to 1,200 original or premium recreations across Hindi, Bhojpuri, Gujarati, Punjabi, Tamil, Telugu, Malayalam, Marathi, and Bengali

languages. So, what I said earlier, I would like to reiterate it. While we continue working on the original content, we have placed a lot of focus and emphasis within the company to keep our catalogue relevant. This means either placing them in high-profile events or doing recreations of that content to make them relevant for the younger people. Our line-up for the next 12 months is all in place. We will have music from some of the biggest films of the year. This includes Maddock's Sky Force, which got released in the month of January, Maddock's next movie called Thama, Mammootty's Bazooka, Dharma's Sarzameen, Sanjay Leela Bhansali's Love and War etc. As shared with you at the beginning of this financial year, the next three years, which include '25, '26, '27, will be the period of future-proofing our company by investing aggressively in newer content. This is also our endeavor to move from the number two position to the number one position that we enjoyed in the 20th century. To do this, we will buy big, but we will buy smart. This quarter, the charge-off on account of the new content was 29% higher than the same quarter last year. We are in a transitional state currently, where our new content expenses are going up in a step fashion, resulting in incremental revenue just about matching the content charge-off. Over the period of the next four quarters, this will stabilize, with content investment going up linearly and not in a step fashion, resulting in additional revenue that will be generated by the content that we've invested in the first two years, exceeding the content charge-off that we may be taking right now from year three onwards. With all this investment in new content, we maintain our guidance of a five-year payback period, and then an additional 55 years to 75 years of returns coming from this content. Artist management, the other vertical within music monetization, where artists

are made popular through our IP releases, and then we monetize these artists by booking them for live events, weddings, and brand endorsements, from which Saregama gets a share. During this quarter, two big artists got added to our roster, Tony Kakkar with an 8 million follower base, and Rehaan Roy with a 6 million follower base. Overall, we now manage around 200 artists. As our investment in new content goes up, these artists are going to become bigger and bigger. On top of that, the phenomenon that digital advertising is growing upwards of 15%, we believe that this entire artist management piece, including influencer management, is going to become a huge beneficiary out of this. You are finally seeing in this country that music-based artists are also becoming very sought-after brand ambassadors. There was a time that the most coveted brand ambassadors used to come only out of the film industry or cricket. Now you have the likes of Diljit Dosanjh, big music-based artists, which are getting very, very popular and coveted with the top brands of the country. Net-net, with a stated goal of acquiring 25% to 30% of all new music released in India,

the music licensing vertical should double its revenue in the next three to three and a half years. And this entire content is going to be funded by our internal accruals and the QIP money. Now let me shift to the video vertical, where we make films under the brand Yoodlee, digital series under the brand Dice Media, and short videos under the brand Filter Copy and Nutshell. The explosion in smartphone ownership and the cheap data are the biggest drivers of this vertical. It's common to see everybody from a 16-year-old boy or a girl at home to 40- or 50-year-olds who are waiting maybe at a restaurant or a taxi driver who's waiting for his next rental, If they have even two minutes of spare time, they are constantly glued onto the short-format apps and are consuming content that we people are putting out. We are still at the very early stages of building this entire video vertical of ours. Over the next five years, we expect it to grow at 25% CAGR. As far as this quarter is concerned, it was a quieter quarter for us on the video front. While the TV serials continue to dominate on Sun TV , there were no movies that were released in this quarter. We had a branded web series called Arranged Patch-Up Season 2, which was done in partnership with Ikea and Peter England, which was released by Dice Media and it already generated over 25 million views. At the beginning of this quarter, we had one unsold movie lying on our balance sheet. Basis our conservative management position, we have decided to charge it off completely in this quarter. This is a non-cash expense. Future monetization, if any, that comes out of this movie is going to flow straight to the bottom line. The game changer in this quarter was the live events business. In partnership with Diljit Dosanjh, we brought the Dil Luminati tour to India, which became the most successful tour of any artist ever in India. We had 14 shows in India, and I think our biggest show was in Abu Dhabi. In this quarter, we also did, two shows under Carvaan Live with Zeenat Aman and another two sold out shows with Viraj Ghelani. As shared earlier, events business is a high revenue, low margin but a very high IRR business. So, in a quarter where there are lot of concerts, it may make our Adjusted EBITDA margin look low, but the fact is that the capital gets locked for very short durations in this business, thus resulting in high IRRs. Also, it has got a lot of strategic relevance to our overall music business. Quarter three actually saw this phenomenon playing out. While Diljit's India Tour's success may not get repeated every quarter or even in a year, the success of this tour clearly shows us the long term business potential of live events vertical. As disposable incomes in the country go up

, the discretionary spends are going to increase. And world over we have seen this phenomenon, this story playing out, that when discretionary spending go up, one of the biggest beneficiaries is experiential entertainment, whether it's live events or movies. We believe in this live events vertical a lot and we will continue to experiment and scale up this vertical. We believe this vertical to be one of the verticals of the future.

We now move to Carvaan: The transition of Carvaan from retail stores to e-commerce continues. We have scaled down our product portfolio and the retail infrastructure. We are fairly confident that while the volumes and the top line may shrink, the profitability margins will start improving as we go from quarter-to-quarter. This quarter saw the retail revenue of Rs. 22 crores, which was a 39% drop over the last year. Overall, the long-term strategy of diversifying from just being a music label to an overall entertainment IP company is paying off. It has not only reduced our over dependence on any one vertical, which may have its own swing, but has also allowed us to drive massive cost and revenue synergies between various verticals. Between FY '25 to FY '27, we will be investing over INR 1,000 crores in new music content. Of this amount of INR 1,000 crores, content worth INR 500 crores has already been secured. This will contribute not only to the immediate growth of the company but also put the company on a long-term growth path. We are here not only to drive today's profitability, but more importantly, ensure that the profitability going forward gets secured. We believe that our music vertical, comprising our licensing and artist management, will grow at 22% to 23% CAGR over medium term basis. There will be ups and downs, but a medium to long term projection of 20% to 23% stays. Overall, at the consolidated company level, we expect PBT to double over the next three to four years. Both the music and video verticals are going to contribute to this. We maintain our annual adjusted EBITDA guidance of 32% to 33%, excluding any sudden highs in live events business if it happens. On an annual basis, our PBT will show modest growth compared to last year, but this is expected to be correct after another four quarters where PBT will also start growing rapidly in sync with the revenue growth. Saregama's growth narrative will continue to be steady in the medium to long term, thanks to the overall increase in digital consumption, both in terms of new customers coming in and existing customers consuming that much more. I am very happy to share that the digital footprint of Saregama owned and controlled channels, which were under 300 million as of last quarter, have grown up to 324 million followers across YouTube, Instagram, and Facebook. We are on a strong wicket. We are using and relying on data and technology to charter our way, and we are thinking long term. We will continue to focus on businesses which have got long-term IP value creation. And while doing this, we will keep an eye on short-term profitability too. Lastly, I am pleased to share that the Board has declared an interim dividend of Rs. 4.5 per share. Thank you, and I am open to questions now.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Harssh K Shah from Dalal & Broacha. Please go ahead. Harrsh K. Shah: Yes. Thanks for the opportunity. A few questions from my side. So, firstly, if I dissect the revenue vertically, right? Sir, what I observe is that a pure music licensing revenue, so that is excluding Carvaan or the artist management has grown by just 12% on a year-on-year basis. So, considering the views that we have on YouTube and the plays on the OTT platform, doesn't this growth seem to be a tad lower? So, essentially, what I am trying to unde

rstand here is, is it a case where in the catalogue music is not growing so much, maybe in single digits? If you would help us understand. Vikram Mehra: Your analysis is a little incorrect, because for some reason, you have decided to keep artist management out. Remember, what is artist management? What is music? There is film music. There is non-film music. In non-film music, we end up investing in artists to put the music out and make money by licensing these artists across to live events. So, doing an artificial division between licensing and artist management is a tad bit unfair. Therefore, you should see the numbers on a combined basis only. And the numbers are showing, right now, the 18% to 19% growth that we have in the music business of ours. The other part you asked, has the catalogue number gone down? No, they have not gone down. Catalogue numbers are growing on a steady enough basis as we go forward. There will be quarterly pressures coming in if suddenly any platform decides, like what happened with Airtel Wynk, to shut shop. But that's a very short-term impact that starts affecting us. In the medium to long-run, we understand that shutting off one free platform results in either the free customer joining other platforms, becoming other platform's free customer, and the revenue goes up there, because all are minimum guarantee deals, or many of them will start moving towards a paid tier. Harrsh K. Shah: Okay. So, if you could kind of call out approximately what rate is the catalogue music growing at? Vikram Mehra: I will not be able to comment on that. We do not give that much amount of details because the big question also, after that you are going to ask me, how do you define catalogue music? Different people define catalogue music in a different fashion. Some define it as 15 months, some define it as five years, some define it as the way we used to define it at a time as before 2000. So, overall, what I can give you the comfort of is that this kind of growth that we are showing cannot come unless both catalogue music as well as newer music are growing. Because remember, we have a large enough base of music licensing revenue. And a large chunk of that, if you go by my last numbers, over 50% of that are still belonging to 20th century. So, unless we grow, we will not be able to show growth here.

Harrsh K. Shah: Got it. Any number you would like to quantify as to what would be the impact of the closure of the Wynk app? Vikram Mehra: Not individual platforms, no please. Can't comment on that. Harrsh K. Shah: Okay. Secondly, on the video segment, right, so if I look at the absolute EBIT for the nine months of FY '25, it's still negative. So, I understand that this quarter there was a bit of write-off that you have done on a conservative basis. But how should one look at the profitability of this division? Could you give a ballpark range of the margin one should expect on an annual basis, not a quarterly basis? Vikram Mehra: So, the video business should be able to give you high single digits margin percentages. Again, the great thing about the video business is that if you play it properly, the IRRs are far higher because you do not end up investing a lot of your own money in the movie. And you can turn around that cash multiple times during the year. That's how we look at the video business. There are ups and downs that keep on happening. It's still a relatively new business for us. We took over Pocket Aces just a year back. And we are still stabilizing that part of the business. So, you will see the video business also generating single-digit margin percentages as we go ahead. Harrsh K. Shah: So, single-digit EBITDA or EBIT? Vikram Mehra: We say single-digit EBITDA. But in the film business, we charged off the entire cost of the video in the first year itself. There's nothing which is sitting on the balance sheet. Harrsh K. Shah: Correct. Got it. And last

ly, one clarification. So, the shows that we are doing in collaboration with Viraj Ghelani, who is one of our artists, sir, the revenue is booked within the live events vertical or within artist management? Vikram Mehra: Live events vertical. Harrsh K. Shah: Live events. Okay. Got it. That's it from my side. I will be back in the queue. Vikram Mehra: Thank you. Moderator: Thank you. Next question is from the line of Robert Marshall-Lee from Cusana Capital LLP. Please go ahead. Robert Marshall-Lee: Good. Just be interested when you are talking about the aggressive '25, '26, '27 investment, just how you are thinking in terms of return on capital on that? And if you could just explain a little bit the kind of sequencing of the P&L, how does that come through? I am fully supportive of investing for growth, but I just want to understand how the impact of that and how you see in terms of value generation?

Vikram Mehra: So, the only guidance we have on the newer music investment is that we adhere to a five-year payback guideline on a cumulative basis of all the content that we procure in a financial year. And over the last four years of new content investment, we are faring better than a five-year payback period. Does that answer your question? Robert Marshall-Lee: But when you say a five-year payback, could you just clarify how you are calculating that? Vikram Mehra: So, the entire money that we are spending on the content acquisition and the marketing cost that is incurred on the content. Typically, our ratios are INR80 on content and INR20 on marketing. So, if I spend INR100 without loading the cost, without factoring the time value of money we will recover these INR100 over the next five years. Robert Marshall-Lee: Okay. And so given the aggression of your investment at the moment, your write-offs through the P&L are just exceeding the kind of the marginal gains on the kind of P&L benefit side in during that kind of period, but then they are expected to inflect back the other direction. Is that correct? Vikram Mehra: Sorry, I did not get you. Robert Marshall-Lee: So, as you are accelerating your investments, as you are going through the accelerated investment phase, then the P&L kind of dilutive effect of the upfront write-offs exceeds the benefit temporarily. Is that correct? Vikram Mehra: Yes. So, we typically charge 36% of the new content investment in the first year because it's not a linear increase in our content investment. It's a step function jump we are doing on the content investment side. That's why two quarters back we had given the guidance that for the next six to seven quarters, we will see a situation where the increase in revenue on account of the newer content will just about match the charge-off that we are taking. As we jump across that after four quarters, the growth in content investment is going to start becoming of a linear nature. That's a time that the revenue growth is going to become faster than the charge-off and hence profitability will start coming in on account of the newer content. Robert Marshall-Lee: Right. Yes. Understood. And could I just ask about the kind of impact you are expecting from the exits of free platforms? So, you talked about the two which have already shut up shop. Does that impact you kind of temporarily in terms of any kind of monetization you are putting through those platforms and how do you see that shaking out? Vikram Mehra: So, over the last 18 months or so, four of the platforms have either shut shop or have gone completely behind the paid wall. Gaana and Hungama have gone fully behind the paid wall, while Resso and Airtel Wynk have shut shop. The immediate impact of that is that the minimum guarantees that we were getting from these platforms have gone away overnight. As you can see, looking at the four out of eight platforms in India that have shut shop or turned paid, the impact

should have been massive on our bottom lines, but we have been able to cover ourselves because many of the customers who were there on these free platforms have either transitioned to other free platforms or have moved towards a paid service. So, we believe this journey will continue and of the remaining two platforms, there will be one of them which is an Indian platform., if they turn paid, the international platform is going to follow suit. And over the next four quarters or five quarters, you will have India transitioning from a free model to a paid model on the audio side also. You are already seeing trends in the past on the cable and satellite TV world, where transition happened from free to paid. We have also seen on video on demand part where SVOD numbers have gone up substantially. We believe something similar is going to be happening on the audio side too. Robert Marshall-Lee: That's helpful. Thanks very much. Vikram Mehra: Thank you. Moderator: Thank you. Next question is from the line of Jyoti Singh from Arihant Capital Markets Ltd. Please go ahead. Jyoti Singh: Thank you for the opportunity. My question is on the event business side. Like, we have done very good in this quarter. So, what are the expectations going forward? We are expecting a similar kind of performance. And, how much margin we are expecting going forward? Or are we seeing similar kind of trend, so it will be going to impact on the margin? Vikram Mehra: So, Jyoti, when we started the events business a year and a half ago, we started it because we were seeing some initial amount of interest from the Indian customer in experiential music. And that's why we were bullish about that. Secondly, we saw serious synergy between the live events business and our licensing business. We were not very sure which way this event business is going to pan out. What our performance of quarter three has shown us that the Indian customer is becoming more open to the idea of experiencing live music. It's not just our concerts that have done well, there are some international artists who also performed around the same time and have been able to draw large number of crowds. So, we believe that as we go forward over three to five years, there may be a large amount of growth coming out of the events vertical itself in the company. Compared to everybody else, we have an edge at this moment. Firstly, we are the only music label in this country that also has live events vertical, which allows us to get a massive edge. We have relationships already going on with the artists. We are also releasing songs by the same artists whose live events we are doing. Nobody else has got the same position in the market. You may not see this performance that you saw in quarter three getting repeated every quarter. But let me repeat myself. Over the period of the next three to five years, directionally we will move in here. And the margins in events business are, at best, high single digits. But because

your money gets locked for a very short duration, say 30 , 60 or 90 days only, you are able to go back and generate very high IRRs. Jyoti Singh: Okay. Thank you so much, sir. And sir, on the margin side, basically margin is the main concern with Saregama compared to our competitor. So, when will we be going to see the stable or good margins? Vikram Mehra: Ma'am, if we decide as a company tomorrow to follow a policy that we just want to be comfortable with whatever content we own currently, we will end up driving margins which are upwards of 75%. Because our real cost structure that we are sitting on within the company is the new content that we are acquiring. Saregama, for the longest time, for close to two decades, had taken a call not to invest in new content. And we realized our folly. This is because if you do not invest in newer content, the company starts becoming irrelevant for

the younger audience. And that's a conscious call that we have taken that we will invest in content in a very heavy fashion. This means there will be – on a short-term basis, a cost structure. Hit content does not come free of cost. But we believe in the period of next three to five years, it will boost our profitability in a significant fashion. Jyoti Singh: Thank you so much. Moderator: Thank you. Next question is from the line of Mr. Pulkit Chawla from Emkay Global Financial Services. Please go ahead. Pulkit Chawla: Yes, thanks for taking my question. So, the first part, I think, do you somehow feel that with the growing popularity of the shorts format, does something like a YouTube shorts cannibalize your long-term format? Given that today, at this point of time, monetization is slightly better on the long format as compared to the short format, does that make monetization slightly more difficult? And second, if you could just help me, it's been a year since you have now acquired Pocket Aces, where we are on the path to profitability? So, the last year was slightly weaker on the revenue growth front also. So, if you could just highlight what steps have you taken for Pocket Aces? Vikram Mehra: Okay. So, let's talk about the short format content. When we look at all of the short format apps, we see a massive potential upside that has not been factored in yet, in terms of the share of advertising revenue that these people can generate. You see these apps as cannibalizing views, we see these apps as something that can generate a fresh set of eyeballs and hence fresh advertising, which will eventually get shared with the content creators. It's only a matter of time. Some of these short format apps even have contracts with us, which say that the day they start sharing revenues with any content creator, they will share it with us also. So, we see these as the future growth potential area. Often people ask me on music, what are the two unexpected growth triggers that may come in. The expected one is the market share from our side or the basic growth

that industry is seeing. The unexpected part, will be the growth of subscription that may really surprise us. It may grow very rapidly on the streaming side. Secondly it is the short format app's ability to convert these eyeballs into advertising dollars that will get shared with us. That's part one of the answer. Part 2 you were asking for? Pulkit Chawla: The Pocket Aces profitability part and the revenue growth trajectory. Vikram Mehra: Saregama is going to be growing its revenue upwards of 30%, and Pocket Aces cannot lag. They must go out there and grow at the same pace. Otherwise, we will have pressure. So, they are growing right now in a healthy enough fashion. And we are reasonably confident that we will be able to get them to breakeven or very close to breakeven, as promised earlier, by the end of the financial year. Pulkit Chawla: Thanks again. That's super helpful. Thank you. Moderator: Thank you. Next question is from the line of Rucheeta Kadge from I-Wealth. Please go ahead. Rucheeta Kadge: Hello, sir. A very good evening. Sir, my question was about the events business. So, what are the kind of events that are lined up for the next year? Can you give me a sense on that? Vikram Mehra: Ma'am, we work with a range of artists. These are artists who are signed with us, and who are coming to us, seeing our ability to produce India's biggest tour with Diljit Dosanjh. There is more work that may happen in international markets with maybe Diljit itself. There are Punjabi artists. There are South Indian artists. So, there are a range of people that we are working with. We are also developing in parallel IP-based shows, which are independent of an individual artist, but the IP becomes bigger. Like this series that we have, where in we get a big Bollywood star of yesteryears, who tells us the stories of his or her movies a

nd the songs behind it. In the last financial year, we've already done one with Javed Akhtar Sahab. We just did another one with Zeenat Aman ji in this financial year and you will see us pursuing this with a greater number of stars. Similarly, we are doing musicals for kids. Say Cheese Grandpa is the brand name under which we work, whereby we take some of the most iconic songs of Saregama like Lakdi Ki Kathi, which were aimed at the younger children, combine it with some of the newer age music, give it some amount of prominence on digital platforms, and then also turn them into live events where younger kids can come with or without their parents and also get some moral learnings out of that show. So, all that is happening. Events have got a dedicated team which is exploring all possible opportunities. The good part is that there's a lot of conviction internally in the system after the success that we have seen. And in the market, we are treated as the number one producer in the country today as far as live events shows are concerned. Rucheeta Kadge: Okay, sir. So, sir, my question was in the direction that in the last nine months or 12 months, if I see, on an average, our growth has been very massive. So, going ahead, obviously the base is going to be higher. So, would that growth taper down or you see directionally it should grow in maybe 50%, 60%? Vikram Mehra: Ma'am, let me comment vertical by vertical. On the music side, we maintain our mid-to-long-term growth projection of 22% to 23%. On video, we are projecting a growth of 25%. On Carvaan, there will be further degrowth that will happen and then it will stabilize and hopefully start showing a marginal growth upwards. On the live event side, honestly, it's very early for me to go back and give any number. So, on the live event front, give us another few quarters for us to stabilize it. After that, we will be happy to share our growth projections. But on the most stable businesses, I've shared my projections with you. Rucheeta Kadge: Got it. And sir, just one last question, sorry if I am repeating it, but just wanted to understand, get a sense on the content cost, which is amortized. So, if you could give an example, if INR 100 content we are acquiring, how much of it are we amortizing, how much of it is marketing, and going ahead, then how do we amortize that? Vikram Mehra: So, I will ask Pankaj, our CFO, to take this. Pankaj Chaturvedi: So, see, the ratio between content acquisition and marketing is typically 80-20. So, if content is acquired at INR100, INR80 is the content acquisition, INR20 is the marketing. The INR20 of marketing gets charged off immediately, while of Rs. 80, we write off 20% in year one, which is 16. So, if you just add up, it is about 36% that gets charged off in year one. At the overall level, the entire content is charged off in a period of 10 years. Rucheeta Kadge: So, from second year, would it become lower and lower, like 20% in year one, so then it may be 10%? Pankaj Chaturvedi: Second year it is 15%, then the remaining eight years are equal. Rucheeta Kadge: Okay. Understood. Yes, that was it from my side. Thank you so much. Vikram Mehra: Thank you. Moderator: Thank you. Next question is from the line of Priyankar Sarkar from Square 64 Capital Advisors LLP. Please go ahead. Priyankar Sarkar: Hi, good afternoon, Vikram.

Vikram Mehra: Hi. Priyankar Sarkar: Vikram, a couple of questions. If Airtel Wynk did not go out of the market, how much more revenue growth could we have done in this quarter, any ballpark figure if you can help us with that? Vikram Mehra: Pass that one, please ask the next one. It has no value now. Priyankar Sarkar: No, because the thing is, when we speak to the industry, they are saying that the growth in music licensing at an industry level has slowed down, right, to the early teens. And I wanted to ge

t your view because you have been very bullish on that, but that's not the feedback I get when I speak to on the people in the industry, so where is the disconnect? Vikram Mehra: So, I am assuming you are giving us a pat on the back. Priyankar Sarkar: I mean, sir, I would look at you without the artist management. So, for me, you have grown at 12.5%, add that you have grown 19.5%. Vikram Mehra: Everybody else has got the same artist management sitting in. All my competitors have signed artists, and their revenues are coming as a part of it. It just so happens we are splitting them. Every major label that you pick up globally or in India has an artist management piece connected to it. It's an integral part of music. Tomorrow you may say, I will not include YouTube as part of your music licensing, and what do I do? So, that's entirely your prerogative, but I will again repeat, I think it's flawed. You need to combine both these to understand music. What is the potential of music? Because I invest in artists who are going out there and singing my song. I make money not just from the song, but from the artists at the same time, and everybody is following that methodology. See, you need to understand when four of the platforms decide to go from free to either paid or they shut down. There will be some amount of pressure that will start getting generated in the market. What we are very bullish about as an industry is that the shutdown is resulting in subscriptions slowly growing. At the end of the year, which is the end of next quarter, I will be sharing some flavor of how the revenue that Saregama makes from subscription is going up. These are still early shoots, but we can see the subscription economy really moving as we go forward, which is the great part. For us, the fact that our growth numbers have gone up is because our market share has gone up. Market share has gone up, because we are actively investing in newer content. And so is the number one player in the market. They are also actively investing in newer content. We have a higher hit rate and you can go back and judge by yourself by looking at the numbers of all the newer content that have come out. We have a far higher hit rate compared to a direct

competitor, the number one across all languages, which is helping us grow faster than the rate at which industry is moving. Priyankar Sarkar: Fair enough. Sir, if I can squeeze in one more, how is the growth in areas such as Punjabi, Bhojpuri and other regional language, except barring the bigger southern industry? Vikram Mehra: The growth is there across all languages for a player like us, because our market share is going up. I will tell you how we look at market share of the newer content. Take a calendar year of 2024, check out every song across every language released by every label in the year 2024, check out the cumulative views of each of these songs as of 31 December 2024, so everybody gets an equal chance out here and then starts looking at the market share. You will see Saregama's market share going up across all languages. We have one language where we are relatively weak and one language that we have not entered ourselves into. Apart from that, in every major language, you will see us either at the number one or number two position. This includes, last quarter, , where we actually entered Chhattisgarhi, and we are now sitting at number one position in Chhattisgarhi also. Priyankar Sarkar: Fair enough. Okay. Thank you, sir. I wish you all the best. Vikram Mehra: Thank you, ji. Moderator: Thank you. Next question is from the line of Swapnil Potdukhe from JM Financial. Please go ahead. Swapnil Potdukhe: Hi. Thanks for the opportunity. My question is with respect to your guidance at the start of the year wherein we had said that music licensing plus artist management will grow around 25% to 26%. Now, if I were to look at your numbers till '19, it appe ars that we are somewhere in between 17% to 18%, so we are quite far away from our original guidance for this particular year. So, any thoughts around how -- Vikram Mehra: Actually, our guidance is 22% to 23% right now on this entire music vertical. Are we going a little slower than that in this financial year? Yes, you are right. Yet we maintain our guidance of 22-23% on a medium-to-the-mouth basis. You will have a quarter or two here and there slowing down, with slightly unexpected things like a platform shutting shop (like Airtel Wynk). This was not expected. So, there are some amount of dents that we end up taking, but we believe that on a medium-too long-term basis, we are on solid grounds, and we will come back on this 22%, 23%. So, if you are going to be looking at us on a five-year basis, you will see a CAGR of that percentage, some years it will be higher, some years it will be slightly lower. Swapnil Potdukhe: Okay. And secondly on your cost side, if you look at your employee expenses, there has been some volatility in terms of how much your employee costs have been there quarter-on-quarter

basis. So, you started with roughly around INR26 crores in Q1, then it went up to INR30 crores, now it's down to INR27 crores. Just wanted to get, I mean, what's bringing such -- Vikram Mehra: That's only based on two quarters, I think you need to go back and look at the number on a 12-quarter basis, then you will start seeing a clear pattern coming in. We announce our bonuses and increments in the month of July. So, Q2 ends up typically being higher. Also remember, this year onwards. You are seeing the entire Pocket Aces salaries also getting combined with our numbers, which was not the case necessarily in the past. So, that's the jump that you are seeing. We are very closely monitoring employee expenses as a percentage of the revenue, and we are comfortable with the rate at which it's moving. There is nothing y on the employee expenses front which is suddenly going up. Pankaj Chaturvedi: I will just add to it. Swapnil, if you see the quarterly percentages of employee costs as a percentage to revenue from operations, you will see some ups and downs because of the denominator impact. One is the consolidation of Pocket Aces, just like if you see this current quarter, because of the huge surge in revenues led by live events, the percentage appears to be 6%, which again is, artificially low. Just look at our last year’s numbers, the percentages were stable at about 11%, 12%. Some quarters, yes, there will be an impact on account of the bonus’s payout, but otherwise, the percentages are in control. Swapnil Potdukhe: Understood, Pankaj. And just a last one, if I can squeeze in. So, we have been talking about our Carvaan business, we are taking some efficiency efforts over there, right, trying to bump up the margins on that side. Anything that you can call out as to where we are in terms of that effort, any improvement in the margins of the business? Vikram Mehra: At the end of Q4, all the cost correction initiatives that needed to be rolled out will get rolled out because there was a large workforce that we had as part of the Carvaan team that were responsible for selling the products in the retail market. And we also had inventory lying with us, so we could not take a call on an overnight basis to make any changes. It's a slow process that had happened there, whereby we have brought down the inventory and a lot of people from the retail side have been helped by getting them jobs out there . So, you will see from Q1 of the next financial year the full impact of that coming in. Right now, all we are seeing is that the revenue is falling, but it's not always resulting into a greater efficiency because some of the manpower reduction has not been exactly in sync with the fall in revenue. Q4 will be the last quarter in which this process is going to continue. Q1 onwards, you wi

ll start seeing numbers coming on account of Carvaan too. Swapnil Potdukhe: Got it, Vikram. Thanks a lot for the opportunity and all the best. Moderator: Thank you. Next question is from the line of Abhishek Kumar from Sanctum Wealth. Please go ahead.

Abhishek Kumar: Hi, good evening. Sir, my question, I guess most of it is answered. I had a first question on the Hip Hop foray. So, just -- Vikram Mehra: Question. Sorry, I cannot hear you, sorry. Abhishek Kumar: My question was on the Hip Hop foray which we had made this quarter and our partnership with Hustle 4 and where we have acquired the songs and plus the artists. So, I just wanted to know the thought process behind it and how our strategy would be going ahead in this? That's my question. Vikram Mehra: This is one of my favorite areas. Very consciously within Saregama, we want to correct the fact that majority of our content's appeal is to the middle-aged or the older people because this was the company which used to live on the HMV legacy. Over the last few years, we have taken a lot of steps to correct it so the company starts becoming relevant to the younger people also because once they get used to my music here, they will also give us revenue for the next 40, 50 years of their life. There have been moves in picking up new film music, creating new pop music, creating video content which is relevant to the younger people. In the same direction, we realize that the youth of the country, you are now talking about 14 to 26, 27, that age group is very, very big on the Hip Hop side. Hip Hop is not the kind of music which is consumed by everyone in this age group, but people who consume it, consume a lot of it and also go out and attend the live events of the artists whose music they are fond of. That's what has got us excited. We experimented in December, January of FY'24 with working with people like Krishna and Raftaar, who are the big boys of Hip-Hop music. We started tasting success with that. They also took time to accept the fact that the giant pop music is ready to go out and make a foray into Hip Hop also. Our next experiment was with MTV Hustle, whereby we did a deal with them. We had not picked up their music in the past, ever. And this time, we ended up picking up the music. And if you go by just by the data, Hip Hop Season 4 has been the best performing Hustle ever. Hustle has never done as well as they have done in partnership with us. We are also singing their number one artist who won this year's Hustle and some three other artists as part of an exclusive deal, whereby they will record music with us and we will also manage their live events business. As we go forward, you will see more activity happening in this space. Attempt is again to create music which is relevant to various strata’s of society. Sometimes we do it on the basis of language. Sometimes we do it on the basis of film or non-film.

While I am talking about Hip Hop, you will also see some more action happening in Q4 on Carnatic music, which is a more traditional side we are moving into. We have not made too much investment in recent times on Carnatic. You will see us creating property and getting some of the younger Carnatic guys and putting up their content. So, it's a diversified approach that we take at Saregama across each of our verticals, so that we are never too dependent on any one area, while also monitoring the return on investment profile of various areas to decide how much budget we should be giving to each of these. Abhishek Kumar: Thanks a lot for a detailed explanation. And it's really good to know that we are moving towards the younger audience of 14 years to 26 years, which you mentioned. That is something which I guess is really appreciated. And last question, I know that various participants have asked about live events. So, this is a bit different

in aspect, given that we have set kind of set a benchmark with respect to the Diljit concert this year and which was a super success. So, how do we kind of move ahead of this one? So, the benchmark which you have set is high and how do you think about the artists which say will have throughout this year, be it Indian artists, Punjabi artists, Hindi or maybe you should think of any Western artists, so if you can kind of -- Vikram Mehra: I had answered this question earlier also. We are looking at a range of artists with whom we can go out there and work. The fact of life is there is only one Diljit Dosanjh in this country. You also have other artists who are very, very good like Arijit, but Diljit Dosanjh is Diljit Dosanjh. He is the ultimate ambassador of non-film music and a brand in his own. So, can I go back and replicate the success of this tour every quarter? It may not go back and happen. What it has done is put serious amount of confidence in the minds of the management team, our partner and our investors that this moment of investing in live events is the right moment and Indian customers are ready to pay provided the experience is right, provided the artist is a brand in his own right. So, on the artist management vertical, the artists with whom we are working, the kind of music we are giving to them, we are keeping in mind that eventually we need to turn them into huge live artists also at the same time. We are also in dialogue with some Punjabi and South India based artists and working with them and seeing how we go back and create, if not as big as Diljit Dosanjh tour, multiple tours, maybe half their size. So, please do not expect every quarter for this to happen. But it's clear that live business is here to stay, and it is going to eventually become a huge chunk of our revenue as we people go forward. Abhishek Kumar: Okay, got it. Thanks a lot Vikram and to everyone. Thank you.

Moderator: Thank you. Next question is from the line of Purab Rathi from RBA Finance and Investments. Please go ahead. Purab Rathi: Hi, sir. Good evening. Congratulations on the record set of numbers. So, sir, my question would be on a more of you see how live events are getting traction from, as you said, the younger audiences. So, I would want to know if Saregama would be open to touring, like how we sent Diljit Dosanjh abroad, would we be seeing artists from abroad such as Taylor Swift or Coldplay, who just packed Bombay, Saregama touring them and producing shows with them? Vikram Mehra: At the conceptual level, yes. Purab Rathi: Saregama does have scope of like touring Diljit abroad, but also getting artists from abroad, here in India, right? Vikram Mehra: Conceptually in agreement with you. But remember, we are not an event production company. We are an IP-based company which invests in artists. So, are we talking to some of the international guys? Yes, we are in dialogue. But everywhere we are also finding ways in which, even if an international artist comes in, can I do the opening act of that international artist with a Saregama artist? Can I create some more music with that artist out here as a collab between that artist and an Indian artist? We are looking at all those kinds of possibilities. But that also opens me up to audience living outside India, non-Indians, consuming our music. When I connected to one other participant, when I said that artist management and music licensing are completely connected to each other, literally one and the same thing, that's the point I was trying to drive. And the extension of this is the live business. So, short answer to your question is, yes. Purab Rathi: So, sir, one last question. As you said, especially for live events, there is ticket sponsorship. Just curious, we had Dil Luminati tour in USA and Canada. Why were the ticketing revenues of those shows not accounted for in our books? Vikram Mehra: It all depends on the kind

of structured deals that we people were doing there. We were working in partnership with the local guy. Again, it also depends on the fact that they were bigger shows and we wanted to go out there and hedge our risk. So, our role was relatively more limited, while in India, the entire show was 100% produced by us. So, our roles also keep on varying depending on our strengths in any individual markets. Purab Rathi: Thank you. That answers my question. Moderator: Thank you. Next question is from the line of Ravi Kumar Naredi from Naredi Investments Private Limited. Please proceed.

Vikram Mehra: Ravi ji, you came quite late today. Ravi Kumar Naredi: The queue was long; my number did not come sooner. Sir, again, I congratulate you on the good numbers you had given, but in last nine months results, our revenue rose by 72%, but net profit has barely no rise, so will you comment on that? Vikram Mehra: Sir, I will not react on numbers but on every call for the last four quarters I am saying this, as we have started the journey of investing heavily in content, my charge-off of the new content will just about go back and match the increase in the revenue that is coming on account of the new content. Ravi Kumar Naredi: Right. Vikram Mehra: And we have taken a conscious call to go out there and do it. And I've shared with the entire investor community before we ended up starting to spend this money, so this is going to continue for another four quarters. It was a six-quarter story. Two quarters are over, and four more quarters, this is going to happen. Because after that, you will see the spending that we are making on newer content will start increasing only in a linear fashion. And hence, the revenue growth is going to be far higher than the growth on the cost charge-off that we will be taking. And start growing substantially. Ravi Kumar Naredi: Understood. Yes. And this cost of content rises now higher side, now it is almost 40% to 50% of film cost. So, how do we earn more in this scenario? Vikram Mehra: Sir, sorry, I am not very clear about your question. Ravi Kumar Naredi: Sir, our content cost is on the very higher side. It is almost 40% to 50% of the film cost. So, how do we earn more money from this higher content cost? Vikram Mehra: How did you say 40% to 50% of the film cost? Ravi Kumar Naredi: Almost, I am seeing with some producer, they are saying that they are -- Vikram Mehra: But sir, then people may be buying the music very, very expensive. We do not buy it that way. Ravi ji, I have shared in multiple forums and in multiple calls also with you is that our entire buying process is a data analytics-based process, whereby predictive models are used to understand how much money we will be able to generate from an album over the next five years, because you know the internal guidelines of payback is five years. Whatever models are showing, we do not go and pay on that. So, we are never

40% to 50%, not even anywhere half way close to that. Ravi Kumar Naredi: Okay. So, it is in our mind that we have to recover in five years, right?

Vikram Mehra: Yes, sir, that's a guiding principle for everybody in the management team. If there is one thing that binds the entire music business, both of licensing and artist management, it is that the total investment you are making has to get recovered in less than a five-year period. Five is the outer number. Ravi Kumar Naredi: Right. Sir, in this Yoodlee movies, we will come in profit soon? Or it takes another few years? Vikram Mehra: Sir, you will see Yoodlee's model transitioning, Yoodlee has started showing profits. Then the old model of Yoodlee, if you remember, we used to make films and license them directly to the digital platforms. During COVID, we realized that digital platforms were refusing now to take movies which are non-big stars directly onto their platform. So,

we have changed our strategy and say we will make movies that are taken to theatrical part first. And then we move across to the platforms. Ravi Kumar Naredi: OTT platform. Vikram Mehra: If you see in this quarter there is literally one movie of the past that was sitting there with us. That's the only movie which was an unsold movie. And in our prudence, we have decided to go back and completely charge it off. Ravi Kumar Naredi: Okay. Thank you. And all the best. Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for the day. I would now like to hand the conference over to the management for the closing comments. Vikram Mehra: Hi. We can see this quarter as an aberration, or we can see this quarter as definite proof that the strategic steps that we are taking at Saregama are all moving in the right direction. Diversifying ourselves beyond the music business alone, even within the music business not being dependent only on one kind of music, whether we are investing right now in film as well as non-film, popular as well as Hip Hop, Carnatic as well as ghazals, and devotional. We are investing in all the major languages of the country. We are not relying on making money in music only out of what a YouTube or a Spotify will give us. We are also investing along with the music on the artists who are making that music so that the recovery of the music can also happen from that individual artist who is the raw material here, to also getting into other entertainment IP areas like live events or video business or within video business, short-format content. It just tells you that at Saregama, we are very, very open to trying and exploring various other entertainment IP verticals. It not only allows us to diversify or hedge our risk, but also allows us to create large synergy across all verticals that we will have. Second, the use of technology and data over humans' ability to decide what's going to work and how much to pay, is helping us in a very big fashion. Also, having a managerial strength which

has not been taken out of only the music industry, but also top talent from FMCG,consumer durables and services is being picked. It's the combination of all three factors which give us a massive edge over our competitors. We are growing at a rate which is faster, have a hit rate ratio which is better, As we drive more synergy between various verticals, the efficiency levels are also going to go up and scale will start giving its own cost advantage. So, overall, we, as the management team, are extremely bullish on the future and we believe that the company will go strength to strength. Thank you and look forward to all your support. Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2025

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Date: 23rd May, 202 5

The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C -1,
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Bandra (East), Mumbai – 400 051

Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163

Sub: Q4FY25 Earning Conference Call -Transcript

Dear Sir/ Madam,

In continuation to our communication dated 13th May, 2025 and p ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’) as amended, please find enclosed the transcript of the Q 4FY25 Earnings Conference Call held on Friday , 16th May, 2025 at 11:00 A.M (IST) for the quarter and financial year ended on 31st March, 202 5.

This information is available on the website of the Company www.saregama.com

You are requested to kindly take the abovementioned on record .

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer

Encl: As above

“Saregama India Limited
Q4 FY '25 Earnings Conference Call ”
May 16, 202 5

MANAGEMENT : MR.VIKRAM MEHRA – MANAGING DIRECTOR
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL
OFFICER
MR. ANAND KUMAR – GROUP HEAD – INVESTOR
RELATIONS
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR –
INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Saregama India Limited hosted by JM Financial Institutional Securities Limited. This conference call may contain forward -looking statements about the company, whic h are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all particip ant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone.
I now hand the conference over to Ms. Eksha Modi from JM Financial. Thank you, and over to you, ma'am.
Eksha Modi: Thank you, Pooja. Good morning, everyone, and welcome to Q4 FY '25 Earnings Conference Call of Saregama India Limited. First of a ll, I would like to thank the management of Saregama India Limited for giving us the opportunity to host this call. From the management team, we have Mr. Vikram Mehra, Managing Director; Mr. Pankaj Chaturvedi, Chief Financial Officer; Mr. Anand Kumar, Grou p Head, Investor Relations; and Mr. Pankaj Kedia, Executive Director , Investor Relations.
I would now like to hand over the call to Mr. Vikram Mehra for his opening remarks, post which we can open the floor for Q&A. Thank you, and over to you, sir.
Vikram Mehra: Thank you, and a very good morning to everyone. Financial year '25 saw our highest annual revenue of INR1,171 crores, a 46% growth over financial year '24. Also our highest Adjusted EBITDA of INR356 crores , which is 18% growth over financial year '24 and PBT of INR276 crores, which is 2% higher than last year.
Our investment on content this year was INR316 crores, which was 62% higher than that of financial year '24. All of this is in sync with the strategy shared with all of you guys over the last few quarters, wherein we want to future -proof our company through aggressive new IP purchase, but at the same time, we are hedg ing our risk by diversifying our IP portfolio across music, live events, long -format v ideo, short -format video and management of the content creators.
The other big highlight of the year for us was that our digital footprint across YouTube, Instagram and Facebook grew from 239 million as of last year to 350 million during the year. That's a massive growth right now by any yardstick.
Coming to the quarter. This quarter saw operating revenue of INR241 crores and PBT of INR81.6 crores. Let me start, as always, with the music business, which comprises of music licensing and artist management. This vertical remained flattish on a year -on-year basis during the quarter, primarily because of Wynk shutting down. We had no revenue coming from our platform during this quarter. But if we see the numbers on a full year basis, music revenues grew by clos e to 12 %, which is lower than the previous year, but the big area of decline was primarily

on account of closure of Wynk and Hungama, movement of G aana from a free service to a fully paid service.
Good news was that this fall was countered by increase in revenue coming from paid subscription and also from the YouTube premium channels. In fact, for us, the revenue made from paid OTT and YouTube services grew by a very high double -digit percentage. But remember, the base is still very, very small. In the nex t few quarters, we believe paid subscription to become the single biggest growth driver for Saregama.
So yes, there has been a lot of pain over the last few quarters with multiple services shutting down, whether it was Resso shutting down ea

rlier, now Hun gama has shut down, Wynk has shut down, G aana has gone behind the paywall. All this has been given short -term pain to us because our money that was coming from the free services have stopped coming. But in the long run, it's a very healthy sign for the industry's growth.
On the publishing side of the business, the revenues continue to grow. Every major web show in India from Aashram Season 4 on Amazon MX Player to The Kapil Sharma Season 3 and 4 on Netflix or the IPL opening ceremony on Star or a big mo vie like Salman star rer Sikandar, or

Balayya star rer Telugu movie, Daaku Maharaaj, they all have one thing in common. They have taken a license for a Saregama song.
Even brands like Tata Motors, who came with this massive Tata Curvv campaign during IPL , using the song Tauba Tauba or Dream 11 or Mobil One, they all used the songs in this quarter.
Our focus on keeping our catalogue relevant is growing practically every quarter onwards. We have a dedicated team whose only role is to maximize the revenue tha t is coming from the older content of ours.
We continue with the strategy of future -proofing this company by investing in newer content. The last 12 months have been the most aggressive from Saregama side in terms of new content release. We spent close to INR300 crores on new content alone and its marketing. Most of our albums are charting at top position across various languages. All this can be easily verified through YouTube or Spotify charts.
We have 10 songs released in financial year '25 that have c rossed the 100 million views mark on YouTube. This is just songs released over the last 12 months, 10 of them are sitting in the 100 million club. An album like Stree 2 has crossed 3.1 billion streams across YouTube and OTT in less than a year. That tells you that if you get a good album and you market it correctly, there is a lot of revenue potential that is sitting in there.
This quarter saw a release of 2 very popular songs, which have been chartbusters. One is Premalo from a Telugu movie Court and seco nd is Arijit Singh 's Tu Hai To Main Hun from Akshay Kumar's movie Sky Force. The company continued to maintain its leadership position across Gujarati and Bhojpuri languages. We have also opened our content acquisition now in Oriya and Chhattisgarhi langua ges.
If we see the track record in financial year '25, we have the best hit rate ratio. Yes, some of that is fate and I won't run away from it, but I give a lot of credit to our data based acquisition

approach that we people have been able to instil within the system. This is good predictive model that is allowing us to buy the right content at the right pricing.
This year, we also ended up acquiring 22 small music labels across 7 languages with overall who control 2,800 songs. These are all low pro file under the radar acquisitions, typically in languages where we are not very strong, relatively more smaller languages of the country. This costed us close to INR17 crores, and we believe all this is going to further strengthen our position as we go for ward.
Our lineup for the next 12 months is all in place, where we have music from some of the biggest films that are going to get released this year. Let me start with this quarter, one of the most highly anticipated film is a Tamil Film called Thug Life, which has got Kamal Haasan and Mani Ratnam coming together after many, many years, along with A. R. Rahman's music.
We then have Dharma 's, 'Tu Meri Main Tera , Main Tera Tu Meri ', which is a Kartik Aaryan movie. We also have Dharma Sarzameen. We have Sanj ay Leela Bhansali 's Love and War. We have Telugu Superstar Nani's Paradise and HIT 3. We have Ranveer Singh's, Dhurandhar, Tamil Superstar Dhanush Idly Kadai, another massive star of Tamil called Surya's Vaadivaasal and Sivakarthikeyan's Parasakthi. And I' m just giving you

the names of some of the bigger titles.
Similarly, there are huge titles which are sitting in whether it's Darshan 's DEVIL in Kannada and similar big titles sitting out there in Malayalam. South was and continues to remain a huge focus a rea for us, while we keep on strengthening our position on the Hindi side, too. As I've been sharing with you right now for over a few quarters, the next few years will be the period during which we will invest in content in very heavy fashion to once agai n get ourselves back on the #1 position that we used to enjoy a few decades back. We will buy big and we will buy smart.
This year, the charge -off on account of new content was 48% higher than last year. We are in a transitional state currently where our new content expenses are going up in a step fashion because if you see the chart which has been shared in our presentation, it will show you right now how steeply our content acquisition budgets are going up. Since the expenses are going up in a step fashi on, the incremental revenue s are just about matching the charge -off that we people are taking. As we move to the later part of financial year '26, you will start seeing that the increase in revenue will also start having a direct impact on the profitabilit y.
At the beginning of the year, in April '24, I had said, till for the next 6 to 7 quarters , the top line is going to grow rapidly. The EBITDA is going to follow, but not that rapidly and PBT will be growing at a slower rate. And the moment we come to the seventh or the eighth quarter, PBT will also start moving at a much faster pace for the simp le reason that the content that we would have taken by that time will start having a revenue, which is higher than the charge -off that we will be accounting for.

With all this investment in new content, we maintain our guidance of 5 -year payback period. And after the 5 -year payback period is over, you have another 55 to 75 years of reaping profits. Artist management, the new vertical under music monetization, when artists are made popular

through our IP releases and then we monetize these artists by bookin g them for live events, weddings and brand endorsements from which Saregama gets a share.

As our investment in new content goes up, these artists are going to become bigger and bigger. With digital advertising growing at 17% per annum, we believe that the Artists and the Influencers economy will be the biggest beneficiary. I'll give you an example of how people are now using our power of content creation to go and make our artists bigger.

Our artist Maahi, signed for the movie Nadaaniyan, and also signed f or the Hotstar show, Hai Junoon. While Pragati is the lead actress in our own show called AFK. She is also signed for Hai Junoon, which is on Jio Hotstar. Three of our talent, Viraj Ghelani, Arjun and Pragati are also appearing in a comedy film produced by us called Party Animals.

During the year, we added Samyuktha Hegde, a prominent Kannada artist with 1.3 million followers and Karan Sonawane with 1.4 million followers as part of our influencer management program. And you will be seeing more and more con tent coming with these people.

Viraj is a great example of an artist who is managed by us. We are doing live shows also with Viraj, and we are now also doing digital content creation, both are funded by brands and are put on YouTube, also shows that can be licensed out to digital platforms like Netflix and Amazon.

Overall, with a stated goal of acquiring 25% to 30% of all new music released in India, the music licensing vertical should double its revenue in the next 3, 3.5 years. And all this acquisition t hat we are doing will be funded through QIP and internal accruals.

Now let me shift to the video vertical, where we make films under the brand name Yoodlee, digital series under the brand name Dice and sho

rt -format content under the brand name FilterCopy. The most exciting thing for us in this category always remains this massive growth in smartphone ownership, which is turning every TV into the hands of every individual in this country. And if you see anybody in this country is free even for 5 minutes is consuming some form of content or other, and we want to be in the center of it.

We are still at a very early stage of building this vertical. We expect over the next 5 years, this vertical to keep on growing at a CAGR of 25%. We released multiple series d uring this quarter, Agra Affairs on Amazon MX Player, Oops Ab Kya on JioHotstar, a branded series, High Heels on YouTube, where L'Oreal was our advertiser. We also released a small Telugu film called Dilruba. Our TV serials on Sun TV continue to perform ve ry, very well.

Video vertical, we are still trying to find a way . What we are clear about Video vertical is we will try multiple things, try all things at a smaller budget. If we have to fail, we'll fail fast, but we'll fail small so that we can keep on c orrecting our mistakes and come out with a strategy that is expected to work.

Financial year '25 were also a little difficult because most of the digital platforms that used to license our content were in a state of flux. There was a merger going on betwe en two of the biggest platforms. The third one had a change of leadership. So we saw right now not enough amount of licensing work happening. We believe financial year '26 is going to be far better.

Let me move to the Live Events piece. As promised after a very successful Diljit tour in the last quarter that we will now continue building on the Live Events vertical. We believe this is a vertical which has got a serious amount of leg in the days to come. During the quarter, we did successful shows of Viraj Ghelani and Satinder Sartaaj. Later this year, starting from Q1, we have shows planned with Himesh Reshammiya". We have shows of Viraj Ghelani.

We have next round of Disco Dancer shows coming in. We also have a kids series -- live series Say Cheese Grandp a. And we are also planning a 2 -day music festival in the southern part of the country. While Diljit India tours success may not get repeated in every quarter, the success of that tour has proved to us the long -term potential of the Live Events vertical.

It's a no -brainer that as the disposable incomes in the country goes up, that discretionary spends are going to go up. And one of the big beneficiary of increase in discretionary spend world over always has been experien tial entertainment. People like to go out there and enjoy themselves along with their friends and family. Keeping that in mind, we will continue to keep on experimenting and scaling the Live Events business in future.

This year saw the transition of Carvaan f rom being a hardcore retail store -driven product to now , practically , for all practical purposes, 100% e -commerce -driven product. We are selling it from the big digital platform and some of the modern retail outlets only.
We have scaled down our product portfolio and the entire infrastructure that we had got and built to support the Carvaan business. The manpower that was supporting Carvaan has been brought down from over 100 plus at the beginning of the year to under 25 as we reach here. We still believe in this product.
We believe this product has legs there as long as we are managing it at a cost structure that makes sense. We will continue pushing it on e -commerce, and we are fairly certain that we will start touching single middle -digit margins by the end of financial year '26.
Our long -term strategy of diversifying from just being a music label to an entertainment IP company is paying off. It not only reduces overdependence on any one vertical, but is allowing us to drive massive cost and revenue syn ergies

across all the verticals.
Between financial year '25 to '27, we committed to invest over INR1,000 crores in new music content. Of this , content worth close to INR525 crores - INR530 crores are already secured. This will contribute not only to the i mmediate growth, but also put the company on a long -term growth path.
We believe music vertical comprising our licensing and artist management to grow at 22% to 23% per annum over the medium term. At the overall company level, we expect PBT to double over the next 3 to 4 years. Both music and video verticals are going to contribute to that.
We maintain our annual adjusted EBITDA guidance of 32% to 33%. There may be a blip here and there on the quarter because if a big event number is coming in. But overall , keeping in mind that we are in Music, Video as well as Live Events business, we are holding on to our Adjusted

EBITDA guidance of 32% to 33%. PBT numbers, which are on the lower side for this financial year will start moving up by Q3, Q4 of the financial year '26.
We are all, as a company, extremely bullish on the way the digital economy is panning out. We are very happy with the processes and the data -driven approach that we have been able to go back and build in Saregama, which makes the company not on ly very strong on IP, but also in a way, independent of individual dependence. The basic infrastructure of processes and data will ensure that the company is going to survive and recover back to #1 position in the days to come.
Thank you, and open to quest ions now.
Moderator: The first question is from the line of Abneesh Roy from Nuvama.
Abneesh Roy: `My first question is on revenue. So revenue was weak this time versus very strong growth in earlier quarters. So if you could tell us in FY '26, how we should build in terms of our model for each of the revenue items? Was there any one -off which led to revenue decline this time?
Vikram Mehra: No. So remember, please don't compare quarter 4 with quarter 3. Quarter 3 had one -off revenue of the Diljit's to ur that had got factored in. Otherwise, if you look at an overall basis, even if you look at the year -wise basis, financial year '25 is 46% growth over your financial year '24. So I don't think revenue growth has been an issue right now in this particular ye ar.
Abneesh Roy: No, no, Q4 Y -o-Y, I'm saying Q4 Y -o-Y. It is down 8%.
Vikram Mehra: I think we have stated this to you in specific , and by and large to the entire investment community, please look at our business on a 12 -month rolling basis. You cannot lo ok at our business on a quarterly basis. It just does not work that way. And I'm not saying look at me on a financial year basis, but please look at us right now on a 12 -month rolling basis.
The quarterly seasonality and the way a movies release gets push ed, so the music revenue starts getting pushed or the film revenue itself starts getting pushed, a Live Event getting pushed from 1 quarter to the second quarter, this is a way of life for us. One small event in the environment right now and everything sta rts getting pushed.
So please look at us on a 12 -month basis, and I think we had a very decent financial year '25. But as we people go forward, the music licensing business of us is going to be growing at 22% to 23% on a midterm basis. The Video business o f ours is going to be growing at 25% per year on a medium -term basis.
Abneesh Roy: So there was no one -off in Q4. I do understand that it's a longer -term horizon. But in terms of pushing off, was there any particular reason because anyway we are comparing Q4 to Q4, there will be a calendar, right? For the 3 months, there will be a calendar ?
Vikram Mehra: No, I understand. But every time this is an old question that are coming in, there may have been an event right now, which would have got the revenues over flows from OTT pla

tform may have
come in a particular quarter in one financial year and may not come in the same quarter in the

next financial year, right?

Society overflows are also functioning that way. It's not in our hand. The publishing societies who give money to us, they decide their own cycle and sometimes a large amount of money comes in Q3, sometimes it comes in Q4. So you can't compare in the real sense right now quarter -to-quarter, it's better to look at our data always on a rolling 12 -month bas is.

Abneesh Roy: Sure. Last quick question. Recently, we saw one movie on the last day move from cinema theatre to OTT. Could you tell us in terms of Hindi movies or say even for the regional, is there any churn which is happening in terms of theatre versus OTT, any thinking which is again coming back. This was there in the COVID, but suddenly, last week, that development, geopolitical seem very quick about such a drastic action. So is there something more behind that because you are a veteran in that industry. Your thoughts on that?

Vikram Mehra: Firstly, let me just inform you right now that the said movie you're talking about has once again decided to come in theatres . So that deal is done. So they are coming back into theatres . See, as a music labe l when I look at it, we have enough protection in an agreement that if a movie decides to move from a theatre release to an OTT release, we get a suitable amount of adjustments in the fee that we are paying to a film producer.

But this debate is ongoing a t this juncture that will people be going to theatres to watch a movie. But just look at the success of the movies that are doing well, whether it Stree 2 or Jawan, both are INR500 crore plus movies that are working on. Let's wait which way Thug Life how i s going to go back and work.

If you look at Hindi's Raid 2 or Good Bad and Ugly that came in Tamil recently, all of them touch ed between INR100 crores to INR150 crores. So, if there are good movies, people are still very happy to come to the theatre . Remem ber, for all of us and even more if you are living in non-Bombay, Delhi, Bangalore, Kolkata, what does a person do to entertain himself along with his or her family. Going out to have a burger at the mall is a great thing, but you can't do it every weekend . Sometimes you need a change and movie theatre provides this massive amount of change for any family. So that's why, in general, we believe that theatre economy is still very much there to stay, but the kind of movies that will do well in theatre may undergo some amount of change.

Moderator: We'll take our next question from the line of Swapnil Potdukhe from JM Financial.

Swapnil Potdukhe: My first question is on the one -off impact that you mentioned in your opening remarks with respect to closure of Wynk, Ghana, Resso, et cetera. Just wanted to get a sense as to when exactly should we expect these closures to come into our base? Because if I'm not wrong, Wynk closed in July, sometime Gana was a bit earlier, if I'm not wrong. So just getting a sens e as to the timing as to where these one -offs will not be an impact on our revenues going ahead?

Vikram Mehra: 2 parts here . One, my understanding is that Wynk closed in November, not in July. So this is the first quarter that we people had without any revenues coming from there. So let me restate our position ; Sad as we are that some of these free streaming platforms are shutting down , but truly speaking, in a way, we are very relieved . Because we know free streaming is not the way this industry can get built.

Globally, every market after market from the U.S. to China to any of the European countries or even some of the Lat in American countries, the music industry is built on the back of paid subscription on streaming. There are over 700

million people who are paying for some form of audio streaming on some platform or other. We believe that with less number of players available, you will see that transition happening rapidly in India also.

We are already seeing the green shoots, as I mentioned in my ope ning statement , that the revenue that Saregama makes from paid subscription part of the streaming platforms has grown by a very high double -digit percentage during the year. I'm not a betting man, but if I were to put my neck out, I'll say in 4-5 quarters, you will see paid subscription really taking off.

And as mentioned in the past, the yield that we all get in the entire industry, not just Saregama, for one song heard and the paid subscription is far higher than the yield we get on the free side. So yes , there is a short -term pain that is being reflected on us , but I think this is the right thing to happen right now for paid economy today.

Swapnil Potdukhe: Okay. Vikram, just on that paid subscription thing, what would be the revenue share in your music from the subscriptions today? And secondly, yes, sorry.

Vikram Mehra: So music share of subscription -- sorry, rephrase your question, what was your question?
Swapnil Potdukhe: My question is very simple. What would be the share of paid subscription in you r music business today?
Vikram Mehra: I will not be able to share that right now because that's all confidential data. I'll be going and violating all my agreements. What I can tell you is that if I have a subscription deal going on with their platform, on an average, the platform shares 50% of whatever they make. So if there's a platform X who are making INR100 net in a month, on an average, they will share INR50, what is called as a content pool. This money gets divided equally amongst all the songs into the number of times the songs are heard during the month.
Swapnil Potdukhe: Okay. And sir, the question would then be, given that you are still maintaining your medium - term guidance on the music revenues, will this paid subscriptions revenue be able to off set any impact of these closures, which will still be there in your base, right, for FY '26, at least some part of that? Will they be able to come.
Vikram Mehra: So when I have given the guidance of 22% to 23% growth in our music business, that is not depe ndent on subscription taking off. This is an impact of the growth in the digital economy and the increase in the market share that Saregama is able to drive. As and when the subscription takes off in an aggressive fashion, the numbers are going to be far h igher than this. Answer to your second question out here is, are we confident that the growth numbers are going to be higher in the music side this year, financial year '26 compared to '25? Yes, we are.
Swapnil Potdukhe: Okay. And so that would also mean t hat your YouTube revenues in your music would have gone up meaningfully, right? If I'm not wrong, digital used to contribute around 70% of your total revenues, music revenues. And of that, roughly yes.

Vikram Mehra: Digital contributes around that number. Digital includes all the audio streaming platforms, video streaming platforms and short -format ads. Overall, digital is around that number 70%...
Swapnil Potdukhe: Right. So -- and YouTube used to be around 33% to 35%.
Vikram Mehra: I never speak to this. So please don't put words in my mouth.
Swapnil Potdukhe: No but intuitively, that number would have only gone up, right, from YouTube revenues...
Vikram Mehra: In my opening comments I have mentioned that YouTube revenues grew for us, and that was, to a large extent, able to help neutralize , because overall music revenues have gone up by 13% during the year. The big help came from subscription, which has a small base going up substantially, and YouTub e numbers doing pretty well for us.
I've given you

Stree 2 is an exception, I understand that part. But still, 3.1 billion numbers have all come during this financial year. It was released in the month of August. I think first song hit in July or somewhere . And we have done 3.1 billion. There are music labels whose total number of streams during the year become 3.1 billion, which a single album has done.
Swapnil Potdukhe: Got it. And just one question. So you mentioned that you have acquired a significantly high amount of content this year, roughly around INR300-plus crores. but at the same time, we are not seeing our music revenues growing in a way, right?
This year, particularly, obviously, there were some one -offs and that is there. But does that also mean that the payback period for any content that you acquired already may go maybe longer than 5 years than the typical -- that we typically have, right? We -- most of your revenues come in the first year.
Vikram Mehra: We are holding on to our guidance of 5 years payback period and are very confident of that. If and when we people start realizing at any time that the sources of revenue are coming down, so does the cost of acquisition.
Swapnil Potdukhe: Got it. And just the last one on the Carvaan side. So ob viously, the revenues are meaningfully down because of changing the strategy there. Any sense on what kind of profitability was there in the business in FY '24? And where are we in FY '25 right now?
Vikram Mehra: Yes. So all I can say is Carvaan at best in the quarter was just doing a breakeven. With all these new changes that have been brought in, which is rationalizing the manpower, rationalizing the number of SKUs that people are putting in and getting out of the mom -and-pop retail outlets, which also me ant there were a lot of distribution expenses. With all these actions that we have taken, we believe that Carvaan in financial year '26 should start coming back to the mid -single - digit margin percentages.
Moderator: The next question is from the line of Ma yur Patel from 360 ONE AMC.
Mayur Patel: So just one question. Is it possible to quantify if we exclude the impact of Wynk shutting down, what could have been the music revenue growth in this quarter?

Vikram Mehra: I can't give you specific. I'm giving you what was the deal value of my Wynk. So that will be.
Mayur Patel: What was it? Can you ple ase repeat. I missed it, sorry.
Vikram Mehra: The revenue would have been decent right now. So let me put it this way. Again, please don't look at us ever on a quarter basis. Our industry is in a fashion in a way right now that you need to look at us on a 12 -month rolling basis. Reward us, punish us, but always do it on a 12 -month rolling basis because the way the practices of the industry are the money that we end up getting, they are not timed right now to a particular month for any of our partners. So...
Mayur Patel: Understood, understood. Vikram, the idea was to just understand that excluding these shutdowns, how is the organic growth...
Vikram Mehra: So let me answer the question in a different fashion. We people have been managing this 22%, 23% growth on a music licensing business right now on a steady fashion over the last 6 -7 years now and I'm holding on that guidance . This is irrespective of subscription taking off in a very big fashion.
We believe subscription if it continues to grow at the rate it's growing today, which is when two of the big platforms, Spotify and Jio are still offering free service, keeping that in mind, we have our projection is 22% to 23%, which tells you we are fairly confident that the impacts may be happening right now in the short term here and there. But on a medium -term basis, we believe there's a very healthy growth potential, which is sitting in.
Mayur Patel: Sure. And is it like you have given a good outlook on the shift to the paid subscr

iption based.
But over next 1 year, do you think sometime during next 12 mont hs would be the inflection point for this paid as a catalyst taking off? Or is it more like a couple of years journey?
Vikram Mehra: Repeat myself out here. It's difficult to take a punt on this. But yes, from whatever conversations we are having right now because there are only two free guys left in the market now. One of them is world's biggest streaming platform, which world over drives only paid subscription. Free is not their model.
And other is India's biggest conglomerate , who also have put , if you s ee this year, IPL was also put behind the paywall. So I have no reasons to believe that these guys will continue doing out free services because financially it does not make sense for them also. So yes, whether it will be 4 quarters, 5 quarters, I don't kn ow. But it is that horizon in which I believe that the subscription economy should start taking off.
Moderator: The next question is from the line of Kavish Parekh from B&K Securities.
Kavish Parekh: Vikram, could you share some more details about the exce ptional gain that you recorded? What changed in the outlook for Pocket Aces? And what is the new valuation?
Pankaj Chaturvedi: Kavish, I'll just take that question. So when we acquired Pocket Aces for about 51% stake, we recorded 100% liability in our book s because it was a committed transaction, right? So based on

the valuation and estimates, we recorded a liability. We also did a purchase price allocation and recorded a goodwill to that effect.
Now when we have acquired the remaining 40% , and we also need to acquire the remaining 8%-9%, we have reassessed the liability. There is a write -back of liability on account of the lower consideration, and there is a corresponding impact on account of reduction in goodwill. The net impact of this entire amount is about INR4.9 crores, which is shown as an exceptional item, not arising from business. Having said that, there is a third element to it. The contractual liability that we have recognized, as a part of accounting standards, we record at a discounted value, at a net present value. So there is a notional finance cost of about INR4.1 crores, but that is sitting in our finance cost line item above the exception item. If I just put all this together, the total impact of these 3 items is about INR0.8 crores plu s on the overall P&L.
Operationally, I would say, if you kind of want to still adjust this INR0.8 crores, our PBT would be about INR275 crores. So this is an accounting adjustment. We still are very bullish on Pocket Aces. It is just on account of a prude nt and conservative accounting policy that we reassess our liabilities and valuation so that it gets reflected correctly in our balance sheet.
Kavish Parekh: Understood. On Pocket Aces following up, so FY '24 had witnessed a 12 -odd percent decline in terms of revenues for Pocket Aces. How did revenues grow in FY '25? And did you manage to breakeven? And is there any time line for acquiring the balance 10%?
Vikram Mehra: So let me try to answer the first two things. The good news is Pocket Aces is back on to the growth path. So we have close to 18% growth that we have been able to go and register in Pocket Aces across the year. The losses have come down in Pocket Aces.
Where I'm going to confess is we have not been able to do. We have not been able to get the m to breakeven at this juncture. We are still a little off breakeven, but the losses have come down

drastically compared to what they were. Sometime in the middle of this year, we hope right now that we will end up achieving the breakeven number also.
And the remaining stake we are looking at right now, there's very limited amount left here over the next 12 to 15 months, it should also go up. So apart from the ESOPs, which are sitting right no

w with the senior executives there, everything else is going to be picked up by us.
Moderator: We will take our next question from the line of Harssh Shah from Dalal & Broacha.
Harssh Shah: A few questions from my side. So firstly, on the EBIT margin, when I look in the music vertical which...
Vikram Mehra: Your voice is breaking.
Harssh Shah: Yes. So basically, what I was asking is on the EBIT margin in the music vertical, right, which we kind of include the Carvaan part also. So what we observed that the EBIT margin are at multi -quarter high. So basically, what I want ed to understand here is, is it a function of, in addition to the reduction in losses in the Carvaan business, anything else which has kind of

contributed to the higher profitability in the music vertical, meaning has there been any sort of rationalization that has happened even on the music vertical, I mean, excluding the retail part?
Vikram Mehra: No. So because you're trying to derive the profitability by removing Carvaan without knowing Carvaan profitability. So yes, the Carvaan numbers are the breakeven numbers only that are sitting in here. What you're also going to see right now, 2 trends. One, if you see the numbers that we are showing a very decent growth right now at the EBITDA level also. That's one good part.
Second, the royalty expense s, if you see on the overall basis, you're going to see the number coming down in spite of the music revenue going up because all the newer content that we people are picking up, if it is non -Hindi film content, it is all royalty -free music, it's only onet ime payment. If it is Hindi film content, the newer content, the royalty payouts have not started yet. They will happen only once people recover, which is typically a 5 -year payback cycle.
But as we keep on growing these revenues more and more substantially, the profitability profile of music licensing will continue improving because apart from content, the only other cost that sits in out here is either manpower cost or the tech cost that people are putting in. Both of them don't jump up right now linearly along with the revenue.
Harssh Shah: Okay. So basically, what you're indicating is a case of basically the scale...
Moderator: Sorry to interrupt, Harssh, your voice is breaking. May request...
Harssh Shah: Yes. So what I'm asking is that the improvement in margin that we are seeing here, so basically, it is more to do with scale, right?
Vikram Mehra: So listen, when you are talking about improvement in margin, please look at everything on a financial year basis or 12 -month basis. Please don't read anything on a quarter basis. Our margins don't change quarter -on-quarter at all. The same thing which I've repeated, I think, 3, 4 times earlier, I'll again reiterate.
Please read us on 12 -month rolling basis, evaluate our performance only on a 12 -month rolling basis. I'll be honest out here. I don't think the benefits of scale have started accruing to us yet. I don't even see at this moment our music licensing margins going up that dramatically, and they are not expected to grow up that dramatically.
You will start seeing improvement on the music revenue -- music margins of us, which is licensing plus artist management as we start hitting the end of this financial year because that's the time the charge -off on account of the new music is going to be fa r lower than the benefits of last 2 years content acquisitions revenue. Have I made my point?
Harssh Shah: Yes, yes. Got it. Got it. Secondly, when I look at the inventory number on the balance sheet, is the understanding correct that this time around for the full year, we might have purchased less number of hindi songs at the intangible that has increased much faster than the inventory number …

Vikram Mehra: Harssh,

your call is breaking so much.
Pankaj Chaturvedi: Harssh, the breakup between Hindi and non -Hindi largely remains same. See, it depends on what period or what point of time during the financial year you make a purchase. When you're looking at intangible, you're looking at the carrying cost. If you can repeat what is the exact question on

intangib les?
Harssh Shah: No. So basically, what I was trying to understand that for FY '25, is it a case that we have acquired more of non -Hindi songs?
Vikram Mehra: Not really, Harssh. The ratio remains more or less similar. It may not be exact from year -to-year basis. But yes, the market behaves in a certain way and we follow the market.
So there is no strategic shift right now, Harssh, if I can answer your question. We are not making any strategic shift. It may so happen on the phasing of the movies. Some movies release on time, some movies get delayed. So you may get the feeling at times.
But overall, we are very, very bullish on the regional side. Within regional, on the film side, the South market is a big focus area for us. On the non -film side, we are focusing a lot on languages like Bhojpuri, Bengali, Chhattisgarhi, Odia, Gujarati, Marathi and Punjabi Haryan vi.
Those are the languages we people are attacking. We are considering Rajasthani also as a potential area we want to get ourselves into. Hindi f ilm, we are making slower steps. The good thing for us is if you look at calendar year '24, two biggest albums of Hindi both belong to us.
So we are getting it right and hopefully getting it right at the appropriate pricing.
Harssh Shah: Got it. And one la st question from my side. So on the video segment, right? So you did mention that we are in the early stages of kind of developing this vertical. But the profitability, I understand that we are in the early stages have been kind of underwhelming and defini tely certain lessons we would have learned, right, so how we want to kind of build this vertical.
So if you could highlight what is going to drive the profitability or maybe what steps would you be taking now to ensure that we don't burn money even though it's small in number, but we kind of grow profitably going forward?
Vikram Mehra: All I can say is when we started the Video vertical, our only concept at that time was direct to digital small budget films . From that time to now where we are saying that we will make theatrical films, but only at a smaller budget. These are not micro budget, but the smaller budget theatrical films . Acquiring Pocket Aces, which gives us a huge expertise in the shorter format content to high -quality youth -oriented digital cont ent that goes on YouTube or to platforms like Amazon Mini or Amazon MX Player or a Netflix or a Jio Hotstar.
We have also moved a lot. And each of these verticals is evaluated both on the basis of their ability to grow as well as their margin profile and the kind of engagement we are able to bring with the target segment that we people are after. So you will see that experimentation. All I can say is a year back, when we are having this conversation, a similar call, somebody asked me the

same question on l ive events. Saying, why you are doing live events, Live Events doesn't make money. Today, nobody is asking this question because Live Events have started making money.
So give us time. We are not genius that we will get everything right at the first time , but we are approaching there. You are not seeing our losses ever going to be that big because we experiment a lot. We fail, but we fail fast and we fail small to get our strategy in place. So video is a focus market for us. We will never do this all guns blaring approach out there in video. We will experiment and we will turn it profitable.
Harssh Shah: Got it. So demerger, anything possible in terms of demerger or something like that?
Vi

kram Mehra: This is all spec, right now is let's go to the business right now.
Moderator: The next question is from the line of Jyoti Singh from Arihant Capital.
Jyoti Singh: Sir, as you mentioned on the revenue side. So given the recent decline in revenue from the event business, so can you share how Marquee shows , such as CAP -MANIA" and that Viraj are expected to revive momentum in this segment? And are there any measurable KPIs or target you are aiming for?
And second question on the regional language side, like we have a lot of foc us on the Bhojpuri and other Gujarati language, but they still contribute only a small portion to the overall revenue mix. So can you provide insight on it?
Vikram Mehra: Ma'am first, did you see a decline in the Events revenue?
Jyoti Singh: Sir, like comp ared to earlier quarter as now, sir?
Vikram Mehra: I'm repeating for your sake, sixth time in this call, please evaluate us on a 12 -month rolling basis. You cannot do the business like events cannot be seen on a quarterly basis. Most of the events in this country happen in the Diwali time frame, right? Other times right now, number events start coming down.
Please, please I'm requesting you. Everything you read us on it. Your question is valid, how will we maintain the growth momentum? I'll answer that. But please don't look at these things right now on a quarter -to-quarter basis. It will never work out.
Going ahead on the events part, yes, we believe in events a lot. What Diljit success has gone back and taught us that if we get a good artist and we put up a very good show there, we market

it correctly, Indian customers are looking for opportunities like that to go out with their friends and families and they're ready to spend money.
We are exploring possibilities of working on both artist -driven shows lik e Himesh Reshammiya" and there are other artists also. Last quarter, we did something with Satinder Sartaaj. So we are constantly looking at which artists can we go out there and work with. Also do IP shows like get Disco Dancer, the musical, get Say Chees e Grandpa, kids -based musical, also launch the first music festival from our side. So there is constant work which is happening. The very nature of the Live Events business is that the capital gets locked in it for a very, very short duration.

So the best case scenario is high single -digit margin, but a very high IRR. So you will see investment happening our side throughout. Also, all the artists that we people have as part of our artist management vertical, we'll try to plug them in also right now in some of these live events because in that case, we get a double benefit. We get benefits on the Live Event as well as the artist profile goes up and we can make more money under the artist management vertical of ours.
So that's the first question. Sorry, secon d question, I lost track.
Jyoti Singh: Yes. So sir, second question is basically on the regional side. So there's a strong focus on Bhojpuri and other regional languages, but they still contribute a small portion to the overall mix.
Vikram Mehra: Yes. It m ay contribute a small portion on the revenue, but it also contributes even smaller portion on cost. We at this juncture, again, I'm not a betting man. I don't want to take bets right now that a particular language will become bigger compared to the other o nes. What we are seeing right now is more and more of us as Indians are now finally appreciating and enjoying our local culture, our local music, our local movies.
So regional consumption of content in regional languages is going up substantially and languages like Bhojpuri is what, second or the third largest spoken language in the country. We believe it's a large enough market. Once you do content in Bhojpuri, you talk to Eastern UP, Bihar, parts of West Bengal, Chhattisgarh, Jharkhand.
A

nd you're also getting into northern part of MP, parts of Bombay, Bangalore, Delhi. That's the audience that is sitting in there. Similarly, Gujarati, one of the highest disposable and discretionary spends community. We believe even if on the overall pie, this number may be smaller, but it's a profitable pie and why should we let go of that.
Moderator: We'll take our next question from the line of Lokesh Manik from Vallum Capital Advisors.
Lokesh Manik: The first question was on the music vertical. We had a content charge of about INR85 crores last year FY '24. I believe we ought to have seen the music revenue increase by that much at the minimum. And given that your past commentary that the listener is platform agnostic that is if one platform shuts down, he may choose to go to another platform and listen to the music. Given these 2 scenarios, is being shutting down the only reason that we are seeing a flattish growth on the music side?
Vikram Mehra: That's your primary reason. You're right, customers do switch, but there' s always that much amount of a lag between a service shutting down and the customer from that service moving across to the second service. Also, there's a role of minimum guarantees that starts happening out here.
So the net impact is there. But has the in dustry been able to absorb the closure of a service like a Resso? Yes, we all have been able to, but Resso has been shut down for over about 15, 16 months, and that does not even factor in anywhere in the overall revenues for the industry.
The answer to t he next part is yes, that's a short -term impact that we people have seen. Had the impact of Gaana and Wynk not been there, we would have been back right now on the track of

what we have been able to do for so many years, and we are committed to be doing s tarting once again right now of financial year '26.
Lokesh Manik: Got it. My second question, Vikram, was on Video. Prior to Pocket Aces, we were at about INR115-odd crores in '23, INR157 crores in '24, but that had some impact of Pocket Aces. But if I add the 3 verticals, that is the web series, that is the TV, the Roja series on Sun TV and the third is now the Pocket Aces. The revenue seems to be subdued in that sense. So which vertical would you say would have gone down or not grown this year? That is on e.
Second is just continuing on this. Since we are still figuring out our strategy in this area, and we've still not seen any synergistic effect on music from this vertical. So becoming profitably

PBT positive in the next 2 years, what factors are giving you that confidence?
Vikram Mehra: Okay. So let me first answer your second part. I don't know where did you drive at that there's no synergy going in. We have seen a massive amount of positive impact that we people have got on the music side in terms of our ability to acquire content when we are competing with the existing number 1.
When you go to a film producer and have a chat with the producer and explain to them the power that a channel like a filter copy ends up giving us or our ability on the influencer side also that we will be able to use this 350 million digital footprint to go back and promote the new film that the producer is getting in, that gives us a big edge in terms of acquiring newer content.
Something I think we people maybe not giving enough credit to adjust in this busin ess of acquiring new music content in last 2 -3 years only. And every big banner of this country, I mean if you start seeing the biggest movies that are coming in. Unless there's a funding , somebody is producing , if a music label is producing a movie, then it's a different issue. Everybody where else right now, all music is coming to us. So I think that's a huge benefit that filter copy ended up giving us.
But answer to your first question, which vertical is not doing, it's a fair

assessment. The vertical
right now where we people were licensing shows to digital platforms like Netflix or Amazon Mini or Amazon MX Player or Zee5 or a JioHotstar, yes, that vertical was under pressure because literally, there was a very little amount of license content that was being acquired by these platforms.
We're already seeing trends here now that now that the merger has gone through between the top 2 guys, the other people have also started opening up once again in terms of going and licensing content, you will see numbers going up right now on the CV side, too.
Lokesh Manik: Got it. Any threat from the oversupply situation? There was an article today in Economic Times, which said there's an oversupply of content in the industry today. Producers are sitting with a lot of unsold inventory. So any threat on that front do you see or this is just temporary?
Vikram Mehra: So let me first answer from Saregama perspective. We don't create content unless we have a destination platform to give you comfort. Any of that series conten t that we people are creating,

we do it only and only if a platform has given a green light for that. Otherwise, we don't go ahead.
So even if there is an issue at times that happens in terms of oversupply, we won't be caught in that year because we have p re-agreements going on. But yes, you are right because there was so little acquisition that was going on in the last 15 months because of this merger, change in management, there is this feeling right now that there is some of the content producers take funds, they create content and then after that go back and license it.
They may have content which is unsold. But as a policy, we never do this. We know that if we produce content and then sell it, our margins will be higher, but there we play safer there. W e create content only and only if a platform greenlighting it.
Lokesh Manik: Vikram, on the question of profitability, given we are still figuring out the strategy in this segment, just some thoughts on that.
Vikram Mehra: No, no. So -- there is the films business. There is the longer format content which is sitting in. In the longer format content, you create content out there for digital platforms, you create content for TV channels and you also create content for AVOD platforms like YouTube, but you get brands involved in it rather than a platform paying you money. And then there's a short format content that you are sitting on, which goes on channels like Instagram and YouTube shots.
Again, brands start coming in, but there's also a phenomenon which is s tarting up right now called Micro series.
So there are various kind of models out there. We are experimenting with all those models. What gives me a lot of comfort is that we have been able to get enough reputation in the market, which can be reflected by the revenue numbers that we people are showing.
Just because the Video revenue numbers of Saregama are under the music part, if you start comparing them right now with the revenue on a consistent basis, that some of the bigger production houses are writin g out here, we are right there. We are also very, very clear, we are not going to indulge in these one high -profile film, which is make it or break it.
That's not the business model that we are building in our system. We are more comfortable with sustainab le kind of models right now where there is not too much of overdependence on any one video asset of ours.
Lokesh Manik: Right. And last one on the Events, the INR300 crores in FY '25, is this a one -off? Or do we expect growth from here? So events can do INR400 crores, INR500 crores, '26, '27...
Vikram Mehra: Unfortunately, India has never seen this kind of event happening before. And as a company, we

don't want to get into Events whereby maybe the top line will be there, but the margins with us will be 1%

and 2%. We prefer doing businesses out here, because at the end of the day, beyond a point, top line is there only to go back and support the bottom line.

So that's a model that we are constantly looking at. Right now, the focus is more on working with th e Indian artists and releasing our own IP shows, but we are also seriously looking at that in a profitable fashion . We also start getting some of the international artists here.

Lokesh Manik: Any guidance here for FY '25, '26 or '27?

Vikram Mehra: Too earl y, not on the event side.

Moderator: We will take our next question from the line of Akshay Jogani from Xponent Tribe.

Akshay Jogani: Perfect. So I may be asking as a repeat, I joined a little late. But I just wanted to check that last year, the largest pa ying platform took a material price cut on a per stream basis, right, went from INR0.10 to INR0.05 . So now do you expect that to further go down? What are the negotiations right this year? And should we assume that the new pricing is the base that will not further collapse the growth from here will be...

Vikram Mehra: So one, I can't talk about individual deals between us and any individual player. In general, our guidance is clear out here ; we are holding on to our medium -term guidance of our music busines s growing at 22% to 23%. So there is no question of collapsing happening at all. Second, the dependence of the Saregama in specific and music -- in Indian music industry in general on free is coming down.

We believe right now, it's a matter of another 4 to 5 quarters that you will see all of us growing in tandem right now on the back of growth on the subscription side. The good news on the subscription side is that even in case of Saregama, the revenue that Saregama made on a small base, but the revenue gro wth that Saregama has seen on the subscription side is very high double - digit percentages this year.

So we believe that of digitization and more and more Indian customers are realizing that for digital content, they have to go out there and pay ensure that subscription actually takes off in the next 4 to 5 quarters.

Akshay Jogani: So when we speak to OTTs, they explicitly tell us that our gross margins are 10% or less and across the Board versus Spotify globally has a much higher gross margin. So we need to get to that. And if that has to happen, then the music labels have to sort of wait before they can grow. Sort of is that something that we need to worry about? Because I think one of the reasons our growth has been slower is that shift in sort of the OTT expectations in terms of them not having to lose more money.

Vikram Mehra: So I'll not ask you which OTT platforms you are quoting here, but there are only 2 OTT platforms, which have a free service left in this country. The rest of the people who are offe ring free have anyway shut down. And the other guys are all behind a paywall. Out of the 2 guys who are offering the free service, one is the world's biggest OTT platform whose entire business model is built only on subscription. They are not built on free part of the business.

The second is India's biggest conglomerate , who after the recent merger in their 2 media companies have started putting almost all their content behind a paywall. So I'd like to believe

that both of them are equally motivated to go out there and start driving the subscription part of the business.

Anyway, I believe that's the only sustainable form in music, which will ensure right now that the platforms as well as labels and the content creators in terms of artists and film producers all can make a livelihood. A free business is a very short -term part out here where beyond the point, 1 of the 3 of the partners is going to collapse. So yes, all this is great news for subscription coming out

there maybe faster than we expect.

Akshay Jogani: Yes. As a follow -up on this is that Spotify also recently launched the self -serve ad platform, right? I mean, which kind of indicates that they think that ads is also a way with which they can work, right? I mean do you think that, that slows down subscription for India?

Vikram Mehra: Listen, again, you're getting into very specific. I will not talk about a specific platform. But in general, both these platforms, which are free platforms have seen a very decent growth on a very small base. I'm putti ng that rider out here, but a very decent growth on the subscription side. All

our conversations with them right now that they are very serious about growing and driving the subscription part.
Let me go out and play the devil's advocate. What's your worst part that it's not a subscription -based business. They run an adverting -based -- our model is similar with them. If they can sustain a massive advertising -driven business the way YouTube does today, we are okay right now because we get the same share of m oney from advertising in that case.
The only thing that cannot work is that a free business is going on where the platform makes no money and labels are getting some amount of money. That's not a sustainable business. So we believe right now that platform s will take a call. I believe the things are going to be moving towards subscription side. You may have a belief on the advertising side. Both ways, we get a share on an average 50% of whatever they make.
Moderator: We will take our next question from the line of Aman Singh from ProfitGate Capital.
Aman Singh: Firstly, our music licensing business ex of artist management and the Carvaan business has grown just 3%, 4% for the full year FY '25, while the comparable peer has reported 27%, 28% growth in the sim ilar line of business. So can you help me understand the variance here?
Vikram Mehra: See, there is no business. You are cutting a line right now where the line doesn't exist. The way our Music business is being built right now, primarily the entire non -film music business of ours is being built on the back of artist management. In our system right now, when we look at the profitability analysis, it's not done that songs have made collection and how much artist have earned.
Both these things go hand in hand . We are taking bets on artists who are signed on to us, putting money on those people and trying to make money from the same artists, not just the songs that the artist will make, but also use the songs to make the artist money from him.

So if you're goi ng to be slicing and dicing it in a way that we don't run the business, it will be difficult for me to answer that question. Please look at this business right now always on a complete basis, which is Music means licensing plus artist management. The artis ts who creates content and the content, they both go hand in hand here.
Aman Singh: Sir, a clarification. So we had a good hit rate in this financial year, while -- and we have invested in content acquisition also. So the licensing business should have gro wn. And if we -- so as you report in PBT and your investor presentation and the segmental reporting, we can get the music licensing business ex of Artist Management and Carvaan. So that has not shown the growth that what I was asking.
Vikram Mehra: Sir, I understand. You can go back and say why Gujarati non -film business from a particular artist has not grown. It becomes difficult right now because business has not run that way. So please when you look at the Music business, our business i n film musi c business is just licensing. The non -film business, which is a large part of our Music business right now, is completely connected to the artist management piece.
Let me repeat what I tried to explain to you is if I'm creating a new

song, the team that i s creating
the new song is also responsible for identifying the artist. And they are then evaluated basis the money that the song made on streaming platforms or a YouTube or other digital platforms and also the money that the artist has made because of the song from a brand or a Live Event. So globally also these 2 things are completely tied to each other. So strategically, that's the approach we are following. We are not following the approach of just being a film music label.
Aman Singh: Sir, this is help ful. Secondly, on Dice media, can you -- so you shared the outlook on profitability in next year -- mid of next year. Can you also share what was the investment in content cost for FY '25 and outlook for FY '26, specifically for Dice media?
Vikram Mehra: Sir, it's not Dice media. I think you're talking about Pocket Aces.
Aman Singh: Pocket Aces , right
Vikram Mehra: The only thing I'm at liberty to say right now is this ; Last year, we people grew by 17%. We have cut down the last losses a lot, but we are sti ll a little away right now, just a little away from breakeven. This year, we will achieve a breakeven while continuing to grow at a rate right now. Hopefully, we should be upwards of 20% -- on specific segments of their right now, they're all part of the l arger Saregama company. Saregama company music business is going to be growing at 23%, while Video business is going to be growing at 25% on a medium -term basis.
Moderator: Ladies and gentlemen, in the interest of time, we will take this as our last questi on. I now hand the conference over to Mr. Vikram Mehra for closing comments.
Vikram Mehra: Thank you. Thanks a lot. I'm very happy right now with the quality of questions and the level of interest I have seen. We, as a company, when we look at our India, w e look at 750 million to 800 million people with a smartphone in their hands. If we start counting some of the other parts of the world where , music that is coming from India or the video content coming from India is

consumed, we are looking at a huge number of close to 1.8 billion to 2 billion people who consume our content. This makes us very excited about how rosy the future is going to be. We want to be the primary content company that fulfils every platform that is going out there and talking to t hese consumers who want to consume Indian native content, whether it's in form of any form of audio or video or a live experience. The company is making all the investments on the content side, on the infrastructure side and technology side to keep itself as fit and profitable and on the number 1 position 25 years from now onwards also. Thank you and seek all the blessings. Thank you.

Moderator: Thank you. On behalf of JM Financial Institutional Securities, that concludes this conference. Thank you for join ing us, and you may now disconnect your lines.

Call: Sep 2025

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Date: 8th August , 202 5

The Manager,
Listing Department,
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Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163

Subject: Q1FY26 Earning Conference Call -Transcript s

Dear Sir/ Madam,

In continuation to our letter dated 29th July, 2025 and p ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’) as amended, please find enclosed the transcript s of the Q 1FY26 Earnings Conference Call held on Friday , 1st August 2025 at 11:30 A.M . (IST) for the quarter ended on 30th June , 202 5.

This information is available on the website of the Company www.saregama.com

You are requested to kindly take the abovementioned on record .

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Priyanka Motwani
Company Secretary and Compliance Officer

Encl: As above

“Saregama India Limited
Q1 FY26 Earnings Conference Call ”
August 01 , 202 5

MANAGEME NT: MR. VIKRAM MEHRA – MANAGING DIRECTOR
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL
OFFICER
MR. ANAND KUMAR – GROUP HEAD – INVESTOR
RELATIONS
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR –

Moderator: Ladies and gentlemen, good day, and welcome to Saregama India Limited Q1 FY26 Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that, thi s conference is being recorded.

I now han d the conference over to Mr. Pranav Kshatriya from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Pranav Kshatriya: Thank you. Good morning, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Mr. Vikram Mehra, Managing Director; Mr. Pankaj Chaturvedi, CFO; Mr. Anand Kumar, Group Head, Investor Relations; and Mr. Pankaj Kedia, Executiv e Director, Investor Relations.

I shall now hand over the call to the management for their opening remarks. Thank you, and over to you, guys.

Vikram Mehra: A very good morning to all of you people. This quarter saw our operating revenue of INR 206 crores and a PBT of INR 51 crores. This specific quarter was affected by multiple factors, primarily being a lot of movies that were planned for qu arter 1 got postponed.

As always, I'll request all of you to evaluate us on a rolling 12 -month basis and please not on a quarter -by-quarter basis. Let's start with the first vertical, music, which co mprises of licensing and artist e management.

This segment grew by 12% on a year -on-year basis. We are confident of achieving 22% to 23% annual growth on a medium -term basis under the music vertical. We have been maintaining that position in the past, and we cont inue maintaining this position.

This quarter saw release of successful Tamil film albums, Thug Life with 2 of the songs toppings Spotify charts. This is a Kamal Haasan and Mani Ratnam movie -- and AR Rahman music . Two Telugu songs from film Court a nd Hit 3 also fared very well and top ped Telugu Spotify charts. Similarly, songs from the Bengali Film Dhumketu have been hitting YouTube charts. Our other big release was Jacqueline and Neil Nitin Mukesh starrer Digital Show (Musical Drama) called Hai Ju noon, which came on JioHotstar. This had a great combination of a lot of new original songs as well as recreations of some of the bi ggest songs that Saregama owns.

On the non -film side, we continue our focus and released a lot of songs, but primarily of o ur own exclusive artists like Mahi, Keshav, Gujarati Superstar - Jignesh Barot. Overall, company released 1,000 -plus original and premium recreations across Hindi, Bhojpuri, Gujarati, Tamil, Telugu, Malayalam, Marathi and Bengali languages.

I think a big h ighlight, which is more of July, but I want to share with you something we are very, very happy and proud about is the acquisition of the biggest and the most popular Haryanvi

music catalog under the company name called NAV Records, with 6,500 tracks acros s Haryanvi, Punjabi, Ghaz als, Devotional, and Indie Pop.

Some of the songs here have a YouTube viewership, which is higher than even the biggest song that Saregama owns today. And Haryanvi always used to be an area where Saregama didn't have strength. So, it helps us in filling that gap beautifully.

This acquisition also includes popular YouTube channels like NAV Haryanvi and Nupur Audio with an overall 24 million subscriber base. This deal will be funded entirely through our QIP money. We are still in th e process to operationalize it, and I expect the revenues will start flowing through our book from quarter 3 onwards.

Overall, our spend for the new content for this year will be somewhere bet

ween INR 350 crores
to INR 380 crores. But most of our big rele ases are scheduled at this juncture between Q3 and Q4.

This includes Ranveer Singh's, Dhurandhar; Sanjay Leela Bhansali's, Love & War; Dharma's movie, which is the Kartik Aaryan starrer , Main Tera Tu Meri Tu Mera Main Teri , Telugu

superstar Nani's Paradis e, Tamil – Dhanush ’s Idly Kadai; Kannada superstar Darshan's Devil; and in Tamil als o Sivakarthikeyan's Parasakthi.
With all these investments that we people are doing, we continue with a guidance of a 5 -year payback period. And after that, we have anothe r 55 to 75 years in front of us to keep on reaping the returns. This quarter, which is April to June, was our second quarter which faced the pressure of Airtel Wynk closing, around November last year.
They were last of the people who had to either shut down or mov e from free to pay. This cycle should get over, by the time we people are in the middle of Q3. On the YouTube side, quarter 1 saw some pressure due to advertising stopping from primarily during the Indo -Pakistan war, b ut it normalized by early J une.
As I stated earlier, I think the biggest impact was on account a lot of movies getting pushed to the later quarters. Unlike last year, where Q1 saw our biggest releases of the year, we had Tauba Tauba song hitting out there in Q1.
We had Chamkila an d which was a massive movie of Imtiaz Ali, and Diljit Dosanjh. That had hit us in quarter 1. And Kalki, which is Prabhas movie in Telugu and, Amitabh Bachchan was also featuring in that. All that hit in Q1. So suddenly when you do a quarter 1 to quarter 1, these kinds of issues keep on happening.
That's why I keep on requesting and urging all of you guys, please see us on a rolling 12 -month basis. You get a far better picture. Artist e Management, the newest vertical under music monetization, w here artists are made popular through IP releases and then we monetize these artists by booking them for live events, weddings, and brand endorsements fr om which Saregama gets a share.

During this quarter, 25 plus new influencers and artist es were added t aking a total count of the artists that we are managing in the company to 230 plus. And between these 230 plus artists, they have a 200 million follower base on Instagram and YouTube.
The artist e that we are super proud of , who became part of the family , was Dr. Kumar Vishwas, a poet, right now of Ultimate Fame. As our investment in new content goes, these artist es are going to become bigger and bigger and we believe that with digital advertising growing at 15% per annum, biggest beneficiary of these will be the artists and influencer.
And as the number 1 agency that is representing these artist es and helping them grow, we stand to benefit in short to medium run. On the video front, this was a softer quarter. We had only 1 Malayalam release in which we inc urred a small loss. Also had a digital series, Find The Farzi , once again with our own artist e called RJ Karishma. This series came on JioHotstar.
On a full year basis, we are confident that this video vertical will also result into profits. On live events side, Saregama Live successfully launched our Cap Mania tour in 2025, with Himesh Reshammiya. It started with the first event happening in Bombay in Q1, and this was followed up by 2 houseful shows that we did in the month of July in Delhi.
As alwa ys, whenever you start a new tour, the first, 1 or 2 events end up losing money because you're still trying to establish the show and the marketing spends are disproportionately high right now at the beginning . But we believe as the show keeps on progress ing, similar will be the scene with Cap Mania . We plan to take it to multiple citie s, and maybe outside India too. Like the Diljit Dosanjh part, we expect this tour also with time , to start becoming more and

more
profitable. The other shows that we did ri ght now was a stand -up comedy act that we are doing with our own artist e Viraj Ghelani under the name That's So Viraj . We had successful shows in financial year '25 and we followed it up with 4 additional performances i n Bombay and Gujarat during Q1.
Our new retail strategy for Carvaan has been fully rolled out, whereby we are retailing it primarily from e -commerce and modern trade stores. The team size has been cut dramati cally. While the volumes and revenues have shrunk, the profitability margins have s tarted improving and we expect by the time we hit the end of the year, we should be writing, mid single -digit margins on Carvaan, which is back to the old, good old days. Over the next few years, we will continue investing in new music content aggressively .
This will not only contribute to the immediate growth numbers of the company, but more importantly, future -proof the company by putting it on a long -term growth path. Amidst all this, we are maintaining at the company level our adjusted EBITDA guidance of 32% to 33%.
Saregama's growth narrative will continue to be steady in the medium to long term, courtesy the massive increase in the digital consumption of this country, both in terms of new customers coming into the market and existing customers consumi ng more and more. And we are seeing every year this trend is becoming stronger. We now have a 400 million internet footprint.

Combine that with our cash reserves, professional management depth, and access to the soundtracks of the best movies, we believe that we will not only be able to maintain our earning guidance for next 2 to 3 years, but hopeful ly for the next 20 to 30 years.
Thank you, ladies and gentlemen. I'm happy to take questions now.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question comes from the line of Harssh K Shah from Dalal & Broacha.
Harssh K . Shah : A few questions from my side. So firstly, if you could kind of help us understand wha t challenges or headwinds the overall industry is kind of facing other than certain music apps ki nd of shutting shops.
So basically, my question is coming from the point of view of YouTube. So, I acknowledge that you mentioned that Q1 had some challenges. But in general, are we seeing, say, lower ad spends or lower number of advertisement run on music videos, which kind of impacts our monetization or is it something extremely temporary? Some thoughts on that?
Vikram Mehra: Yes. So, we are not seeing any he adwinds right now on YouTube. What happened in the month of May happened not just on YouTube but across every media. When the country is in that situation, you typically have advertising that stops on a temporary basis. I think it's very much expected and these things don't happen regularly.
Typically, Q1 is weaker for YouTube, because the advertising goes to television behind IPL. That's a Q1 phenomena in general. This year got worsened to some extent because of this problem in the month of May. But June , we are seeing the numbers coming back. And if you see the -- at least the views data in the month of June is very clearly available. You can also track it, all our channels combined. We are in a pretty healthy state once again.
Harssh K . Shah : Got it. Okay. And also, on the media segment, so you alluded to that this year we are targeting to be …
Moderator: Sorry to interrupt you Mr. Shah. We're unable to hear you. Your voice is breaking.
Harssh K . Shah : Is this better?
Vikram Mehra: Yes.
Harssh K . Shah : Yes. So my question is on the video segment. So I acknowledge that you mentioned that this year, we will start making profits. So, you're talking about the exit run rate or maybe on the full year, we will see profits? And what steps are you taking?
Vikra

m Mehra: So -- see, video business, again, cannot be seen on a quarterly basis. We see it on an annual basis because a lot depends on which quarter, what releases are happening. Unlike our music business where we are aggressively investing , in the vi deo business, we follow an extremely cautious approach. That's why we have shared our internal guidelines that at any particular time, we will not be locking more than 18% of our total capital employed across the entire video and li ve segment business. So, we approach this part very cautious ly.

So whatever positive and negative will happen, you will see very, very low swings in the numbers as people go forward. There are more titles coming in, in the later part of the year. And you will see us on the profit side by the time people go back and end the financial year in the video segment.
Harssh K . Shah : Got it. And a related question, sir, any specific reason why the capital employed within the video vertical has gone up by almost 25% on a year -on-year basis?
Vikram Mehra: It's just a temporary phenomenon right now by the time you go into end of Q2, Q3, this number is going to fall down once again. So, if you just go back and look at the capital employed on the video segment across the last 2, 3 years, y ou will see the in between s wings that go back and come in.
When you go back and invest, but the monies may have just come out there in a week after the quarter gets ended. So please, I think the right way for you to look at right now how we are exiting t he year compared to the last year odd. So, this is a temporary phenomenon.
It will all get squared out. But the key part is at no juncture will the capital deployed across the entire video segment, which is films, TV series content, digital series content , short -format content. All segments combined plus live events will ever exceed more than 18% of the total capital deployed. And we are far lower than that at the moment.
Harssh K . Shah : Got it. And lastly, any update on the profitability status of, say, P ocket Aces? And maybe if you could quantify the amount of losses we may have faced in Pocket Aces this quarter? And when do we think in terms of profitability, we'll end up be positive, yes.

Vikram Mehra: So, from this year, I had stated this when we decla red the annual results, and I spoke to all of you guys in the month of May. This financial year, Pocket Aces is going to turn profitable. I think we have a very fine management team out there who are doing everything right here. So, our process out there i s very, very clear.
Rather than cutting on muscle, we are going out there and improving our revenue stream so that we end up building and further building up the extremely strong brands that people have within Pocket Aces, FilterCopy, Dice Media and Clou t and make it a formidable force. But I understand your concern and give you the comfort that by the end of the year, you will Pocket Aces turning profitable.
Moderator: The next question comes from the line of Lokesh Manik from Vallum Capital.
Lokesh Manik : My question was just continuing on the video segment. It's been now more than 8 quarters that we've not seen significant profitability there. Does Pocket Aces get classified under the video segment or there is a split between video and music? How do we l ook into this area?
Vikram Mehra: So for Pocket Aces, a big part is under video.
Lokesh Manik: Okay. So, the video is then driven by Pocket Aces now.

Vikram Mehra: I want to clarify out there that the loss that you're seeing in this quarter is account of t he only film that we people release. We had some amount of losses in that film. So, we understand on the video segment are still early days for us. Unlike the music business right now that we have been running

for 125 years now.
This is still a relativel y new business for us. That's why we are doing a lot of experiments, but small experiments learning from our mistakes and going up. You are never going to be seeing any dramatic losses happening out there on the video segment. That much I can assure you.
Lokesh Manik: Great. Vikram, my second question was more a clarification. Do we on a per stream basis, do we make more in YouTube versus audio platforms? That was the understanding we got from some channel checks.
Vikram Mehra: I will not be able -- becaus e this is getting into specific deals that I have with YouTube versus the deal I have with some of the streaming platform.
Lokesh Manik: No, I don't need the number, just if it is higher or lower.
Vikram Mehra: No, again, I'll give you a very speculative answer. A lot depends right now on the kind of content we are putting up. Yes, there are cases at times right now where you do end up making little higher, but there are also equal number of cases where YouTube is far lower than what you make from streamin g.
See, the big difference in YouTube philosophically is that how -- what percentage of your total views are coming from European and the American world, because the more the number of views a music video gets from those markets, we get a share of adverti sing that is either in dollars or euros or pound. And the advantage that one ends up getting.
So, there are languages and specific kind of videos which do very well out there in YouTube. While there are other languages which are primarily spoken by people in India, and you don't have too many Indian origin people of that language sharing outside.
So internally, we have a very clear benchmark that we people work with for every language and within the language, the genre of music that we are creating that w hat is the profile of that across each of the partner platform that we work with. It's not just YouTube, it's YouTube versus Apple versus Spotify versus Saavn versus Gaana versus Amazon.
Lokesh Manik: No, Vikram, I'll just tell you where I'm coming from is more from the distribution network that we are creating. It shouldn't be the case that we create this distribution network. And when the audience comes back to us to listen to the music, it comes to a platform that is giving us a lower realization versus a platform which is giving us a higher realization. That was my only clarification I needed. Is that the case happening?
Vikram Mehra: I will not talk about specific platforms, but I can tell you all the partner platforms of us, whether it's a video stream ing platforms, or the audio streaming platforms –have started making a strong effort to take their custo mers towards paid subscription.

So, if you see whether YouTube or Spotify or Saavn, all of them – have started making an effort right now to move peopl e behind the paid wall. So, I'd like to believe that the revenue yield is going to start going up on each of these platforms, and it's not going to remain specific to only 1 or 2 platforms.

A little bit of a concern for us are the short -format apps that a re there in the country right now, which are still there on a fixed fee for all of us. We believe with time, maybe on a medium -term basis, that should open up, and we should start getting a share of advertising there. So that's a very different line of bus iness. But on the audio/video side, I think paid economy is started getting into both of them.
Lokesh Manik: Okay. And in the short format, they were not able to compensate for the loss that we have seen from minimum guarantees from these platforms, which are shut down. They would be too small today. Is that a fair assessment?
Vikram Mehra: Short format was there when these free platforms, the minimum guarantees were there. The short format is not a new phenomenon. You have

primary 2 big international apps in India, which is Instagram Reels and YouTube Shorts. Some of the local guys who jumped into it, they have started going slow. But these guys have been there right now for the last 5, 6 years.
We believe that the big breakout may happen in the short -form at apps when like some other international short -format app, these 2 also start sharing a part of their advertising revenue with the content creators. YouTube Shorts has already started doing that in the non -music category.
We believe it will eventually co me to music also. But I'm going to put my bets on a short to medium term there. I'm not putting my bet on an immediate basis that it will happen.
Lokesh Manik: Fair enough. And the advertising budget that we see in the industry that is sort of at the macro level, if you see it is fixed. Now for that budget, there are different forms of content that are competing. Do you see music as seeing a threat in the form of a content from different forms of content that are emerging, which is playing down the growth i n the music industry at 10% versus digital advertising gro wing like you mentioned, at 15%?
Vikram Mehra: In a way, music has an unfair advantage out here because when you consume content on any digital media, what are you consuming? You're consuming music video. I understand you're listening to a song, which is hardcore music. But every time you're watching a digital series, there's a high probability that a song so mewhere has been added to that.
It may be as simple as a telephone ringing and the ring tone of the telephone being Tauba Tauba, or it may be somebody humming Mere Sapno Ki Rani Kab Aayegi Tu it's in part of the video series itself or a new or even if somebody is walking right now and songs are going on in every case, we people end up generating revenue.
So, we like to believe right now that as more and more people jump into the digital bandwagon and start consuming more content, we will get a larger and larger sh are of the advertising revenue.

And as India moves from advertising to a paid econ omy, which has happened in every other part of the world and have started happening out there on the video OTT side, and before that happened with digital cable and the DTH side, we believe right now that in times to come, this value of the kitty will keep on going up. And that's the reason as a company we're investing so heavily in content, because we believe we will be able to monetize a lot on a short -term basis itself.
Moderator: The next question comes from the line of Govindarajan Chellappa from CSIM.
Govindarajan Chellappa: A couple of questions. First, we've been talking about the shift to subscribers in the music space for the last 2 years now. Relative to what you had expected, how has been the pace of the shift?
Just looking from the numbers, it d oesn't look like it's moved as fast as you would have anticipated 2 years back. And if that's the case, what is holding it back?
Vikram Mehra: Govind, what's happening is the numbers are a misleading part because when you look at the absolute numbers, you are seeing numbers not growing that steeply because the free business, minimum guarantees are all going away for all of us. So, while the paid economy is taking up, remember, in the last 30 mont hs, we have Wynk shutting down.
we have Resso, which is a ByteDance, that's shutting down in the country, Hungama shutting down in the country, Gaana going right now completely from free to pay economy, and hence, all of us have taken out our MGs. 4 platforms in India have shut down. And in spite of that, compani es like Saregama are still showing growth.
I'll not be able to show growth unless there was genuine revenue coming up. Actually, subscription has started showing its head. A year back, I remember somebody asking me and I said, I'm seeing gre

en shoots. Now those green shoots are actually becoming like saplings. And we believe, give it another 4, 6 quarters, you will see right now subscription becoming the primary way in which people consume content.
Govindarajan Chellappa: I mean, if you can give some numbe rs at the industry level, what proportion of, let's say,

consumers are now paid OTT plus YouTube together or just OTT?
Vikram Mehra: I'll urge right now it's wrong on my part to give numbers on the industry part. There are various industry reports that you can go back and look at. But you need to -- I think just empirically, once again, think of what I shared with you. Out of these 8 platforms that they were in India, 4 platforms have shut down. In spite of that, companies like Saregama are growing in reven ues. I can't grow unless streaming business is also growing along with it. Streaming is a large part of whatever revenue that people make. We'll give you the comfort that, yes, some of the free business has shifted from these 4 shutdown platforms to the o ther 2 platforms, which is Spotify and Saavn, but the larger number people are seeing growth rate coming from the subscription side.
Govindarajan Chellappa: Okay. My second question is on videos. I mean, I know the amounts are small, but it does take a lot of management time and bandwidth in running a business like this. We've been doing this

for the last many years from mid -2010. At what point do you take a call that it is working or not? It's no longer an experiment, righ t? It's been a pretty long time?
Vikram Mehra: No, no. So listen, what is the video part? The series business that we people run right now actually is an auto mode. Not even 2010, we have been doing it from year 2000 onwards right now when we made series for Sun TV. That business is a well -oiled machine that just keeps on running.
We run 2 to 3 series in a year. Most of them go to anything between 1,000 episodes to 2,000 episodes a time. So, they just run on their own -- and that's the pow er when you have strong enough number 2 and number 3 levels built into the company. I can assure you and you can one day just come out there and monitor my time or the senior management's time, less time goes out there in the series business. Yes, the short -format content business that people run on the FilterCopy, which is a relatively new vertical within the company.
Once again, that churns out at that fast pace that the amount of management time that's going in it right now is relatively limited. We inherently believe that there is potential on the vide o side. From both perspectives, video on its own, the consumption is going up, and we don't want a situation where we don't have a play on the video side at all. Most international labels and all of my competitors in India have a video play also going on. Second, video also becomes a great source to get brand -new music.
And also to monetize our existing music or promote the existing music by pushing that music as part of the video assets that are going out. Again, let me take example of FilterCopy. One of the amazing part that the FilterCopy management team and the music team out here have done together is to ensure that the millions of views which are getting generated on FilterCopy content, almost all of them have some old song of Saregama, which gets placed.
What it does is to build fresh recall for the older content of ours, and we see immediately a causal effect relationship getting built that people listen to that content on a FilterCopy video and then go to Spotify or YouTube or a Saavn or an Appl e and add that song as part of the playlist. So we believe there is a strategic play right now that we people have right now on the video side.
We were never into big budget Hindi films. And on our own, we have no plans right now within Saregama as a comp any to go into

these big budget Hindi films. We will remain wherever the
budgets are under control. The actors are ready to come on the back -ended side so that the risk that people end up taking is on a relatively lower side.
Govindarajan Chellappa: Okay. And last question was on working capital. There's almost a INR 210 crore s increase in working capital during the quarter, and it's across all items. I mean, inventory has gone up a lot, receivables have gone up and payables have fallen. I know there is som e quarterly fluctuation, but this just does seem to be a lot more than what you normally see from one quarter to another. Any particular reason for that?
Pankaj Chaturvedi: Govind, Pankaj, this side. I'll just take that. So, as you rightly mentioned in you r question, there are quarterly patterns on this working capital side. If you just pick up even past numbers, you'll

see quarter 2 at times will be completely different to quarter 1. So that is one answer to your question.
Secondly, as we said, on the vid eo side, there are some very exciting projects that are lined up. We have made some investments over there. That's also sitting as part of our inventory - Hence, you see the jump in the inventory and the receivables. But as we move forward, when you see

Q2, Q3, a lot of these things will get normalized.
Moderator: The next qu estion comes from the line of Anand Bhaskaran fr om Ksema Wealth Private Limited .
Anand Bhaskaran : Yes. I just want to know a clear indication of the way things are going in the segment revenue -- right now, I guess music is contributing a 69% and Artist e Management 11%, video in 17%.
So, I just want to know like overall breakup what you see going forward for FY '26 and FY '27.
What would be the main driver for the revenue out of these 4 segments?
Vikram Mehra: So for us, out of these segments right now, we have shared our revenue growth projections. On a short - to medium -term basis, the music business, which is licensing plus Artist e Management, that's a music business within Saregama, t hat should be growing at 22% to 23% CAGR on a short - to medium -term basis. The video business is expected to be along the lines of 25% on a medium -term basis. Our EBITDA guidelines are 32% to 33%.
Moderator: The next question comes from the line of Ravi Na redi from Naredi Investment.
Ravi Naredi: Sir, you mentioned a few big players like Google used our song in their advertisement. How much revenue we earned whether it is more than INR 5 crores in a year?
Vikram Mehra: Sir, the monies that we people make from brands using our music in their ads is substantial enough. I'll not be in a position to give you a number here. It's very competitively sensitive data.
We compete with other people also. But it's a substantial enoug h part. In fact, we have a dedicated team that just looks after that.
Ravi Naredi: Okay. No problem, sir. Nowadays, how is content cost you find because a lot of Bollywood movies are lesser. So, are you finding difficult to acquire content cost at comparat ively low rates?
Vikram Mehra: So, the content cost keeps on moving up and down at times between various languages. I think what will give you comfort is , all of us starting from me to everybody down , the first criteria on which our performance is evaluated within Saregama is 5 -year payback period for all the conte nt we acquired during the year.
Even if it comes, the market share falls, revenue numbers can move here and there, this criteria of 5-year payback period can never move. So, whatever we people do in terms of content acquisition, we do keeping in mind that we don't end up overpaying. Otherwise, we will not be able to satisfy this 5 -year payback period.
We have seen in some of the languages wh ere some albums did very, very well, the prices went up substantially. It happened in a couple of South In

dian languages. Companies like us and even

one of our competitors have just pulled back saying right now, we will not invest at these kind of prices t hat are there in the market. So -- you are aware, sir, that we have been sitting on some of the QIP money for some time.
And however, tempting it may be to go out there and acquire content at any price, as a management team at Saregama, we are very consci ous of the fact that even if it comes at the cost of market share, we will not invest in content if we believe that it's overpriced and we will not be able to live up to 5 -year payback.
Ravi Naredi: Okay. Okay. And sir, have you been valued our library of songs of film or other films we have made, any parameter to evaluate this valuation?
Vikram Mehra: I'm not very clear about your question.
Ravi Naredi: Sir, we have so many songs like 150,000 or films which we have made. Any parameter to value this content ?
Vikram Mehra: No, we have never. We have not done a valuation exercise of all the IP that we people own. We have 1 ,75,000 songs. We have some 75 plus new movies. We have some 1 0,000 plus hours of TV content IP that we people own, and we have lots of cont ent that we own in Pocket Aces. We charge off everything. We have never done a valuation exercise.
Pankaj Chaturvedi: Ravi, just a question -- I mean, just to understand why this question coming up? Is there any kind of thought process behind this question ?
Ravi Naredi: One thing is there in our mind, what is the valuation of our company? It is almost INR10,000 crores. So, I would like to find whether our content cost is more than INR10,000 crores or less.
That is in my mind.
Vikram Mehra: Sir, you tell us how to value Lata ji's songs …
Ravi Naredi: I'm very novice in this music industry. So just asking you to whether any barometer is there to evaluate. That is my point.
Vikram Mehra: Any internal exercise has not been carried out, sir.
Ravi Naredi: Okay. And last, sir, almost INR 700 crores, we will spend on content cost in financial year '26, '27. Thereafter, what will be our plan?
Vikram Mehra: So sir, we have been stating that we want to get -- acquire 25% to 30% of all new content that comes out. We belie ve that with this INR 700 crores, we will reach that level. At this moment,

we have no intent to increase our market share of new content beyond 30%. Let's see how well we people fare over the next 18 months, and we will then share with you. But standing t oday, I think we are comfortable with the kind of market share that we people are getting at this moment. For us, the good part is that not only we are getting content, our hit ratio to flop ratio is the best in the market today because we are using data to decide what content to pick up and what cost structure picks up. So we will share with you, sir, over the next 18 months, the future strategy.

Moderator: The next question comes from the line of Rahul Picha from Multi -Act PMS .

Rahul Picha: I have 2 ques tions. First one is on minimum guarantee on Spotify and JioSaavn. So what we understand is Spotify and JioSaavn has done away with minimum guarantee across the music labels. So just wanted to know when that minimum guarantee was taken away by the Spotify and JioSaavn? And what was the impact of it in our Q1 numbers?

Vikram Mehra: I can't comment on specific commercial leads that we have with these 2 platforms. All I can say, maybe your information may not be 100% accurate, but I'll leave it there.

Rahul Picha: Okay. And second question is on YouTube. So YouTube has changed monetization policy towards user -generated content. So, has that impacted us in Q1? The growth has been impacted negatively in Q1 because of that?

Vikram Mehra: No, sir. The specific th ing you're talking about is not just a quart

er old. It started happening from last year onwards. And that has been fully factored in. If you see our revenues, I wouldn't have been able to show you this kind of a revenue growth unless YouTube was also firing for us. We had very little newer content getting released in this quarter. Yes, we did a pretty decent job of making more money from our older content. And for that, it's important, both the channel revenue as well as the user -generated content revenue should go up. So, I think we are proud of what the team has been able to do out here. We have been able to hold on to our revenue growth.

Moderator: The next question comes from the line of Pallavi Deshpande from Sameeksha Capital .

Pallavi Deshpande: Yes. Just wanted to understand on this recent movie released Saiyaara, where Yash Raj Films has kept it to themselves. Is that a new competitor in the market or are we likely to see more such cases going ahead that they don't have a music label, I believe?

Vikram Mehra: Yes, ma'am. All I can say that Yash Raj has been now following this policy for, I think, over 25 years, if I remember correctly. I think Dilwale Dulhania Le Jayenge was the last movie who's music we had bought.

And to best of my understandin g, they are the only production house in the country, not just in Hindi, that has taken the call to retain the IP and not give it to a music label. I wish I can tell you for guarantee that nobody in the future will do this, but we have not seen any evidenc e of any other production house doing it.

Please understand for any new film producer, they are able to recover anything between 8% to 15% of their total cost of the film by selling the rights of music. It becomes a good seed funding money right now for t hem to put up their film project. Most of them bank on the profits they make from their box office performance far more and try to hedge their risk by selling the music rights, digital rights and the TV rights. That's how the industry functions today. But Yash Raj films is an exception.

Pallavi Deshpande: Right. Sir, my second question would be that in terms of the comps, they become more difficult for us from 3Q, I guess, or 2Q because of Stree 2 last year bumping up the music licensing

revenues. So, on the music licensing, if you could give some more color of any new big budget things that we have lined up, I mean, coming up in terms of the music rights we ha ve acquired in Hindi big budget?

Vikram Mehra: For Stree , I wish to say right now that we were geniuses if we knew how big Stree 2 will become before the release. I don't think we expected it. It's all courtesy right now, the production of Maddock and the composer Sachin -Jigar who gave such a phenomenal music. So, it's difficult to say in advance wh ich music will take off the way they did. But we have some very big movies and from production houses who are known for their music.

I think the biggest is Sanjay Leela Bhansali ’s Love & War, which is supposed to be released in March. It has got Ranbir Ka poor, Alia Bhatt, and Vicky Kaushal. And it's Bhansali sir himself directing the movie after some time. We also have Ranveer Singh's Dhurandhar. Their trailer dropped some time back, was using one of old Saregama songs, and it has got serious appreciation.

We are bullish on that. We also have Dharma Production movie, Main Tera Tu Meri Tu Mera Main Teri which is the Kartik Aaryan movie, Dharma is always known for giving very high - quality music. So, we are banking on that, too. We have a Dhanush movie coming in later this year, which is in Tamil.
We have Darshan, who is Kannada number 1 star, his movie coming in later this year. We have Nani's movie coming in Telugu. So, there is a very decent lineup. Fortunately, unfortunately, majority of the stuff is sitt ing in Q3 and Q4. But it's a release of these films that gives u

s the
confidence to hold on to our guidance of 22% to 23% growth in short to medium term on the music side.
Pallavi Deshpande: Right, sir. And sir, my last question would be on this recent T -Series signed up with this artist of Saiyaara, the Kashmiri guy. So were we also in talks with this -- for this artist, anything on that?
Vikram Mehra: We do not talk about these individual artist e deals, unfair to my team, unfair to T -Series team and unfair to the extremely talented artist es we are talking about. But Artist e Management is something we take very, very seriously. Philosophically, Saregama bets more on new age artist es who are young i n whom we see potential, then we groom them, then we do music videos with them. With some of them, we are even putting them in our films or putting them in our digital series. That's the power of also having the video vertical within the company and try to make them big.
2, 3 of them have already started releasing their content out. And hopefully, very soon right now, you're going to be talking about them and asking me that how did we manage to do this magic.
Pallavi Deshpande: Right, sir. Sir, my last que stion, if I may. On this payback for the Haryanvi catalog that we've purchased, would that fit in that 5 -year period? And if you could share the cost of that acquisition?

Vikram Mehra: Ma'am, I'll not be able to share specific commercial s. Overall, what I can tell you right now, I think we have got a very, very good deal. And the beauty of this deal is that the promoters are not only selling their catalog to us, but are also working with us to create fresh Haryanvi content for Saregama.
I think as valuable as their catalog is, equally valuable is Rajesh Gupta, who used to own NAV and his son and Nephew, I think they are one of the smartest people and on the Haryanvi side. And the fact they are ready to partner with us to create more Haryanvi content is what inspires far more confidence in us and makes me happy.
Moderator: The next question comes from the line of Lokesh Manik from Vallum Capital.
Lokesh Manik: Vikram, my follow -on question was we are seeing a trend in brand -sponsored podcasts. Do we have any play out there? What is your view going forward? How can Pocket Aces help us out there?
Vikram Mehra: Sir, we believe within the company . It's a very good question you have asked. Within the company, we realize that we make a decent amount of money from pl atforms. wherein we put our content on from a Netflix to a Spotify to a YouTube and we get a share of advertising.
We also have a play in direct to customer where customer pays for Carvaan or customer pays for a Live Event, a Himesh Reshammiya concert or a Diljit Dosanjh concert. We realize that we need to now strengthen our play in brands coming on board and putting their monies right now behind our content.
So, within the company, we have constituted a completely new vertical, which is now going to be selling to brands, both from music perspective. So, create bespoke content for various brands. It may be a brand -new song. It may be somebody who wants to do a digital concert or a digital music -based show -- that team is also going to be selling to brand s ponsorships for live events and getting brands right now for our entire FilterCopy range of channels.
So we are combining this and now going out there to the brand and saying that if you want to reach out to the younger people who are more and more gettin g away from the world of television, then we may be a great solution, whereby we can give you music, video as well as influencer, a package deal can be offered across to you. Podcast, both video and audio are part of the same thing.
Lokesh Manik: Understoo d. And this quarter, we've seen a drop in advertising expense, whereas the content cost has remained the same. So, what has dr

iven this fall in advertising?
Vikram Mehra: Whenever a new movie is released, the marketing cost is charged off immediately, whil e the content cost is charged off right now in a phased manner. So, what you will always see that in a year, in a quarter, content cost will also have the previous year's uncharged content cost being

charged off in the quarter while marketing depends only on whether a brand new thing has been released in that quarter or not.
Lokesh Manik: Correct, correct.

Vikram Mehra: I'm not seeing marketing cost going to come down because …
Lokesh Manik: No, I can connect with your comment on new releases were not there this quarter. So maybe that is what has driven the expenses …
Vikram Mehra: Perfect.
Lokesh Manik: Yes. So, Vikram, just the last one was if you see ad rates in the industry going down and advertising revenue going down, does this then delay the payback per iod that you have to monetize yo ur content? Does it impact that…
Vikram Mehra: So what you're asking right now? Yes, it should impact. All I can tell you, we have not seen our yield per view coming down on platforms which are advertising dependent.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Vikram Mehra: I have already shared our guidance right now for future. We believe music industry specific and even the video side, I think we are still an underutilized, under monetized entertainment industry.
At Saregama, we believe that the fact that we are extremely data-driven, we run away from anything which is an individual -driven part here.
The fact we have a diversified portfolio, which not only hedges our risk, but allows us a situation where the whole is more than the sum of the parts. And the fact that we hav e a senior management team that has been there with the system for a long enough time gives us a very, very good opportunity to monetize and capitalize on this digital revolution that is sweeping the country.
And 2 to 3 years, the kind of guidance that pe ople are giving right now, I believe all of them are going to get met. Thank you, and please keep supporting us.
Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you m ay now disconnect your lines. Thank you.

Call: Nov 2025

Date: 12th November , 2025
The Manager,
Listing Department,
National Stock Exchange of India Limited Exchange Plaza, C-1, Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051
Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip Code: 532163
Subject: Q2F Y26 Earning Conference C all-Transcript s
Dear Sir/ Madam,
With reference to our intimation filed on 30th October, 2025 and pursua nt to
Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015 ('SEBI Listing Regulations') as amended, please find enclosed the transcript of the
Q2FY26 Earnings Conference Call held on Wednesday, 5th November, 2025 at 03.00 P.M.
(IST) for the quarter and half year e nded on 30th September , 2025.
This information is available on the website of the Company www.saregama.com
You are r equeste d to kindly take t he ab ovementioned on r ecord.
Yours Fai thfully,
For SAREGAMA I NDIA LI MITED
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"Saregama India Limited
Q2 FY26 Earnings Conference Call "
November 05, 202 5

MANAGEMENT : MR.VIKRAM MEHRA – MANAGING DIRECTOR
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER
MR. ANAND KUMAR – GROUP HEAD – INVESTOR RELATIONS
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR – INVESTOR
RELATIONS

MODERATOR : MR. PRANAV KSHATRIYA – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Saregama India Limited earnings conference call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on a touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Pranav Kshatriya from Emkay Global Financial Services Limited. Thank you, and over to you, sir.
Pranav Kshatriya Thank you so much. Good afternoon, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Mr. Vikram Mehra, Managing Director; Mr. Pankaj Chaturvedi, CFO; Mr. Anand Kumar, Group Head, Investor Relations; and Mr. Pankaj Kedia, Executive Director, Investor Relations.

I shall now hand over the call to the management for their opening remarks. Over to you, gentlemen.

Vikram Mehra: Thank you, and a very, very good afternoon to all of you guys. The Q2 of FY 26 saw operating revenue of INR 230 crores and PBT of INR 60 crores. While all segments of our business grew, Video segment has seen a degrowth in this particular quarter, which is nothing but a cyclical issue. I've repeatedly said this, and I'll continue saying this, please always evaluate us on a rolling 12-mon th basis.

Releases keep on moving from one quarter to another quarter, becomes very difficult to evaluate us on just 1 quarter basis. So yes, V ideo segment had multiple releases in Q2 FY25 , while Q2 FY26 had fewer releases. We may have more releases coming right now in Q3 and Q4.

Let me start, as always, with the first vertical, which is M usic. The quarter saw the release of a successful Tamil album called Idli Kadai, which is a Dhanush movie; a Bengali album called Dhumketu, in which one of the songs right now, sung by Arijit has done extremely well; and a Malayalam film album called Sahasam, which again has given a very big hit during the quarter.

On the non-film side, Badshah's song Kokaina, Honey Singh's song Mashooqa; and a Marathi song Chal Turu Turu; fared very well for us. Our new content strategic partnership with the ex-promoters of NAV Haryanvi is going very strong. Many of the songs that w e have sourced through them are hitting the local charts. We are proud of this relationship because not only we bought the old catalogue from NAV , we actually partnered with the owners and the management team there to strengthen our hands in the Haryanvi market.

So now we are in a unique position whereby we are able to work with these people as our extended arm in the market, harnessing the strength of their relationships in the local market. It is also giving us a great model to go and work with other regional la bels in future along the same lines.

Overall company released 1,500 -odd originals and premium recreations across all the major languages of the country, Hindi, Bhojpuri, Gujarati, Punjabi, Marathi, Tamil, Tel ugu,

Malayalam and Bengali. Overall, our spend for new music content this year will be in the range of INR 320 crores to INR 330 crores. Yes, this has come down from what we were projecting earlier because many of the planned film albums, which were planned for the year, have got pushed to a later year. Some of them, like our biggest album that was planned for the year was Sanjay Leela Bhansali's Love & War, which was supposed to release in quarter 4 of this financial year, have now got pushed to quarter 2 of the next financial year. It's part and parcel of our business. This happens. But it has implications on both sides. It has reduced the amount of content ou

tlay from our side for the year, but also has implications on the revenue projections, and we'll talk about it.

Within the year, many of the releases that were earlier planned for Q1 or Q2 have got pushed to Q3, Q4. The upcoming releases include Ranveer Singh' s Dhurandhar, the first song of which was released in Q2 and has done very, very well for us. But the rest of the album is going to start getting released from this month onwards.

Dharma's next film with Kartik Aaryan called Tu Meri Main Tera Main Tera Tu Meri, that album is going to start hitting the market by end of November. Nani's very, very big release in Tel ugu called Paradise. Kannada Superstar Darshan's movie Devil . Tamil, very big star called Sivakarthikeyan's Parasakthi.

These are some of the big film albums that should be hitting here in Q3 and Q4. I want to share something else also with you guys. We have created a new cell which actually resides within our video team, but that cell is helping us create latest music videos for the older songs that Saregama owns, using the Generative AI video generation tools.

As I'm sure all of you guys will know that Saregama doesn't own the video rights of the songs that were released in the 20th century. We only have the audio rights. And to capitalize on the demand for these songs on YouTube, we always have been contemplati ng the idea of generating brand- new videos, but cost was always becoming a prohibitive issue for us.

Now with Generative AI, we finally have found a very effective tool, which can help us not only create content, but create it at a much shorter time window and at a much lower cost structure.

Let me give you an example out here. What earlier used to take u s 10 to 12 days to go back and create an old song version we can now go and complete it within 2 to 3 days with Generative AI.

These are all third -party licensed tools. We never worked with anything which is unlicensed.

With the way Gen AI is moving, I think we should be in a position to start being able to create videos for us in time frames right now, which are as, small as 24 hours.

As we go forward, we plan to experiment with mixing real active shots via AI -generated backgrounds and elements to make it look even more real. So currently, there are two different areas. One is pure videos which are made right now with real actors, and everything is shot in real world. Then there are videos that we people are creating only using Generative AI. We are also now experimenting can we go back and mix the 2, which will still have a much lower cost structure and faster time frame.

And more important than that, we can go back and create videos that look and feel that much more interesting, which otherwise would have remain ed in the realm of fantasy only.

Our weakness of not having the older content videos may just become a strength because we may start associating these songs with brand -new Gen AI videos, which will allow us also to expose this older music of ours to the Gen Z.

Whatever we do, whether in terms of new content, older content, every time people go out and spend money, we maintain our guidance of a 5- year payback period. And after that, if it's a brand- new song, we have another 55 to 75 years of returns. When we are making videos for the older songs, we keep that in mind that the returns cannot be 5 years, they have to be much shorter. Typically, we work in a 1- year time frame window of payback.

This quarter was the third quarter having the impact of Airtel Wynk closing for us. This entire impact will go away from our base sometime in the quarter 3. Our YouTube revenues are growing as per expectations. We are happy both with the number of views that we people are getting, the char t position that our songs end up gaining and the kind of CPMs YouTube is able to go and garner and hence pass on to us.

The other good news is that we have started seeing initial moves by both the big music streaming platforms to push subscription. If you follow the market, you realize there are multiple promotions that they have started running now. They need to do far mor e, but at least the platforms have started moving in the direction of subscription.

Remember, both the penetration of subscription and the ARPUs in India are one of the lowest in the world. So, if the platforms start pushing it, there's a massive upside for all of us. Whenever subscription goes up for the platforms, they share around 50% of whatever they make with music labels, the content owners. So, all of us have a big upside coming in, hopefully, in the days to come.

I wanted to also share that over these last 2 quarters; we have further strengthened our music team with lots of senior executives joining from other international music labels. All the key roles for music acquisition, marketing and monetization are now headed by experienced veteran with relevant cross -industr y experience. They come from music companies or advertising agencies.

This, combined with our investments in data analysis and artificial intelligence, the professional work culture that we uniquely bring to the table, and I think even more unique is the decentralized decision -making . I think, it’ s going to hold us in very good stead in the days to come, allowing us to get to the number one position and have a lion's share of the revenues of the industry once subscription takes off.

Artist e management, the new vertical under music monetization, where artist es are made popular through our IP releases, and then we monetize these artist es by booking them for live events, weddings and brand endorsements from which Saregama gets a share. During this quarter, 18 new artist es got added to our total number of list of artist es managed by us, which now crosses

230. Between these 230 artist es, they have a 200 million+ follower and subscriber base on social media platforms including Instagram , Facebook, and YouTube.

As our investment in new content, both on audio as well as video, keeps on going up, these artiste s are going to become bigger and bigger. And with digital advertising growing at 14% to 15% per annum, we believe both the content these artist es are making, and the artiste s themselves are going to be a large beneficiary of this increase in digital advertising spends.

Remember that Gen Z is not watching television, they are not seeing those ads. Gen Z subscribes to a paid subscription very often on these services. So, the only way if you want to go back and attack Gen Z is either you go to the publishers' content which Gen Z is following , or you go out there as an advertiser and push your advertising through the influencer or the artist e that Gen Z seem to be following.

And we have a presence on all these sides. We are one of the largest publishers of content for Gen Z as well as one of the biggest representatives of influencers that Gen Z follow. Music

segment overall, which is licensing plus artist e management, grew around 12% year -on-year basis. We believe that we should be able to end the financial year at 19% to 20%.
And I acknowledge that this is a marginal reduction in the projection that we had given last year. But the fact that many releases of ours have got pushed to the next financial year, which may have an impact right now on the growth in revenue, but we are confident of 19% to 20%.
This was a relatively quieter quarter for V ideo. We had only one small Malayalam movie called Mirage that got released, also released 2 new series, one called Bakaiti on ZEE, and Ye Saali Naukri on our YouTube channel.
In the days forward, we people are doubling up on our focus on this ; one of the fastest -growing content segments for Gen Z called “M icro

Series ”. You will be seeing far more content coming
from our side, leveraging on this growing consumer interest in micro drama, micro series. This is content which has got duration of anything between 1 to 3 minutes and typically has episodes, which can be varying from 10 episodes to some of the international content, which even goes to 1,000 episodes. But the duration of the content is closer to 1 minute. In some cases, 3 minutes too.
On the live event side, Saregama partnered with Diljit Dosanjh on his latest Aura tour, which premiered in Kuala Lumpur and then went to Hong Kong. This is just a start of this new tour.
We also did the second round of Disco Dancer musical show, this time in Dubai. With season coming in, there is big action planned in the next few months, both in India and abroad as far
live events are concerned. We also plan to launch our first music festival in Bangalore in March next year.
Our long-term belief in the potential of live events keeps getting reinforced every quarter, seeing the overall consumer involvement in the live events that are happening in the market. Currently, our focus has been artist -driven shows and some of our own IP -based music shows. But in the days to come, we will increase the focus on standup comedy and the smaller concerts internally , we call it experiential.

At Saregama, over time we have built a massive strength in B2B revenue generation. What does that mean? B2B means licensing of our audio and video content to third-party platforms. We work with the likes of Spotify and Jio Saavn and JioHotstar and Netflix or radio station . These are B2B deals where we license our content to them.
Carvaan was the first attempt and now with live events, we are also trying to build a direct -to-customer vertical, wherein we can go back and sell our products or services directly to the customer. The biggest advantage of that is that we end up generating first-party data as we go forward, and own direct customer relationships, which should help us go and cross -sell products to them in the days to come. That's the second vertical we people have started.
We are now laying the foundation of a third vertical for generating revenue, which is brand sponsorships. We have created a brand- new brand partnership vertical within the company that consolidates selling of all our business segments. So, music, live events and filter copy, all of them are now housed together from the brand sponsorship perspective. This team is headed by a media sales veteran.
In the last few months, we have partnered with national brands like Oppo, Unilever India, Britannia, Flipkart on the music space; P&G, ITC on live event space; Hyundai, LG, Samsung, Cipla on the short format. So up till now, what was happening is each of t hese verticals were going on their own and talking to the brands.
As we go forward, everything is consolidated under the same team, you will be seeing scenarios where we will be selling our entire suite of offerings to a brand. Rather than selling a brand only live, we will also end up selling the brand music and a music brand, we will end up selling filter copy.
We are uniquely placed to offer to our brand partners an ability for them to use us for creating content, whether it's in terms of music or video, content that integrates their brand. We can also provide them artist es or influencers if they want those influencers to appear as part of this video content because we are one of the biggest digital influencer agencies as well .
And then uniquely, we can ensure that the content that has been created for the brand or the ad part that has been created from the brand can be disseminated to using the 400 million digital footprint that Saregama brings to the table. No other company is able to offer all three: creation; artiste s; as well as distribution of cont

ent.
TV channels, if you talk about it, only do distribution of content. Talent management agencies are able to help you only and only with providing you artist es who need to appear in the content.

Creative agencies are able to go out there and create content for you. We, with all the verticals of ours right now, which are driving synergy from each other, will be able to offer this unique feature to brands. And I believe 12 months from now, this vertical should start contributing handsomely to the overall revenue and profit numbers of the company.

Over the next few years, we will continue investing in new music content. This will contribute not only to the immediate growth, but also future proof our company and put us on a long-term growth path. We had projected growth rate of 30% at consolidated company level for revenue,

excluding Carvaan, between financial year '24 to financial year '27, and we hold on to that number. We also maintain our annual adjusted EBITDA guidance of 32% to 33%.

Saregama's growth narrative will continue to be steady in medium to long- term, thanks to increase in digital consumption, both in terms of new customers joining the market and existing customers consuming more and more.

With over 400 million Internet footprint, cash reserves, professional managerial depth and access to the soundtracks of the best movies and our ability now to attract best of the talent from the market, we will be able to guarantee earnings not just for next 2 to 3 years, but hopefully for next 20 to 30 years.

Thank you, ladies and gentlemen. Happy to take questions now.

Moderator: The first question is from the line of Jyoti Singh from Arihant Capital Markets Limited.

Jyoti Singh: Sir, just wanted to understand the current situation of the more newer platform and then people are shifting from YouTube and Spotify to Instagram reels. They are spending more hours comparatively than they used to spend on YouTube and other platforms. Now the shift of hours and shift of people more on the Instagram toward and how -- I know we are getting some revenue from the Meta, but still a major chunk is coming from YouTube and Spotify. So jus t wanted to understand the technology and then revenue driver for us in a more clear view?

Vikram Mehra: Sure, ma'am. Let me try to answer this. One, if you can go out there and refer to the various third -party data, not related to Saregama, but for the overall music industry in India, and I'm happy to forward some of those findings, which tells us that the a ctual music consumption in India over the last decade has gone up. Over the last 3 years, data also we see right now is constantly rising.

I'm 50 -plus. When I was in my 30s and part, it was normal that there used to be a time where all of us used to listen to music because music was typically heard using a CD player or a cassette player, and it used to be loud. Today, people consume music using their AirPods, which means that whether they are studying, going to the office, going to their colleges, they're in the gym, they are cooking, all the time people are going out there and consuming music in the background. So, music consumption, in fact, has gone up and not come down.

The number of views that YouTube is generating for themselves from music or what Saregama is generating for itself right now from YouTube for its music or on Spotify, the streams, everything is going up. There's absolutely nothing to go back and indicate a t this juncture, India and globally, that music consumption is coming down.

What Instagram is ensuring here is that the number of hours that people like you, me and children are spending on their device is overall going up. The time we used to spend with each other, with our friends, with we family is being eaten by the time we pe ople are giving on their devices.

So, Instagram and YouTube Sho

rts is also growing and Spotify and YouTube are also growing.

Now, the second part of the question on the revenue model, yes, the amount of revenues that we make from the short format app is relatively small at this moment. But our deals with these companies are very, very clear . The day they start opening themselves to full -fledged advertising, they will do the same revenue sharing arrangement with us that a YouTube or a Spotify does for their subscription or advertising. Whatever money they make, 50% of that is going to get shared wi th the content owners.

As much as we are bullish on audio streaming and video streaming, we also understand short format is a very big opportunity of revenue that may get open for us right now in the next 12 to 24 months.

Jyoti Singh: Sure, sir. So sir, our Video and OTT segment revenue saw a sharp decline, that is a drop of around 39% this quarter. So could you walk us through what drove that and timing of release or seasonality or anything?

Vikram Mehra: Unfortunately, unlike the music revenues, which typically work in an annuity in a fashion, the

numbers don't fluctuate on a day-to -day basis unless a big deal is going out of the window. Video depends entirely on the fact whether a movie was released, or movie was not released, whether a series was sold and which quarter was the series sold across to a platform.
So, it's lumpy in nature. That's why, if you have to go out there and evaluate our video revenue and profitability, request you to do it on a 12-month basis, not on a quarter -on-quarter basis. When I'm saying this, please go back and you can refer to my older statements. When our revenue goes up also, in video I say the same thing. So, I'm not saying it only when the video revenues come down. Video is lumpy in nature. Please read it on a 12 -month basis.
Moderator: The next question is from the line of Nitin Sharma from Seeberg Private Limited.
Nitin Sharma: Two questions. First of all, I want to understand the time line towards seeing the OTT platform shifting towards the subscription -only models. Has that time line changed or shifted further?
Where is it, if you can talk about in a general sense?
Vikram Mehra: Sir, I would have loved right now had I given you a firm timeline . Unfortunately, it's in the hands of my partners and not in our hands. As I said in my opening statement also, we are seeing movement happening. For the first time, we are seeing promotions being run and advertising communication being put out by these pl atforms to push for subscription.
If you see Spotify's latest results that have come out, they are showing very handsome growth now in the Latin American markets also. And those numbers are coming at a very high ARPU, too.
So, I like to believe right now, it's a question of when India will end up replicating what's happening in Lat in America or before that happened in China, where subscription is going to go back and take off. We people internally keep on doing various kind of studies to understand that what is the inclination of people or readiness of people to go back and pay for music cont ent.

We see under the age of 35, and I'm repeating under the age of 35, a very high inclination of people who are ready to pay provided the paid subscription is put in a more affordable fashion, and it should be double -digit ARPUs and not a triple -digit monthly pricing.
The issue only up till now is that streaming platforms have to just ensure that all the bells and whistles are not available as part of the free business, but they should be limited only as part of the paid business. They have just rolled it out in Latin A merica. They are seeing very positive results.
We like to believe that buoyed by that success, something similar may happen in India, too. We are all prepared for that scenario that subscription will take off. And if you see subscription business anywhere in the world, it doesn't take off when it takes off, it's a hockey stick. It moves at a very steep pace.
Nitin Sharma: Understood. And related to this, just an overview, what is your understanding, because you regularly speak to the OTT platform. So, is there a willingness to kind of bringing down the -- to double -digit or they still believe that it is a triple -digit, low triple -digit where they are comfortable and want to stick?
Vikram Mehra: It's a combination of all 3 things, which is going to help subscription to take off. One, the free service cannot be as good as maybe it is today because if you're going to offer everything free, then even you and I will not pay for the paid subscription. So, the free service some changes have to be made by them.
Subscription pricing has to be made more affordable and there has to be enough amount of communication out to the customer, wherein all music labels have offered that we will partner with them and ensure that promotions happen in a very big fashion. We wil l use our own digital footprint. Like I told you, Saregama controls 400 million+ digital footprints today.
All of us will help these platforms to achieve a higher subscription penetration because in the end, it's going to help us also. You are asking for a timeline , I continue maintaining part right now that it's just a quarter's impact. We are already seeing a growth on the paid subscription. Unfortunately, the base is very, very small. So even very high double -digit growth also doesn't move the needle to that extent. It's just a matter of time. It's a matter of few quarters where something of this sort is going to be happening. There are only 2 free platforms that are left in the market. We believe something will change.
Nitin Sharma: Understood. And second question is more on the -- if you can provide colour on how was the festive season for the industry since third quarter tends to be the biggest contributor for the sector? Any colour would be helpful.
Vikram Mehra: Yes. So festive, unlike the durable industry where you immediately start seeing impact of Diwali coming in. We were very much governed by festive , Till the time Carvaan was a very big part of our portfolio. In the current scenario, Carvaan is a very small part of our portfolio. The festive season has an impact, but not that much. The impact is an indirect impact. Festive season ends

up getting higher advertising on YouTube. And since we get a 55% share of all advertising revenue that comes on our content, so we do get the benefit.

Beyond that, festive season doesn't have a massive change that happens. But yes, YouTube will have an impact. It may so happen that closer to December, more bigger films start getting released. That means bigger albums are going to come out. And if those albums do well, then there will be an impact.

If you check out our presentation, I think that will be useful for you. In the presentation, there is a slide which is showing how our music revenue, which is licensing plus artist e management, keeps on moving quarter -on-quarter. That will give you some understanding of how much impact seasonality has.

Moderator: The next question is from the line of Harshit Toshniwal from Premji Investments.

Harshit Toshniwal: Sir, congratulations for a decent set of numbers. One thing which is not particularly related to this quarter. But if, for example, I look at since '21 to '25, we gave a very good disclosure in terms of the era-wise revenue, which we have received.

Now over there, sir, the trend has been that if I look at the songs pre -2020, their revenue in absolute terms have been a bit stagnant at around INR 320 crores, INR 330 crores for the last 3, 4 years. And the growth what we ha

ve seen in music licensing has actually come from the songs post 2020.

So my understanding was that probably in the post 2020 songs -- since we are investing in era, obviously, the first year revenue will be high. Is there any reason why the pre -2020 era songs, their revenue has been a bit more stagnant in the last 3, 4 years, probably because when I compare it with the industry, that segment is also seeing a decent growth for the industry?

Vikram Mehra: Sir, I'll not comment on the industry part. Let me talk about our content. On an apple -to-apple comparison, that means if I take a platform like a YouTube or a Spotify or a Jio Saavn and check the revenue of my pre -2020 content, even pre -2000 content, we are seeing a steady revenue increase.

I will not comment on the numbers that you arrived at, of how much is catalogue and how much is newer. But yes, on the overall basis, directionally, you're right. We have seen in last year or so some amount of impact. Please keep in mind, the real reason for that is that 3 or 4 of the large 3 platforms that were very big earlier, they have all shut down.

The total revenue that we are making from streaming business has not grown. The fact is that, frankly, there's no degrowth happening out here for us because newer content came in the picture. But the fact that the 4 platforms go out of the market completely in a very short frame in about last 18 months, it will have an impact.

What I can assure you is we have got a senior level person who has joined the team and a full structure is being built under him, whose only role at this moment is to ensure revenue from

catalogues have to go up. what it needs to happen is that some of the catalogue songs we are seeing how recreations can be done.

Second objective is how do I ensure those catalogue songs become very, very big on platforms like Instagram and YouTube shots. We are also going out here and creating podcast for many of these platforms.

And the point that I had referred earlier, we're using Generative AI to go out there and create brand- new videos for the older songs. So, with all those coming in place, I'm ready to venture my neck out and tell you right now, next couple of years, we see a very steady growth coming in this space.

Harshit Toshniwal: Got it. So, if I look at -- obviously -- just the last 2, 3 years of data, so it might be that there can be many one -offs that 's been impacted?

Vikram Mehra: So if you look at my last 18 months data right now, yes, you will see the numbers not growing up that substantially in catalogue . It is only because platforms are gone. If you go before that right now, we were surprised with the growth that people were seeing.

Those kinds of growth were running into 20% plus on the catalogue side because multiple new platforms were coming in at that particular time. But on a like-to -like basis, I'm repeating myself, platform -to-platform. So, platform X, if they had catalogue and the platform is still existing and is a free platform even today, you will see a revenue growth coming in.

Harshit Toshniwal: Got it. And one -- another question if time -- if it's possible, was on the fact that -- so it may not be relevant today, but if I understand there is a 60-year time line for the copyright of a particular song. If you can help us that in our industry, then how do we navigate?

Obviously, this might not be relevant until maybe 20, 30, 40s, even for our older contents. But how does this typically work

that at the end of the expiry, does it come for renewal and we have
a first offer to bid? Or how will that expiry time period work?
Vikram Mehra: See, in a public forum like this, the only thing I can clarify the copyright rules for you. When we buy a song, there are 2 rights that pass across to us. One is called the master right or the
sound recording right. That's

a right of the song. And you are correct. The Copyright Act says
that our ownership is there for 60 years from the release of the song.
But there is one more second right that also gets transferred across to us, it's called publishing rights. That's a right of the lyrics of the song and the right of the tune of the song. These are
separate rights. A ccording to Indian Copyright Act, the lyrics rights stay with us for 60 years
from the death of the artist who wrote the song.
And composition rights, the tune rights are valid with us for 60 years from the death of the
composer. So we still have a very, very long way to go for many of our superhit songs even a song one right would have come out side 60 years, the other rights are still sitting there with us
only.

Moderator: The next question is from the line of Harsh Shah from JM Financial.
Harsh Shah: Yes. So firstly, if you could -- in terms of giving better comfort to the entire investment
community, right, if you could kind of directionally give a ballpark range in terms of how much
our, say, YouTube revenue, say, in FY '24 and '25 has grown and the period before that, say between '22 and '23?
So why I'm asking this is that I understand that there were challenges in terms of the
consolidation of the industry on OTT platform. But are there any issues that we are facing on an
industry level as well on YouTube? Or how is it? I mean some colour on YouTube would be
very helpful, please.
Vikram Mehra: See, I'm not going to get into one particular partner. If you just track our performance, and our
numbers are there with you, we have been growing our music revenue at a 23% CAGR over the
last, 6 or 7 years now . You can't have one vertical completely sitting down and still be managing
23% growth.
It's a combination of the growth that we people have seen on video OTT platforms like YouTube
and say, Facebook ; Audio OTT platforms like Spotify , JioSaavn , Gaana , Apple , and Amazon ;
Short-format apps like Insta Reels or a YouTube Shorts here and some of the work that we have
done on the publishing side.
So overall, all parts on a combined basis have grown at 23%. T his year because a couple of our
very big titles have all got pushed, so I'm getting the projection down to 19% to 20%. But on a
mid to long-term, we are maintaining our stand that we should be able to grow music business
at 23%.
Harssh Shah: Correct. I understand that. But safe to assume that our YouTube revenue would be growing, say,
in the range of 10% to 15%?
Vikram Mehra: So, let's put it this way. You're asking me a specific thing on a partner, which I can't disclose.
I'm not at a liberty to disclose. But please understand, f or most people, YouTube is one of the
largest partner s for them. If YouTube does not grow at a healthy enough rate, how am I going
to go back and live up to my 23% CAGR promise over mid to long -term or even a 19% to 20%
number this year. YouTube has to grow. And I said it in the opening statement also; we are very
happy with the growth we have seen on the YouTube side.
Harsh Shah: Any qualitative colour you can give in terms of the consumption behaviour on Spotify post them
announcing a price increase in the Indian market that actually happened at the end of August or
first week of September? And I know -- I understand that the data sample would be smaller, but
just trying to understand the initial signs?
Vikram Mehra: So again, you're asking me for a particular partner information. Please understand. I'm not at a
liberty to discuss specific partner part. But overall subscription, we are seeing movement
happening in the country. What I can tell you right now is younger people who seem to be taking
subscription for streaming apps far more easily than the older people. People who are 50 -plus
still believe right now that why should they pay for something d

igital.

People, the younger generation, Gen Z and millennials, people up to the age of 40 think it's an
absolutely okay thing to do, to go out there and pay for digital subscription. And the advantage
of that is going to flow both through music and video platforms . So, I have every reason to

believe that all these audio streaming platforms have a large growth curve sitting in front of
them. And by implication, we will end up riding on the same curve.
Harsh Shah: Okay. Got it. And one more thing on -- just a clarification on Pocket Aces. So the revenue is
kind of -- forms part of artist managed completely or there's something that flows to the Video
segment as well?
Vikram Mehra: Yes, it flows both on the artist side as well as the video side.
Harsh Shah: Any split you have?
Vikram Mehra: No.
Harsh Shah: And lastly, do you retain the earlier guidance on Pocket Aces being breakeven in FY '26?
Vikram Mehra: Yes, we maintain that.
Moderator: The next question is from the line of Swapnil Potdukhe from JM Financial.
Swapnil Potdukhe: So my question is regarding your guidance of 19% to 20% growth this year in the music business. Now,
just wanted to understand, is this music licensing only or it includes artist
management also?
Vikram Mehra: Sir, for us, music always means licensing plus artist e management because it's the same artist e
with whom I'm creating music. It's always combined guidance from our side.
Swapnil Potdukhe: Got it. And given that this number has been tracking around 12% in the first half, how do we
see this guidance getting achieved in the second half? I mean, are we expecting a significant
jump in your revenues in 3Q or 4Q? I mean, is that how we should look at it?
Vikram Mehra: Yes. See, in our case, things like YouTube revenues are completely dependent on new music
releases, they jump there, and you immediately see an impact on it. You don't see an impact on
audio streaming platforms with immediate effect; they typically trail with some kind of a lag.
But YouTube sees an implication immediately.
All our movies that were planned for Q1 and Q2 across languages, except Thug Life, everything
has got pushed to Q3 and Q4. So, basis that, we see that revenues going up substantially. Yes,
the fact that some of the movies have got pushed across now to next year, because of which there
is some dent on what I believe music will be able to achieve, but 19% to 20% looks an achievable
number.
Swapnil Potdukhe: And will it be a lumpy 4Q? Like, because we are already 1 month into the quarter, would it be
fair to say that...

Vikram Mehra: I've already given you enough colour on this. So, by the time we end the year, you should see
those kinds of numbers . Yes, at this juncture we are fairly confident we should be able to go and
touch those numbers.
Swapnil Potdukhe: Okay. And the second question is on your artist management vertical within your music space.
Just to help us understand how big is this opportunity? Or how do you -- how big this opportunity
do you expect it to become, let's say, 2, 3 years down the line i n terms of revenue or time
perspective? And what kind of steady-state margins should we be expecting from this business?
Currently, I think we are trending around single -digit margins, but...
Vikram Mehra: Again, artiste management and my music part are completely interlinked with each other. So
artists like Maahi, whom we people are promoting, or some of the bigger names like poet Kumar
Vishwas. Now some of their stuff is sitting in artist management while they create the content,
which may be sitting on music. So, when you are looking at margin analysis also, please look at
both the things combined.
Please don't look at things separately because the way we look at it is why did we get into

artist e
management. Whenever we were creating music, we realized that we are making songs --
because of songs, the artist e is becoming big. When the artist becomes big, we don't get any
upside because of the artist es becoming big. Artist e goes out there, starts singing in corporate
functions and weddings and ends up making a large amount of revenue.
Hence, we relooked at this model, saw what some of the global peers of ours were doing. All of them had a very strong talent
management arm, and they were making money from the talent also.
Hence, we just followed what Universal, Sony, Warner do globally, is that also invest in the artist so that if the songs on a
repeated basis keep on becoming bigger, then we have also an upside on the revenues that the artists may be making from
non-Saregama sources. That was the
thought process behind artist e management.
Seems to be going steady at this moment. We believe there's a large potential for this to go up.
The potential for this to go up right now comes only from 2 sides primarily; booking for live
events, that live events can be ticketed shows, corporate functio ns or weddings, weddings being
the biggest one.
And then brands . we are realizing , brands are moving out of these Bollywood and cricket only
and also want to go out there and talk to the next level of stars, which is primarily the kind of

talent we people are representing, and because this talent is more relatable to their fan base. Every time any of these artist es does a brand endorsement, we get a share of that, too. That's the thought process. So, when you're looking at the margins, please see both these things together.
Swapnil Potdukhe: Okay. But from an opportunity perspective, how big do you see this business becoming, let's say...?

Vikram Mehra: Some colour in the presentation that we people have won out and floated. Our guidance to this is we will grow on a mid to long -term basis at a 23% CAGR. Does it have the potential to become far bigger than that?
Yes. But at this moment, as I talk to you, I maintain my 23% number only and not going more bullish than that. But if you see any of the independent reports that will tell you that talent management part is growing very, very steeply, not just in India, gl obally, too.
Swapnil Potdukhe: Okay. Got it. And just a related question to that. Can you suggest who would be the peers in this talent management space who would be big enough to talk about, or for us to understand this space some better?
Vikram Mehra: All of the unlisted companies, there is no listed company there.
Swapnil Potdukhe: But any names you can call out?
Vikram Mehra: This is Saregama part right now. I don't want to go there, but I'll be happy to hare that information separately with you. But we have clear benchmarks right now which we are working. These are all unlisted entities. The very good part is all of those guys are just plain talent management companies.
They don't have an opportunity to go back and create their own content and give their own talent a chance to become bigger. What places Saregama unique and literally in that sense, there is no competition we have. We are unique because not only we are representing talent, but we are also very big on the music and the video side, so that talent can get plugged in, in each of the se places.
Talent likes it because talent says, you are genuinely helping me become bigger. Rest of the people are just managing their talent and going to third- party companies and saying, can you please plug in my talent in your content? We have our own content piece going on. So, every time a music video is getting generated here is, you will 9 out of 10 times see our own talent working in it.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.
Ravi Naredi: It is not so energetic result, b

ut the segment revenue Video shown major downfall. So, what are the reasons?
Vikram Mehra: Sir, I told before also. Video revenues are always lumpy in nature. It depends on which quarter a series has been released or a film has been released. So last year Q2, there were 2 very big releases. The biggest series we've ever done got released in Q2 last year. But if you start seeing the numbers right now on a steady gross basis, then you are not going to be seeing this kind of an impact coming in.
Video segment always sees this kind of a lumpy nature. I believe right now, by the time we'll end the year, we will again be on a stable basis. Unlike the music business, which keeps on growing on a steady basis because songs are being listen on Spotify and YouTube on daily basis .

Movies and series you prepare for a period of a few quarters and then you release it in the quarter that it gets released, is where the revenue gets booked.
Ravi Naredi: Right. Sir, this video we are doing since last 7 years, I think. So ultimately, can you tell what is our gain or profit or loss in 7 years?
Vikram Mehra: Sir, I have been doing this for 7 years but I am Literally close to sitting on break -even in video business. We have not made the losses and video business ends up ensuring to me that I have a very decent grip on my music side because all the movies that we are producing, we end up getting the music at a much lower price because it our own movie . That's what my competitors also do. And on the short format side, which is the work we work with Pocket Ac cess, the fact we're in video business keep s the marketing of music at a lower cost.
Also, all the talent management part that I'm doing, talent comes to us because they have a chance to get plugged into our videos. So, what I assure you that the total amount of capital that will ever go on the video side is not going to be big. we have given the guidance that at any particular time, total capital invested in video and live will not exceed more than 18% of the capital em ployed. We are far lower than that. Also, I'm assuring you that we will never get into the large budget movie, its beyond our capacity. We don't have it in our DNA. If we have to do it, we might as well partner with somebody else.

Within Saregama, we are comfortable if we have to do something right now, working on the smaller budget stuff where the highs and lows are very, very little and very little capital gets employed.
Ravi Naredi: And sir, second question, I want to know, in these days, acquisition cost of music rights is as usual or it is a very higher side?

Vikram Mehra: Sir, we are maintaining a 5 -year payback period. Let me put it this way. In some languages its increases. One south Indian language where it was low, suddenly went up very high, and now fallen down once again. So, if there a lot of hits and our recovery is good. Then producer increases the cost.
Where our numbers are started coming less, ROA is not coming, we all start coming down. But if those 5 years above , Saregama won't do payback, all of ours bonus won't come. All of us are completely particular about 5 years and above there is no payback period.
Ravi Naredi: How is going this music industry on paid basis? According to you, in how many years it will be 100% paid basis?
Vikram Mehra: Just now given this answer to someone else. Good part is there are only two guys who are left on the free side. And they are also making all the right noises, Spotify and JioSaavn. JioSaavn has, in fact, made a lot of positive moves in this space. Spotify, I'm very encouraged with what they have done in the Latin American market.

They just declared the results. They went and started pushing for paid in Latin America, as you know Latin American mar

ket is very similar to our market. It's not that the disposable incomes are that much higher there. And Spotify is seeing a massive growth in the revenue from those markets. China has already gone through the same cycle.
It's a matter of the timing. It's going to happen, now this going to happen in 2 quarters, 1 quarter, 4 quarter ? Wish I had the answer for you, but we believe in it strongly. We are continuing to invest in newer content, especially in languages where we believe that the markets from which the paid subscribers enter first, will be given more focus on acquisitions. So, I continue to be bullish on this space.
Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Vikram Mehra: No, no, I have nothing else to add, except the fact that there are quarters where some segment goes up and other segment goes down. But I think overall, we people are on very, very firm ground. We have a good feeling that in next 2 to 3 quarters, almost al l the decisions that we people are taking will start bearing fruit. We continue with the guidance that we people have given that the music will be growing on a mid to long-term basis on a 23% and the adjusted EBITDA guidance of our remains at 32% to 33%. We should be able to grow consolidated revenue of the company, excluding Carvaan, between FY '24 to '27 at 30%. So, keep supporting us. Look forward to your blessings. Thank you.
Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Dec 2025

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Date: 22nd December , 2025

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Subject : Conference Call held on 16th December , 2025- Transcript s

Dear Sir/ Madam,

With reference to our intimation filed on 16th December , 2025 and p ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI Listing Regulations’) as amended, please find enclosed the transcript of Conference Call held on Tuesday , 16th December , 2025 at 05.3 0 P.M . (IST) .

This information is available on the website of the Company www.saregama.com
You are requested to kindly take the abovementioned on record.

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Nayam Kumar Misra
Company Secretary and Compliance Officer
Encl : As above

“Saregama India Limited Investor Conference Call ”

December 16 , 2025

M
ANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL
OFFICER
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR -
INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to Saregama India Limited Investor Call. As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pankaj Kedia – Executive Director, Investor Relations, RPSG Group. Thank you and over to you, sir.

Pankaj Kedia: Thank you. Good evening , everyone . And thank you for joining us at short notice. The purpose of today's call is to provide you with an update on the recently announced strategic partnership between Saregama and Sanjay Leela Bhansali Promoted Bhansali Productions Private Limited , one of India's most reputed film production house, details of which were disclosed to the stock exchanges earlier today.

Today, we have with us Vikram Mehra – Managing Director ; Pankaj Chaturvedi – CFO, to elaborate on the announcement. Our Management will begin with the opening remarks followed by a Q&A session where the participants will have the opportunity to ask questions.

With that, I would now like to hand over the call to Mr. Vikram Mehra.

Vikram Mehra: Good evening, guys . And once again , big thanks for coming at such short notice. I am very happy to share with you the much talked about , for last few quarters, our restructuring of looking at our video business. Today, we people did a strategic equity deal with India's most respected and more importantly the most financially robust film production house, Bhansali Productions Private Limited . The studio has delivered some of India n cinema's most iconic and culturally relevant films in the past including H um Dil De Chuke Sanam, Devdas, Ram Leela, Bajirao Mastani, Padmaavat , Gangubai Kathiawadi and the recently super hit Netflix series that did wonders at the global scale, H eeramandi .

This investment is structured through primary issue of CCPS which will convert into equity in October '28, basis pre -agreed financial performance parameters of Bhansali Productions over the next 3 years. These CCPS converting into equity will result in anything between 28 % to 49.9% stake for Saregama in Bhansali Productions. For this, Saregama will be making an initial payment of Rs. 325 crore s and potentially an additional payment in September 2028. Saregama also retains the right to increase the stake to 51% after March 2030. This investment is going to be funded entirely through our internal funds.

What I am very happy about is the way this deal has been structured . Yes, we really respect the equity of Bhansali Productions and the absolutely terrific work these guys have done in the past.

We have also shared the financials of this company for FY25 which are one of the strongest financials of any film production company in India. But the way this deal is structured, we are not giving the value for the past. The entire value is predicted by how this company is going to be performing over the next 3 years. If the company does as we anticipate the company to go out there and do, yes, this value that we are giving may result in a lower stake, but I think that will leave us even happier as strategic investors.

The other very important part of this deal is that now Bhansali Productions will exclusively sell all its future film music to Saregama only, basis a pre-agreed formula. That means we are guaranteed a steady pipeline of premium m arquee film music, eliminating any competitive bidding. Lot of you people , when I met in the past , have raised this question that with time will the cost of content go up substant

ially as Saregama starts becoming bigger and bigger player in this market . This is a move which is going to ensure right now that a large part of our content is now going to be coming without getting into bidding , so our music acquisition costs are going to be under control.

Because it’s Bhansali Music, our market share should start going up. Saregama anticipates that around 30% of all its Hindi film music content is now going to be coming from this deal. The number can even go up to 40%. So, we have secured to that extent our pipeline. The money that we are putting into Bhansali Productions is going to ensure that the company moves from a production house to an IP studio which will now create content which is not just directed by Mr. Bhansali but also directed by other directors but creatively looked at by Mr. Bhansali.

With this fund infusion, the most important part is that Bhansali Productions will not have to go back and pre -sell their digital rights or their theatrical rights when they start the film. Currently , because of the financial pressures they end up doing that . They pre-sell all those rights to raise funds. Now with this fund infusion, which is all primary capital going inside the company, they should be in a good position to fund these films themselves , thus ensuring that they sell these rights at a later point. Hence their ability to drive their margins is going to go up substantially.

Along with this move of ours of taking a significant minority stake in Bhansali Productions, the other part of our strategy is going to get rolled out which is a gradual exit of Saregama from own produced films. We have a few projects in the pipeline. Our endeavor now is that over the next three to five quarters we will completely get out of our own produced films which are going to release anything between Rs. 150-175 crores working capital . We get out of our low yield business and put those funds into one of the most financially strong and creatively I think one of the best production houses in the country.

So, it becomes a win -win overall for us. We were in video business to secure a music pipeline. So, rather than doing it ourselves, we are saying , take those funds and put them out there in the most important production house of the country which also has the best track record in terms of financial performance. This investment is expected to be EPS accretive for Saregama by FY27

because it will help us improve margins not just in the video segment but also in the music segment.

Bhansali Productions ’ immediate slate over the next few months includes one of the most anticipated movies called Love & War, which is directed by Sanjay Leela Bhansali, and it stars Ranbir Kapoor, Alia Bhatt and Vicky Kaushal and a studio model movie called Do D eewane Sheher Mein, a romantic drama which is directed by Ravi Udyawar.

In FY25, Bhansali Productions reported revenue of Rs. 304 crores , EBITDA of Rs. 60 crores , and PAT of Rs. 45 crores , which reflects very strong profitability, disciplined execution and balance sheet strength. Under this partnership framework, Bhansali Productions will retain complete creative control while Saregama will have complete financial control over that company. So, from the governance perspective , the business plans perspective , and deployment of funds perspective, the control will be sitting out there with Saregama.

We believe this combination of Bhansali Productions and the financial discipline that we bring to the table , and the fact that Bhansali Productions is known for some great music which will automatically start coming to Saregama without bidding, is going to get into a great win-win situation for both the companies.

I missed two points which I want to also add. Sanjay Leela Bhansali , the individual , is no w creatively locked with Bhansali Pro

ductions. He will work only and only for Bhansali Productions as part of the deal. Secondly, the entire funding of this will be done through our internal funds and we won't take any debt for this deal.

That, ladies and gentlemen, was the reason and my rationale for we people going out there and doing this deal. We will be happy to take questions from you now.

Moderator: Thank you very much. We will now begin the question-and -answer session. We will take our first question from the line of Pallavi from Sam eeksha Capital. Please go ahead.

Pallavi Deshpande: Yes, sir. Thank you for asking my question. I just wanted to understand in terms of the pipeline, I guess, for Bhansali , I guess, it is 10 movies or so. Over what period do we see those release?

Vikram Mehra: These 10 movies are expected to be released over next 3-4 years. One or two of these movies may also take the form of a series.

Pallavi Deshpande: Right. In terms of, would we have done the same analysis when we do for other movies, when we acquire movie songwriters for these 10 in the pipeline? Because we have seen some big names like, I will just take one name here, Rajinikanth in the South, I have seen a series of flops from that end. I just wanted to understand the thought process a bit better.

Vikram Mehra: So, I have to acknowledge that this is a world of creativity where there's always going to be ups and downs. All I can share with you, and it's there in public domain right now, all the films that have been done by Bhansali Productions, I may just repeat it for everyone , movies like H um Dil De Chuke Sanam , Devdas, Ram Leela, Bajirao Mastani, Padm aavat , Gangubai Kat hiyawadi, even if I include films like Black to this entire list, all these films that he has done, even the studio model of films like Rowdy Rathore or Mary Kom, all of them are profit -making films.

What really attracted us towards this studio is the financial discipline with which these guys go back and attack their films. From outside, it looks like these films are very grand, they are very grand, but there is a serious amount of financial discipline that's going in . And which resonates with the philosophy that we people have within Saregama as far IP creation is concerned. That's what is exciting to us.

Second part, the nature of the deal structure is that the value of this company is going to be finally agreed at the end of the 3 years, because these are CCPS . The actual value of the company will be decided after three years, depending on the actual operating margin performance. So, in the worst -case scenario, if everything fails, we may end up getting this company at a very low price. We do not want that. We much rather prefer the company does very, very well, and we end up getting at the lower part of this stake, between 28 % to 49.9%. I hope I have answered your question, ma'am.

Pallavi Deshpande: Yes, sir. Thank you so much, sir.

Moderator: Thank you. Next question is from the line of Shlok Mehta from Nu vama. Please go ahead.

Shlok Mehta: Hi, thanks for the opportunity. I have two questions. First, why particularly have we chosen Bhansali Productions , as I believe there are many production houses out there ? And my second question is, we talk about EPS accretion by FY ’27, so what kind of EPS accretion are we looking at?

Vikram Mehra: So, let me just answer t he first part here. We have done our homework on all the production houses of the country. We always maintained the stand that we wanted to take a position on the video side to secure our music pipeline. We have been looking at trying to do it ourselves for the last four to five years and not in a very successful fashion, which prompted us to start looking out and see who the people are, we can go back and work with. I do not know any other production house which meets both

the criteria. Creatively i t’s known for some of the best films and music coming out , and this kind of financial discipline is there.

I have given you the numbers right now. At a revenue of Rs. 304 crores , a PAT of Rs. 45 crores for a film production house are really, really good. It's far better than what we people were faring at, which got us really attracted towards these people. Creatively, they fulfil what we are looking for. Financially, they are completely wired the way Saregama is.

Shlok Mehta: Okay . The second question on EPS accretion?

Vikram Mehra: At this juncture, this is all I can go back and share. With time, I will share more information. W e have seen the numbers. Obviously, my valuations depend right now on how they perform. But the way the numbers are falling at this moment, remember because there is a large amount of my money which is stuck in the video business at this juncture, not giving me returns. I am just moving that, winding down my own video investments completely to the tune of Rs. 150-175 crores and moving that money f rom our own film production businesses, making it zero, on to Bhansali Productions.

Shlok Mehta: Okay . Just two follow -up questions on that. One, do we see any regional music content acquisition going down because we won't be doing any regional movies now ?

Vikram Mehra: So, let me answer the first question. Our normal music acquisition will continue. We are looking at a scenario where some of our competitor’s music labels over time have taken a position in the film business . And whichever films they were producing or financing, music of those films were not coming out in the open market for bidding, which was bothering us a bit. Hence, we got into our own video production business, not been very successful at that. Hence, we have got out and said, let's tie o urselves with somebody who is very, very successful and works with them. But we will continue acquiring. Bhansali Productions is going to give me only 30% of my Hindi film music. The regional market is still very much open. Even in Hindi film music right now we will go and acquire other movies' music also.

Shlok Mehta: Understood. And second question was on Bhansali Productions' revenue. So, I see FY ‘23 and ‘24 numbers just around Rs. 10 crores. And then FY ‘25 figures suddenly going up to Rs. 304 crores. Any particular reason why we see such a huge variation in revenues?
Vikram Mehra: See, the way these guys function is, they do not make movies for the heck of making movies. They come out with movies only if they believe right now , they will be able to go out there and have a healthy enough operating margin coming out of it. So, they had gone slow during the COVID time. These kinds of movies Bhansali Productions make these are all 18 to 24 months projects that are going on. So, they had gone slow. But with this kind of money infusion coming in, and we have seen the pipeline that's working on, we believe that the numbers are going to be reasonably big as we go forward.
Also remember, Love & War was a movie that was supposed to come much earlier which has got delayed for various reasons. Hence, those numbers have gone out there and shifted. But again, I will repeat what we enjoy right now is the structure of the deal. If for whatever reason they are not able to go back and do enough work here, the valuation of the company will go down dramatically. And we will end up owning a large chunk of the company at a lower price. We do not want it that way.

Shlok Mehta: And just lastly on this 18%, you had earlier guided that 18% of the capital deployed will be towards non-music businesses, if I am not wrong. So, do we revise that or that still remains?
Pankaj Chaturvedi: That guidance remains. Just like Vikram mention

ed that over the next 3-4 quarters, our existing monies in the video vertical will start winding down. So, once that amount is w ound down and you include the amount that we have invested, we will come back to our original threshold. It may be a temporary blip that you will see in a particular reporting period because we have invested this money and it will show in our balance sheet. Otherwise, our long-term guidance remains the same.
Shlok Mehta: Thank you so much. These answers all my questions. This was very helpful. Thank you, Vikram.
Vikram Mehra: Thank you.
Moderator: Thank you. Next question is from the line of Kunal Bhatia from Dalal & Broacha Stock Broking. Please go ahead.
Kunal Bhatia: Yes, sir. Thanks for the opportunity. S ir, just one clarification in terms of the valuation you have given. So, like you said, if everything goes as per your expectation, the amount currently paid of about Rs. 300 odd crores would be for a bare minimum of 28% stake. Am I right on that?
Vikram Mehra: No, sir. You are not. The amount paid is Rs. 325 crores . And if everything goes at the topmost level, then there may be an additional amount of money that we may have to pay in September ‘28.
Kunal Bhatia: Okay. So, the Rs. 325 crores is not even for the 28% if everything goes well. So, we will have to pay an additional amount to get that ?
Vikram Mehra: Yes, I have shared with you the financial year 2025 performance. The parameters we have put on them in the operating margin numbers are far higher than that. If they achieve those kind s of numbers, then yes, maybe that number that we have to pay more is a smaller percentage of this Rs. 325 crores. But yes, we may have to pay some more amount of money.
Kunal Bhatia: Okay. So, for clarity purpose, if you could give us some sense on, say, for that bare minimum 28% stake, what is the number which you have in mind? And secondly, also wanted to know that, yes, I agree that the last two years ’ numbers were on a lower side. In the last, since you would have analyzed the numbers, in the last 10 years, what is the kind of peak revenues has Bhanasali Production achieved?
Vikram Mehra: At this moment right now, I can go movie by movie and almost every major movie of his is a Rs. 100 crores plus. And you are talking about 2015, 2016, 2017, 2018. But let me answer your first question, give you a little more color there so that you get comfort. We are talking on the

total range of the valuation of the company will be anywhere on the lower end at Rs. 650 crores and on the higher end at Rs. 1,590 crores. Does that give you answer to your question? Okay.
Kunal Bhatia: Okay. Yes.
Vikram Mehra: Right. you were talking about some of the movies. When Padmaavat came out, the box office number of Padmaavat was Rs. 585 crores, this is 2018, s o keep that in mind . When Bajirao Mastani came in, its box office number, which was 2015, was Rs. 335 crores. Even Gangubai , which was a relatively smaller film by Bhansali Productions standard, which was from 2022, did Rs. 217 crores. So, they have a track record. What is going to happen is that now we will not only be making films which are directed by Sanjay Leela Bhansali , but also films where he's going to creatively oversee it but directed by other people too.
Kunal Bhatia: Okay. And sir my another question is on, now whenever you or say Bhansali Productions is

coming out with the music content , so how does the deal work in that place? Does Saregama, I understand that there would be no bidding, but does Saregama pay sort of a fixed cost for that content ? Or we get a share only to the percentage we hold?
Vikram Mehra: No, nothing to do with the percentage we hold here. I think that's a separate issue. My equity participation will be different from the rate at which Saregama is going to be buying the music.

The music now will be a percentage of the cost of the film. And we have negotiated a deal which we believe right now is great value for us.
Kunal Bhatia: Okay . So, the content cost still will be decided at the time when it is available, if I am not wrong.
Vikram Mehra: Yes. So, since we have been there in this particular market for a reasonably long time, we have a very decent sense that typically what should be a music cost a s a percentage of the cost of a film production. Based on that, we have come out with a formula. A nd the good part is , since we will be having a complete oversight into the financial part of Bhansali Productions, we know all the data is proper, and the music will get transferred across to us on a percentage of that. So, it's a very clean, transparent deal that's happening in a fashion where we believe in the long run, we will be able to reduce our cost of content.
Kunal Bhatia: Okay . And sir, what you will be paying would be the cost of the content or it will be a relative market price?
Vikram Mehra: We will be paying . So, the cost of content, typically when we go and buy a movie from any producer, we bid, so we also put a value, we understand the cost of production of every film . Every film we are going and bidding for, we have an idea how much did that film cost. So, we go back and say, to buy the music for that film, we will pay you X. The other party says I will pay you X plus 5%. We may have to say X plus 7%. All that goes away, because now there is a formula on which in a guaranteed fashion, every film music album that's going to come out from

Bhansali Productions, the music will automatically get transferred across to us . And the value at which it will be transferred right now has been pre -agreed.
Kunal Bhatia: Okay, got it, sir. Thank you.
Vikram Mehra: Thank you.
Moderator: Thank you. We will take our next question from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.
Jyoti Singh: Thank you for the opportunity. I just wanted to understand two, three things. Like you mentioned on the music side, so under the pre -agreed music right formula, how does the effective cost per song compare with the recent marquee acquisition in the industry? And second, I wanted to understand, should investors expect any near -term P&L volatility from content amortization, or will this remain largely balance sheet led until monetization kicks in? And third, I wanted to understand about the Rs. 1 ,000 crores investment that we are doing for the content, when it is going to get over?
Vikram Mehra: So, the three very different questions you have asked for. On the amortization, the policy that we follow in our existing video business also where we have close to Rs. 200 crores that is locked at this juncture as part of working capital sitting on my balance sheet, we people charge off the entire cost of the film or any other video content in the year it is released. Same thing is going to continue right now with Bhansali Productions too. Can there be a lumpy nature? We have that lumpy nature problem currentl y also with the Rs. 200 crores investment. The value of the investment has gone from Rs. 200 crores to Rs. 325 crores, t hat's the only difference that is there. But we will continue with the policy of charging it off in the same year. That was part one.
You asked how will the cost of the music be out here? We believe , in a short to medium run basis, this will help us improve our music margins. Because we will be getting the music without getting into a bidding war by competitors.
You had a third question about Rs. 1,000 crores investment. All our music that we people buy , we have an internal benchmark that the guidance I have given to all of you also, that a block of content which is bought during a financial year , that means all the mu

sic that we buy in FY 26
will have a payback period of 5 years. So, if we are spending Rs. 100 in FY 26 , by FY31 we should be able to get that Rs. 100 back. And we are tracking on that positively.
Jyoti Singh: Thank you, sir. And one last question on this side , like you mentioned we will be cutting down on the video side and putting the money toward this acquisition. So, initially also we cut down on the retail side, now we are cutting on the video side. So, how we are taking our strategic decision then every time we have to enter into the newer segment and then we have to cut down our existing business.

Vikram Mehra: I am not cutting down on the video. We are just making a strategic call that instead of making all this content ourselves and we have tried for the last four, five years, our numbers on film production are not that great. We much rather go back and partner with a company which has got a stellar track record of making great films and having a very strong financial performance. So, I thought you would be happy right now that instead of us people putting money on video in-house, where the margins are not that great, we will give you far better margins.
Jyoti Singh: Yes, obviously, that is the good thing. Just whatever investor concern, I just put it in a word.
Vikram Mehra: I thought the investor concern from your side was that our video business is not making money. Now we are cutting down our exposure in the part of the business which was not making money. Continuing with the video part, we are working with a partner who hopefully will give more margins to us so that both you and us can be happier.
Jyoti Singh: So, what kind of margin we can expect further sir, if you can guide us?
Vikram Mehra: I think it is a good indicator of what FY 25 numbers that I have shared with you of Bhansali' s. They had revenue of Rs. 304 crores and a PAT of Rs. 45 crores . That will give you a decent idea right now , how well run Bhansali P roduction house is. On a video IP business, it is a very good number.
Jyoti Singh: Great sir. Thank you so much.
Vikram Mehra: Thank you, ma'am.
Moderator: Thank you. Next question is from the line of Harshit from Premji Invest. Please go ahead.
Harshit Toshniwal : Yes. Hi. Congratulations on the deal , sir. I think the question was more so for example , after this transaction, Bhansali Films, if I am assuming Rs. 320 crores being the primary capital, their balance sheet would have Rs. 300-350 crores of capital. If I just do some maths around say for example Rs. 100 crores is the cost of the film, Rs. 150 crores under 12 months ' timeline, would it imply around two films per year is the kind of budget which we have in mind? So, one probably can be SLB himself and the other one can be co -partnerships , but do you as an investor look at it in that format that how much working capital they have and then how much films and songs we can get a year, around 10 -15 songs a year ?
Vikram Mehra: A very valid and very fair question. I think the right way for you to look at should be two to three non-Bhansali films and one Bhansali directed film coming every 18 -24 months.
Harshit Toshniwal: Right. Exactly. So, around three to four for two years, basically two to three films per year.
Vikram Mehra: We are looking at minimum five films in two years.

Harshit Toshniwal: Understood sir. Got it. And sir then would it be right to assume that we will be having the IP for all the five films , not just SLB sir's films ? So, our deal on the songs will be applicable to all the films, all the five films ?
Vikram Mehra: Yes sir, absolutely. So, the deal is that any film which is produced , not directed by SLB sir , any film which is produced by Bhansali Productions , which may be directed by Sa

njay Leela
Bhansali or may be directed by somebody else but creatively supervised by Sanjay Leela Bhansali , music of all those films will now automatically come to Saregama without bidding for it.
Harshit Toshniwal: Fair point. Right. No sir, I think then it makes a good sense because that means a pipeline of 10 - 15 songs.
Vikram Mehra: And you are talking of films, I am not able to guess your age with your voice , but H um Dil De Chuke Sanam and Devdas and Ram Leela and Bajirao Mastani, they are like iconic films from the music album's perspective. I wish all this music was sitting out there with us. I only have one album of his, Gangubai Kathiawadi and that also does very, very well for us. So, he has an amazing knack for giving music that does very well and has got a very long shelf life.
Harshit Toshniwal: Right. No sir, I completely take your point . I just want to understood that my numbers of say 10- 12 songs a year pipeline we are getting in a way through this deal , it matches with your assumption at this amount of time in terms of --
Vikram Mehra: That's 10 all are i n the pipeline , you are looking at two to three years for this, I will say three more years for these 10 films to come out.
Harshit Toshniwal: Yes. No, I was saying 10 songs per year, more like five songs into two films a year kind of a run rate.
Vikram Mehra: No, what happens is they are like, in any particular year say we talk about Hindi, there are only two or three marquee films that we end up picking. So, if I take the example of FY 26, the only marquee album s that we have picked up in Hindi this year , one is Dhurand har, whose performance I am sure you guys are tracking, and then there is a new movie coming up called Tu Meri Main Tera Main Tera Tu Meri. So, during the year in Hindi there are only two peak tent-pole properties that we have taken. Last year the properties were Str ee 2, Sky Force and we also had Bad News.

So, we do not go for more than two to three very big budget films. Rest of the ones right now are either taken smaller or we get into artist -driven music and not film -driven music. So, though I have said 30% of my film music is going to come from Bhansali , that's my commitment out here, but I think the number will be closer to 40 %, maybe 50%. Because all his films are marquee films.

You have given me a good excuse to talk about Dhurandhar here. Dhurandhar today, a single film, we have got 11 songs in the album that we have received from Dhurandhar . Each of those 11 songs today is sitting on Spotify charts. Never before in history has it ever happened. So, that's the power of a marquee album. It is generating between 60 -65 lakh streams on a daily basis on Spotify. We had a similar experience with Str ee 2 last year.

So, there are few albums that do very well during the year. The fight of all the music labels is to grab those albums. So, those albums only result in bidding war , rest of them do not have this kind of a bidding. Sanjay Leela Bhansali is one of the biggest names that everybody wants to go after because his music always does very , very well. We have secured that pipeline.

Harshit Toshniwal: Sure. If I have the liberty, if I can just have one more question. This is on the Rs. 140-150 crores of release of capital which you mentioned. Firstly, that number was actually a large one. I did not know that the video business is consuming that amount of working capital on our balance sheet. Can you help us that what could have been corresponding some kind of a revenue on to it? O r basically is this sitting entirely in the inventory right now?

Vikram Mehra: Right now, in Q2, we had Rs. 200 crores plus number sitting out there on a balance sheet against the video segment which is over 90% of that is only films. As stated, we are going to wind that down as films keep on gett

ing released. There is enough in the pipeline at this moment , so we cannot shut down this part. A s the movies keep on getting released, all those funds are going to get released right now and will become part of the equity infusion for Bhansali Production House.

Harshit Toshniwal: Will this also help in reducing our OPEX? If I look at my overall OPEX, roughly around Rs. 200 crores odd per year. Will a large part of the OPEX, obviously, that includes everything from songs to IP, everything. Will this also reduce?

Vikram Mehra: In OPEX's real stuff is music.

Harshit Toshniwal: So, video is not a large contribution.

Vikram Mehra: Video segment is a very small team . But I am acknowledging that on the video our margins have been very checked . So, r ather than invest ing that kind of money in margins which are not so great, much rather go out there and take the same money, put it in a production house that does very, very well, creatively is great, financially great performance has been there in the past. So, that we get our end objective that we want to secure the music through video. That has always been the objective of getting into the space of films. We secure that, then there's no need for us to stay in producing our own films.

Harshit Toshniwal: Fair point. And sir, o ne last thing, beyond F Y ‘30, the clause that we can have a higher stake, it's too far away, but the probability, the pricing, etc . will be a later fact itself. But do you think that we will do it only in case if this does well? Or we plan to do it respectively ?

Vikram Mehra: No, no, a bsolutely. I know I am repeating I think the third or the fourth time , the beauty of this deal, we are not paying for past glory, w e are respecting the past glory. We are paying for future performance. The better those guys do out there and do the performance, better their valuation can be and happier it will make us.

Harshit Toshniwal: Got it. Congratulations and all the best.

Vikram Mehra: Thank you. Thanks a lot.

Moderator: Thank you. Next question is from the line of Govindarajan Chellappa from CNS Investment Managers. Please go ahead.

Govindarajan Chellappa: Yes, hi Vikram . A couple of questions. First, has the board decided any maximum cash outflow that you are willing to employ in this deal? Because the stake is unknown depending on performance, etc. Have you fixed a ceiling on how much cash you are willing to put behind this?

Vikram Mehra: Let me answer the question the other way. The valuation of the company after the end of three years can be anything between Rs. 650 crores to Rs. 1,590 crores. And at this stage, we will be happy if they do extremely well. And they go to this Rs. 1,590 crores kind of a number , we will be happy sitting right now at whatever stake that result s into which will be close to 28% stake. We will be happy doing that.

Govindarajan Chellappa: Yes. So, based on this, if you pay Rs. 325 crores and the valuation turns out to be Rs. 1,590

crores, and you decide to exercise the option to increase the 28%, you will have to put in an additional Rs. 120 crores in 2028. That's correct?
Vikram Mehra: Yes, somewhere there. Yes .
Govindarajan Chellappa: And we are done after that?
Vikram Mehra: At this juncture, yes, we are done. We are very happy. See, we have got what we people wanted. We have got a video business which is going to go back and give far better returns. We went out there and secured our own pipeline of music. We are very, very comforted that way.
Govindarajan Chellappa: My question is, we are done as in then that 51% doesn't arise ?
Vikram Mehra: At this moment, we do not see the need. Again, you are asking me a hypothetical question which we think we are going to go five years later. Right now , we are very, very comfortable. I am repeating the driving factors of our decision

-taking process is not to get majority of the film

production business. The driving factor is to secure the music pipeline. To do that, we had our own business in which we were not doing a great job. Instead of doing it ourselves, we have taken a position in the most reputed production house with a very strong financial history. What it is going out there and doing us , while it secures a music pipeline, it also improves the margin profile of video business. And that's all we want to do at this moment.
Govindarajan Chellappa: Just to summarize, the best case for you is you pay Rs. 445 crores for 28% stake at the best case valuation and nothing more than that ?
Vikram Mehra: Yes.
Govindarajan Chellappa: Okay. Secondly, all the music rights that you have secured, is the structure of rights similar to what you normally have in other commercial transactions
Vikram Mehra: Yes, structure is the same. T he value will be different, but structure is the same.
Govindarajan Chellappa: And the value you said is the percentage of the film's cost ?
Vikram Mehra: Yes.
Govindarajan Chellappa: Okay. What happens to the IP of the past library, not the music, I am talking about the video? The films that Mr. Bhansali has done, do they all reside in this?
Vikram Mehra: Yes. So, many of the films, he has got part ownership sitting there. Most of the films, he did not own 100%, but there is ownership of some of the bigger film shops, part ownership sitting out there in the same company.
Govindarajan Chellappa: Okay. Last question, I am taking this opportunity to ask you, there have been significant changes in pricing by some of the OTTs in the last one month. Any thoughts on that?
Vikram Mehra: Sir, good you raised this question. Yes, there is a pricing. You are talking about video OTT, right? The acquisition prices by video OTT.
Govindarajan Chellappa: No, no, no. I am talking about audio OTTs.
Vikram Mehra: No, no. So, audio OTT, the subscription part, we have been seeing all throughout. The subscription story is building bigger and bigger. And we have seen the impact of the subscription story going back and helping us. And the beauty is, when you go out there and get films like Dhurandhar , even India's story is great, which is building up. Still a small base, but the story is building up. The international parts, the numbers are coming out very, very decent for us. So, overall, the play and the belief that we people have that music will eventually end up having per stream, yield is going to be improving, subscription is playing out. It's playing out at a slightly slower speed than what we would have wished, but it is playing out.

Govindarajan Chellappa: Actually, my question was specific to a particular OTT making major changes to prices. I am not taking names. I am asking, what does it do to the industry?
Vikram Mehra: No, no. So, the subscription revenue is going up for all of us.
Govindarajan Chellappa: As a result of that price change ? Sorry, I was asking, as a result of that price change your subscription revenue is going up, is what you are saying?
Vikram Mehra: All our subscription revenue for us is going up. You are getting into very specific. I cannot . They are my partners. I cannot comment on their strategy . But subscription revenue is going up for the entire industry, including Saregama. Since we are acquiring a larger market share compared to other people, we are the biggest beneficiary of this.
Govindarajan Chellappa: Okay. Thank you.
Moderator: Thank you. Next question is from the line of Pallavi from Sam eeksha Capital. Please go ahead.
Pallavi Deshpande: Yes, thank you for taking my question again. I wanted to understand in terms of Mr. Sanjay Leela's age is 62 years. So, if something were to happen, God forbid,

to him tomorrow, is there
any insurance, how does it work?
Vikram Mehra: I cannot get into these specific deal details. But all I can go back and say that there are enough checks and balances also to the deal structure. Beyond that, I cannot comment on this.
Pallavi Deshpande: Okay. Thank you.
Moderator: We will take our next question from the line of Jaideep Merchant from Janak Merchant Securities. Please go ahead.
Jaideep Merchant : Vikram, just wanted to understand if the video rights of these songs which will be released, will they also be part of this deal?
Vikram Mehra: Yes, absolutely. See, it is like any music that we are acquiring today. Like Gangubai Kathiawadi has been acquired by us. We had already acquired the music of Love & War a year back. So, that deal is already in place with Bhansali . The money that I am paying them ; I will end up getting a share of that back into my own system because of the equity ownership. But the structure of the deals do not change. When we pay, we end up getting audio rights and the music video rights in perpetuity, global territory. Nothing changes.
Jaideep Merchant: Alright. Second question, we attempted one more deal earlier in the year as per the Dharma and that did not happen. Was there a pressure to do a transaction with the next largest or the third largest to put capital on the table, to secure the pipeline?

Vikram Mehra: Where is the question of pressure coming in? We will do what is in the best interest of the company. You are forcing me to repeat myself . Other people are going to get bugged out by me , but we were very , very clear. We got into the films business because we want to secure our music pipeline. All our big competitors now also have a film production business going on. And we are a little scared of the fact that it shouldn't happen that we are not able to get enough marquee film music albums. Because if my competitors produc e the film, they do not release that album on the market. That's the reason we got into films.
When we got into the films, we also took a call , we will not take big budget bets out there in this entire film business. We were going with the smaller films. We have not done a great job right now of that entire process. But the need to secure music pipeline is very much out there. We were talking to one production house ; the things were not working out the way we wanted those to go back and work. With this production house what we love is the nature of the deal. It's nothing dependent on the past. It's completely dependent on future performance.
So, that's the reason we ha d gone out there and done that deal. If there was any pressure, we would've had done deals earlier with other production houses also. The question of pressure doesn't come up. It is part of a strategic play for us to secure our future.
Jaideep Merchant: Alright. And lastly related to this question , does this have an exclusivity from our side also? Because since Mr. Bhansali cannot do anything, does this restrict us from doing another transaction with another production house? If something comes along say after one year.
Vikram Mehra: We have enough leeway right now to do whatever we want to do. That's all I can say.
Jaideep Merchant: Thank you. All the best.
Vikram Mehra: Thank you.
Moderator: Thank you. Next question is from the line of Raghav from Dhamma Capital. Please go ahead.
Raghav Mittal: Hi Vikram. Good evening. Congratulations. Just a couple of questions from my side. So, how do we think about Bhansali Productions Private Limited's sustainable revenue and margin trajectory? Like F Y25 was Rs. 300 odd crores with say Rs. 60 odd crores PAT . But when I just look at '23, '24 or '22, the numbers are quite different. So, maybe if you are missing something, what is the profitability of the business on a su

stainable basis?
Vikram Mehra: So, again, the question always comes right now. W here the question is coming from is that if they end up doing performance like ' 23 or ' 24, are we overpaid? I am assuming that's the underlying thought. So, the beauty is, first , it will not happen . But even if it happens, that means we will end up getting the company right now at the lower end of the spectrum, which is Rs. 650

crores. So , it's in their interest to go back and drive the top line and in a fashion because the multiples are on operating margins and not just on the revenue side.
It's in their interest. We have gone back and seen their pipelines about how many stories, what level are the stories. Many of them have reached the screenplay level and also have cards attached to it. We know how things are going to roll out. They had this issue that every time they had to do a film they needed to raise capital for which they needed to pre-sell the rights either to digital and/or theatrical also, which they were very uncomfortable with. All that is going to be history with this primary c apital infusion which is happening in that company. So, they will be

in a much stronger position to go out there and play it on the front foot.
Raghav Mittal: Makes sense. So, to clarify, the net revenue numbers of the entity which is Rs. 5-10 crores over the last three years each , and then Rs. 20 odd crores in ' 19, '20 and '21, y ou think that captures the full essence of the business ? There's nothing being done outside the entity's financials , so w e are not missing something?
Vikram Mehra: So, now the way we people are going to go ahead …. Just give me a sec, l et my CFO answer this.
Pankaj Chaturvedi: See, Bhansali Production s Private Limited and affiliates , if any , are all under the control and supervision of Mr. Bhansali . There might be different structures for doing business. If I can just simplify, their entire business consolidated into one entity is what we are going to enter into. If you have any more questions around it , you can ask me because there will be structuring of deals. Cannot reveal each and every aspect in a smaller detail. But if that is your question, we are enteri ng into Bhansali Productions Private Limited. That's the legal entity.
Raghav Mittal: Got it. Makes sense. And the second question, it's amazing that we will get exclusive sort of rights to all the music that Bhansali Production s produces. I was just curious to understand, how do you value , say, if you were going to pay Rs. 100 and then the bidding war happens, it goes to Rs. 105-107 as you said earlier in the call, so how do you value this money that we save from any absence of bidding? And, to your mind, how do you value this strategic and have you sort of included that value in the deal that we have done with Bhansali ji?
Vikram Mehra: So, let me answer the second part of your question first. For every movie that we people have purchased over the last five years, this is a new Saregama which buys movies very aggressively. We have a clear -cut linkage back which is going in, that which kind of movie s, and we typically define movies right now depending on their star -cast and the kind of directors that are attached to it, that the marquee films typically go at what percentage of the cost of production. Those things, benchmarks , are all sitting th ere with us.
So, when we are going out there and bidding, we are in the industry, we have a very decent idea when a film is being made that what is the rough cost of production of that particular film .
Marquee properties typically go at the higher percentage cost , regular films go at a lower

percentage cost. So, even if the cost of production is the same, if it's a marquee property that means there are two,

three really big directors who are known for their music sensibility. There are a couple of stars that are known out there for creating great music videos. If those guys are present in a film, typically the music cost as a percentage of the cost of production will be on a higher side.
So, those benchmarks are all sitting there with us for category of film for each of the languages , which makes it easier for us to decide what should be paid. A nd obviously when we have negotiated a deal, we have kept in mind that what we are paying out here should be lower than what we would have paid typically had we gone for bidding. And this was one of our preconditions of doing that deal , because we are doing video s to secure a music pipeline. Without that, there is no deal.
Raghav Mittal: Right. Makes sense. And this X percentage of production cost, is it fair to say that this X percentage would have been going up over the years as everybody is more optimistic about subscription revenues picking up?
Vikram Mehra: No. So , typically it has not gone up over the few years. But what happens is the issue always are the marquee properties. I will again repeat myself. During the year, Saregama only had two . And that's a normal thing for us in any cycle that we take only two or three marquee properties in a year. There are typically in any year five, six, seven best in Hindi language. In Tamil Telugu, they typically have four or five marquee music albums that come out. The bidding becomes stronger for them.
Bhansali music albums are the ones where large fights end up happening. Because his track record is very good as far as music is concerned. He shoots it visually in the most amazing fashion and has got very strong sense of music. Y ou take any of their old movie s from the public domain and you will realize that the music has done extremely well. So, we knew that we need ed to take our marquee properties. We can lock majority of our marquee properties through Bhansali Productions itself at maybe a lower cost than what we would have had to pay had the bidding been there.
Raghav Mittal: But d oes the valuation multiple benchmark us against the present and the past ? Or is it subject to evolving if , again , the paying economy takes off and the cost of content goes up in the future , then is the valuation multiple that we are agreeing on today also subject to being upgraded?
Vikram Mehra: So, again , you are looking at this juncture a three -year structure. We do not think the cost of production is going to go up that dramatically in a three -year period. I can say the reverse part also. If subscription starts moving at a slightly faster pace, somebody may turn back and say that the deal at which it was done is not good enough right now. The music content should be at a

higher percentage of cost of production because the recoveries are becoming better.

So, it applies on both sides but anyway it's a relatively shorter arrangement for the first three years. Though our deal is in perpetuity , if needed we can always have a conversation but right now we are protected . Unless we have an issue, we are protected from our side in perpetuity that we can keep on securing all their music at that percentage. A nd that percentage is extremely attractive. Otherwise , I would not have said right now that in short to medium run this will help us improve the music margins.

Raghav Mittal: Makes sense, Vikram. Thank you so much and wish you all the very best.

Vikram Mehra: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to management for closing comments. Over to you sir.

Vikram Mehra: Thank you. Thanks once again for joining this call at such short notice. We are very excited about this deal. We have finally been a

ble to crack what we have been wanting to do for last five to six years to secure a film music pipeline so that we are not susceptible to these bidding wars which may at times end up increasing the cost of marquee properties.

We are very confident also of the financial discipline which is there in Bhansali Productions . And the fact that the finance department out there is going to be completely overseen and controlled by us also gives us comfort that we will be able to sustain the profitability at the Bhansali Production s House. Need all your blessings and may I again request all of you guys that if you have not seen Dhur andhar yet, please go and watch the movie. The music belongs to Saregama and the music is doing extremely well.

Thank you, ladies and gentlemen.

Moderator: Thank you, sir. On behalf of Saregama India Limited , that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Feb 2026

Date: 10th February, 2026
The Manager,
Listing Department, National Stock Exchange of India Limited Exchange Plaza, C-1, Block G, Bandra – Kurla Complex, Bandra (East), Mumbai – 400 051
Symbol: SAREGAMA The General Manager,
The Listing Department BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai – 400 001
Scrip Code: 532163
Subject: Q3FY26 Earning Conference Call-Transcript
Dear Sir/ Madam,
With reference to our intimation filed on 28th January, 2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disc losure Requirements) Regulations, 2015 ('SEBI Listing Regulations') as amended, please find enclosed the transcript of the Q3FY26 Earnings Conference Call held on Tuesday, 3rd February, 2026 at 05:00 P.M. (IST) for the quarter and nine months ended on 31st December, 2025.
This information is available on the website of the Company www.saregama.com
You are requested to kindly take the abovementioned on record.
Yours Faithfully,
For SAREGAMA INDIA LIMITED
Nayan Kumar Misra
Company Secretary and Compliance Officer
Encl: As above

"Saregama India Limited
Q3 FY 26 Earnings Conference Call "
February 03, 202 6

MANAGEMENT: MR. VIKRAM MEHRA – MANAGING DIRECTOR
MR. PANKAJ CHATURVEDI – CHIEF FINANCIAL OFFICER
MR. ANAND KUMAR – GROUP HEAD – INVESTOR RELATIONS
MR. PANKAJ KEDIA –EXECUTIVE DIRECTOR – INVESTOR RELATIONS
MR. KULDEEP KOTHARI – DEPUTY GENERAL MANAGER – FINANCE

MODERATOR: MR. ARYAN TRIPATHI – EMKAY GLOBAL FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Saregama India Limited's Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Aryan Tripathi , Emkay Global Financi al Services Limited. Thank you a nd over to you, sir.
Aryan Tripathi : Good evening, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Mr. Vikram Mehra, Managing Director; Mr. Pankaj Chaturvedi , CFO; Mr. Anand Kumar, Group Head, Investor Relations; and Mr. Pankaj Kedia, Executive Director, Investor Relations. I shall now hand over the call to the management for

their opening remarks. Over to you, gentlemen.
Vikram Mehra: Hi. Good evening, everyone. This quarter saw our operating revenue at INR 260 crores and an operating PBT of INR 76.5 crores. In this quarter, we have also taken the impact on account of the new L abour Code of around INR 7 crores, which is a one -time non -cash exceptional item. If I remove the impact of that, we are looking at an Reported profit of INR 69.5 crores.
As always, I will request you to evaluate us on a rolling 12-month basis and not on a quarterly performance basis. We have been maintaining that stand all throughout, and I request you to do it. We have had a great Adjusted EBITDA percentage in this quarter, but rather than taking that as a guidance, we will continue with our guidance of 32%, 33% adjusted EBITDA for the mid- to long-term basis for the company.
Let me start with the first vertical; music, which grew by 29% year -on-year basis during this quarter. The primary reason for this growth was the release of newer content, both on Hindi and the regional side and the partial negation of the Airtel Wynk reve nue in the denominator effect.
As many of you may remember, we were getting revenues from Airtel till mid -November of '24. Hence, it was part of the Q3 of the previous financial year. That's the time Airtel Wynk shut their operations. To some extent, we had that revenue sitting in our d enominator. But now that effect has gone away .
This quarter saw the release of the super successful Hindi film Dhurandhar, which had the unparalleled distinction of all 11 songs being part of Spotify India Charts. Its biggest song Gehra Hua, even today, as I talk to you, is ranked at number one position on Spotify India Charts.
And its other song, Shararat, is, in fact, ranked at global number one song today on YouTube.
The other prominent releases of this quarter w ere Tu Meri Main Tera Main Tera Tu Meri, a film from Dharma in Hindi and Darshan's film The Devil in Kannada. Non-film albums releases include one of our own Pocket Aces artists, Danny Pandit, with whom we have released our Marathi song Zat Pat Pata Pat, which did extremely well for us.

And then we also worked with Amanraj Gill as part of our Nav Haryanvi deal and launched a song Circle, which has become the top song in the Haryanvi language. Our new content strategic partnership with the ex-promoters on Nav Haryanvi is going very strong. Three of the songs released by Nav in the last 4 months are, even today, sitting in Spotify Top India charts.
Overall company released 1,100 -odd original and premium recreations across Hindi, Bhojpuri, Gujarati, Punjabi, Tamil, Telugu, Malayalam, Marathi and Bengali languages. And this also includes Chhattisgarhi and Odi a. Overall, our spend for the new content this year wi

ll be in the
space at INR 275 crores to INR 300 crores.
This has come down compared to what we had earlier planned because many of the films that we had planned for the year, their releases got pushed to the next financial year. 2 of the most prominent ones are Sanjay Leela Bhansali's Love & War and Telugu superstar Nani's Paradise.
During the quarter, the company made a strategic investment in Bhansali Productions through a significant minority ownership, with valuation that is linked to the financial performance of Bhansali Productions over the next 3 years. We are proud of the structure of this deal, which gives more weightage to the future performance than only to the past laurels.
This arrangement with Bhansali Productions also provides us exclusive access to marquee Hindi film music at a pre-agreed cost structure with these people. This will ensure that not only are we going to get guaranteed access to the music of one of the bigge st film production houses of this country, but also without getting into bidding and hence, in the long term it is going to help our cost structures too.
As partners, we will be playing to our respective strengths with full creative control retained by Sanjay Leela Bhansali, while the financial oversight will be with Saregama. For your understanding, this transaction finally got closed on 30 January, '26, w herein we have paid the money that we were committed to.
During our last call, we had informed you about creation of a new cell within the video team that's generating latest music videos for our older catalog ue songs by licensing new GenAI video generation tools. During the last quarter, we experimented with multiple videos, got our own set of learnings, which we will be using to further refine this video launch strategy of ours.
The good part is that use of generative AI video generation tools for these older songs has helped us drastically reduce both time and cost to release these videos. Something that used to take 10 to 12 days through the earlier possible tools or if we had to shoot used to take up to 15 days, including editing, can now easily be done in less than 3 days.
And the way AI generation tools are moving, we like to believe this process should be completed in 1, 1.5 day within a year or so. All this has serious impact both on time and cost to market.
Overall, we continue with the guidance of a 5 -year payback period for all new music content

that we're acquiring. And after that, another 55 to 75 years of returns on the same music.
As mentioned earlier, this quarter was the final quarter having partial impact of Airtel Wynk closing. It has got over from the mid of quarter 3. And from Q4 onwards, we will not be having

that impact sitting in our denominator. O verall, this and the release of the newer content will hopefully get us back on to our old growth numbers.
Our YouTube revenue during the quarter grew as per expectations. The attempt by various audio streaming platforms to push subscription continues to be there. The 2 big platforms who still have a free service are making moves right now to push the paid subs cription part. This is great news, though slow, but in a steady fashion, we are seeing a transition happening from the free to the paid side.
And with India, it is the last large opportunity, which is sitting for many of these global streaming platforms also, as an untapped market through which they can go and grow their subscription and hence, the overall revenue. So we believe the growth is just there, courtesy subscription knocking at the door.
Artist management, the newer vertical within music, wherein artists are made popular through our IP releases and then we monetize these artists by booking them for live events, weddings and brand endorsements from which Saregama gets its share. During the quarter, 60 new artists were ad

ded, taking the total artists managed by company to 270 -odd, with more than 300 million follower and subscribers on Instagram and YouTube of these artists.
As we continue our investments in all forms of content, we will use that power to make these artists big. And as they become bigger, the digital advertising following them will also grow,
and we end up earning a share of it. We are very uniquely placed, as I've said multiple times in this content ecosystem that we are taking bets both on the content and the artist that is making the content.
And our ability to make revenue is not just limited to content doing very well. At times, even better revenue comes in because the artists whom we people have taken to create that content, which helped an artist becoming big also ends up generating a large amount of revenue and
profits for us.
During the first 9 months, the music segment growth has come back to 18% on a year -on-year basis. This quarter was 29%, but overall, we are back to an 18% growth rate. We believe that we are on track on a medium - to long -term basis coming back to 21% to 23% annual growth rate. This year, the number may be closer to 18%, 19%, but next year onwards, we should be back to 21% to 23%.
As shared earlier, with the acquisition of a minority stake in SLB, we plan to wind down our in-house movie business. Over the next 12 to 15 months, we will release most of our existing movie projects that are currently in the pipeline. But at the same tim e, we will continue our work on short to medium -length video content, which goes either on short -format channels on Instagram and YouTube Shorts or goes as a licensing part to digital platforms or TV channels.
We will continue our work in that space, with a specific focus on Gen Z being the target segment.
On live event side, Saregama did shows with Diljit Dosanjh, Himesh Reshammiya during the quarter. We also experimented with a lot of stand up comedy shows across the country. There

are many more shows planned in Q4, including our first music festival in Bangalore in March, shows around Lord Krishna with Manoj Muntashir in Mumbai.
We have big time got into bhajan clubbing shows, and we are doing with multiple people, the most popular one being Backstage Siblings. Our long-term belief in the potential of live events in India keeps getting reinforced quarter after quarter, and we will continue to put our focus and investments in this area.
Again, as discussed last time, a new vertical around brand partnerships have been put in place, where the objective is to maximize revenue from brands in the areas of music, live events and short -format video. In the last quarter, we partnered with brands like Hero, OpenAI, Manyavar, Fogg, Greenlam, Carat Lane, Gujarat Tourism, et cetera. This is our very strong endeavour to say that we have been making money either from licensing our content to p latforms like Netflix, Spotify, Star or by going directly to the customer s, which we do by selling a Carvaan or a live event. But we now want to build a vertical, whereby we can also make a sizable chunk of revenue from brands that are coming on board. Over the next few years, we will continue investing in new music content. This will contribute not only to the immediate growth, but also future -proof the company from content perspe ctive.

We continue with our guidance of 21% to 23% growth in the medium to long term in music segment and an annual adjusted EBITDA guidance of 32% to 33%. Saregama's growth narrative will continue to be steady in the medium to long term, thanks to increase in digital consumption, both in terms of new customers joining the market and existing customers consuming more.

With over 550 million Internet footprint, cash reserves, professional managerial depth and access to the soundtracks of the best movies, we are hopeful that we'll be able to generate earnings not just for next 2 to 3 years, but for the next 30 to 40 years. Thank you a nd we'll be open to questions.

Moderator: Thank you very much. We will now begin the question and answer session. The f irst question comes from the line of Sujit Jain from Bajaj Life. Please go ahead.

Sujit Jain: Yes. Vikram, so just one philosophical question. A, when you say, judge us with trailing 12-month basis, it is best to present that in your presentation itself so that the numbers are for everybody to see, including your own team as to how the numbers have panned out in terms of trailing 12 -month basis. Because if I look at that data, that data is materially down. B, how do we evaluate Pocket Aces and ev entually, Bhansali Productions?

We need to have clear road map in terms of the parameters that we need to track so that we can track them. See, this is a company with a great team and great compounding, if I look at numbers, any numbers, 3- year, 5 -year, 10 -year, compounded sales growth of 27%, 18%, 20%. Profit growth has also been phenomenal. And then there is some kind of plateau. How do we address that?

And one last question is what about the shareholder who came in, in 2021 at INR 400. If he had invested that money even in a National Savings Certificate, his money would have been INR 540

today. No, I'm not that shareholder. What I'm saying, I'm sure we want to basically service him as well. So, how do we get back to the previous glory and trajectory?

Vikram Mehra: All fair points out here. Let me try to answer those. See, our strategy has been very, very clear, and we have been very open about it from the last 4 years onwards that we want to up the investments on the music content in a significant enough fashion and not just rest on the laurels of the older content.

Today, it's very easy for us to take the decision that we should reduce our new content investment significantly. We will still be able to go back and show some amount of a marginal growth coming in and the profitability is going to look extremely decent. We have taken a conscious call that we will not do that.

For Music segment , this is the first 9 months where we are showing an 18% growth. Till last year, we were continuing to grow at a 23% CAGR. Often, what gets confused is the live music events part. Live events is by nature, a business right now, which is slightly unpredictable. It all depends whether a large tour is going to be happening during the year or not happening during the year.

Last year, same quarter, we had Diljit Dosanjh India Tour happening. Now, Diljit next such tour may happen 2 years later. There is no other tour. So, you will have these kind of a periodic ups and downs, both in our bottom line and the top line. The steady part of our business is the music part of our business, which has been growing in a steady fashion over these years.

The other part that you should track, and if it's not working, we are fully responsible for that, are our EBITDA numbers. Because if you look at the EBITDA numbers, that shields us for the time being right now from the content charge that people are taking . And you will see there's a substantial growth, which is happening on the EBITDA side.

So, we are at that phase of our company where we are trying to rebuild this company with newer content so that we don't suffer the same problem that we had 25 years ago when for a period of 2000 to 2020, there was no new music coming in the company and growth has started stagnating. That's a process we are going through.

You will see this part getting over , of this very high investments that we people made out there in our content because right now, there's a step function jump that is going on every year on the content side. We are happy with the kind of market share we people have started enjoying in the newer content.

So as we go forward, the increase in content investment will be falling more of a linear curve right now rather than step function, which means the revenue that's going to be coming on account of older investments and the newer investments will soon be exc eeding the charge that we are taking of that particular content and hence, the impact will start flowing back to the bottom line. Have I answered your question?

Sujit Jain: No. My suggestion is that can anybody in your team tell me that number ex of event sales trailing 12 months versus the 12-month period in the base? What was that number? We've been saying

that, that number should grow at that guided range. Has it done that? You can tell me the exact numbe rs or we can take this offline, every time when we say it is best to basically support that with actual numbers rather than just the narrative as that please look at this way, that way, let us put everything in numbers so that everything w ill be clear in black and white?
Vikram Mehra: Absolutely. Point is very well taken. From next quarter onwards, our presentation will now be showing the growth numbers on a rolling 12 -month basis also.
Sujit Jain: And ex of events, which is a fair ask. We completely understand that. What my suggestion is that I can say that we are not there. Can your team tell me that no, no, we are there with numbers?
Vikram Mehra: No, we are there with numbers. By the time the call gets over, I will give you the numbers.
Sujit Jain: Yes, please.
Vikram Mehra: What music has shown on a rolling 12-month basis versus the previous 12 months? We'll get you those numbers.
Sujit Jain: Correct, ex of events?
Vikram Mehra: Ex of events.
Sujit Jain: We understand because that is a lumpy item?
Vikram Mehra: See, I think the right part is music licensing numbers is what we should be looking at. Adding Carvaan to it makes no sense because Carvaan, we have been very public about it. Focus has changed. We are reducing the revenue but increasing the profitability on Carvaan. So the core part of the business, which is a steady income part of the business , is music. We'll give you the music numbers before the call ends.
Sujit Jain: Fair enough. And I still don't get the answer as to how do I evaluate Pocket Aces and this new investment, which is absolutely right in terms of direction the industry has to take. But we need to have clear parameters as to how good we are in terms of our capital allocation, the capital that we last raised ?
Vikram Mehra: No. So, I'm with you completely. So, our guidance on Pocket Aces has been that this year, we will not only show a growth right now, which is upwards of 25%, but we will also be breakeven.
And last year, we people had still written a loss. This year is a breakeven year for us.
All the synergies that we needed to drive with those people seems to be falling in place now. So, you will have a breakeven year going there. Post that, I am expecting right now that the Pocket Aces part of the business, which is a combination of artist management and some amount of video content should be growing at a 25% CAGR.
Sujit Jain: Would it lead to a meaningful ROE in that business after 5 years or after 7 years? And if yes, what is that number?

Vikram Mehra: Sure. So, I will come back to you on this. But please, every time you are looking at Pocket Aces, even when we acquired it, I had said this and I'll repeat myself, Pocket Aces on its own makes a lot of sense, but it makes even more sense from the music per spective. Today, if Saregama has got the biggest hit rate in the market in terms of music album, it's not just happening because we are smarter one, maybe a little bit contribution to that.
But the fact of life is we are the most effective marketing machinery in there on the di

gital side.
And Pocket Aces numbers that they bring in of the followers and subscriber base, both on Instagram, YouTube Shorts, YouTube and Facebook are a very big contributor, which is helping our music business.
So, we are able to drive bigger number of hits on the music side in spite of having marketing costs which are under control. So there's a large help that part of the business is providing to music too, but that does not mean Pocket Aces will ever become th e loss leader. You will see numbers improving. So there also, for us to get this company from a INR 10 crore s loss into now a breakeven has been a successful journey. And from now onwards, we'll build. And we will share with you the parameters on which you can go back and judge.
Sujit Jain: Yes. And one last suggestion is when we say in YouTube, we met our internal expectation, I don't have anything to judge in terms of numbers, what your expectation was against which you said, yes, it's a goal. But I don't know the goalpost ?
Vikram Mehra: No, you need to judge me at a 29% music revenue growth during the quarter and 18% on a 9-month basis, sir. Beyond that, I can't share information. I can just tell you directionally.

Sujit Jain: That I get. But, yes, ultimately, it should show up in numbers for us. That's the basic ask?
Vikram Mehra: Evaluate us on a 29% quarter growth and an 18% 9-month growth.
Pankaj Kedia: Sujit, just to add up on your query. This is Pankaj Kedia. The presentation which we have filed with the exchange, Slide number 15 of the presentation talks about last 17 quarters' music licensing income quarter -by-quarter. So, what Vikram was talking about rolling last 4 quarters, that data is already filed with the exchange.
Moderator: Our next question comes from the line of Lokesh Manik from Vallum Capital.
Lokesh Manik: A couple of questions from my end. One is you've seen good success with Dhurandhar and other film regional releases this quarter. So, do you expect this momentum -- you mentioned one of them is continuing even in Jan to aid the growth in Q4 as well going f orward, the momentum from all these releases?
Vikram Mehra: So, let me not go back and talk on a specific quarter. In general, we believe that revenue growth, apart from whatever little digital expansion that's happening and the subscription growth, the primary revenue growth that we people are getting is coming out of the newer content investment.

Majority of our release calendar that was scheduled for Q1 and Q2 had got pushed, which was bunching up in Q3 and some amount is coming out there in Q4. So, that's a content strategy, which should help out there in the revenue part, too. Even last quarter, when we people were looking at 11% to 12% growth in music business of ours, I had mentioned very clearly that we should end the year closer to 18%. We are already on a 9-month basis on 18%. And our hold at this juncture, I have reason to believe that arou nd 18% should be the number for the end of the year also on the music part of the business.
Lokesh Manik: Fair enough. And Vikram, just to add to this, do you see this success allowing you to negotiate better with the contracts with the platforms coming up because that's where new music also has an advantage. You mentioned in the past, it helps you to negotiat e better. So, are you seeing that with your discussions with the platforms that you're having?
Vikram Mehra: Yes. Let me put it this way, sir. The strength of catalog ue that we people own, literally anything and everything of the 20th century, apart from maybe the last 10 years of the 20th century, anyway puts us in a very decent position from a negotiation perspective. And these big album hits that we have seen i n Hindi or a Telugu or a Tamil.
We have a few very big hits coming out of Malayalam, definitely makes our position pretty strong when we a

re negotiating with people, especially the platforms which are still on a fixed fee basis. So, a lot of short format content platforms are still on a f ixed fee basis. These things strengthen our position, yes, for sure.
Lokesh Manik: Great. Vikram, my second question is on Pocket Aces. In a maturing phase -- we are right now in a growing phase -- nascent and growing phase. In a maturing phase, do you see this commanding the same EBITDA margin as the music business? Or this would be mor e on the video side of the EBITDA margin?
Vikram Mehra: Sir, this will be more on the video side of the business because the music business by its very nature is an IP business, where you invest heavy and you take hits in the first couple, 2, 3, 4 years but later, you have 55 to 75 years of pure margin, which i s not the model which is followed either on the talent side or on the video side. So the capital investment out there is always much smaller, but the profile of the margins is also lower.
Lokesh Manik: But then, do you see the payback extending beyond the 5 years for the acquisition?
Vikram Mehra: Sir, I said in response to the first question also, whenever you look at Pocket Aces, please also look at the side benefit that the music part of the business is getting out of it. At the end of the day, if I've got a music album and a producer has to take a call that should they send t he album to us or should they give the album to any of my competitors, money typically becomes the same. We at times under quote compared to a competitor , but we are still able to get it only because of our marketing muscle. For a film producer, it's not just the money that he makes out of the licensing of music. For him or her very important part is, will the music be marketed large enough so that Friday morning w hen the movie opens up, t here is enough footfall in the hall.
What Pocket Aces is able to go back and bring to us is around 3 00 million digital footprint today

across Meta and Google Apps, which makes it easier for us to take any song and make it sampled by millions of people on an overnight basis. So there is a large benefit of that also coming in and those benefits are captured in different verticals. They're not just captured strictly sitting out

there under Pocket Aces. Tomorrow, I can go back and start giving them large marketing monies to show them profitable, but that's the wrong thing to do.
Lokesh Manik: Right. Just last clarification. The big releases of Love & War and one more they've been pushed into Q1, Q2 of next year or Q4 of that year?
Vikram Mehra: As of now, what I understand is Paradise is Q1 and Love & War today is Q2. We have another big movie planned for next year in the Hindi space, which currently is in Q2. My expectation is it's g oing to get pushed to Q3.
Lokesh Manik: So, you have a good line up then for Q1, Q2, Q3 following on big releases ?
Vikram Mehra: So typically, Q1 anyway goes a little lighter because most film producers are scared of the cricket phenomenon at that time. Less releases happen. They start bunching up towards May end and June. July, August becomes a very big release period and then Diwa li to Christmas is a very big release period. For South India, January is a very big release period. Across the country for romantic films, February is a big period.
Moderator: Our next question comes from the line of Kavish Parekh from B&K Securities.
Kavish Parekh: Hi, Vikram thanks for the opportunity and c ongratulations on a great set of numbers. Vikram, on the events segment, while I do understand that numbers here can be lumpy basis events calendar and all your initiatives seem to be on the right track, what kind of absolute revenues or say, growth can we expect here on a sustainable basis, say, some sense of numbers 2 years out?
And secondly, what kind of margin upli

ftment do we expect at the consolidated level as the revenue contribution from the movie business goes down over the next 2 years?
Vikram Mehra: So, let me try to answer the first one. See, on the events business, I'll be honest with you, we are still at a very early stage of this event economy in the country. 2.5 years back when we started the events business, and I had said in our quarterly call that we will take a call after 1 year whether we want to continue in this business or not.
And then Diljit happened and after that Himesh happened, and we are realizing there's a large enough potential, but there are still serious infrastructure challenges in our country to make live events business genuinely a profitable business. We are bullish on that part, but I will be in a better position to give a guidance maybe 12 months from now.
I don't think today, it will make sense for me to give a guidance on the revenue side. What I can tell you is on the profitability side, we are very, very clear in our edge that in a steady state, we want it to be a high single -digit margin percentage. On a margin basis, it will look very small, but events business by very nature is a very high IRR business because the cash gets deployed at best for 15 to 20 days.

There are some of the times right now in the even t business when we get a positive working capital. So, we are getting money right now to go back and fund our own events. So, our attempt is going to be high single -digit margin percentage. That's where we people are moving. But it will take 2 to 3 years to go out there and on a steady basis, achieve these percentages.
Today, it's a hit and a miss. Some of the events end up delivering this. Some of the events, which are at an early stages or wherever we are building a brand -new IP ends up even contributing negative to the margin. Your second part was on the video side. So, what you are going to be seeing that our own internal video where the biggest share was of the films part, we will wind it down over 12 to 15 months. So, those numbers will start moving out of our books. But we will get to the extent our strategic minor ity ownership is there in Bhansali Productions, we will start getting those numbers contributing to our own P&L.
Kavish Parekh: So on the movies biz part, my question pertains to consolidated EBITDA margins. What kind of upliftment do you expect as the share of video, which is a low -margin business, goes down? Do you expect to revise your adjusted EBITDA margin guidance, say next year or maybe for F Y '28 going ahead?
Vikram Mehra: So if you see our EBITDA numbers, it's there in the presentation on a steady basis. We have typically , if I take out the events well apart , always beaten this 32%, 33% guidance. I just want to get the mix a bit stabilized. Over the last 1 year, we have brought down Carvaan dramatically. We are now bringing down films business dramatically, but live events business is going up. We will need a little longer time for us to get the confidence to go and give a higher guidance. So, we are continuing at this juncture with the adjusted EBITDA gui dance of 30% to 33%. But if you go in the past history, we have always beaten that.
Kavish Parekh: Understood. Thanks for that. Vikram, EBITDA margins this quarter surprised us positively, but you have maintained the guidance at 32% to 33% for adjusted EBITDA this year. What explains the beat this quarter and the INR 57 million -odd profits in the events business? What does that pertain to?
Vikram Mehra: Sorry, sir. Your question is not clear. Can you please once again tell me?

Kavish Parekh: So, EBITDA margin this quarter at the consolidated level surprised us positively, but annual guidance for the adjusted EBITDA number stays at about 32%, 33%. What explains this quarterly?
Vikram Mehra: This is the long-term guidance t

hat I'm giving here, I'm not necessarily giving guidance right now for this year alone because only 1 quarter left, I can't go more specific than that today. So, 32%, 33% is a medium - to long-term guidance for our business at a consoli dated level.
Kavish Parekh: And INR57 million?
Vikram Mehra: Now your s econd part, sorry?

Kavish Parekh: The INR57 million odd profit that you have shown in the events business this quarter, what does that pertain to?
Vikram Mehra: So, we had Diljit show during this quarter. We had Himesh shows during this quarter and we had some of the stand up comedy that we people did during this quarter.
Kavish Parekh: All right. And lastly, un -allocable expenditure has witnessed a sharp increase over 9 months F '26 as compared to the last year. Could you highlight what explains the same?
Vikram Mehra: Kuldeep is going to answer that one.
Kuldeep Kothari: So if you see, this is basically due to the decrease in the other income, which is interest income, which we were having surplus fund, which we have invested in FDs and mutual funds. So now we are utilizing those funds for the business purposes. So, that i s where other income has reduced. And this is the main difference of unallocated expenditure over income.
Kavish Parekh: Understood. Because of netting off. Understood.
Moderator: Our next question comes from the line of Jyoti from Arihant Capital.
Jyoti : Sir, might be this question you have got multiple times, but wanted to ask again. Like India's paid music penetration, which is approx 1%. So, what ARPU and subscriber assumption are embedded in our medium -term revenue outlook? And also wanted to understand what percentage of license revenue today is subscription linked? And how fast can this mix shifted -- can shift? And also with 550 million -plus followers across platform, what is your revenue per million followers? And how do you plan to scale thi s up going forward?
Vikram Mehra: Ma'am, you have lots of questions and let me see if I can answer. When we people give our music medium - to long -term growth guidance of 21% to 23%, we are not factoring in any major change in paid subscription in the country. So whatever comes on the paid subscription side will be a booster on top of this guidance of ours. That's point number one.
We, as a company, believe that India is ready if all the remaining 2 platforms, which are on the free side, that both of them decide to go completely behind a paid wall as Amazon, Apple, Gaana have gone. Only Spotify and Saavn haven't gone yet. Once they d o, we believe India has very easily a potential of INR 100 per month or INR90 per month, at least 100 million people going out there and opting for a paid subscription.
That's our belief. The market potential is massive in our country. The success of earlier days DTH, then digital cable and now video OTT services, even transactions being done on gaming services today give us the confidence that; one, there is affordability; second, there is an inclination to go and pay for entertainment content.
And the fabulous job done by government on the digital infrastructure has ensured that the payment has become very, very easy and glitch -free. All these factors coming together create this perfect recipe right now where a large number of people can go out there and move to the paid subscriber base.

When we also look to other countries like a Brazil or any of the other Latin American countries, which on the economic side are not very different from ours, we have seen that the market continued on a free style for a very long time and the day the one or two big guys decided to start pushing pay, there was a hockey stick effect and the paid subscriber numbers went through the roof. Something very similar happened in China around 7

years ago.
We believe a similar story eventually is going to go and play out in India also on the music side.
As a company, we have that stronger belief in this hypothesis that when we are doing new content acquisition, we keep in mind that which are the languages where there will be a higher take-off or the first take -off will happen of the paid subscriber base and we skew our spend on

that particular language. It's a matter of 1, 2, 3 years where even you will see paid subscription taking off in our country. Have I answered your question?

Jyoti : Yes, sir, largely. And sir, last question, a follow -up on the EBITDA side, like you have guided 32%, 33%. But once capex over by '27, so what's our outlook on that side on the EBITDA side, not on the revenue, like you mentioned you cannot guide. But on the EBITDA side, what kind of trajectory we can follow?

Vikram Mehra: Ma'am, on revenue, I've given the guidance on the music side that music, which is a steady part of the verticals, will continue growing at 21% to 23% on a medium - to long-term basis. So, we have given a revenue guidance. On the adjusted EBITDA, guidance re mains 32% to 33% on medium to long term because we have multiple businesses here. This is at the consolidated company level.

You have music business. You have video business. You have live events business and a small play sitting here with us on the Carvaan business also, which is part of the company. Each of those other businesses take very little capital, but they are also low er margin, lower capital kind of businesses. Music is a heavier margin because we have an old catalog ue helping us out but also requires a large amount of investments from our side.

So, the other part I want to clarify is our music investment on newer content, we have given a guidance of around INR 1,000 crores over financial year '25, '26 and '27. After that, it's not that we will stop investing in newer music. We need to keep your company completely future -proof.

So, then 2,050 also people are listening to the music, which is owned by Saregama.

So we will continue investing, but the increase in the content spend is not going to be so steep as you have seen over these 3 years. It will then start moving at the rate of inflation maybe, which will be anything between 6% to 8% to 10% every year, not t his 30% to 40%, at times 50% jump that you have seen over the last 3 years. Ma'am, have I answered your question?

Jyoti : Yes, sir.

Moderator: Our next question comes from the line of Kunal Bhatia from Dalal&Broacha Stock Broking Limited.

Kunal Bhatia: Yes. Sir, if we look at the overall numbers, like, a, what gives you the confidence that Q4 would be a better number, taking into account that there has been already some shift in the movie

launches to the next year? Also, secondly, sir, talking about events, if we look at the number when we hit the INR 400-plus crores of revenue in last year Q3 FY '25, so does that thing become more of a one-off for the next, say, 1 or 2 years till we don't have larger events in place?

So, taking into account these large investments of INR 100 crores, INR 100-odd crores, we more or less stay at around that same INR 260 crores, INR 250-odd crores of a top line, which is not a significant sort of a growth number as far as the top line is concerned. Could you give some thoughts on this?

Vikram Mehra: So, let me answer the first question. Actually, I've not said anything about Q4. All I have maintained is that at the end of Q2, we had given a guidance of 17% to 18% music revenue growth by the end of the year. At the end of 9 months, we are sitting on 18 % growth on a 9-month basis.

We are still hopeful to go back and maintain our guidance of 17% to 18% on a full -year basis when we end Q4. That's all I've stated till now. There are releases that are planned. And as I

talk
right now, there are various regional language releases that ar e also happening. So we are, at this moment, still confident that we should be able to continue with this momentum and end the year at somewhere between 17% to 18% revenue growth on the music part of the business.

It's only on a medium to long term that we are going back to an old trajectory that we followed till financial year '25 of 21% to 23% growth on the music side. That's your first part, sir. On the events part of the business, these large events where the big shows are happening and it is completely 100% controlled by us, they don't happen that often.

And we are very, very clear, what we are chasing on the event business is not the top line, but the bottom line. E ven if there are smaller events that are happening, we are very happy doing 200 smaller events, but where we have a higher assurance of profitability than doing these very, very large events where the risk factors are pretty high.

There are only a few artists in this country. You can count them in on a single palm, right, where there is a high assurance that if you do an event with them, there will be profits coming in. We
are working with, and we are grateful that we get a chance to work with , two of those artists.

The numbers will grow in a steady fashion. But this kind of a lumpy revenue that you saw in Q3 of last year, which was not seen before and even when that revenue came, if you listen to my call last year, I had said this is one -off, please don't hold it aga inst us. This may or may not happen. But events vertical in a steady fashion will keep on growing up.

And the great part about events vertical is there's very little capital, which remains locked in it. Even now if you see at the end of this quarter, we have, what, close to INR 15 crores, assets
which is locked into the events vertical. Events vertical does not ever have any major cash that
gets locked there because you the very nature is that you put the money in, the capital gets rotated
right now within 30 to 40 days, one gets out.
So, I think events vertical, we will follow the same strategy. Keep yourself very, very capital
light. Don't get into any of the infrastructure -related large projects part of the events business.

Go back and produce great shows with artists where there's a high probability of success. Find
business models where in case things go wrong.
You can hedge that downside by doing something with the artists maybe on the recorded music
side because we are uniquely placed being the only entertainment company, not just in India,
globally now, which is present both on the recorded music side as well a s the live event side.
We want to take the benefit of this so that we will always be able to control the amount of losses, if any, that come out in the event side. Have I answered your questions?
Kunal Bhatia: Yes. Sir, but -- so going forward, say, on a medium - to long -term basis, how does one have a
certainty or a predictability for the events business?
Vikram Mehra: So, take out that one -off things. So, just take out the one -off things, which again, I'm repeating
when this one -off thing happened, we had said it's a one -off thing. You take that out, there is a
steady growth you're going to find year after year. So ever y time there's a one-off thing, we will
call out that one -off thing.
And please don't consider that as part of our growth strategy. It will be imprudent on my part to
say no when a one -off activity like that happens. But that's the nature of the beast here. If you
are going to be working with Indian artists and we are very clear that's a space we want to be in.
We work with Indian artists, artists with whom we also have a relationship on the music side.
Their all -India tours of that size are not that many happening in the country. Most of those are
very,

very small. Diljit Dosanjh is the only and the only tour of its shape, size that has happened
in the last 5 years in this country. And Diljit can't come every year to India. In that quarter if you remove the Diljit impact and then please evaluate us. So remove these one-off events, and you
will see a steady growth happening on the event side.
Moderator: Our next question comes from the line of Swapnil Potdukhe from JM Financial.
Swapnil Potdukhe: So the question is regarding your content investment. You said INR 275 crores to INR 300 crores
of investment this year. And our historical guidance, 3-year guidance has been around INR 1,000
crores of investment. Now, does that INR 1,000 crores of guidance include the investment that
you had done in the Bhansali Productions or it is completely different?
Vikram Mehra: So, whatever music that we will end up buying from Bhansali Productions will be part of this
investment. So, there are two relationships we have right now. We have gone out there and taken
an equity stake in Bhansali Productions. As part of that deal, we also have a pre -agreed formula,
basis which all films that is produced by Bhansali Productions, the legal entity, the music will always come to Saregama. So, there's a guaranteed flow of music without any bidding going on.
That music that will come in will be part of INR 1,000 crores.
Swapnil Potdukhe: Got it. And just a second question is with respect to your video segment.
Moderator: Sorry to interrupt you, sir, but if you have a follow -up question.

Swapnil Potdukhe: It's a quick one. It's just a short one. It used to have TV serials revenue from Tamil, right? And
then there used to be some bit of Pocket Aces' revenue also. So, when you say that you will ta ke
down the movies business to zero over a period of time, will this -- the entire revenue go away,
like we'll still have some bits and pieces?
Vikram Mehra: No, we will have. I said this in my opening statement that what we are winding down is our
films business, but we will continue with a focus on the video side on short -format content,
which goes under FilterCopy and medium -sized content, which goes on as w eb series or TV
series. That part of the business is a stable part of the business, profitable part of the business
that will continue.
Moderator: Our next question comes from the line of Aditya Nahar from Alpana Enterprises.
Aditya Nahar: Just a suggestion. With the new treatment on buybacks, I hope you all consider a combination of buybacks and dividend both. Just a suggestion. Obviously, it's up to the Board. But if you
would consider it, that would be great. Vikram, there was some news r eport that said the music

for Dhurandhar 2 has gone to a competitor. If you would want to talk about that o r was the bidding too high, your logic or rationale behind it, if that's possible?

Vikram Mehra: So, all I can say, Aditya, that instead of commenting on a specific movie, we are very, very clear, we do content investment in a fashion that we end up getting a payback period. We don't do content investment keeping vanity in play at any particular time. So, whatever good something maybe, if we believe that there is a very low probability of us m anaging a 5- year payback period. We don't go out there and opt in for that kind of content. It just stays there. I think to some extent, it reflects that as a management team, we don't allow our own personal emotions ever to go back and come in place. There are hard -nosed financial calls that are being taken.

Aditya Nahar: Great, Vikram. And just your point about the buybacks and the dividend?

Vikram Mehra: So point is well noted and we'll convey your feedback to the Board.

Moderator: Thank you. O ur next question comes from the line of Aanchal Jalan from Lotus Wealth . Please go ahead.

Aanchal Jalan : So, my question is reg

arding the risk on the side of our investment in Bhansali Productions. Our company f has future options to even increase this investment to 51% by 2030. And the business of Bhansali Productions is very volatile. It can even be a blockbuster or otherwise. So, does our investment risk in future stable equity or a more adventurous risk of debt funding to the company whenever it is required for any mega movie or anything? Can you please tell me about it?

Vikram Mehra: See, at this moment, first, the decision of what this equity stake will be, will be taken 3 years from the time that deal was done. And it will be based on the average financial performance during these 3 years. So, the onus is fully sitting out there with the management of Bhansali Productions to be extremely prudent about what kind of movies are they making and at what cost structures are they making.

We also have a complete financial oversight as part of the agreement on Bhansali Productions. So, we are reasonably confident that things will be in control. Also, I can give you comfort that if you look at the past numbers of Bhansali Productions, they run a very, very tight ship, and we believe that trend to continue. Our understanding of the next few years' plans is that the combination of the capital infusion done by Saregama and Bhansali Productions and this unique ability Bhansali Productions has that they can go to a digital platform and pre -sell the rights even ri ght at the script stage and pick up massive advances from them.

The combination of these two will come very, very handy for them to go back and finance all their films without any need to raise debt. We don't see any need for any debt raise to happen. Regarding your last point on the majority stake, do we want to go out there and take or not? That's a call Board will be taking at the end of the 3 years. We have the right, not the obligation, to go out there and do that.

Aanchal Jalan : Okay, sir. So if there is any requirement for debt by chance, then the company is open for that?

Vikram Mehra: You're asking me a very theoretical question right now. We don't see the need. But if debt has to be raised and the servicing of debt is going to be affecting the financial performance of that company, and that will have an impact on the valuation of that company. So, I'm very confident of the Bhansali management that they will be extremely prudent while going out there and doing this. Regarding equity infusion, apart from the money that we have put in, we have no intent to put any obligation or intent to put any more money over the next 3 years.

Moderator: Our next question comes from the line of Govindarajan Chellappa from CSIM.

Govindarajan Chellappa: I think like many others, I'm also confused on the guidance. Just indulge me for a few seconds. So, you have guided to music business accelerating back to its historic trend of 22% to 23%. At the same time, you also said that the consolidated margins will fall from 39% we saw in the first 9 months to 32% to 33%, which is what you've been guiding in the past. Now is this because you expect the other lower -margin businesses to grow much faster and theref ore, the mix changes adversely o r do you expect margins in the music business to come down?

Vikram Mehra: So, I think at least the guidance you got right. I've been holding on to 32% to 33% guidance, I think, for last 4 or 5 years now. And I'm saying this repeatedly because of the mix that we people have. Suddenly, you have a large Diljit Dosanjh kind of an event happening again. And the margin in that quarter, if I remember it correctly, EBITDA margin fallen around 29% or 30%. So, I want some amount of stability to come in as video business ranges down, live events business becomes little more predictable. We will be in a better position to, if needed, be to go back and change our guida

nce. Music profitability is not going to come down. There's no reason. It's not come down over the years.

There's no reason for us to go back and come down at all. If anything, subscription is going to be ensuring as subscription goes up, that the yield per view or a stream is going to go up. So, profitability of anything will improve rather than coming down. I don't want to change the

corporate level guidance till the time these verticals that we people have get a proper stability.
If you see this quarter's EBITDA percentage sitting at 46%.
Now, these are aberrations that keep on happening. 46% cannot be offered right now quarter -on-quarter. It just depends on which content got released or which revenue peaked, while the cost may be sitting on a quarter 2 or a quarter 4 basis. So long term, i t's not that we believe EBITDA percentages are going to come down. We will change our guidance once the mix of our vertical stabilizes.
Govindarajan Chellappa: I think the confusion comes because you give guidance on top line just for music, but margins for the whole company. So, there is an inherent assumption you've made for growth in other businesses, which mathematically would suggest that you are expecting other businesses to grow much faster than 22%, 23%, which is why all this confusion?
Vikram Mehra: Okay. Fair enough. Let me see next time onwards right now when we do the annual call, what more refinement in our guidance for individual verticals can we be able to give.
Govindarajan Chellappa: Yes. Just to be clear, you don't expect music margins to be very different from what it has been for the last 12 months?
Vikram Mehra: No. Music margins are not going to fall down. If anything, over time, music margins may marginally improve.
Govindarajan Chellappa: Okay. That’s comforting. Thank you.
Moderator: Thank you. O ur next question comes from the line of Anand B from Ksema Wealth Private Limited.
Anand B: Good set of numbers. I just want to know, do you have the exact margins as of this quarter, the exact margins for each segment?
Vikram Mehra: You can go out there in the results. It's given. For the various segments, the margins are there as part of the segment results.
Anand B: What you see there at the top is the revenue breakup, b ut for margins on each segment, I don't see exactly to be there?
Vikram Mehra: It's on the Page 2 of the results. The first row is for segment revenue. Second is called segment results where the margins are there. If you can ask me the question, I can hopefully answer that.
Anand B: Okay. And in the case of live events, now what you say, the craze for like, okay, concerts and events like growing up more and more. Now is there any -- like now Saregama is basically like relying on its existing artists for live events? Would it move to o ther artists beyond its list of artists under the catalog ue, let's say, even foreign artists or someone to come as basis of live events? Would that be possible or would it come under, let's say, music license problems or anything?

Vikram Mehra: No, there's no problem. It's a strategic call. Our focus always has been to work with the Indian artists because of the unique position that along with being a live events producer, we are also a recorded music company. So when we work with these artists l ike Diljit or Himesh or a Backstage Siblings and likes of many of these, we also very often do a combined deal whereby we buy their music as well as sign them up for the live events business.
Does it stop us from working with any of the international artists on a pure live event basis? No, it does not. Today, our focus is higher on the Indian artists. We believe the financial performance on the bottom line is far better on the Indian artists be cause the cost structures are s

omething we can manage better than cost structures of many of the international artists.
Moderator: Our next question comes from the line of Shivan Sarvaiya from Humiviction Investment Advisers LLP .
Shivan Sarvaiya : Am I audible?
Vikram Mehra: Yes, please.
Shivan Sarvaiya : Yes, sir. Sir, my question was on the artist management business. You spoke in your opening remarks that we manage around 270 -plus artists. So if I want to view these -- the name of these artists and the details of these artists, where can I get the -- where can I source them from -- because I can't see them on your website?
Vikram Mehra: We typically don't give the names that easy because the moment my competition knows everybody in detail, it becomes easy to go out there and poach. I'm happy to share the entire list.

You have the big artist names that are mentioned.
I also thought we should go out there and put it and the team was really up and out saying, why are you giving it on a platter to our competition, especially on the influencer side. So, bigger artist names are there all across. The long tail that we people have here, we keep it only to ourselves. Please come over to the office and I'll show you.
Shivan Sarvaiya : Okay, sir. Sir, just a couple of queries in the same breath. When I see your presentation, Page 27, you've given a list of few artists. So is it suffice to say that these are the top -- I mean, the largest artists that you manage?
Vikram Mehra: It's a combination of the artists and some of the newer names that have come out there in the recent times. So what we do is, if you see there are 3 of those star marked, yet we are intentionally going out there and highlighting the names of the artists who have a large fan following and have been onboarded in this 9 month FY26 itself.
I don't know if you have that feeling, but a lot of people when I talk to them that we also manage artists, they start thinking that we'll be managing Bollywood. We are very, very clear, as a company, we don't manage Bollywood talent. There is no value tha t we can go and bring in to a large Bollywood talent.

We bring value to talent, which are mid -term basis right now or in non-Bollywood by giving them a large opportunity to appear in our video or music content. And that's how we build the artists and build a long -term relationship with them. So if you see a face out there called Viraj Ghelani, now with Viraj Ghelani, he is a very big talent today on the digital side, specializing in Gujarati stand -up comedy.
We have now done a movie with him. We are also now doing stand up acts with him, both India and abroad. And there is a play right now on under one of the Gujarati songs he will be featuring.
So, that's how we make that talent bigger. It gets into a much more stronger relationship than just a transactional relationship with the talent.
Shivan Sarvaiya : Got it. And sir, in this 270, could you give me the split between music?
Moderator: Sorry to interrupt you, sir, but if you have a follow -up question, please rejoin the queue.
Shivan Sarvaiya : It's the same question which I am?
Vikram Mehra: There is no clear -cut differentiator. Y ou are not going to be calling Viraj traditionally a music artist. But Viraj is doing a music video for us. We have just done this massive, massive Marathi song Zat Pat Pata Pat with Danny Pandit. Now, Danny Pandit traditionally was not a music guy. He is doing a lot of music. So the way we manage in our system is all talent is working primarily in music because that's the biggest content investment that we people do, but also in some of the video content .
I have Maahi, a young kid who happens to be Shaan's younger son and we manage him. He does music with us, but we've also done web series with him on FilterCopy. So, that's the power that we people bring in that we are there in music as we

ll as video and li ve events, and we plug in our talent that we people manage across all and then sell it to the corporate market or the wedding market or to the brands market and earn our commissions.
Shivan Sarvaiya : Correct, sir. By music, I meant singer, non -singer, if you can give me that split?
Vikram Mehra: Sir h appy to chat with you and we can give you more details.
Shivan Sarvaiya : Okay sir. Just one last one, quick one?
Moderator: Rejoin the queue if you have a follow -up question, please.
Shivan Sarvaiya : It's just a quick one, if I may. Say, in your compensation structure, do you have a minimum guarantee that you give out to these artists?
Vikram Mehra: You, I think you are now getting into too much of details. I can't get into deal structures with my talent.
Moderator: Thank you. O ur next question comes from the line of Hitaindra Pradhan from Maximal Capital. Please go ahead.
Hitaindra Pradhan: Thanks for the opportunity. I hope I'm audible.

Vikram Mehra: Yes, please.
Hitaindra Pradhan: Sir, the core business which is like music licensing, that is growing at as you mentioned earlier also like 20% plus and our guidance is, it can grow at 20% to 25%. So, my question is what is the contribution of our older catalog ue and the newer catalog ue, like the, say, last three , four quarters or 1 year of catalog ue for this kind of growth rate?
Vikram Mehra: Sir, I'll not be able to give you last 1-year data. It's too mu ch competitive intensive data.

Hitaindra Pradhan: Sir, ballpark, like what is the split of contribution basically?
Vikram Mehra: Because what we have shared in the past, I can go back and tell you this, that this is the data I think we shared in the last annual presentation of ours. S o around 56% of all the revenue that we have made in financial year '25 actually came from music that was released in 21st century and 44% of the stuff came right now from our older catalogue , which is the 20th century catalogue , Kishore Da, Rafi Sahab, Lata Didi, that kind of a part.
Though catalogue is growing for us, but the large increase that we people are seeing on the growth side is coming from the newer content investment. Industry is growing anything between 5% to 8% year -on-year basis. Remaining growth that is coming in is coming in because we are investing heavily in newer content and our market share is going up.
Hitaindra Pradhan: So, sir, fair to assume, sir, like bulk of our growth in the music licensing is coming from our newer catalog ue, right, like the ones we are investing?
Vikram Mehra: I have told you the exact number in that. I f I'm saying 21% to 23% -- not 22% to 25% -- 21% to 23% is the guidance that we are giving for future growth in music business. This is assuming subscription will continue growing at the same pace and the hockey stick effect is not going to happen. The industry grows at 6% to 8%. So the older content will continue growing at that particular pace and remaining growth is going to come because of the newer content investments that we people are making.
Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments.
Vikram Mehra: Thank you, everyone. This quarter, I'm just going to repeat some of the key numbers, which are important for us. This quarter saw the music vertical revenue grow by 29% year -on-year basis.
On a 9 -month basis, we are back to 18% growth rate. We are confident that we will be abl e to meet our guidance for the full financial year of 17% to 18% growth in music business.
On a medium - to long -term basis, we hold our guidance of 21% to 23%, which we have been able to achieve over the last 8 years, leaving this year , and we are very confident we will be able to achieve that. Our adjusted EBITDA per

centage during this quarter was exceptionally high at 46%. Our guidance though remains at 32% to 33% because of the mix of various verticals that we have. But with time, our endeavour is to go out there and better it.

We will continue investing in newer content, keeping data and 5- year payback period as a sole guidance factor because that will ensure that every new piece of content that we people are bringing in is going to be adding something to the bottom line today a nd very substantially to the bottom line in the long run.Thank you, and look forward to your continued support. Thank you, and good evening.
Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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Date: 21st May, 2026

The Manager,
Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: SAREGAMA The General Manager,
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 532163

Subject: Q4FY26 Earning Conference Call-Transcript
Dear Sir/ Madam, In continuation to our communication dated 7
th May, 2026 and pursuant to Regulation 30 of the
SEBI (Listing Obligations and Disclosu re Requirements) Regulations, 2015 (‘ SEBI Listing Regulations ’), please find enclosed the transcript of the Q4FY26 Earnings Conference Call held on Thursday, 14th May, 2026 at 03:00 P.M. (IST) for the quarter and financial year ended on 31st March, 2026.

This information is available on the website of the Company www.saregama.com

You are requested to kindly take the abovementioned on record.

Yours Faithfully,
For SAREGAMA INDIA LIMITED

Nayan Kumar Misra
Company Secretary and Compliance Officer
Membership No: A26243

Encl: As above

“Saregama India Limited
Q4 FY26 Earnings Conference Call ”
May 14, 202 6
Transcript

MANAGEMENT : MR. VIKRAM MEHRA – MANAGING DIRECTOR
MR. PANKAJ KEDIA – EXECUTIVE DIRECTOR –
INVESTOR RELATIONS
MR. KULDEEP KOTHARI – DEPUTY GENERAL
MANAGER – FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to the Saregama India Limited Q4 FY26 Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions afte r the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Kshatriya from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Pranav Kshatriya: Good afternoon, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today, Mr. Vikram Mehra -Managing Director and Mr. Pankaj Kedia -Executive Director, Investor Relations.

Now I shall hand over the call to the management for their opening remarks. Over to you.

Vikram Mehra: Thank you, and a very good afternoon to all of you. Quarter 4 of the financial year saw revenue from operations at INR 287 crores with a YoY growth of 19%. Our highest ever adjusted EBITDA at INR 133 crores with YoY growth of 31% and operational PBT at INR 105 crores, which is a YoY growth of 37%.

Let me start with music. Global recorded music grew close to $32 billion in 2025 according to IFPI, with India still under 2% of that despite housing 18% of the world's population. We in India are operating in the most underpenetrated large music market on earth and Saregama's entire strategy is built around that 20-year opportunity that is sitting in front of us.

If I look at FY 26, the overall music vertical and for the sake of simplicity, now onwards, when we talk about music vertical, we'll combine everything in it, music licensing, artiste management & retail business. All the 3 core elements of music are going to be there under the music vertical. Together, it recorded revenue of INR 814 crores, which was 17% YoY growth and annual EBITDA stood at INR 517 crores with a 22% YoY growth and an annual net margin of INR 377 crores, which was a 2 8% YoY growth. This is music vertical overall, licensing, artist management and retail.

There was some concern that was expressed at the end of quarter 2 from multiple partners and investors about the music vertical growth trajectory. And at that time, the management team had attributed it solely to the phasing of the music content releases. Post quarter 2, as the content started getting released in Q 3 and Q 4, Saregama is back on the growth track.

The other factor that really helped us in this quarter 4 growth rate is moving out of Airtel Wynk revenue in the denominator. In FY '25, Q4 did not have Wynk revenue, which helped us a lot. So, we are completely out of the cycle of free platforms shutting down, and that has started

showing in the growth numbers of our music vertical. In fact, H1 has seen a growth of 8%, while H2 has seen a growth of 26%.

What I'm proud of sharing is that H2 it also became a big testament to our music business guiding principles. When Dhurandhar 1 song started picking up in the month of December, we went all out building them further using our digital marketing muscle. The Pocket Aces digital footprint played a massive role here. This ensured that the success of the album was extended over a much longer duration.

Today, even after close to five months of the release of the album, we are still daily generating 6 Mn streams on the audio OTT and 11 Mn views on YouTube. Shararat stays as the number 1 global position. I'm repeating number 1 global position on YouTube even today. We very strongly believe within the company that hit songs don't come every day. But when you get one, and in this c

ase, we got a full hit album, we have to really make it count by pushing it aggressively in terms of marketing and promotions.

The second principle within the music vertical that I reiterated multiple times in front of all of you that we very strongly, in Saregama , believe that the music purchase has to be done only with a financial lens in front of us and never that of vanity.

After the massive success of Dhurandhar 1, it was very tempting for us as a company to also go for Dhurandhar 2 music. In fact, there was a lot of peer and partner pressure around it. Everybody expected Saregama to go and buy Dhurandhar 2 music. And I'm very proud that the acquisition team stood its ground and refused to buy the album because of the pricing.
The expectations of the producer just did not fit into a five -year payback guideline. And we said no. And I'm proud to share our position actually stands vindicated today. We did the right thing by not going out there and picking it up. So, as we continue growing the music vertical, we are steadfast in maintaining that we will grow it, keeping in mind strong economic principles and never do things which are coming out of vanity.
Overall, the company released close to 1,200 original and premium recreations across Hindi, Bhojpuri, Punjabi, Tamil, Telugu, Malayalam, Marathi Bengali languages , etc. Our spends this year on new music content was close to INR 235 crores and another INR 105 crores was spent on doing inorganic purchases of various small and midsized catalogues .
Our spend of INR 235 crores on new content was lower than what we had planned, and this specifically happened because some of the bigger movies that we had planned to release in Q4 actually got pushed. I think the biggest name will be Sanjay Leela Bhansali ’s Love & War and Telugu Superstar, Nani ’s film Paradise.
During this quarter, the company completed its strategic investment in Bhansali Productions through a significant minority ownership. With the valuation linked to the financial performance of the Bhansali Production Company over the next 3 years. This arrangement provides Saregama with an exclusive access to marquee Hindi film music at a predictable cost based on a predefined formula.

There is a terrific lineup of films planned by Bhansali Productions. This, in turn, ensures that Saregama secures our A and B+ Hindi film music album requirement for the next 24 to 30 months. We won't have to go hunting in the market for it. Our overall l ineup for FY 27 includes the delayed and now scheduled album of Love & War of Mr. Bhansali, Dharma productions starring Kartik Aaryan called Naagzilla , Rajinikanth's next Tamil film, Sivakarthikeyan's Tamil film Seyon, Nani's Telugu expected blockbuster Paradise, amongst others.
During the year, we also want to further consolidate our leadership position that we got with the acquisition of Nav Haryavni. And this year, we plan to go back and build that one weakness that we had, we want to fill in that gap, which is Punjabi Music.
And we have done our homework over the last six months, debating on what strategy to adopt. We are confident we have something good coming our way now. And hopefully, the results will start showing within the next 2-3 quarters. Overall, we continue with our guidance of a 5-year payback period, followed by anything between 55 -75 years of returns.
Music catalogue globally is increasingly being treated as an infrastructure -like inflation -linked asset. It's long term, it's predictable and its value keeps on going up as platforms keep on increasing their own subscription prices. And that's the reason why institutiona l capital from the likes of Bain or Apollo, KKR is now flowing into this space through various kinds of JVs and direct catalogue purchases. All of this is happening at this juncture globally. We at Saregama with 180

,000 song catalogue growi ng at 5,500 new releases per year, is exactly the kind of asset that compounds value over decades.
Let me touch the subscription part of the audio business. This year saw a focused effort by platforms like Spotify, YouTube and Saavn to build paid subscription revenue. The net result was an improvement in Saregama ’s revenue despite revenue from the free remaining flat. If we have been able to go back and show growth, subscription has already started playing a role there.
A recent Indian customer study that was conducted and shared by E&Y and IMI stated that 64% of free music customers in India are ready to shift to a reasonably priced paid service if all free services in the market stop. Now, this is the data right now which has been shared in the latest FICCI report also. It just revalidates what we all believe in. Indian customer is not stingy. Indian customer values music and is ready to pay. But if the free option is available, people always prefer the free option. But the moment free option goes away, Indian customer is ready to pay.
We maintain our bullish position on the subscription growth in the country. Just to put it in perspective, the paid streaming penetration is 67% in Sweden, 57% in U.S., 50% in U.K., 19% odd in Brazil and China versus less than 3% in India. This is according to the Goldman Sachs estimate, and this is a percentage of the Internet users in any country. With every percentage point of penetration translating to 14 million paying subscribers, the runway in India is structurally larger than any other larger marke t in the world and Saregama plays in this market.
The other part that everybody wants to talk about is AI. While at Saregama, we are watching this space carefully and have not committed any significant capital to it at this moment. Our position in the company is that

owned music, which is artist -driven premium music, is going to

become far more valuable and not less valuable in this AI-driven world where a lot of AI flock is coming in.

Authenticated, human-created music with clear provenance becomes a premium asset because customer at the end of the day is not just relating to a song, customers also relate to the artist behind the song that artists might be the actor on whom the song is picturized or the singer who has gone out there and sung the song.

This is something that this mass generated AI flock which is spreading the ecosystem can never provide. So, in the long run, companies like Saregama with having the most premium catalogues of the country across multiple languages is going to become even more sought after from the song value perspective.

At the same time, we are realizing that AI is creating new licensing opportunity as can be witnessed by the deals signed by various global music labels with various generative AI platforms. At the right time, we will also engage commercially with many of these people. So, it may become one more way in which our IP can be monetized.

I'd also like to share that we have recently launched a dedicated AI efficiency team headed by a very senior tech person from the company. This team is analysing every people -heavy process in the company, every area right now, whether it's infringement tracking or any other operations part and is finding smarter AI- based solutions that can improve the overall efficiency and effectiveness of all these processes.

As promised, Pocket Aces has reached breakeven this year. We are committed to it. Pocket Aces team was committed to it, and I'm very proud that we finally went out there and delivered to what we have promised. The company has started making money, and we believe that as we will go forward, the profitability of the company will start going up. This is over and above the benefits Pocket Aces ends up offering to the music business and the live events busin

ess of Saregama. All those benefits are accruing actually more on the Saregama side.

While global majors are today talking about expanding artist brands beyond streaming, we have been quietly building it over the last 3-4 years. And today, it's already a meaningful EBITDA contributor through our artist management, live events and brand partnerships vertical.

Artist e management , the newer vertical under music works by making artists popular through our IP releases and then monetizing them via booking for live events, weddings and more importantly, brand endorsements and Saregama gets a share of it.

During the quarter, we added another 30-odd artist, taking the total artist managed by the company to 300 +. And these artists combined have over 400 Mn. follower and subscriber base on digital world. O ur investment in content goes up, so does the investment in the artist. In that case, the artist ends up making money for us, not just from the music, but also from their presence in various live events, brand partnerships. So, that becomes a second vertical through which you can go back and monetize the artis t.

Live Events , the other verticals that people are using to extend our relationship with the artist e, ended up launching its 1st music festival IP called UN40 in this quarter. Instead of competing with other festivals that are there in the market, we position our festival uniquely as a destination for only people under the age of 40 and hence the name UN40.

Also, instead of bringing an international artist e to perform as a music festival, we took a conscious call that we will work only with the Indian artist s. And rather than treating it as a weakness, we've built it as a unique positioning of the UN40 festival and that positioning helped .

Also, every other festival in the country has a particular format in which artists come out there and perform during festivals. We turned on his head and said that apart from the artist performing, we will also have standup comedy acts in it and we will have physical interactive games along the lines of what Take shi Castle used to do in television earlier. So, there were games where multiple people were participating with each other in a funny enough fashion.

And I'm proud to say all these gambles that people had taken for UN40 actually worked. We generated 12,000 footfalls along with 8 sponsor brands coming on board. And remember, this is season 1 of this festival. We plan to nurture this festival further and make it even bigger in FY 27.

We expect this IP to break even by FY28.

Overall, live events vertical during the year saw a revenue of INR 62 crores. I accept that this revenue number is far lower than FY25. But please keep in mind, FY25 had a one -off event, which was Diljit Dosanjh ’s India tour. These kinds of tours don't happen at that frequency. So,

if I remove that one -off revenue out, even the live vertical has seen growth this year.
FY27 will see us launching a series of small concerts under the Carvaan Live branding, targeting middle age and older audiences that enjoy a sit -down premium music listening experience. We are also increasing our focus on the American market. Tours with Il aiyaraaja, Sudesh Bhosle and Anuradha Juju have already been announced.
Globally, music labels are increasingly focused on monetizing super fans. In fact, Luminate research shows superfans spend 105% more than the average listener and 73% of them buy physical merchandise. Carvaan Live and our diaspora focused tours in America target exactly this audience segment within the Indian context, older, financially comfortable and willing to pay a premium for curated experience with artists they grew up listening to. Our long-term belief in the potential of live events keeps getting reinforced every quarter, and we will continue upping our focus in this area.
Brand part

nerships . As mentioned last time, we have created a new vertical called brand partnerships in order to maximize revenue from the brands across the various businesses that we have, which is music, live events and short -format videos. In this last quarter, we partnered w ith brands such as Skoda, Lakme, Hero, Open AI, Coca -Cola, Ajio and more.
Let me talk about the last vertical, which is video. On an annual basis, the video vertical has declined by 44% to INR 108 crores. Let me very clearly state this. This decline is by design and
has not happened by chance. We have shared this with many of you guys in the past that early last year, we took a conscious call that we will wind down our own in-house film production

business that we were doing under the Yoodlee brand name. And instead, will invest in a production house.
During the year, we zeroed down on a potential partnership with Bhansali and went ahead with that. That's the only reason why you are seeing a serious decline in the video vertical, and we are happy with this. We don't expect video vertical to go up subst antially within the company.
The focus will stay primarily on TV serials and the digital content only , primarily short format.
All our film ambitions and hence, our need to secure music of big films, that ambition is going to be fulfilled only through our partnership with Bhansali Productions.
As I come to the close of my address, what I'd like to share with you is that India is at an early stage of global streaming curve. And keep in mind, this is a feature and not a bug. It means our growth is driven by subscriber expansion, ARPU expansion and also format diversification simultaneously. While the mature Western market primarily depends only on price hike today, we have 3 ways in which we know our revenue is going to go up.
With that in mind, over the next few years, Saregama will continue investing in new music content. This will contribute not only to the immediate growth but also put the company on a
long-term growth path.
For the music vertical, which is licensed music, artist management and retail, all combined, we continue with our medium -term guidance of 20-23 % CAGR in terms of revenue with our annual EBITDA guidance for this vertical being anything between 60-65%.
Saregama's growth narrative will continue to be steady in the medium to long term, thanks to the ever -increasing digital consumption, both in terms of new customers joining the market and existing customers consuming more. With over 650 Mn internet users in India, our cash reserves, professional managerial depth and access to the soundtrack of the best film, we will be able to drive earnings not just for the next 2-3 years, but for the next 20- 30 years.
Thank you, ladies and gentlemen. Happy to take questions.
Moderator: Thank you very much. Our first question comes from the line of Abneesh Roy from Nuvama. Please go ahead.
Abneesh Roy: Congrats on very good numbers. My first question is on the two things which you highlighted. First was weakness in Punjabi. So, I wanted to understand why this segment has been a bit on the lower side. Is it because it's niche market or more competitive or more expensive? And how much allocation you plan over the next two years in this? And second is on AI IP monetization. How big can this be? Any examples from the developed market? And if you can talk more about this? That is my first question.
Vikram Mehra: Okay. On the Punjabi side, we have experimented getting to this market twice over the last six years. And I'll be honest and confess that our strategy never worked out. Any market that we get into, we need to keep a very tight balance between market share and the return on investment, which is a five -year payback principle. The market is a very expensive. But we also understand

that if you get it right, the monetization happens not just from Punjabis living in India, but from U.S., Canada and U.K. also.
Now we have been able to crack a model whereby we are working with more and more artists in a fashion that we do a combined deal with them, both for the recorded music as well as doing live events with the same artists. This is where Saregama starts getti ng uniquely placed compared to all other peers in that market because we're the only guys who are playing across both recorded music and live.
And I'm fairly confident, hopefully not overconfident, that we will be able to crack it this time. Maybe by the end of the year or end of quarter 3, we'll be in a better position to share our performance with you. Anyway, if you start following us on any of the social media, you will have the answer faster than even I can share with you.
You were asking about AI. See, what we are very clearly seeing that all this AI flock, which means purely AI -generated content, which is from engines which have not been trained on any of the international music catalogues , that kind of content has come in a very big fashion. It's there across all platforms.
But the fact of life is, it's seeing no traction and all the music labels globally and in India are working very closely with the leading three global streaming platforms, making it very clear that when the content pool is going to get distributed across t he labels, no value should get assigned to content which is getting generated purely or through AI.
So, there is no revenue leakage today. There is no market share loss happening today. And we are hopeful that platforms and IP owners will come to a reasonable agreement, whereby the royalty mon ey or the content pool money will get distributed only to genuine IP and not the AI flock. Hopefully, I've answered your question.
Abneesh Roy: My second and last question will be you spent INR 235 crores on new content, given some of the movies which you said have been pushed to FY27. What will be the budget for FY27? And in terms of Airtel Wynk that service ending essentially, where would that customer for you would have gone? Any idea on that?
Vikram Mehra: So let me answer the first question. It's also part of the presentation that we are expecting our new content budget to be anything between INR 300-350 crores this year. That's a range it will be in.
As for Airtel Wynk is, Airtel Wynk shut in November '24. The customers have already got distributed across the other platforms. What I can tell you, which are the other platforms. It will be wrong on my part to tell you it didn't exactly move. That's a pl atform prerogative. There's Spotify, there's Saavn, there's Amazon, there's Gaana, there's Apple and then there's YouTube.
Moderator: Our next question is from the line of Kavish Parekh from 360 ONE Capital.
Kavish Parekh: Congratulations on a great set of numbers for two quarters in a row. My first question pertains to one of the notes accounts you put. You seem to have written back provisions worth INR 99

million during the quarter. Could you share what do the provisions pertain to and where exactly is the impact reflected ?
Vikram Mehra: This is something that happens every year. What we do is during the year, we build up a position on the provision side. And when the actual consumption data comes out, that's the time we are in a better position to decide how much royalty has to be paid or not pay.
Remember, I've shared this in the past, today when all the new content is being bought, royalties are to be paid only on the Hindi film music. All the South Indian content and Hindi non-film content is onetime payment content and there's no royalty overfl ow that happens. But actual consumption reports from the platforms come at a much later stage. And that's why this is a natural

process that happens every year. So, whenever the reports come in, we have to go back and clear it.
Kavish Parekh: So, does this in any way impact your revenue items? Or is it entirely on the royalty line item, the cost side of it?
Vikram Mehra: So, see, I forgot to mention is you congratulated us on a Q 3, Q4, you need to congratulate us on Q1 to Q 4 because it very often happens is that some of the stuff right now, which we had taken a provision in Q 1 actually got unwinded down in Q4. So please, every time when you're looking at our numbers, please Saregama's numbers always have to be looked at on a rolling 12- month basis. So, all these kinds of factors start going out of the window.
Even advances , another example I can throw in on a 12-month basis is when you're looking to look at a cash position, there are times right now when the advances come in and then finally, the advances position is getting winded down. If we are going to be looking at on a QoQ basis, you will see a serious amount of ups and downs there. So, it's best always evaluate our numbers right on a 12-month basis.

Kavish Parekh: No, sir, I understand that. What I'm trying to understand is, is this one of the provisions write - back, does this sit in your revenue? Is that the reason for the 42-odd percent EBITDA margin that you reported? Is this in any way aiding your growth? Or is it only on the margin front?
Vikram Mehra: It's all sitting part on cost structure only.
Kavish Parekh: Nothing in the revenue?
Vikram Mehra: These are all cost structures which are getting winded down.
Kavish Parekh: Understood. Pretty helpful. Second, on your disclosures on Page 20 of your deck, thanks for the clarification at the start of the call that music now includes licensing retail as well as artist management. Here, could you please explain the movement in ma rgins? What explains the sustained move in margins here from about sub 60% a few quarters ago to 60% and then the sharp jump to 68% today. Would you be able to attribute this to any particular vertical, say, licensing or artist or retail? Or is this broad-based across the three?

Vikram Mehra: If you see right now the segmental results, you will realize we have also shared the individual results there at all times. So, you know exactly out of this how the margins have changed right now on the artist management part.
Also, when you're looking at my margins, once again, please look at it on a four quarters . Q4 looks like that much better than a Q2 or Q1. But the fact of life is it's about when the content got released in some quarters, the cost of the content is being recognized, but the revenue is going to be flowing in, in the next quarter onwards.
Overall, we had mentioned this that we were at a stage whereby we were really scaling up our content investments as for new music is concerned. As we people go forward, as we look at FY28 to FY30, we believe that our content investments should go up only at closer to the rate of inflation because we will be in a good position of a 25-30% market share of the new content. As the new content investments start going up in a linear fashion and not a step function fashion, you will see that first EBITDA and then PBT will start flowing the growth trajectory of the revenue growth.
Kavish Parekh: Understood. Last question from my side. Organic content spends this year stood at about INR 285 crores, but the cash flow in the PPT about INR 186 crores. I understand the difference here pertains to the marketing spend. But your nine -month PBT mentioned about INR 228 crores in the PBT cash flow. So that INR 228 crores seems to have come down to INR 186, could you explain this?
Vikram Mehra: This one can I take offline with you? Because I'll have to go through all the numbers and you mentioned 9 months. But broadly speaking, what we are sharing wit

h you is the investment.
When you say the investment, it is in terms of the music that got released during the financial year. The charge -off that we are taking right now will be connected not just to the music that got released thi s year, but also the charge -off of the music that got released over the last few years because we write off our music charges on the content side over a period of 10 years, while marketing gets written off in the same year.
Kavish Parekh: Understood. Sure, let's take this offline.
Moderator: Our next question comes from the line of Aanchal Jalan with Lotus Wealth Family Office.
Aanchal Jalan: Congratulations on good set of numbers. So, sir, in the last con call also, you had discussed that there is a potential of around 100 million paid subscribers in India. And now also you said that 64% of free music users are ready to switch to paid subscri ption. So, say, hypothetically, if there are around 10 million paid subscribers in India, what would be our share in it in percentage terms?
Vikram Mehra: Ma'am, I can't go out there and share my market share in the market today. But remember, we are not getting the subscribers. Spotify is getting the subscriber. When a Spotify subscriber is listening to music during the month, we get paid based on the market share of what subscriber heard during the month. Are you with me?
Aanchal Jalan: Yes, sir.

Vikram Mehra: I don't own the subscriber. I partially own the consumption of that subscriber on that platform.
Aanchal Jalan: Yes. So, can you give me some context like what would be our share in it, as in our consumption share in it?
Vikram Mehra: At this juncture, the other data point I can go back and share with you that in terms of revenue, which is coming from the music side, we are the second largest company in the country after T -

Series. As far new music is concerned, new music being defined as the music that were released over the last 12 months, we have number 1 position across multiple languages in the country.
Moderator: Our next question comes from the line of Avnish Sharma with JM Financial.
Avnish Sharma: So, congrats on the good set of numbers. I have a few questions. So, if you see a bit of history, the revenue for Q4 FY 24, the growth was around 40% at the time. But after that, the growth has remained subdued in terms of revenue. But it has improved over the last two quarters. So, my question is, should we expect the current trends that we have in revenue to continue in the coming quarters? L ike how should we look at the numbers going ahead?
Vikram Mehra: I'm assuming you're talking about the music vertical.
Avnish Sharma: Yes, music vertical, yes.
Vikram Mehra: For music vertical, I have stated this in the past also that our growth was getting subdued, in fact, I'll say, over the last two years now, primarily on account of the fact that a lot of free streaming platforms had shut down. And their revenue numbers w ere sitting as part of the denominator, while those things were not available in numerator at all.
So, you had four different platforms changing shape and form, some shutting down, some going fully behind the paywall. That effect is completely over, which is the reason that it gives us the confidence to give you a guidance of 20-23% growth coming as overall music vertical, which is licensing, artist management and also including the Carvaan business in this. So, we are fairly confident. You will again have a quarter here and a quarter there. But on a full year basis, we will live up to these kinds of numbers .
Avnish Sharma: Understood. That's great. The second question is on the margins in the music segment. So, there is a significant uptick in the margins this quarter. So just wanted to understand the reason for the same.
Vikram Mehra: So again, please don't look at from the quarter perspective because -- li

ke a very good example will be Dhurandhar. Dhurandhar got released in the month of December. So, the entire marketing cost of Dhurandhar is sitting in Q3, while it got released in th e end part of December. A lot of revenue upside is sitting in Q 4, while the marketing got written in Q3. So, whenever you're looking at us, please look at us on a four-quarter basis. That gives some sign of uniformi ty. Otherwise, it is very di fficult to explain.

Avnish Sharma: Yes. Understood. My last question is in terms of the competition; we see the non -digital revenue has increased significantly for the competition. Just wanted to know our split of digital and non-digital trends ove r the past three, four quarters?
Vikram Mehra: Yes. So, we don't disclose a digital, non-digital, but all I can go back and tell you, and you can check this from non-music label. So don't ask me or any of my competitors. Go to the normal industry people and check out. The largest absolute number of non- digital revenue in the country still comes to Saregama. In fact, on digital, I'm number 2, I'm not number 1. On non-digital, I'm number 1.
Moderator: Our next question comes from the line of Prateek Poddar with Bandhan AMC.
Prateek Poddar: Could you confirm, Vikram, that we had this headwind of discontinued platforms in the base. That is now over. Is that a fair understanding?
Vikram Mehra: Yes. It's over. There's no platform sitting out there now in our denominator.
Prateek Poddar: Okay. The second question, just on event business. While I understand and appreciate that this is a lumpy business from a revenue perspective, this quarter, I saw a loss in the events business. That was something which I couldn't understand.
Vikram Mehra: I added as part of my opening commentary. We launched our first festival IP this year. Typically, festival IPs take anything between 3-4 years to do a breakeven. That loss is all primarily because of UN40. I expect this trend to continue. Only in FY '28, do we expect the festival to do a breakeven. But every time you have any bit of a debate on a festival, just look at the Coachella number and then you start realizing that festivals take 5-7 years to build. But after that, they become massive profit machines. Because the biggest beauty of festival is you're not dependent on any one individual artist. You can keep on changing artists because the festival is bigger than the artist.
Prateek Poddar: Understood. And this would be a quarterly phenomenon, right? It's not for the year. I mean, the UN40 festival, which I heard.
Vikram Mehra: UN40 will be an annual phenomenon. We may end up launching another one or two festivals if we believe there's a decent opportunity there. But UN40 is an annual thing. We have already announced UN40 for February '27.
Prateek Poddar: Okay. Once in a year, right?
Vikram Mehra: Yes.
Prateek Poddar: Okay. And is there a budget of amount of losses you would want to keep aside or let's say, the investment, it's not losses, it's actually investments for the future. How much would you want to

keep aside?
Vikram Mehra: Let's put it this way. You have seen the numbers now. And this was year one and year one takes the largest amount of losses because we are trying to establish. Now there are already

expectations. We know brand revenues are going to go up further. We know the number of tickets we be able to sell are going to go up further. So, the losses are going to come down, they're not going to go up on a festival -by-festival basis.
So typically, if one is running the festival business in a financially prudent fashion, after year one, you need to take a call, is it working or not? If not, shut it down. If it's working, year two, you make it bigger, but your losses come down.
Prateek Poddar: Superb, superb. And last questio

n, just on the video segment, given that you have already called out that we would be going through a production house and you will be winding down the video business, how should I think about capital employed and then overall margins, right? I think you called out segmental margins and you did give a guidance. But the revenue mix change is, right? Essentially, a lot of our revenue now comes from music plus artists plus retail and a bit of events and video sit s with the production house. So how should I think about the company you're going with?
Vikram Mehra: So, the guidance that I've given right now is for the EBITDA margins only of the music vertical and nothing else. Video part, listen, we are still going through this churn stage. It will take us a year or something to stabilize. The Bhansali production numbers are going to get entered into our books right now in terms of share of net profit of associates accounted for using the equity method. That's a line which we are going to be putting the numbers of our partner company.
Our own video vertical, we are not greenlighting any major new projects. Whatever was there in the pipeline, that's the only thing we want to complete in FY 27. Our focus will continue on the shorter format and TV series and digital series business. That business typically, if it's run well, should always be a profitable business. And in the past, we have always been profitable in that part of the business. You're looking at margins that are anything between 8- 18% Net Margin.
But very little capital actually gets allocated to TV business. You take advances most of the times. You take advances from the platforms or the TV channels and make content using that.
The only place where we end up taking some of our own bets, which is numbers which are running into lakhs, not even crores, is what we do on the short format side.
From the capital allocation perspective, to answer your question, we had earlier indicated to you guys that between our video vertical and the live vertical, the total capital that will get allocated will be around 18% of the total capital deployed. That number is going to go down dramatically, will be in the mid -single digits now.
Moderator: Our next question comes from the line of Yash Bajaj with Lucky Investments.
Yash Bajaj: Congratulations on a great set of numbers. My first question is on our plans of the INR 1,000 crores spend on new content acquisition. So, should we consider FY 27, I mean the fagged years for this kind of investment if we take FY25, FY26, FY27 cumulative numbers?
Vikram Mehra: Yes, you're absolutely right. FY25, '26, '27 was INR 1,000 crores odd, and we will be in that ballpark in that space only. Our intent is from FY 28 onwards increase it only in a linear fashion

and no more step jump in new content investment. We are happy with the current 25- 30% market share that we have of the new music coming out in the market.
Yash Bajaj: Got it. Understood. Thank you for actually kind of giving a detailed explanation of how the music business and the EBITDA margins and profit margins look like. My only question here is that what is the difference between music EBITDA percentage and music net margin percentage? Is it that the music EBITDA percentage has marketing and production?
Vikram Mehra: If you see that specific slide in the presentation, we have written about it. So, music net margin is EBITDA less content charge. So, so marketing and other cost have been considered but the content charge we are taking for the newer content has not been deducted when we calculate EBITDA, you deduct that, you get the net margins.
Yash Bajaj: Okay. Understood. And just a question around this as well that now that -- like you mentioned that we have to look at the P&L on a rolling four-quarter basis, if we take FY 25 music net margin percentage compared to FY2

6 music net margin percentage, there is an increase from 42% to, I
think, 47-48%. So, what explains that 600 bps improvement, if you can help us understand that?
Vikram Mehra: So, all verticals and the biggest vertical remains the licensing vertical. What you are seeing is that initial year's content investment that we had done, it's the heavy lifting of the charge that we are taking had taken had happened in '25. So, all the content that we people did in '25, and there are massive hits like Stree 2, which is sitting there or an Amaran, which is sitting out there in FY25. The bigger charge of that has been taken in FY25, but the revenue benefits of that will keep on accruing to us over the years. FY 26 is a good example of it.
So last year, when our numbers were going on the flatter side, I have stated this that the numbers in FY25 are on the flatter side compared to FY 24, just jumped into new content investment in a meaningful fashion. So, though the revenues were going up, the charge -off was also very, very big. And hence, the overall profitability was going on the flattish side. This year onwards, while the content in vestment is there, but the benefit of FY'24 and FY '25 is also coming to FY '26.
Yash Bajaj: Understood. Yes, yes. Got it.
Vikram Mehra: The beauty of music business is that once you have done the heavy charge -off in the beginning and if you do your music selection in a correct kind of fashion and you keep on doing that some amount of drip marketing throughout behind hit song, the song has got a very long life and it
will keep on generating revenues for you.
Yash Bajaj: Very clear, sir. And just one final question. Just on the subscription part of the business. If you can help us understand what proportion of our business would be subscription today? Or if you're not comfortable sharing that, if you can help us understand the growth rate between subscription versus free.
Vikram Mehra: Saregama directly has no subscription. Spotify has subscription, YouTube has subscription.
Yash Bajaj: Paid. I mean paid.

Vikram Mehra: No, no. So let me not go back and share that data. It's just too competitor sensitive data. But the fact of life is that the mo ney that we are making from the free side of audio streaming platforms are flattish, and I'm acknowledging it. Growth that you are seeing in the numbers that is coming in and the numbers are there in front of you is all coming the paid subscription side.
And remember, right at the beginning. We have a massive play left in terms of new subscribers coming in, ARPU expansion and various other monetization mechanisms coming in.
Unfortunate part is that even the Latin American countries are far ahead of us in terms of penetration. But the positive part is there's a massive road in front of us.
Moderator: Our next question is from the line of Govindarajan Chellappa from CSIM.
Govindarajan Chellappa: I have three of them. First, just a clarification. In your presentation, you mentioned that you expect Music net margins to improve by 300 to 500 basis points in 3-5 years. So, in essence, you're expecting the EBIT margins to move from 46-odd to a sustainable 50%. Is that understanding, correct?
Vikram Mehra: Yes. So, in fact, if I'm looking at the EBIT margins currently also on music, they're hovering around 60% .
Govindarajan Chellappa: Not the net margins, the EBIT margin for the business.
Vikram Mehra: If you are talking about the percentages, which are somewhere hovering between 46-50%. Yes, over the next 3-5 years, you should have 300-500 bps increase coming on our music business, everything else remaining as it is.
Govindarajan Chellappa: Okay. And this would be a linear increase or you think this will be back ended ?
Vikram Mehra: No, no. So, it may take us another year or two for the buildup to start happening. But what we are realizing is

that as our digital footprint is becoming stronger and bigger, big advantage is coming in that the incremental marketing cost that I have to in cur to promote a song, a decent chunk of that, I'm able to go out there and do it because of the Pocket Aces digital footprint. And that is the kind of savings we end up accruing in the system. The process has started. It will not be a single step jump that will happen, but it will be linear, but linear where the angle is a little lower in the beginning and becomes steeper as we go ahead.
Govindarajan Chellappa: Okay. Understood. My second question is on short -format videos. Right now, I think you get paid a fixed fee per annum by each of the platforms. Is this an annual contract? How is it renewed annually? And what is the basis for renewal? And you've mentioned that there could be conversations around sharing ads spent on short format. If you could give an update on that.
Vikram Mehra: Yes. So, nothing has changed over the last one year. This is one of the areas which bothers us. Short format content in all our deals are one -year deals and the renewal typically happens basis the usage of our content during the year. So yes, we are able to get some kind of a step jump, but it is not as ideal as an advertising-driven model is because an advertising-driven model, you straight away see benefit accruing right down to your bottom line. What happens with YouTube

free service, short format content, all the licensing to short -format services is still a fixed fee deal renewed on an annual basis.
Govindarajan Chellappa: Okay. My last question is on this line -item unallocable expenditure. It's moved from INR 7-odd crores in FY23 to INR 74 crores in FY26. What are the components of this? Has there been any reclassification? And how do we think about growth in this expenditure over the next few years?
Vikram Mehra: So, unfortunately, I don't have a CFO at this moment. Can I ensure right now somebody calls you up and takes you through these numbers in detail you're quoting FY 23 to FY 26 moment now.
Govindarajan Chellappa: Yes. I mean every year, it has doubled.
Vikram Mehra: So, we will go back and s it with you. See, the core part, I can go back and say that the core management team is all sitting in there. So, there is some amount of manpower cost also that is sitting in. Kuldeep, do you have an answer to this, if you can help?
Pankaj Kedia: Govinda, can you repeat your query? I just lost you in between.
Govindarajan Chellappa: Yes. The unallocable expenditure, which comes below the segmental results, moved from INR 7 crores in FY23 to INR 16 crores in '24 to INR 36 crores in '25 and INR 74 crores in FY26, right? There's a 10x increase in that expenditure.
Kuldeep Kothari: So, if we see comparison between FY 25 and FY 26, in FY26 it got INR 37 crores and it is now INR 73 crores. The unallocable expense is net of other income which is the income we do in investment in mutual funds and FD. Now when we are investing in the content, we are realizing that those investments and that is where the interest income has dropped. A nd as a result , you are seeing the delta in this expense. This is one of the major increases in the expense which you see here.
Govindarajan Chellappa: Okay.
Vikram Mehra: As the QIP funds are getting utilized, either in terms of purchases of earlier Pocket Aces then happened Bhansali and our new music content that we are doing, the interest income on that capital is coming down, which means the netting off effect is coming down. So, in rea lity, the unallocable expenses are not going up in any alarming fashion. It's just the netting off portion, which is giving this illusion as if they are going up.
Govindarajan Chellappa: Okay. I mean I think I need to take this offline because between FY23 and FY26 other income has dropped only INR 10 crores,

Vikram Mehra: Sure.
Moderator: Our next question is from the line of Sanmat Jain from Kamakhya Wealth Management.
Sanmat Jain : So, I had a couple of questions. So, I wanted to know about the revenue from social media platforms. So, suppose an influencer posts a reel using our music. So, what's the deal structure and how much do we make from that one deal? What's the revenue model there?

Vikram Mehra: I had answered this; I think last question only. All our social media platform deals are flat fee deals. That means we get paid a flat fee by this platform for utilization of our music across reels or posts during the year. So, you're not getting paid right now on a per re el basis. But this license is restricted only for individual consumption and usage. Our brand cannot take advantage of this and post any re el of theirs. Brands have to negotiate a license from us directly.
Sanmat Jain : Okay. Understood. My other question was related to the investment part. Suppose we do INR 350 crores in FY27 to reach our stated target of INR 1,000 crores. But from FY28, what investment budget are we planning?
Vikram Mehra: So we are looking at a linear increase as we go forward post FY27 because principally, we are comfortable that 25-30% market share that we will get with INR 300-350 crores content investment. So, as you go forward, you can look at anything in terms of very high single digit to a very low double -digit percentage increase on a YoY basis.
Sanmat Jain : Okay. So, considering the base of INR 350 crores for FY27, so incremental to that you are saying, right? So, suppose INR 400 crores kind of number.
Vikram Mehra: Yes. So, for me, at this juncture, 12 months away, it's more of a philosophical question. And our philosophy is clear that we started from zero investment in this company on new music. We have ramped it up in a very rapid fashion over the last three years to give ourselves clear leadership position in multiple languages to get ourselves about 25-30% market share on a pan - India basis in terms of new music. We are comfortable we want to consolidate our position here. We don't want to go back and do another massive step function jump here.
Moderator: Our next question is from the line of Rohan Nagpal with Helios Capital Management.

Rohan Nagpal: There's a clear sort of increasing trend between Q1 and Q4 on the music revenue that we generate ex of carvaan and artist management, so increase in licensing revenue. I want to understand what is the driver of this increasing revenue in licensing between Q1 and Q4 through the years?

Vikram Mehra: So, between Q1 and Q4, actually, the biggest factor is when & which big albums is getting released. A lot of this revenue that you are seeing right now is also governed by the new music releases.

Typically, in our country, Q1 being the IPL time, you will have less new big movies getting released during the year. Q3 being the Diwali time ends up seeing a massive release in terms of new music. And then the December, January time frame is very, very big. One being Christmas, second being Pongal around January 14 becomes a very big release date in South India and then 14th February becomes a very big release date across the country as far as romantic movies are concerned.

So, you typically in our country have bigger releases coming in Q3, Q4. The only date that stands out is around O nan date, which is from 15th August to end of the August, where you do have big Malayalam and sometimes patriotism-driven Hindi films also coming out. So that's a level of seasonality. You may have seen sometimes that Q2 may become bigger than Q3 also. And

we have seen that in the past happening with us. But Q1 typically is the most muted one because there are very few releases.

The other factor which needs t

o keep in mind for Q4 is that there are some of the commercial relationships where the money hits us only at the end of the year. This typically happens with various relationships we have with various societies. They are able to go out there and finish t he reconciliation for the entire year and release the money. Typically , they do two or three traches of payment. But if they're getting delayed, primarily all the payments end up hitting you on Q4. That's why like a stuck record, I ask you please look at us on a rolling 12-month basis.

Rohan Nagpal: Understood. That's very helpful. And the other question I have was the sharp decrease in the advertisement and sales promotion. Is that on account of events not being there this year or not with the same intensity? Or is there some other factor driving th at?

Vikram Mehra: I mean two big factors are coming in here. One, you have nailed it. Last year, this also included all the advertising that people had done for the Diljit Dosanjh show. Also, we have scaled down the video vertical this year. So very few new films were rele ased by us this year, while FY '25 also had film advertising expenses sitting in.

So, this is not just music. Music, there isn't that much amount of change. There is some amount of reduction because if you see the content investment that we have done during the year, which is a combination of content plus marketing or new music has com e down compared to the previous year. These movies like Paradise and Love & War, had they got released as earlier planned in February-March time frame, these expenses would have been a little higher.

Rohan Nagpal: Understood. And last question, there's a sharp decrease in the content charging cost this quarter. Is that because there was the Dhurandhar marketing spend that was incurred in Q3, which is not there in Q4.

Vikram Mehra: Please see up on a 12- month rolling period basis. QoQ becomes really tricky for us to explain. So, when the numbers move in our favor also, we don't take that credit on a QoQ basis. Evaluate us on a 12-month basis becomes that much easier.

If any move is releasing on 27th of December. Now it depends how the marketing spread . Is it front -loaded? Is it backloaded and everything changes. And if the movie is getting released in December ; if the last song was released in December ; we will consider the entire content charge otherwise the content charge moves to January. That's why it's always better to evaluate this thing on a 12-month basis.

Moderator: Our next question comes from the line of Manish Gupta from Equinox Investment Advisors.

Manish Gupta : Sir, is the IPRS movements a threat to the revenues especially after Kolkata high court ruling in that Vodafone case ?

Vikram Mehra: It does not have any implication on us. I'll just leave it there.

Manish Gupta : Okay. And secondly, sir, I understand that market price of the stock is neither your focus and it should not be and not under your control. However, markets are set to be waiting machines in the short term and running machines in the long term. Saregama ha s been on a downtrend for several quarters now, notwithstanding today, which we are grateful for. Is there anything

fundamentally altered or disrupted in the music industry or Saregama's business, which is causing this downtrend in your opinion?
Vikram Mehra: I'll not comment as you rightly said, I am not going to be commenting on the pricing part of it, I and the management team are fully accountable on the EPS part of it. All I can go back and say 3 years back when we decided to get into new music, we have made a statement at that particular time that we are preparing this company for 2050.
This company had made a mistake in year 2000 by deciding not to invest in new music content.
It's easy for us today, right, if we sit and say that the only thing we want to

drive is profitability.
Board has to go back and decide is that from now onwards, we will not invest in new content.
If we do that and it is a very conscious part that we want to drive only profitability from music today, growth and long-term sustainability is not something that we want to drive. This company can become a 75% margin business tomorrow because that's your beauty of music business ,
there's very limited cost once you've already paid for the content that you have taken and the music keeps on making money for you on a long -term basis.
We took a conscious call. And that time also, we had prepared the market saying the going has been great, but the going has been great only on the back of the catalogue . We don't want a situation, 20 years down the line that the kids of that time asked that who were Kishore Kumar or who were S. D. Burman. Because what Kishore Kumar is for us today, 20 years down the line Arijit will be .
So, we are just investing in newer content in an aggressive enough fashion. And when you invest so heavily in newer content, especially in a step function jump, in the short run, the increase in revenue will get matched completely by the charge -off on content that you are taking. We are slowly getting out of that cycle now. So, if you are congratulating us for the quarter 4 results, believe you me right now, the real game of this started three years ago. We are now slowly getting into a position where the benefits will start accruing to us.
Manish Gupta : Fantastic. And my last question is that the new generation is now watching reels all the time. So, does it affect music revenues in coming time?
Vikram Mehra: There are 2-3 things ; Saregama owns 91% of Pocket Aces, which owns the biggest Gen Z channel, where people watches reels, Saregama also owns through Pocket Aces FilterCopy, which is the ultimate reel s play for people under the age of 30. So, I have a play there.
Second, anybody else who is using a reel at any particular time, you'll realize majority of the reels, I don't know the percentage, but bulk of the reels you will see on any of the social media will have music attached to it. So, there is a monetization that ends up happening right now on the music side, too.

So, for us, whether presence on social media, presence on a TV channel, presence on a digital series or a film, any time a video is seen, there is a high probability our music will get attached to it, which becomes another touch point for us to monetize. So, we look at it , this expansion of reels a lot of positivity.
Moderator: Our next question is from the line of Resham Jain from VVD Asset Managers.
Resham Jain: Sir, just one question. If you can share the revenue from the content which has been bought over the last five years, if that number can be shared because there is hardly any way you have this payback period in mind by five years. But for us, it's very di fficult to assess how profitable it is.
So, if you can share at least the last five years' cumulative revenue in this year, FY26 of the content bought, that will at least be helpful for us to evaluate.
Vikram Mehra: So, I'll tell you how you can arrive at if you check my last corporate presentation, there , we have shared data with you that what percentage of the total revenue on the music side is coming actually from the music release after 2020. That data is as of FY25, does not include the FY 26 data, and we will be releasing that part also shortly. But till FY 25, you will get that information.
If I remember my numbers correctly, right, 40% of the total revenue that we people had is music released betwee n FY21 to FY 24.
Resham Jain: Okay. So, if I then look at the overall revenue because now you have artist management and other things also, obviously, music revenue also is separate. But then the CAGR growth of the old music as you men

tioned in your comments also that it is inflation driven . How should then one look at that part because that seems to be growing much slower than maybe some of the other competitors?
Vikram Mehra: I disagree with that part. I'm not going to talk about competitors, please. I'm talking about our absolute numbers here. The catalogue growth that we have seen, on an apple-to -apple basis, what does mean that I'm going to be comparing my catalogue growth on Spotify over the last three years, or a Saavn over the last three years, or a YouTube over the last three years, we are

growing at this juncture higher than inflation also. And we are fairly confident this growth is going to get further acc elerated as we go ahead.
Let me take this opportunity to also share with you that we are now creating a newer experiment within the company, whereby we are saying that how can we use the capability of the generative AI to create enhanced content and properties around older music that we people have, which may be generative AI-driven music videos for a Hemant Kumar song or S. D. Burman song or it may be podcast, which will be connected to the older songs that we people have, which gives us not only an opportunity to promote the older music, but also find a fresh way to monetize the older music.
When you're going to be looking at my numbers, do keep in mind, the moment you do an absolute catalogue to absolute catalogue , there's a decline because music had a decline because we had platforms like Resso shutting down. We have platforms like Wynk shutting down. We had Gaana going from free to pay completely. We had Hungama shutting down.

So overall numbers fell in a dramatic enough fashion, which is the reason why you see music revenue growth except for the last two quarters was going on a more muted basis. But on an apple -to-apple comparison basis right now, the catalogue is growing.
Moderator: Our next question is from the line of Sandeep Agarwal from Naredi Investment.
Sandeep Agarwal: My question is this, our performance regarding the last three years, so just our competitor comes to you also has a market cap of 8,000 Cr. approximately to our and we have the same P/E 35.
Our competitor's company RO CE is 122% , while our RO CE is 17%.
They said 1990 music is their top line in the bottom line. While we have more good life daily after a music song, but we can't perform. Will you tell us where we are in a week? They have INR59 crores content cost last year, and we have approx. INR235 crores. Their write -off campaign cost is 100%, we also have good property to monetize in Dumdum area, it will be far away from them. So, just comment.
Vikram Mehra: Sir, I can talk only about myself. So, if you have any questions directly connected to Saregama, I'm happy to discuss. I'd like to pass on any comments on my competitor's business.
Sandeep Agarwal: My question is, regarding the performance of our company, why we are not performing?
Vikram Mehra: Sir, I don't know how you're calling it not performing. The Indian music industry growth numbers have been published. This is a neutral study. None of us is involved in that part. E&Y has gone out there and done it as part of the FICCI report. IMI, which is the music industry's Apex body, has gone back and published this. Both of them are saying the music industry during the year grew between 7 -8%. Somebody is saying 6%, others are saying 8%. That's the industry growth rate.
In that industry growth rate, the only reason Saregama has been able to grow faster because we aggressively bought newer content, and the fact that newer content has worked can be checked on YouTube, can be checked on Instagram, can be checked on Spotify, sir. You can go to various charts on Spotify and see that when I'm saying my content has worked, there is a third party which is saying that the conte

nt has gone out there and worked.
So, I know there's far better work we people can do, and we will try our very best to improve our numbers even further. But saying that our revenue is not growing or our strategy is not
working will be a little unfair, sir. I don't know about competition. I know the absolute numbers that are in the market. And I also promise you and coming to you right now, that the numbers in terms of profitability as we go forward with the strategic approach we took three years back, as we continue on that path, are going to become even better.
Sandeep Agarwal: Just one more. Sir, the company has been an aggressive content investment cycle, INR 1,000 crores across FY 25 to '27, which is very exciting. From the shareholder perspective, the ROE has been around 13% over the last three years, with some corrections. So, could management help us understand?

Vikram Mehra: When we people raised the QIP, it was with a very specific thing in mind that we want to go out there and invest in content that will get us ready for the future. The first strategic call we take right now is that the music has to be invested in, you're a lready seeing the results. We are growing far faster than the publicly acknowledged and published growth rate of the industry.
Second, we took a call to go back and buy Pocket Aces. The fact that in the last two years, we have been able to go out there and turn around Pocket Aces and make it a huge marketing machine, and it's growing at a very fast pace.

Third, we have taken a conscious call to go out there and invest in Bhansali Productions. This will ensure that in the days to come, the most valuable film album that will be coming out in the market will automatically go to Saregama at a pre -agreed and n egotiated price, so that I have some kind of control on the cost escalation that may happen in a very, very competitive market.
The results of all these will start coming out. So, the equity that was raised has been invested in these areas, and we are on the path finally to go back and increase the ROE. Are we happy with the 13. 3% ROE? We are not, sir. But we know that journey has to be travel led through. And we are travel ling on that journey. Hopefully, we are taking care of the guardrails. We may make mistakes here and there, but the intent is very, very clear that in the end, the ROE has to go up because eventually, shareholder value improvement is the final goal for everybody.
Moderator: Our next question comes from the line of Akshay Jogani with Xponent Tribe.
Akshay Jogani: Vikram, a couple of questions. Like you mentioned, the headwind on the platform shutting down or switching off is sort of behind you. So, over the next one to two years as platforms sort of start pushing, and the y have already started pushing premium , do you expect the growth rates to now sort of mirror their growth rates, or maybe there are no more changes within the industry structure that kind of is expected?
Vikram Mehra: So, one part is what I'm expecting. Second is the guidance I'm happy to give at this juncture, knowing the current situation. So, in the current scenario, looking at the subscription growth rate that is happening for the music vertical of ours, which added re tail also to it. We are projecting a 20-23% CAGR over the next 3-5 years.
But can this change dramatically into a hockey stick effect? It can. If anything, is to go look at the subscription data in other parts of the world, even Latin American countries are sitting out at 13-15%, which will be 5x of what we people are today. And those numbers are not very difficult to achieve. All that one or two of the leading platforms have to go back and do is that they just shut the tap of the free content. They are all making the right noises. The subscription and it's going to take off. What I can promise you is that the subs

cription generally take s off. We are not talking of double -digit growth there. You will see numbers going out and literally doubling, it needed to be on a YoY basis for the first few years. It will be a hockey stick effect. But till the time it doesn't happen, I can't go back and give you guidance on that.

We believe in that very strongly. We believe the subscription story has played out in every part of the world. In India, it's playing out on the video side now. The twitch story is playing out on the gaming side in India now. So, we understand that the younger generation is comfortable with the idea of paying for digital content.
I am 50-plus. My age group has a serious problem paying for anything on digital. Even I start thinking. Is there any way to do it for free? But the younger people don't think that way. They are not grown in a world of digital always being free, and they are comfortable paying for better experiences and not necessarily trying to find out an easy way out. But the fact of life is somebody has to shut the free supply and make pay on an affordable basis. India is not a $5 market. Any company that tries that is going to burn itself here. India is $1-1.5 kind of market, but you can easily generate a number of 100 million.
Akshay Jogani: Sure. You know, one of the things you spoke in this conversation earlier was that at a directional level, your free part of the revenue within music has remained flattish, while the large part of growth has come from the paid part, I mean, right?
Now, I understand that over the last one and a half years, there have been CPM pressur es, there has been, I think, YouTube has been changing, and YouTube has sort of not grown as much as we would have sort of thought. At least our understanding is that. Is that something that you expect to change over the next year as well?
Vikram Mehra: So, when I gave you that number right here of free being flashed, it's more for audio OTT than the video OTT. YouTube for us has seen a growth, if that's the direct question, on free and paid both. Remember, in video OTT every year, there's some other new pressure that starts coming up. I think the ban of real -money games ended up taking a large revenue stream out of YouTube.
But the good part for us is because the kind of content we are putting out in more film music, which is more family content that's going in. We, as a category got affected less by the going out of RMG advertising money. And hence, on YouTube, we were able to show a healthy growth, both on the free and the pay side. Actually, I have heard the story of people saying that the numbers from video OTT are going down. That doesn't apply to us.
Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments.
Vikram Mehra: Thank you, everyone. Many of you guys have complimented us on our Q 4 results. Please remember, you're finally seeing the fruits of what was started by us as a company 3 years ago.

And this trend hopefully is going to become even more pronounced as we people go forward. Always keep in mind, we in India are operating in the world's most under-penetrated large music market with the most dominant catalogue , which is growing by 5,500 songs every year, our net debt-free balance sheet, and a 650 million digital footprint. Every global trend, subscription growth, ARPU expansion, super fan monetization, catalogue purchases and diversification that goes beyond streaming, which includes live events, has a much longer runway in India than anywhere else. And Saregama is the cleanest way for anybody to own this thesis. Thank you and look forward to talking to you guys' again next quarter.

Moderator: Thank you. On behalf of Emkay Global Fin

ancial Services Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.